



Pihlajalinna

Annual Report
2024





Pihlajalinna's Annual Report 2024

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Pihlajalinna's Annual Report 2024

Pihlajalinna's Annual Report 2024 comprises four parts: The Year 2024, the Board of Directors' report, the Audited financial statements and Remuneration. The Year 2024 section presents the Group's business, the most important events of the past year and information for shareholders.

In addition to the Board of Directors' report, the Board of Directors' report also includes Pihlajalinna's Sustainability Statement, which complies with the requirements of the Corporate Sustainability Reporting Directive (CSRD) and the European Sustainability Reporting Standards (ESRS).

The Corporate Governance Statement is part of the Board of Directors' report and contains more detailed information on the Board of Directors and the Management Team. The Remuneration section includes Pihlajalinna's Remuneration Report.

The Annual Report covers all Pihlajalinna Group companies. Pihlajalinna's Annual Report 2024 is published in Finnish and English. Unless otherwise

stated, the figures in brackets refer to the corresponding period of the previous year.

Pihlajalinna in brief

Pihlajalinna is one of the leading private social and healthcare service providers in Finland. The Group offers comprehensive and high-quality private clinic and hospital services, as well as occupational healthcare and insurance cooperation services. Pihlajalinna provides wellbeing services counties with social and healthcare service production models in which cooperation between the public and private sectors guarantees effective services for citizens.

Pihlajalinna's customers include private individuals, businesses, insurance companies, wellbeing services counties and the public sector. The Group meets the needs of its customers with a wide range of in-person, remote and digital services. Pihlajalinna offers hospital services which include surgical operations in eight locations around Finland.

Pihlajalinna contributes to health and wellbeing in Finland, and pays all taxes to Finland. Pihlajalinna invests in the development of impact-based services and aims for partnerships that focus on disease prevention and effective care. The Group employs 9,000 professionals and has its headquarters in Tampere.

Pihlajalinna's values are energy, ethics and open-mindedness. The Group provides its employees with meaningful work in healthy and safe conditions. Each employee is important to Pihlajalinna as a member of the work community and as a developer of the customer experience, operational quality and effectiveness.

Pihlajalinna's shares are listed on Nasdaq Helsinki Ltd.



Pihlajalinna 2024

Revenue

EUR 704.4 million

Comparable organic revenue growth

7.8 %

Adjusted EBITA

EUR 55.2 million

EPS

EUR 1.13

Operating segments

PRIVATE HEALTHCARE SERVICES

Revenue

EUR 451.5 million

Comparable organic revenue growth

11.1 %

PUBLIC SERVICES

Revenue

EUR 267.6 million

Comparable organic revenue growth

1.3 %

Customer satisfaction

Group healthcare services

84 NPS

Private Healthcare Services

85 NPS

Public Services

78 NPS

Personnel

Employees

6,493

Practitioners

2,145

Highlights of 2024

2 January 2024 Jämsän Terveys' oral healthcare and dialysis services were transferred to the Wellbeing Services County of Central Finland. In 2024, Pihlajalinna made numerous changes to its complete outsourcing agreements, which was reflected in a decrease in revenue, as expected. The operations were also adapted to meet the needs of the wellbeing services counties.

18 June 2024 The strengthening of Pihlajalinna's financial position enabled a successful EUR 170 million sustainability-linked financing agreement.

17 July 2024 The Group's determined measures to strengthen organic growth, profitability and financial position progressed, and Pihlajalinna raised its profitability guidance for 2024.

14 August 2024 Pihlajalinna announced that it will strengthen its offering in Pietarsaari by moving its operations to new, modern business premises in early 2025. The network was reinforced by expanding the Pihlajalinna Lahti and Pihlajalinna Sello, Espoo, clinics, among other things.

29 October 2024 Pihlajalinna's freedom-of-choice hospital Jokilaakso ranked highly in the quality statistics of the National Institute for Health and Welfare. The year also once again demonstrated that quality is not a barrier to efficiency: nearly 900 joint replacement surgeries were performed at Jokilaakso during the year.

30 October 2024 The Group's determined measures to strengthen organic growth, profitability and financial position progressed, and Pihlajalinna again raised its profitability guidance for 2024.

26 November 2024 Pihlajalinna Sydänkaista, the impact-based remote care path, was selected as one of the three finalists in the Finnish Medical Association's quality award competition. The Pihlajalinna Sydänkaista remote care path was piloted in the Wellbeing Services County of Southwest Finland. Pihlajalinna's occupational health customer Stora Enso took the service into use.

3 December 2024 Pihlajalinna's mobile MRI unit, which uses the latest artificial intelligence, began operations in Southeast Finland and Mikkeli. Artificial intelligence-based MRI enables better image quality and higher-quality diagnostics.

23 December 2024 Pihlajalinna and insurance company If published a cooperation agreement. Pihlajalinna cooperates closely with its insurance company partners to offer needs-based, high-quality and fast care chains.

CEO's review

For Pihlajalinna, the year 2024 was successful. Our determined measures strengthened the profitability of the business and the company's financial position as planned. We continued our strong organic growth and developed our operations in a goal-oriented manner in different business functions and partnerships throughout the Group.

Our diverse investments in the development of supervisory work and competence were visible. As a result, the employee experience and commitment were strengthened and sickness absences decreased. Pihlajalinna's leadership principles, which were launched in the first half of the year, will also help us pave the way for this development work in the future.

Pihlajalinna's customer satisfaction developed favourably during the year in all measurable areas. The NPS of private healthcare services increased by six units compared to the previous year. Our surgical operations had an NPS of 96. The high quality of our hospital operations was also reflected during the year in the high ranking of our freedom-of-choice hospital Jokilaakso, Jämsä, in the quality statistics of the National Institute for Health and Welfare. Pihlajalinna's Sydänkaista remote care pathway was also selected among the top three for the Finnish Medical Association's quality award.

Our revenue remained at the previous year's level, EUR 704 million, despite the major change in the business structure caused by the growth in insurance services and agreement amendments in complete outsourcing. Organic growth in consolidated revenue was nearly 8 per cent, exceeding the market growth rate in 2024. Adjusted EBITA was Pihlajalinna's best ever, EUR 55 (38) million.

In Private Healthcare Services, we continued to grow as a partner to insurance companies, and in occupational healthcare, we focused on strengthening the share of value-added customer work. Successful expansion of the offering enabled cost-effective and efficient care pathways. The segment's organic growth was 11 per cent.

In Public Services, 2024 was a year of adapting to the needs of wellbeing services counties. Although revenue decreased as expected and in a controlled manner, profitability doubled. We demonstrated that efficient service production is also possible in the current challenging operating environment when working in cooperation with the wellbeing services counties.

Effective and sustainably provided healthcare services

As part of the Board of Directors' report, we publish, as one of the first among large companies, a sustainability report pursuant to the EU Corporate Sustainability Reporting Directive which entered into force in 2024.

The new Sustainability Reporting Directive is an opportunity to increase the transparency of sustainability work and bring quality and comparability to reporting. In the double materiality assessment carried out as the foundation for the sustainability reporting, we heard our stakeholders extensively and specified the Group's material impacts, risks and opportunities. The report presents them as part of the ESRS standards E1 Climate change, S1 Own workforce, S4, Customers and end-users and G1 Business conduct.

Sustainability is part of everything we do. Our thriving professionals ensure that fast, purposeful and high-quality care pathways generate value for our stakeholders. We strive for total cost-effectiveness for our partners in insurance company and occupational health cooperation as well as in the public sector.

We take care of our customers and invest in the multi-channel development of our services. We actively develop new impact-based services which have the potential to promote health and wellbeing in society on a broad scale. We want to ensure impactful healthcare services that do not focus on producing outputs.

Thank you for 2024

The success of the year was driven by the cooperation of the entire organisation and commitment to the determined development of our operations. Our work is persistent and creates a stable foundation for the company's profitable growth and value creation for stakeholders.

A warm thank you to all Pihlajalinna employees and partners for 2024. We proved that we can succeed together.

TUOMAS HYYRYLÄINEN

CEO





Information for shareholders

Pihlajalinna's financial reporting in 2025

- Interim Report January–March: Wednesday, 30 April 2025
- Half-Year Report January–June: Thursday, 24 July 2025
- Interim Report January–September: Friday, 31 October 2025
- Financial Statements Release January–December: February 2026

The interim reports will be published at approximately 8:00 a.m. in Finnish and English, and they will be available on Pihlajalinna's website at investors.pihlajalinna.fi.

Pihlajalinna's management organises information events for analysts and the media on a regular basis. Pihlajalinna complies with a silent period of 30 days and a closed window before the publication of results.

Investors Website

Additional information about Pihlajalinna as an investment is available on Pihlajalinna's website at investors.pihlajalinna.fi. The site includes information about the company's largest shareholders and the investment banks and stockbrokers that follow Pihlajalinna.

Contact details

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Annual General Meeting

Pihlajalinna Plc's Annual General Meeting will be held on Thursday 24 April 2025 at 11:00 a.m. at Sokos Hotel Torni's congress centre, conference room Raide 3, at Ratapihankatu 43, 33100 Tampere. The notice of the General Meeting, information on registration, instructions for advance voting, and instructions for registering for the webcast have been published in a stock exchange release on 19 March 2025 and can be found on the company's website at <https://investors.pihlajalinna.fi/annual-general-meeting2025>.

Shareholders can also exercise their right to vote by voting in advance. Instructions for advance voting are set out in section C of the notice to the General Meeting. Shareholders may ask questions referred to in Chapter 5, Section 25 of the Finnish Companies Act concerning the matters on the agenda of the meeting also in writing before the meeting. Instructions for posing written questions are set out in section C of the notice to the General Meeting.

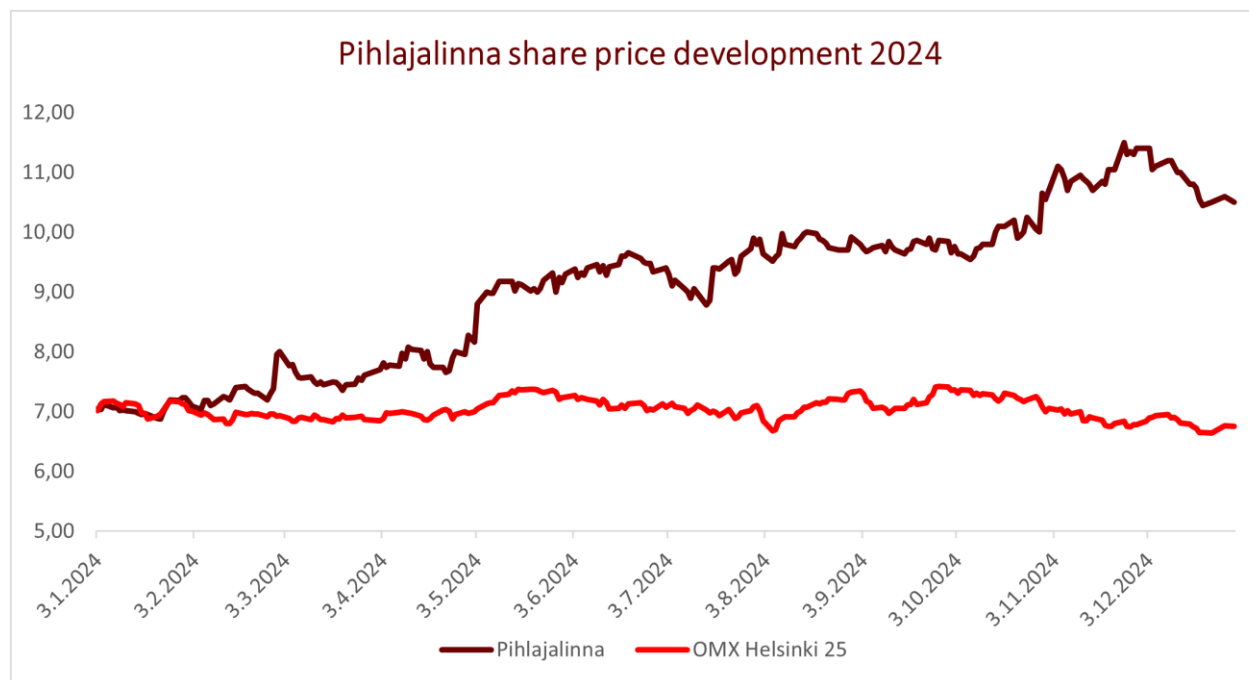
Shareholders may follow the meeting through a webcast. Instructions for following the webcast are available on the company's website at <https://investors.pihlajalinna.fi>. It is not possible to ask questions, make counterproposals or exercise the right to speak or vote through the webcast, and following the meeting through the webcast is not considered participation or exercise of shareholder's right in the General Meeting.

Right to participate

A shareholder who is registered in the company's shareholders' register maintained by Euroclear Finland Oy on the record date of the General Meeting, 10 April 2025, has the right to participate in the General Meeting.

Payment of dividend

The Board of Directors proposes to the Annual General Meeting that, based on the balance sheet confirmed for the financial period ending 31 December 2024, EUR 0.38 per share will be distributed as a dividend. The dividend will be paid to shareholders who, on the dividend payment record date of 28 April 2025, are registered in the company's shareholders' register maintained by Euroclear Finland Oy. The Board of Directors proposes that the dividend be paid on 6 May 2025.



A photograph of an operating room. A female patient is lying on a table, wearing a purple surgical cap and a blue oxygen mask. Two medical professionals, a woman and a man, are standing over her. They are both wearing purple surgical caps and masks. The woman is wearing a blue surgical mask, and the man is wearing a blue surgical mask. They are both wearing dark blue scrubs. The background shows various medical equipment and monitors.

**Report by the Board of Directors
1 January–31 December 2024**



Report by the Board of Directors for the financial year 1 Jan–31 Dec 2024

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Report by the Board of Directors for the financial year 1 Jan–31 Dec 2024

The operating environment

The wellbeing services counties are undergoing major changes. The economy is being balanced through transformation programs, and cuts have been made by reducing social and healthcare services and laying off personnel. According to the law, the wellbeing services counties should cover their deficits accumulated since 2023 by 2026. As of the assessment made in autumn 2024, the total accumulated deficit of the wellbeing services counties is 2.7 billion euros.

The regional board of the Wellbeing Services County of Pirkanmaa decided in January 2025 to search for social and healthcare service provider for Northern Pirkanmaa through a tender process, in addition to in-house production, starting from early 2026. This is the first major new service production agreement between a private and public operator since 2020.

According to the Finnish Institute for Health and Welfare, over 166,000 patients were waiting for access to non-urgent specialised care in the wellbeing services counties at the end of August 2024. Some 18 per cent of those in the queue had been waiting for over six months to access treatment. This is the highest figure on record in the statistics published by the Finnish Institute for Health and Welfare, which date back to 2007. Valvira has ordered 14 wellbeing services counties and the Helsinki and Uusimaa Hospital District (HUS) to bring access to non-urgent specialized healthcare in line with the law by March 31 2025, at the latest.

Regulatory amendments concerning hospital emergency and on-call services and surgical operations entered into force at the beginning of 2025. Under the amendments, wellbeing services counties can continue to use private service providers for day surgery and short-stay surgery, such as knee and hip replacement surgeries. According to the Finnish Institute for Health and Welfare, a total of 2,607 primary joint replacement surgeries were performed in private hospitals in 2023, which represents an increase of 772 compared to 2022 levels. One example is Pihlajalinna's Jokilaakso freedom-of-choice hospital,

where a record-high 893 joint replacement surgeries were performed in 2024.

The Elderly Care Act was amended as of 1 January 2025. The new minimum staffing ratio stipulated by the Act for 24-hour elderly care in service housing is 0.6, which is lower than the previous requirement of 0.65.

The private sector produces more than half of all appointments with physicians. Approximately 2.1 million workers are covered by occupational healthcare services. According to the Finnish Institute of Occupational Health, over 70 per cent of occupational healthcare agreements cover medical care in addition to statutory preventive occupational healthcare. Approximately 1.3 million Finns have private medical expenses insurance, and the trend is rising.

Wages in the private healthcare service sector were subject to a general increase of 2.4 per cent in September 2024, and pay scales were increased by 0.51 per cent. In December 2024, employees were paid one-off compensation of EUR 500. In 2025, wages will be increased for the period 1 May 2025–30 April 2026 (12 months) by a general increase and a pay scale increase, the magnitude and timing of which will be determined in accordance with the wage increases in the reference sectors. The collective bargaining agreement is valid until spring 2026.

Pihlajalinna's outlook for 2025

In 2025, Pihlajalinna will focus on organic growth especially in Private Healthcare Services, and continued improvement in profitability.

- The Group estimates consolidated revenue to remain on a par with the previous year's level (EUR 704.4 million in 2024)
- The Group estimates the adjusted operating profit before the amortisation and impairment of intangible assets (EBITA) to increase to at least 9 per cent of revenue (7.8 per cent in 2024)

The Group estimates demand to remain stable. Slow economic growth may affect Pihlajalinna's service demand and financial result more than expected.

Consolidated revenue and result

Revenue

Pihlajalinna's revenue was EUR 704.4 (720.0) million, a decrease of -2.2 per cent. In Private Healthcare Services, the divestment of dental care services decreased revenue by EUR 4.8 million and in Public Services, the termination of cost liability for demanding specialised care, the gradual transfer of the services agreement of Jämsän Terveys Oy and other changes to outsourcing agreements decreased revenue by EUR 61.0 million. Pihlajalinna's comparable organic revenue¹⁾ growth was EUR 51.1 million, or 7.8 per cent.

¹⁾ The following items have been excluded from the comparison period revenue: the divestment of dental care services, the transfer of cost liability for demanding specialised care, the gradual transfer of Jämsän Terveys Oy's service agreement, other changes to outsourcing agreements and COVID-19 services.

Profitability

Adjusted operating profit before amortisation and impairment of intangible assets (EBITA) was EUR 55.2 (37.8) million. Adjusted EBITA margin was 7.8 (5.2) per cent. Adjustments to EBIT amounted to EUR -0.8 (8.5) million. Profitability improved due to efficiency improvement measures in Public Services and in Private Healthcare Services, due to commercial measures, enhanced service processes and cost control.

Profitability in the financial year was negatively affected by write downs related to business premises, which were recognised based on the management's judgment, and provisions for property renovation



and maintenance responsibilities. These had a total negative effect of EUR 2.9 million on profitability.

In December, the District Court ruled the City of Jämsä to pay Jämsän Terveys Oy additional costs caused by the COVID-19 pandemic, plus late payment interest and legal expenses. The difference of opinion on the impact of the transfer of personnel on the annual fee was settled before the court hearing. In total, these items improved EBITDA by EUR 1.5 million for the financial year, and they have been treated as EBITDA adjustment items.

In the comparison period, the write-off of receivables from previous years reduced EBITDA by a total of EUR 7.8 million and was treated as an EBITDA adjustment items. The write-off in question also reduced financial items in the comparison period by EUR 0.4 million. In the comparison period, the write-off reduced profit before taxes by a total of EUR 8.2 million and earnings per share by EUR 0.26.

Pihlajalinna's EBIT was EUR 48.5 (20.6) million.

The Group's net financial expenses amounted to EUR -9.8 (-12.4) million. Refinancing in June generated a total of EUR 0.6 million in non-recurring financial expenses recognised through profit or loss. Financial expenses in the comparison period include impairment of loan receivables of EUR 1.2 million. Profit before taxes was EUR 38.6 (8.2) million.

Profit for the financial year was EUR 30.2 (4.6) million. Earnings per share (EPS) was EUR 1.13 (0.19).

Reporting segments

Pihlajalinna changed its segment reporting effective from 1 January 2024. Pihlajalinna has two reportable segments: Private Healthcare Services and Public Services. The new reporting structure follows Pihlajalinna's business model and organisational structure.

The Private Healthcare Services operating segment consists of private clinic, diagnostics, hospital, occupational healthcare, remote and fitness center services. These comprehensive care path services are provided by Pihlajalinna to corporate customers, insurance companies, the public sector, and private customers through its nationwide network of medical centers and diverse digital channels.

The Public Services operating segment consists of social and healthcare services produced primarily for the public sector, which include outsourcing and housing services, mainly remotely produced

responsible doctor services, as well as a wide range of staffing and recruitment services.

Private Healthcare Services

Revenue

Revenue from Private Healthcare Services was EUR 451.5 (423.1) million, an increase of 6.7 per cent. Revenue increased especially in insurance company customers and occupational healthcare services. The divestment of dental care services decreased revenue by EUR 4.8 million. Comparable organic revenue growth¹⁾ was EUR 45.0 million, or 11.1 per cent. The appointment volumes of Pihlajalinna's private clinics increased slightly from the comparison period.

Profitability

Adjusted EBITA was EUR 33.6 (27.2) million, an increase of 23.8 per cent. Adjusted EBITA margin was 7.4 (6.4) per cent. Profitability improved particularly in occupational healthcare services and clinic operations due to commercial measures, improved efficiency of service processes and cost control. Conversion, which is the ratio of diagnostics revenue to revenue from appointments, was on a par with the comparison period. Adjustments totalled EUR 0.7 (0.5) million.

Operating profit (EBIT) was EUR 25.8 (19.4) million. In the comparison period, EBIT was increased by a sales gain of EUR 3.6 million recognised on the divestment of dental care services.

Public Services

Revenue

Revenue from Public Services was EUR 267.6 (314.3) million, a decrease of 14.9 per cent. The termination of cost liability for demanding specialised care, the gradual transfer of the services agreement of Jämsän Terveys Oy and other changes to outsourcing agreements decreased revenue by EUR 61.0 million. Comparable organic revenue growth¹⁾ was EUR 3.4 million, or 1.3 per cent.

Profitability

Adjusted EBITA was EUR 21.5 (10.6) million, an increase of 103.1 per cent. Adjusted EBITA margin was 8.0 (3.4) per cent. Profitability was improved by efficiency improvement measures and contract changes in complete outsourcing. Profitability in the financial year was negatively affected by write downs related to business premises, which

were recognised based on the management's judgment, and provisions for property renovation and maintenance responsibilities. These had a total negative effect of EUR 2.9 million on profitability. Adjustments totalled EUR -1.5 (8.5) million.

EBIT amounted to EUR 22.7 (1.2) million.

In December, the District Court ruled the City of Jämsä to pay Jämsän Terveys Oy additional costs caused by the COVID-19 pandemic, plus late payment interest and legal expenses. The difference of opinion on the impact of the transfer of personnel on the annual fee was settled before the court hearing. In total, these items improved segment's EBITDA by EUR 1.5 million for the financial year, and they have been treated as EBITDA adjustment items.

In the comparison period, the write-off of receivables from previous years reduced EBITDA by a total of EUR 7.8 million and was treated as an EBITDA adjustment item. The write-off in question also reduced financial items in the comparison period by EUR 0.4 million. In the comparison period, the write-off reduced the segment's profit before taxes by a total of EUR 8.2 million and earnings per share by EUR 0.26.

¹⁾ The following items have been excluded from the comparison period revenue: the divestment of dental care services, the transfer of cost liability for demanding specialised care, the gradual transfer of Jämsän Terveys Oy's service agreement, other changes to outsourcing agreements, COVID-19 services and transfers between segments.

Consolidated statement of financial position and cash flow

Statement of financial position

Pihlajalinna Group's total statement of financial position was EUR 630.2 (657.5) million. Consolidated cash and cash equivalents were EUR 30.9 (24.5) million. Consolidated net debt was EUR 296.6 (352.7) million. Net debt to adjusted EBITDA ratio developed to a level in line with the set targets, ending up at 2.9 (4.4). The consolidated equity ratio was 26.8 (22.0) per cent.

Cash flow

Net cash flow from operating activities was EUR 100.8 (79.0) million. Net cash flow from operating activities increased due to improved result. The change in net working capital was EUR -2.1 (0.0) million.



Net cash flow from investing activities was EUR -12.3 (-18.5) million. Investments in tangible and intangible assets were EUR -11.0 (-22.9) million. In the comparison period, the divestment of the Group's dental care services improved net cash flow from investing activities by EUR 5.7 million. The Group's cash flow after investments (free cash flow) was EUR 88.6 (60.5) million.

Net cash flow from financing activities was EUR -82.2 (-49.2) million. The change in financial liabilities, including changes in credit limits, was EUR -32.6 (-29.0) million. During the financial year, Pihlajalinna amortised its long-term loan by a total of EUR 30.0 million. In the comparison period, Pihlajalinna issued a EUR 20 million hybrid bond.

During the financial year, Pihlajalinna paid hybrid bond interests of EUR 2.4 (0.0) million which have been recorded as a deduction from retained earnings, net of tax. Interest paid and other financial expenses amounted to EUR -11.9 (-6.2) million. During the first quarter of 2023, the Group sold its interest rate swap agreement. The sale had an effect of approximately EUR 3.9 million on the net cash flow of interest paid and other financial expenses in the comparison period. At the end of June, due to refinancing, Pihlajalinna paid the accrued interest and expenses on its long-term loan as well as non-recurring refinancing costs.

Financing arrangements

In June 2024, Pihlajalinna rearranged its long-term debt financing with a sustainability-linked financing arrangement. The agreement includes a EUR 110 million term loan for refinancing the Group's previous debt, and a revolving credit facility of EUR 60 million for general financing purposes. The financing agreement is for three years and includes two option years.

The new financing arrangement includes customary financial covenants equivalent to the previous arrangement, concerning leverage (ratio of net debt to pro forma EBITDA) and gearing covenants. IFRS 16 lease liabilities are not considered in the calculation of covenants. Additionally, the loan margin of the financing is linked to Pihlajalinna's main sustainability targets: patient satisfaction, access to surgical treatment and employee satisfaction. Sustainability objectives have a minor effect on the loan margin, depending on how many of the agreed-upon sustainability targets are achieved. During the financial year and at the end of it, the Group met the financial covenants agreed upon in the agreement. Also, the sustainability targets set in the arrangement were met in 2024.

At the end of the financial year, Pihlajalinna had EUR 70 million in unused committed credit limits. Unused credit limits consist of EUR 10 million credit limit agreement and a EUR 60 million unused revolving credit facility.

The Group has an interest rate swap agreement with a nominal value of EUR 65 million, which is used to convert the floating interest rate of the financing arrangement to a fixed interest rate. Cash flow hedge accounting is applied to the interest rate swap, which means that the effective portion of the change in fair value is recognised in other comprehensive income. The start date of the interest rate swap was in March 2023, and it is valid until 25 March 2027.

Hybrid bond

On 27 March 2023, Pihlajalinna issued a hybrid bond of EUR 20 million. The hybrid bond bears a fixed interest rate of 12.00 percent per annum until 27 March 2026 (Reset Date), and from the Reset Date, the interest rate will be floating as defined in the terms and conditions of the hybrid bond.

The hybrid bond is an instrument subordinated to the company's other debt obligations. The hybrid bond does not have a specified maturity date. Pihlajalinna is entitled to redeem the hybrid bond on the Reset Date and thereafter on each interest payment date. The hybrid bond will be treated as equity in Pihlajalinna's IFRS consolidated financial statements. The hybrid bond does not confer to its holders the rights of a shareholder or dilute the holdings of the current shareholders.

Acquisitions and capital expenditure

Gross investments, including acquisitions, amounted to EUR 31.1 (66.4) million. The Group's gross investments which consisted of development, additional and replacement investments, amounted to EUR 14.0 (26.0) million.

Gross investments in right-of-use assets amounted to EUR 14.0 (40.5) million. In the comparison period, extensions of lease agreements and rent increases significantly elevated gross investments in right-of-use assets.

Gross investments in M&A transactions amounted to EUR 3.1 (0.7) million. On 1 May 2024, Pihlajalinna acquired full ownership of its former associated company Kuura Digilääkäri Oy. The Group's previous

holding in the company was 45 per cent. On 1 July 2024, Pihlajalinna acquired 41.34 per cent of its former associated company Digital Health Solutions Oy. After the transaction, Pihlajalinna holds 82.37 percent of the company's shares.

Investment commitments for the Group's development, additional and replacement investments amounted to approximately EUR 3.5 (2.9) million. The investment commitments are related to business premises, additional and replacement investments in clinical equipment and information system projects.

Personnel

At the end of the financial year, the number of personnel amounted to 6,493 (6,880), a decrease of -6 per cent. The Group's personnel as full-time equivalents was 4,416 (4,821), a decrease of -8 per cent. As a result of the gradual transfer of the Jämsän Terveys Oy service agreement, the number of the Group's employees decreased by approximately 470 from the end of 2023. Converted to full-time equivalents, the decrease in the number of employees was approximately 273.

At the end of the financial year, Public Services had 3,428 (4,044) employees and Private Healthcare Services 3,065 (2,836) employees. Converted into full-time equivalents, Public Services had 2,417 (2,775) employees and Private Healthcare Services 1,999 (2,046) employees.

Changes to complete outsourcing agreements and the adaptation of operations to the needs of the wellbeing services counties led to numerous change negotiations during 2024. The most significant in terms of size were the change negotiations carried out in Kuusiolinna Terveys in the early part of the year. The negotiations were concluded in April. The negotiations have generally addressed topics such as operational changes to the network of clinics in the outsourcing business, the downscaling of operations, termination of employment contracts and switching personnel to part-time employment.

The Group employee benefit expenses totalled EUR 321.2 (322.8) million, a decrease of EUR -1.6 million.

In the financial year, the sickness-related absences rate amongst the personnel was 5.6 (6.0) per cent.

In the financial year the number of practitioners was 2 145 (2 103)¹⁾.



¹⁾ Dental care services divestment has been excluded from the comparison period.

Share-based incentive schemes

Share-based incentive scheme for key personnel, LTIP 2022

In early 2022, Pihlajalinna's Board of Directors approved the launch of a share-based incentive programme (LTIP 2022) for selected key employees. In its entirety, the incentive scheme formed a six-year programme and the share rewards based on the programme cannot be disposed of prior to the year 2026. The key employees selected for the programme were also required to make an investment in Pihlajalinna shares as a precondition for participation.

The performance- and quality-based share programme comprised four separate performance periods of one year each (the calendar years 2022, 2023, 2024 and 2025). The potential share rewards were paid out after the performance periods in the years 2023, 2024 and 2025. The Board of Directors annually decided the participants, performance indicators, targets and earning opportunities. Three performance periods were launched under the programme: 2022, 2023 and 2024. The earnings criteria applied to the 2024 performance-based and quality-based share plan were Pihlajalinna Group's adjusted EBITA, the development of customer satisfaction (NPS), the development of employee Net Promoter Score (eNPS) and the development of the sickness-related absence rate.

The programme was treated in its entirety as an equity-settled share-based payment. No performance and quality-based share rewards materialised for the performance periods 2022 and 2023 pursuant to the share-based programme, as the minimum targets set for the programme were not achieved. The maximum aggregate amount of share rewards payable based on the programme for the period 2024 is 186,920 shares (gross amount before the deduction of the applicable withholding tax). For the performance period 2024, the effect on the result for the financial year was EUR 1.4 million. The Board of Directors decided on 13 December 2024 that the last performance period, corresponding to the calendar year 2025, will not be launched.

Performance Share Plan (PSP)

On 13 December 2024, Pihlajalinna's Board of Directors decided to establish a new long-term share-based incentive plan for key employees of the Group. The plan replaces Pihlajalinna's current share-based incentive plan.

The Performance Share Plan 2025–2029 consists of three performance periods, covering the financial years 2025–2027, 2026–2028 and 2027–2029. The Board of Directors will decide annually on the commencement and details of every performance period.

The target group in the performance period 2025–2027 consists of approximately 30 key employees, including the members of the Group Management Team and the CEO. The performance criteria of the performance period 2025–2027 are tied to relative Total Shareholder Value (rTSR), annual revenue growth, return on capital employed and the rate of sickness-related absences. The value of the rewards to be paid based on the plan corresponds to a maximum total of 553,000 Pihlajalinna shares.

Research and development

Increases to intangible assets totalled EUR 2.0 (7.4) million during the financial year. The digital projects implemented during the financial year did not meet the criteria for intangible asset capitalisation as defined by IFRS standards regarding the company's own work, as according to the company's management, the projects have moved into operational phase and the economic benefit from the internal work is expected to be realised over a short term. In the comparison period, there was a total of EUR 2.4 million internal work recognised as an intangible asset, as it met the criteria.

The development of remote services and chat appointments continued in the financial year 2024. Digital AI-based assessment of the need for treatment was widely introduced for different customer groups, enabling efficient and high-quality care through the chat services. The PihlajalinnaPRO application was further developed for professionals and its use was extended to new professional groups. The website was extensively redesigned with the aim of improving the user experience in particular. The tools used in occupational healthcare customers' work ability management were renewed to better meet their needs and support the maintenance of work ability. In appointment booking, functionalities related to direct reimbursement were introduced for insurance company customers.

Pihlajalinna's knowledge-based management capabilities will be developed extensively in 2025. We are renewing our data platform and developing information management to better meet the needs of our customers and business operations. The services for occupational healthcare organisational customers will be further developed, with a particular focus on knowledge-based management tools that enable

better decision-making support for organisations in promoting work ability.

In the development of insurance customer services, the focus is on joint customer paths with insurance partners and on increasing the automation of customer path background functions to ensure a seamless customer experience. In the development of service channels, online appointment booking in particular will be further developed to better meet the needs of customers and business, while improving usability and accessibility.

The information security of operations is actively developed and maintained both administratively and technically. This includes, for example, the introduction of new information security practices and technologies as well as continuous training of personnel in information security matters.

Risk management, risks and uncertainties in business operations

Pihlajalinna's risk management goals, principles and operating methods are described as a part of the Corporate Governance Statement in section *Risk management*. As part of sustainability reporting, the management of Pihlajalinna's significant impacts, risks, and opportunities (IRO) can be found on section General disclosures (ESRS2).

Pihlajalinna's operations are affected by strategic, operational, financial and damage risks. In its risk management, Pihlajalinna's aim is to operate as systematically as possible and incorporate risk management into normal business processes. The Group invests in quality management systems and the management of occupational safety and work ability risks. Pihlajalinna aims to limit the potential adverse impacts of risks. The assessment of sustainability-related risks plays an important role in risk management.

Pihlajalinna operates only in Finland. Uncertainties in world politics, such as Russia's invasion of Ukraine and the situation in the Middle East have indirect impacts on the Group's operations due to the slowing of economic growth, potential supply chain disruptions, inflation, and changing market interest rates.

In all its operations, Pihlajalinna considers data protection, information security and related requirements. Information security and jeopardised data protection can lead to significant reputational dam-



age and claims for compensation, among other consequences. Pihlajalinna has taken steps to prepare for the elevated risk of cyber-attacks related to the war in Ukraine and Finland's NATO membership.

The company has identified uncertainties related to the availability of personnel in the social and healthcare sector and development of wages. The costs of wage harmonisation in the social and healthcare sector in relation to the creation of the wellbeing services counties also remain uncertain to some degree. In addition, high level of sickness-related absences among the personnel may reduce the company's profitability and complicates service provision.

Pihlajalinna has recognised risks associated with projects related to the company's growth, including acquisitions, digital development, and information system projects. Successful implementation of these projects is a precondition for profitable growth in accordance with the company's strategy.

Monitoring and forecasting the covenants of the company's financing agreements are a significant part of the company's risk management.

General cost inflation and wage inflation have a negative impact on the cost level and, consequently, on Pihlajalinna's business operations and profitability. In addition, inflation and high interest rates affect consumers' disposable income and employment trends, which in turn have an impact on the demand for private healthcare services.

The most significant risks and uncertainties in social and healthcare services are linked to the policies and legislation implemented in the Finnish society.

A company belonging to the Pihlajalinna Group is currently the subject of a tax audit pertaining to a remuneration scheme that was in place.

Changes to complete outsourcing agreements

Jämsän Terveys Oy's agreement with the Wellbeing Services County of Central Finland will expire in August 2025. The cost liability for demanding specialised care specified in the agreement ended on 1 July 2023. It was agreed with the Wellbeing Services County of Central Finland that the services will gradually be transferred to the wellbeing services county starting in 2024. These changes in the service agreement have decreased the Group's revenue by EUR 31 million from 2023 levels. The expiration of the service agreement in August 2025 will decrease the Group's revenue by approximately EUR 19 million from 2024 levels.

The primary and specialised care services provided by Jokilaakson Terveys Oy will continue at the Jokilaakso Hospital in accordance with the subcontracting agreement until August 2025. Jokilaakson Terveys has an exception permit issued by the Ministry of Social Affairs and Health for round-the-clock emergency and on-call services in primary healthcare, as required for its operations. The permit is currently valid until 31 August 2025. The expiration of the services provided in accordance with the service agreement in August 2025 will decrease the Group's revenue by approximately EUR 4 million from 2024 levels.

30 October 2023, the regional council of the South Ostrobothnia wellbeing services county decided to terminate the outsourcing agreement with Kuusiolinna Terveys, which was originally valid until 2030, with the termination set for the end of 2025. Kuusiolinna Terveys and Pihlajalinna Terveys appealed the decision, and an appeal regarding the matter was lodged with the Supreme Administrative Court. The parties subsequently negotiated on separating demanding specialised care from Kuusiolinna Terveys' service agreement. The negotiations led to a settlement on the conditions for separating demanding specialised care, and an agreement on the matter was signed on 30 April 2024. In accordance with the terms of the agreement, Kuusiolinna Terveys and Pihlajalinna Terveys withdrew their appeals concerning the decision made by the wellbeing services county of South Ostrobothnia on 30 October 2023 and the cost liability for demanding specialised care specified in the agreement ended on 1 January 2024. This change in the service agreement decreased the Group's revenue by EUR 30 million from 2023 levels. Other changes in the service agreement during 2025 will decrease the Group's revenue by approximately EUR 6 million from 2024 levels.

The regional board of the Wellbeing Services County of Pirkanmaa decided at its meeting on 28 October 2024 to terminate Kolmostien Terveys Oy's complete outsourcing agreement at the end of the year 2025. The regional board of the Wellbeing Services County of Pirkanmaa decided on 27 January 2025 that a tender will be initiated to search for a service provider of social and healthcare services for North Pirkanmaa starting from early 2026.

Pending legal proceedings

Pihlajalinna is involved in certain pending legal proceedings concerning employment relationships, but they are not expected to have a significant financial impact on the Group.

The company's subsidiary Jämsän Terveys Oy has taken legal action in the district court against the City of Jämsä, a former client. The dispute concerns mainly COVID-19-related costs which the City of Jämsä has not paid in breach of the service agreement. The District Court of Central Finland considered the case and rendered its decision in late December. The court ruled the City of Jämsä to pay Jämsän Terveys the COVID-19-related costs it had claimed, with interest. Other aspects of the dispute, such as the impact of the transfer of personnel on the annual fee, were settled by the parties before the court hearing. The City of Jämsä has filed an appeal regarding the decision to the Vaasa Court of Appeal and, hence, the decision rendered by the District Court of Central Finland is not legally binding.

On 22 November 2023, the Vaasa Court of Appeal handed down its ruling on the dispute concerning the service agreement between Jämsän Terveys Oy and the City of Jämsä. The Court of Appeal decided to uphold the decision of the District Court. Pihlajalinna submitted an application for leave to appeal to the Supreme Court and an appeal concerning part of the judgment of the Vaasa Court of Appeal. The Supreme Court did not grant Pihlajalinna leave to appeal concerning the judgment of the Vaasa Court of Appeal.

Shareholders' Nomination Board

The Shareholders' Nomination Board is comprised of Jari Eklund (LocalTapiola-Group), Mikko Wirén (MWW Yhtiö Oy), Mika Manninen (Fennia Mutual Insurance Company) and Carl Petterson (Elo Mutual Pension Insurance Company). The Chair of the Board of Directors of Pihlajalinna Plc Jukka Leinonen has been part of the Board as an expert member.

Board of Directors

The Annual General Meeting on 10 April 2024 resolved that the number of the members of the Board of Directors shall be fixed at seven members instead of the previous eight. Kim Ignatius, Heli Iisakka, Hannu Juvonen, Tiina Kurki, Jukka Leinonen, Leena Niemistö and Mikko Wirén were re-elected to serve as members of the Board of Directors until the next Annual General Meeting. The Annual General Meeting elected Jukka Leinonen as the Chair of the Board and Leena Niemistö as the Vice-Chair of the Board.

Committees nominated by the Board

Pihlajalinna Plc Board of Directors appointed the following members to its committees:



- Audit Committee: Kim Ignatius (chair), Heli Iisakka and Tiina Kurki
- People and Sustainability Committee: Hannu Juvonen (chair), Jukka Leinonen, Leena Niemistö and Mikko Wirén.

It was agreed that all members of the Board of Directors may join any of the committee meetings.

Remuneration of the members of the Board of Directors

The Annual General Meeting of 10 April 2024 resolved that the following annual remuneration will be paid to the members of the Board of Directors elected for the term of office ending at the 2025 Annual General Meeting: EUR 60,000 per year to the Chair of the Board of Directors, EUR 40,000 per year to the Vice-Chair and to the Chair of the Audit Committee and to the Chair of the People and Sustainability Committee, and EUR 30,000 per year to the other members.

The AGM resolved that annual remuneration shall be paid in company shares and in cash, with approximately 40 per cent of the remuneration used to acquire shares in the name and on behalf of the members of the Board of Directors, and the remainder paid in cash. The remuneration could be paid either entirely or partially in cash if the member of the Board of Directors was, on the day of the AGM, 10 April 2024, in possession of over EUR 1,000,000 worth of company shares. The company was responsible for the expenses and transfer tax arising from the acquisition of the shares. If the term of a Board member ends before the Annual General Meeting of 2025, the Board is entitled to decide on the possible recovery of the remuneration in a manner it deems appropriate.

The AGM decided that each Board member shall be paid a meeting fee of EUR 600 for each Board and Committee meeting. Reasonable travel expenses will also be reimbursed to the members of the Board in accordance with the company's travel policy.

CORPORATE GOVERNANCE STATEMENT

SUSTAINABILITY STATEMENT

Board authorisations

The Annual General Meeting of 10 April 2024 authorised the Board of Directors to decide on the acquisition of a maximum of 2,260,000 shares, which is approximately 10 per cent of the Group's current number of shares. Own shares may be repurchased on the basis of the authorisation only by using unrestricted equity. Targeted share acquisition is possible. The authorisation is effective until the next Annual General Meeting, or until 30 June 2025 at the latest.

The Annual General Meeting also authorised the Board of Directors to decide on a share issue and other special rights conferring an entitlement to shares under Chapter 10, Section 1 of the Limited Liability Companies Act. The number of shares to be issued cannot exceed 2,260,000 shares, which corresponds to approximately 10 per cent of all the shares in the Group. The authorisation concerns both the issuance of new shares and the sale or transfer of the Group's own shares. The authorisation permits a targeted share issue. The authorisation is effective until the next Annual General Meeting, or until 30 June 2025 at the latest.

Repurchase and transfer of own shares

In January 2024, Pihlajalinna conveyed a total of 10,000 own shares to CEO Tuomas Hyyryläinen. The remuneration was related to the right agreed upon for the CEO to acquire shares at the beginning of the share-based incentive scheme, when Pihlajalinna conveyed shares in exchange for purchases.

In May 2024, Pihlajalinna conveyed a total of 11,977 own shares to the members of Pihlajalinna's Board of Directors as part of the Board of Directors' annual remuneration.

On 27 March 2024, Pihlajalinna started repurchasing the company's own shares and completed the repurchase on 28 June 2024. The shares were repurchased for the payment of remuneration under the

Group's share-based incentive programme and the annual remuneration of the members of the Board of Directors. During the period, Pihlajalinna acquired a total of 109,181 own shares for an average price of EUR 8.5795 per share.

Following the repurchase of own shares and the transfer of shares mentioned above, on 31 December 2024 Pihlajalinna held 141,184 own shares, corresponding approximately 0.62 per cent of the total number of shares and votes.

Flagging notifications

On 15 February 2024, Pihlajalinna received a notification under Chapter 9, Section 5 of the Securities Market Act, according to which the holding of LähiTapiola Keskinäinen Vakuutusyhtiö and LähiTapiola Keskinäinen Henkivakuutusyhtiö in Pihlajalinna Plc's shares and votes has risen above 25 per cent on 14 February 2024. The holding of LähiTapiola Keskinäinen Vakuutusyhtiö and LähiTapiola Keskinäinen Henkivakuutusyhtiö has increased to 25.62% and 5 794 480 shares of the total of Pihlajalinna's shares and votes.

On 9 April 2024, Pihlajalinna received a notification under Chapter 9, Section 5 of the Securities Market Act, according to which the holding of LähiTapiola Keskinäinen Henkivakuutusyhtiö in Pihlajalinna Plc's shares and votes has risen above 10 per cent on 8 April 2024. The holding of LähiTapiola Keskinäinen Henkivakuutusyhtiö has increased to 10.15 per cent and 2,295,656 shares of the total of Pihlajalinna's shares and votes.

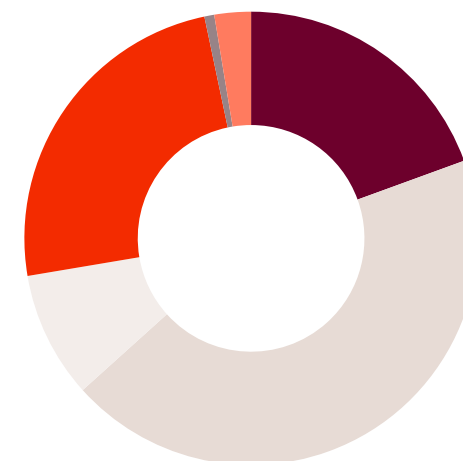
Shares and shareholders

Pihlajalinna's share is listed in the Nasdaq Helsinki main market under the trading code PIHLIS. The total number of shares in the Group is 22,620,135. On 31 December 2024, 22,478,951 of the shares were outstanding and 141,184 were held by the company which corresponds to 0.62 per cent of all shares and votes. At the end of the financial year, the company had 15,202 (15,150) shareholders.

Share-related information, outstanding shares	2024	2023
No. of shares outstanding at end of period	22,478,951	22,566,155
Average no. of shares outstanding during period	22,511,765	22,557,957
Highest price, EUR	11.85	9.90
Lowest price, EUR	6.88	6.82
Average price, EUR ¹⁾	8.29	8.20
Closing price, EUR	10.50	7.06
Share turnover, 1,000 shares	3,184	2 801
Share turnover, %	14.1	12.4
Market capitalisation at end of period, EUR million	236.0	159.3

¹⁾ average rate weighted by trading level

Distribution of shareholding by size range, 31 Dec 2024



Distribution of shareholding by sector 31 Dec 2024

	Number of shareholders	% of shareholders	Number of shares	Percentage of shares, %
Private companies	495	3.3 %	4,384,709	19.4 %
Financial and insurance institutions	33	0.2 %	9,914,230	43.8 %
Public entities	5	0.0 %	2,031,818	9.0 %
Households	14,585	95.9 %	5,494,941	24.3 %
Non-profit organisations	44	0.3 %	154,514	0.7 %
Foreign shareholders	40	0.3 %	42,022	0.2 %
Total	15,202	100.0 %	22,022,234	97.4 %
Nominee registered	8		597,901	2.6 %
Outstanding shares			22,620,135	100.0 %

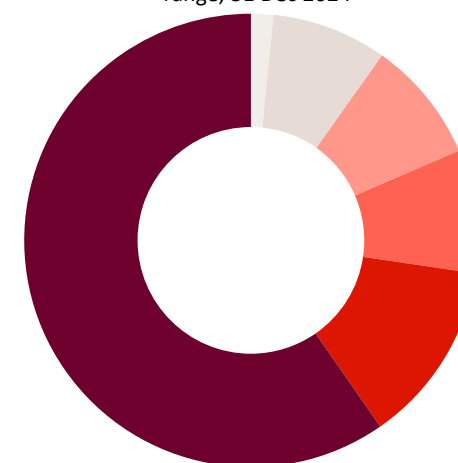


Shares and shareholders

Major shareholders 31 Dec 2024

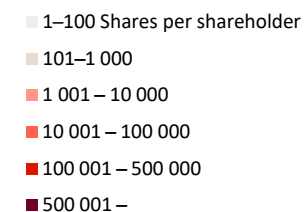
	Number of shares	Percentage of shares and votes
1 LOCALTAPIOLA GENERAL MUTUAL INSURANCE COMPANY	3,809,028	16.8 %
2 FENNIA MUTUAL INSURANCE COMPANY	2,357,965	10.4 %
3 MWW YHTIÖ LTD	2,319,010	10.3 %
4 LOCALTAPIOLA MUTUAL LIFE INSURANCE COMPANY	2,295,656	10.1 %
5 ELO MUTUAL PENSION INSURANCE COMPANY	1,267,161	5.6 %
6 ILMARINEN MUTUAL PENSION INSURANCE COMPANY	728,431	3.2 %
7 NIEMISTÖ LEENA KATRIINA	709,644	3.1 %
8 VIPUNEN CAPITAL OY	360,000	1.6 %
9 NORDEA LIFE ASSURANCE FINLAND LTD	352,140	1.6 %
10 FONDITA NORDIC MICRO CAP INVESTMENT FUND	285,000	1.3 %
10 largest, total	14,484,035	64.0 %
Other shareholders	8,136,100	36.0 %
Total	22,620,135	100.0 %

Distribution of shareholding by size range, 31 Dec 2024



Distribution of shareholding by size range, 31 Dec 2024

Shares per shareholder	Number of shareholders	% of shareholders	Number of shares	Percentage of shares, %
1 - 100	8,891	58.5 %	365,963	1.6 %
101 - 1 000	5,488	36.1 %	1,866,078	8.2 %
1 001 - 10 000	714	4.7 %	1,966,116	8.7 %
10 001 - 100 000	87	0.6 %	1,986,128	8.8 %
100 001 - 500 000	15	0.1 %	2,948,955	13.0 %
500 001 -	7	0.0 %	13,486,895	59.6 %
Total	15,202	100.0 %	22,620,135	100.0 %
of which nominee-registered shares	8		597,901	2.6 %
Outstanding shares			22,620,135	100.0 %





The Board of Directors' proposal for profit distribution and the Annual General Meeting 2025

The parent company's total distributable funds amount to EUR 216,832,340.28 of which the profit for the financial year 2024 is EUR 15,823,303.76. The Board of Directors proposes that a dividend of EUR 0.38 per share be paid for the financial year that ended on 31 December 2024. On the financial statements date, 31 January 2024, the total number of outstanding shares was 22,478,951. The corresponding total dividend according to the Board of Directors' proposal would be at most EUR 8,542,001.38.

No material changes have taken place in the company's financial position after the end of the financial year. The company's liquidity position is good and, in the view of the Board of Directors, the proposed distribution does not jeopardise the company's ability to fulfil its obligations.

Earnings per share for the financial year was EUR 1.13. The proposed dividend of EUR 0.38 is 34 per cent of earnings per share. According to the Pihlajalinna's dividend policy, Pihlajalinna aims to distribute dividend or capital repayment minimum of one-third of the earnings per share, taking into account the company's financial position and strategy.

Pihlajalinna Plc's Annual General Meeting is planned to be held on 24 April 2025 in Tampere. The Board of Directors will decide on the notice of the General Meeting and the included proposals at a later date.

Calculation of the parent company's distributable funds:

Calculation of the parent company's distributable funds:

EUR	31 Dec 2024
Reserve for invested unrestricted equity	183,190,483.50
Retained earnings	17,818,553.02
Result for the period	15,823,303.76
Total	216,832,340.28

Events after the financial year

Nothing material has happened after the end of the financial year.



Calculation of key financial figures and alternative performance measures

Key figures

Earnings per share (EPS)	$\frac{\text{Profit for the financial period attributable to owners of the parent company - Hybrid bond interest expenses net of tax}}{\text{Average number of shares during the financial year}}$
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Gearing, %

$$\frac{\text{Interest-bearing net debt – cash and cash equivalents}}{\text{Equity}} \times 100$$

Gearing describes the indebtedness of the company. It reflects what the ratio of the owners' own capital invested in the company is and the interest-bearing debts borrowed from financiers.

Alternative performance measures

Equity per share	$\frac{\text{Equity attributable to owners of the parent company}}{\text{Number of shares at the end of the financial period}}$
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EBITDA

Operating profit + depreciation, amortisation and impairment

EBITDA shows how much of the company's revenue is left over after deducting operating expenses. Assessments of whether EBITDA is sufficiently high should consider the company's financial expenses, depreciation requirements and intended profit distribution.

Dividend per share	$\frac{\text{Dividend distribution for the financial year (or proposal)}}{\text{Number of shares at the end of the financial period}}$
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EBITDA, %

$$\frac{\text{Operating profit + depreciation, amortisation and impairment}}{\text{Revenue}} \times 100$$

Dividend/result, %	$\frac{\text{Dividend per share}}{\text{Earnings per share (EPS)}} \times 100$
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Adjusted EBITDA¹⁾

Operating profit + depreciation, amortisation and impairment + adjustment items

Adjusted EBITDA provides significant additional information on profitability by eliminating items that do not necessarily reflect the profitability of the company's operative business. Adjusted EBITDA improves comparability between periods.

Effective dividend yield, %	$\frac{\text{Dividend per share}}{\text{Closing price for the financial year}} \times 100$
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P/E ratio	$\frac{\text{Closing price for the financial year}}{\text{Earnings per share (EPS)}}$
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Adjusted EBITDA, %¹⁾

$$\frac{\text{Operating profit + depreciation, amortisation and impairment + adjustment items}}{\text{Revenue}} \times 100$$

Share turnover, %	$\frac{\text{Number of shares traded during the period}}{\text{Average number of shares}} \times 100$
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Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA)¹⁾

Operating profit + adjustment items + amortisation and impairment of intangible assets

Return on equity (ROE), %	$\frac{\text{Profit for the period}}{\text{Equity (average)}} \times 100$
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Return on equity indicates how much return on equity has been accumulating during the financial year. It reflects the company's ability to manage the capital invested in the company by the owners.

Adjusted EBITA, %¹⁾

$$\frac{\text{Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA)}}{\text{Revenue}} \times 100$$

Return on capital employed, % (ROACE)	$\frac{\text{Profit before taxes + financial expenses}}{\text{Total statement of financial position – non-interest-bearing liabilities (average)}} \times 100$
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Return on capital employed measures the relative profitability of the company, that is the return that has been obtained for the capital invested in the company that requires interest or other returns.

Equity ratio, %	$\frac{\text{Equity}}{\text{Total statement of financial position – prepayments received}} \times 100$
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Equity ratio measures the company's solvency, loss tolerance and the ability to cope with commitments in the long term. It reflects how much of the company's assets have been financed with equity.

Cash flow after investments

Net cash flow from operating activities + net cash flow from investing activities

The key figure describes how quickly the company would get its financial liabilities paid at the current rate of earnings, if the EBITDA were used in full to pay the financial liabilities, if the company does not, for example, invest or distribute dividends.



Adjusted operating profit (EBIT) ¹⁾	Operating profit + adjustment items		Adjusted operating profit provides significant additional information on profitability by eliminating items that do not necessarily reflect the profitability of the company's operating business. Adjusted operating profit improves comparability between periods.
Adjusted operating profit, % ¹⁾	$\frac{\text{Adjusted operating profit (EBIT)}}{\text{Revenue}} \times 100$		
Profit before taxes	Profit for the financial year + income tax		
Gross investments	Increase in tangible and intangible assets and in right-of-use assets		
Comparable revenue for the previous period	Revenue from the previous period - the effects of divestments to revenue - COVID-19 services - other items affecting comparability		
Comparable organic revenue growth	Revenue for the period - comparable revenue for the previous period - revenue from M&A transactions	x 100	Organic growth of revenue refers to the growth of existing business that has not been achieved through mergers or acquisitions. Comparable organic growth is calculated excluding the divestments, the transfer of cost liability for demanding specialized care, the gradual transfer of Jämsän Terveys Oy's service agreement, COVID-19 services and transfers between segments.
Comparable organic revenue growth, %	$\frac{\text{Organic comparable revenue growth}}{\text{Comparable revenue for the previous period}} \times 100$		

¹⁾ Significant transactions that are not part of the normal course of business, are related to business acquisition costs (IFRS 3), are infrequently occurring events or valuation items that do not affect cash flow are treated as adjustment items affecting comparability between review periods. According to Pihlajalinna's definition, such items include, for example, restructuring measures, impairment of assets and the remeasurement of previous assets held by subsidiaries, the costs of closing down businesses and business locations, gains and losses on the sale of businesses, costs arising from operational restructuring and the integration of acquired businesses, costs related to the termination of employment relationships, as well as fines and corresponding compensation payments. Pihlajalinna has also presented costs according to the IFRS Interpretations Committee's Agenda Decision concerning cloud computing arrangements, and reversals of amortisation, as adjustment items. Cloud computing arrangements costs and reversals of amortisation according to the IFRS Interpretations Committee's Agenda Decision has not been presented as adjustment items since 1 January 2024.

Key financial figures

Scope of operations	2024	2023	2022	2021	2020
Revenue, EUR million	704.4	720.0	690.5	577.8	508.7
Change, %	-2.2	4.3	19.5	13.6	-1.9
Organic revenue growth, EUR million*	50.9	75.4	34.9	58.1	-11.3
Change, %	7.8	12.0	6.0	11.4	-2.2
Gross investments, EUR million*	31.1	66.4	234.5	44.8	25.4
% of revenue	4.4	9.2	34.0	7.8	5.0
Capitalised development costs, EUR million*	0.0	0.0	0.0	0.0	0.4
% of revenue	0.0	0.0	0.0	0.0	0.1
Employee benefit expenses, EUR million	321.2	322.8	296.6	255.2	214.2
Personnel at the end of the period (NOE)	6,493	6,880	7,016	6,297	5,550
Average number of personnel (FTE)	4,416	4,821	4,851	4,746	4,308
Profitability	2024	2023	2022	2021	2020
EBITDA, EUR million	101.5	72.5	54.4	62.6	52.2
EBITDA, %	14.4	10.1	7.9	10.8	10.3
Adjusted EBITDA, EUR million*	100.7	80.6	64.2	65.3	54.8
Adjusted EBITDA, %	14.3	11.2	9.3	11.3	10.8
Operating profit (EBIT), EUR million	48.5	20.6	8.9	27.9	18.1
Operating profit, %	6.9	2.9	1.3	4.8	3.6
Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA), EUR million*	55.2	37.8	26.7	37.3	27.4
Adjusted EBITA, %	7.8	5.2	3.9	6.5	5.4
Net financial expenses, EUR million	-9.8	-12.4	-7.4	-3.7	-4.4
% of revenue	-1.4	-1.7	-1.1	-0.6	-0.9
Profit before tax, EUR million	38.6	8.2	1.5	24.2	13.7
% of revenue	5.5	1.1	0.2	4.2	2.7
Income tax, EUR million	-8.5	-3.6	6.1	-5.1	-4.8
Profit for the period	30.2	4.6	7.7	19.1	8.9
Cash flow after investments, EUR million	88.6	60.5	0.0	24.9	43.7
Return on equity (ROE), %*	19.2	3.4	6.2	16.1	8.1
Return on capital employed (ROCE), %*	9.7	4.0	2.3	8.8	5.7

Financing and financial position	2024	2023	2022	2021	2020
Interest-bearing net financial debt, EUR million	296.6	352.7	385.7	194.7	194.8
% of revenue	42.1	49.0	55.9	33.7	38.3
Equity ratio, %*	26.8	22.0	18.6	26.9	25.9
Gearing, %*	175.5	243.9	313.8	158.8	170.6
Net debt/adjusted EBITDA*	2.9	4.4	6.0	3.0	3.6

Share related information

	2024	2023	2022	2021	2020
Earnings per share (EPS)	1.13	0.19	0.42	0.89	0.38
Equity per share, EUR*	7.59	6.56	5.50	5.27	4.82
Dividend per share, EUR (Board proposal)	0.38	0.07		0.30	0.20
Dividend per share, %*	33.6	37.3		33.7	52.0
Effective dividend yield, %*	3.62	0.99		2.37	2.13
Number of shares at year-end	22,478,951	22,566,155	22 549 644	22,594,235	22,617,841
Average number of shares	22,511,765	22,557,957	22 560 271	22,589,383	22,586,212
Market capitalisation, EUR million	236.0	159.3	192.1	285.6	212.2
Dividends paid, EUR million (Board proposal)	8.5	1.6		6.8	4.5
P/E ratio*	9.29	37.60	20.19	14.21	24.39
Closing price at year-end, EUR	10.50	7.06	8.52	12.64	9.38

* Alternative performance measure

Reconciliations with alternative key figures and ratios

Pihlajalinna publishes a wide range of alternative performance measures, i.e. key figures that are not based on financial reporting standards, because they are considered to be significant for investors, the management and the Board of Directors in assessing the group's financial position and profitability. The alternative performance measures should not be considered to be replacements for the key figures defined in IFRS standards. The table below presents the reconciliation calculations for the alternative performance measures and the justifications for their presentation.

Reading notes:

/divide by the next number/numbers

- deduct the next number/numbers

+ add the next number/numbers

Return on equity (ROE), %

EUR million	1–12/2024	1–12/2023
Profit for period	30.2	4.6
Equity (average) x 100	156.8	133.7
Return on equity (ROE), %	19.2	3.4

Return on capital employed (ROACE), %

EUR million	1–12/2024	1–12/2023
Profit before taxes +	38.6	8.2
Financial expenses	10.9	12.7
Profit before taxes + financial expenses	49.6	20.9
Total statement of financial position - non-interest-bearing liabilities (average of beginning and end of the period)	509.1	522.3
Return on capital employed (ROACE), %	9.7	4.0

Equity ratio, %

EUR million	1–12/2024	1–12/2023
Equity/	169.0	144.6
Total statement of financial position -	630.2	657.5
Advances received x 100	0.0	0.3
Equity ratio, %	26.8	22.0

Gearing, %

EUR million	1–12/2024	1–12/2023
Interest-bearing financial liabilities –	327.5	377.2
Cash and cash equivalents/	30.9	24.5
Equity x 100	169.0	144.6
Gearing, %	175.5	243.9

Net debt/adjusted EBITDA

EUR million	1–12/2024	1–12/2023
Interest-bearing financial liabilities -	327.5	377.2
Cash and cash equivalents	30.9	24.5
Net debt/	296.6	352.7
Adjusted EBITDA	100.7	80.6
Net debt/adjusted EBITDA	2.9	4.4

EBITDA and Adjusted EBITDA

EUR million	1–12/2024	1–12/2023
Profit for period	30.2	4.6
Income tax	-8.5	-3.6
Financial expenses	-10.9	-12.7
Financial income	1.1	0.4
Depreciation, amortisation and impairment	-53.0	-51.9
EBITDA	101.5	72.5
IFRS 3 costs –	0.0	0.7
Entries related to the IFRIC Agenda Decision concerning cloud computing arrangements		1.0
Other EBITDA adjustments	-0.8	6.4
Total EBITDA adjustments	-0.8	8.1
Adjusted EBITDA	100.7	80.6

EBITDA, %

EUR million	1-12/2024	1-12/2023
EBITDA/	101.5	72.5
Revenue x 100	704.4	720.0
EBITDA, %	14.4	10.1

Adjusted EBITDA, %

EUR million	1-12/2024	1-12/2023
Adjusted EBITDA/	100.7	80.6
Revenue x 100	704.4	720.0
Adjusted EBITDA, %	14.3	11.2

Operating profit (EBIT) and Adjusted operating profit (EBIT)

EUR million	1-12/2024	1-12/2023
Profit for the period	30.2	4.6
Income tax	-8.5	-3.6
Financial expenses	-10.9	-12.7
Financial income	1.1	0.4
Operating profit (EBIT)	48.5	20.6
Entries related to the IFRIC Agenda Decision concerning cloud computing arrangements (reversal of amortisation) -	0.0	-0.5
Other adjustments to amortisation and impairment	0.0	0.9
Total EBITDA adjustments	-0.8	8.1
Total operating profit (EBIT) adjustments	-0.8	8.5
Adjusted operating profit (EBIT)	47.7	29.1
PPA amortisation	2.1	2.1
Amortisation and impairment of other intangible assets	5.3	6.6
Entries related to the IFRIC Agenda Decision concerning cloud computing arrangements (reversal of amortisation)	0.0	0.5
Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA)	55.2	37.8

Operating profit (EBIT), %

EUR million	1-12/2024	1-12/2023
Operating profit/	48.5	20.6
Revenue x 100	704.4	720.0
Operating profit (EBIT), %	6.9	2.9

Adjusted operating profit (EBIT), %

EUR million	1-12/2024	1-12/2023
Adjusted operating profit/	47.7	29.1
Revenue x 100	704.4	720.0
Adjusted operating profit (EBIT), %	6.8	4.0

Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA), %

EUR million	1-12/2024	1-12/2023
Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA) /	55.2	37.8
Revenue x 100	704.4	720.0
Adjusted (EBITA), %	7.8	5.2

Cash flow after investments

EUR million	1-12/2024	1-12/2023
Net cash flow from operating activities	100.8	79.0
Net cash flow from investing activities	-12.3	-18.5
Cash flow after investments	88.6	60.5



Profit before taxes

EUR million	1–12/2024	1–12/2023
Profit for period	30.2	4.6
Income tax	-8.5	-3.6
Profit before taxes	38.6	8.2

Gross investments

EUR million	1–12/2024	1–12/2023
Property, plant and equipment at end of period	63.6	65.8
Right-of-use assets at end of period	185.1	203.9
Other intangible assets at end of period	15.7	21.1
Goodwill at end of period	254.9	251.8
Depreciation, amortisation and impairment for the period	53.0	51.9
Property, plant and equipment at beginning of period	65.8	58.7
Right-of-use assets at beginning of the period	203.9	197.7
Other intangible assets at beginning of period	21.1	22.8
Goodwill at beginning of period	251.8	251.0
Proceeds from sale of tangible assets during period	-1.4	-2.3
Gross investments	31.1	66.4

Organic revenue growth, %

EUR million	1–12/2024	1–12/2023
Revenue for previous period	720.0	690.5
The impact of divestments on revenue during the period -	-4.8	-12.0
Contractual changes in complete outsourcing agreements -	-61.0	-32.1
Covid-19 services and write-downs of revenue -	-0.9	-18.0
Comparable revenue for previous period (B)	653.3	628.4
Revenue from M&A transactions during period (C)	0.0	16.2
Revenue growth due to M&A transactions, %	0.0	2.6
Revenue for period (A)	704.4	720.0
Comparable organic revenue growth (A-B-C)	51.1	75.4
Organic revenue growth, %	7.8	12.0
Revenue change	-15.5	29.5
Revenue change, %	-2.2	4.3



Pihlajalinna

Corporate Governance Statement 2024



Corporate Governance Statement

I INTRODUCTION

The Corporate Governance of Pihlajalinna Plc (the Company) is based on effective legislation, the Company's Articles of Association and the rules and regulations applied to companies listed on Nasdaq Helsinki. The Company complies with the Finnish Corporate Governance Code 2025 issued by the Securities Market Association. The Finnish Corporate Governance Code is available on the www.cgfinland.fi/en website maintained by the Securities Market Association.

Pihlajalinna did not depart from the recommendations of the Corporate Governance Code in 2024.

This Corporate Governance Statement was approved by Pihlajalinna Plc's Audit Committee on 10 March 2025 and by the Board of Directors on 19 March 2025.

II CORPORATE GOVERNANCE

General Meeting

The General Meeting is Pihlajalinna's highest decision-making body. According to the Company's Articles of Association, the Annual General Meeting is held annually within six (6) months of the end of the financial year. The Annual General Meeting decides on the matters determined by the Limited Liability Companies Act and the Articles of Association. These matters include, among other things, the approval of the Financial Statements, the distribution of profit shown in the Balance Sheet and the election of members of the Board of Directors and the auditor and their remuneration. The Annual General Meeting of Shareholders also decides upon discharge of the Board of Directors and of the CEO from liability.

The Board of Directors is responsible for the invitations to the General Meeting and decides its venue and timing.

According to the Articles of Association, the notice of a General Meeting shall be delivered to shareholders no earlier than three (3) months and no later than three (3) weeks prior to the date of the Meeting, but no later than nine (9) days prior to the record date of the Meeting. The notice shall be delivered to shareholders by sending

the notice by post to their addresses registered in the Company's register of shareholders or by publishing a notice on the website of the Company or in at least one national daily newspaper determined by the Board of Directors. The notice of the General Meeting will be published as a separate release. The Agenda, the proposals of the Board of Directors and other General Meeting material will be available on the Company's website at least three weeks prior to the General Meeting.

Each shareholder has the right to have a matter within the remit of a General Meeting, under the Limited Liability Companies Act, to be discussed by the General Meeting if he or she requests this in writing from the Board of Directors by the date announced on the Company website. The date will be announced on the Company's website no later than by the end of the financial year preceding the Annual General Meeting.

The Company's Chair of the Board, members of the Board of Directors, the CEO and the Auditor attend the General Meeting. In addition, any candidates for the Board of Directors attend the General Meeting that decides on their election. If a member of the Board of Directors or a candidate is not present at the General Meeting, the Company informs the General Meeting of their absence at the beginning of the Meeting.

After the General Meeting, its decisions are published in a stock exchange release. The minutes of the General Meeting are published on the Company's website within two weeks of the General Meeting. The documents of the General Meeting must be kept on the Company's website for at least five years from the Meeting.

Pihlajalinna's Articles of Association are available on the Company's website at <http://investors.pihlajalinna.fi/corporate-governance/articles-of-association>. Any amendments to the Articles of Association require the decision of the General Meeting.

Pihlajalinna Plc's Annual General Meeting 2024 was held on 10 April 2024. The General Meeting was attended by 58 shareholders in person or by proxy. Approximately 63 per cent of the Company's shares and votes were represented in the meeting.

Board of Directors

The composition and election procedure of the Board of Directors

The Board of Directors is elected on an annual basis by the Annual General Meeting. According to the Company's Articles of Association, the General Meeting shall appoint a minimum of four (4) and a maximum of ten (10) members on the Board of Directors.

The General Meeting shall elect the Chair and Vice-Chair of the Board of Directors. The term of office of a member of the Board of Directors shall expire at the close of the first Annual General Meeting following the election. In case the Chair and Vice-Chair of the Board of Directors resign or become otherwise unable to act as chair during their term of office, the Board of Directors may elect a new Chair from among its members for the remaining term of office.

Shareholders' Nomination Board

The Shareholders' Nomination Board is tasked with preparing future proposals on the election and remuneration of the members of the Board of Directors to the General Meetings.

The Nomination Board consists of four members nominated by the shareholders of the Company. In addition, the Chair of the Board of Directors of the Company participates in the work of the Nomination Board as an expert. The right to nominate members is vested with the four shareholders of the Company having the largest share of the votes represented by all the shares in the Company annually on 1 September based on the Company's shareholders' register held by Euroclear Finland Ltd. However, if a shareholder who has distributed his/her holdings e.g. into several funds and has an obligation under the Finnish Securities Markets Act to take these holdings into account when disclosing changes in his/her share of ownership makes a written request to such effect to the Chair of the Board of Directors no later than on 31 August. Such shareholder's holdings in several funds or registers will be combined when calculating the share of votes that determines the nomination right. Should a shareholder not wish to exercise his/her nomination right, the right shall be transferred to the



next largest shareholder who otherwise would not be entitled to nominate a member.

The Chair of the Board of Directors shall, on 1 September each year, request the four largest shareholders of the Company, based on their shareholding, to nominate one member each to the Nomination Board. The Nomination Board elects a Chair from among its members. The term of office of the members of the Nomination Board expires annually when the new Nomination Board has been appointed.

The Charter of the Shareholders' Nomination Board is available on the Company's website at <http://investors.pihlajalinna.fi/corporate-governance/general-meeting/shareholders-nomination-board>.

The four largest registered shareholders of Pihlajalinna Plc (based on the shareholders' register held by Euroclear Finland Ltd on 1 September 2024) appointed the following representatives to the Shareholders' Nomination Board:

- Jari Eklund, Group Director, appointed by LocalTapiola General Mutual Insurance Company and LocalTapiola Mutual Life Insurance Company
- Mikko Wirén, Managing Director, appointed by MWW Yhtiö Oy
- Mika Manninen, deputy CEO, CFO, appointed by Fennia Mutual Insurance Company
- Carl Pettersson, CEO, appointed by Elo Mutual Pension Insurance Company.

The Shareholders' Nomination Board elected Jari Eklund as its Chair. Jukka Leinonen, Chair of Pihlajalinna Plc's Board of Directors, served on the Shareholders' Nomination Board as an expert member.

The Shareholders' Nomination Board convened 6 times. The attendance rate was 100 %. The Nomination Board submitted 17 January 2025 its proposal to Pihlajalinna's Board of Directors for presentation at the Annual General Meeting. The proposals have been published in a stock exchange release.

The qualifications and independence of the Board members and the diversity of the Board of Directors

The Board of Directors shall have sufficient and versatile expertise and experience with respect to its duties. In preparing a proposal for the composition of the Board of Directors, attention shall be paid to

the requirements placed by the Company's operations and its development stage. A person to be elected to the Board of Directors shall have the qualifications required by the duties and the possibility to devote a sufficient amount of time to the work. The number of the members and the composition of the Board of Directors shall make it possible for the Board of Directors to fulfil its duties in an efficient manner.

For the versatile support and development of the Company's business, the composition of the Company's Board of Directors should be sufficiently diverse. The Company's objective is that women and men are equally represented on the Board of Directors as defined in the Corporate Governance Code. The overall aim of the Board composition is to achieve sufficiently extensive qualifications, expertise and experience. The sufficient diversity of the Board of Directors, including age and gender, as well as educational and professional background, is considered in the preparation of a proposal for the composition of the Board of Directors.

The majority of the members of the Board of Directors must be independent of the Company. In addition, at least two of the members representing this majority shall be independent of major shareholders of the Company. The members of the Board of Directors must provide the Board of Directors with sufficient information for the evaluation of their qualifications and independence and inform the Board of Directors about any changes in this information. The members of the Board shall not act as representatives of persons who have proposed them to the Board or who otherwise belong to their interest groups.

The duties and responsibilities of the Board of Directors are defined in the Limited Liability Companies Act, the Company's Articles of Association and the Charter of the Board of Directors. The Board of Directors conducts an annual evaluation of its operations and working methods and updates its Charter as needed.

Any matters that are far-reaching from the viewpoint of the Company's business shall be considered and decided by the Board of Directors. According to its Charter, the Board of Directors:

- considers and approves the Company's long-term strategic plan and goals;
- approves the Company's business plan, budget and financing plan and monitors their implementation;
- evaluates the use and presentation of alternative performance measures;

- confirms the principles of the Company's internal control and risk management;
- reviews the material risks affecting the Company's operations and their management, and supervises the adequacy, relevance and efficiency of the Company's administrative processes;
- processes and approves business acquisitions and arrangements and other significant decisions;
- elects the CEO and Deputy CEO, releases them from their duties and decides on the terms and conditions of their service;
- confirms, based on the CEO's proposal, the members of the Group's Management Team, the Heads of Business Operations and other direct subordinates of the CEO;
- approves the incentive schemes of the CEO and other management and the Company's remuneration principles;
- approves the Company's Corporate Governance Statement, Remuneration Report and statement of non-financial information;
- confirms the Company's Insider Guidelines and Guidelines on Related Party Transactions and defines the principles concerning the monitoring and assessment of transactions with insiders and related parties and supervises compliance with these principles;
- decides on the Company's disclosure policy and monitors compliance with it.

The members of the Board of Directors are provided with sufficient information on the Group's operations, operating environment and financial position, and new Board members must be introduced to the Company's operations at the beginning of their term. The Board of Directors is regularly informed of matters considered by Pihlajalinna Group's Management Team, receives profit and loss reports and auditor's reports and regularly (at least once a year) hears the auditor's opinions of the Company's financial situation and its developments.

The Board of Directors convenes regularly. The timing of the Board Meetings will be confirmed in advance for the Board's entire term of office. When necessary, the Board holds additional meetings that can be organised as conference calls. At least one of the meetings is a strategy meeting and in at least one meeting the Board meets the Company's auditor. In meetings marked on the annual calendar, the Board of Directors conducts an internal discussion without the presence of management.

The proposal for the composition of the Board of Directors was prepared by the Company's largest shareholders in 2024. Represented on the Nomination Board were the LocalTapiola Group, MWW Yhtiö

CORPORATE GOVERNANCE STATEMENT

SUSTAINABILITY STATEMENT

Oy (Mikko Wirén), Fennia Mutual Insurance Company and Elo Mutual Pension Insurance Company, which together represented approximately 48 per cent of the Company's shares.

The principles regarding the composition of the Board of Directors were observed in the Board of Directors elected in 2024. The Board of Directors has three female Board members and four male Board members (four female members until 10 April 2024). The members of the Board represent versatile experience from managerial and board duties. All members of the Board elected in 2023 hold a master's degree and one has a doctoral degree. The members of the Board of Directors have versatile industry-specific expertise as well as economic and business skills. Their age distribution is from 54 to 69 years.

Members of the Board of Directors in the financial year 2024

The members of the Board of Directors up to the Annual General Meeting of 10 April 2024 were Jukka Leinonen (Chair), Leena Niemistö (Vice-Chair), Kim Ignatius, Heli Iisakka, Hannu Juvonen, Tiina Kurki, Seija Turunen ja Mikko Wirén.

The Annual General Meeting 2024 decided that the number of members of the Board of Directors shall be seven (7) at a time. The following individuals were elected as members of the Board of Directors: Kim Ignatius, Heli Iisakka, Tiina Kurki, Hannu Juvonen, Jukka Leinonen, Leena Niemistö and Mikko Wirén. The General Meeting elected Jukka Leinonen as the Chair of Pihlajalinna Plc's Board of Directors and Leena Niemistö as the Vice-Chair.

During the financial year 2024, the Board of Directors convened 14 times. The average attendance rate during the period was 100 %.

Members of the Board of Directors

JUKKA LEINONEN

Chair of the Board since 2023
M.Sc. (Eng.)
Finnish citizen, b. 1962
Independent of the Company and its major shareholders
Principal occupation: Board Professional



LEENA NIEMISTÖ

Member of the Board since 2014
Vice-Chair of the Board of Directors until 2018 and again since 2019
D.Med.Sc., Specialist in Physiatrics
Finnish citizen, b. 1963
Independent of the Company and its major shareholders
Principal occupation: Board Professional



KIM IGNATIUS

Member of the Board since 2023
M.Sc. (Econ)
Finnish citizen, b. 1956
Independent of the Company and its major shareholders
Principal occupation: Board Professional



HELI IISAKKA

Member of the Board since 2022
M.Sc. (Econ.)
Finnish citizen, b. 1968
Independent of the Company and its major shareholders
Principal occupation: Colliers Finland Oy, Chief Financial Officer



HANNU JUVONEN

Member of the Board since 2019
PhD, Specialist, MBA
Finnish citizen, b. 1955
Independent of the Company and its major shareholders
Principal occupation: practitioner, management consultant



TIINA KURKI

Member of the Board since 2023
M.Sc. (Econ)
Finnish citizen, b. 1970
Independent of the Company and its major shareholders
Principal occupation: Alma Media Plc, Alma Media Solutions, Senior Vice President / Director



MIKKO WIRÉN

Member of the Board since 2016
Chair of the Board of Directors 2016-2023
Lic.Med.
Finnish citizen, b. 1972



Not independent of the Company, not independent of major shareholders
Principal occupation: MWW Yhtiö Oy, CEO

More information on the Members of the Board of Directors is available in the Investors section of the Pihlajalinna website at <http://investors.pihlajalinna.fi>.

Information on the remuneration of the members of the Board of Directors is presented in a separate Remuneration Report for Governing Bodies.

Board Committees

The Board of Directors may appoint committees, management groups and other permanent or temporary bodies to perform duties specified by the Board of Directors. The Board of Directors confirms the charters of the Company's committees and Management Team as well as the guidelines and authorisations of any other bodies appointed by the Board of Directors. The Board of Directors has established from among its members an Audit Committee and a People and Sustainability Committee. These committees have written charters approved by the Board of Directors.

Audit Committee

Pihlajalinna Plc's Board of Directors has established from among its members an Audit Committee which monitors the Company's reporting process of financial statements and the efficiency of the Company's internal control, potential internal audit and risk management systems. The Audit Committee also reviews the description of the main features of the internal control and risk management systems in relation to the financial reporting process, which is included in the Company's Corporate Governance Statement, monitors the statutory audit of the financial statements and consolidated financial statements and evaluates the independence of the statutory auditor or audit firm, particularly the provision of related services to the Company. The members of the Audit Committee must have the expertise and experience necessary to perform the responsibilities of the Committee and at least one of the members must have special expertise in accounting or auditing.

The Audit Committee comprises three to five members who are elected from among the members of the Board of Directors. The majority of the members of the Audit Committee must be independent



of the Company, and at least one member must be independent of major shareholders of the Company.

The Board of Directors has confirmed a written Charter for the Audit Committee, according to which the Committee has the following duties, among other things:

- to monitor the Company's financial standing and financing situation;
- to evaluate the effects of exceptional or extensive business transactions;
- to review significant changes to recognition principles and items recognized in the balance sheet;
- to monitor the quality and reliability of the Company's financial statements reporting process, the financial statements and other financial reports;
- to evaluate the use and presentation of alternative performance measures;
- to monitor the Company's financial reporting process and M&A processes;
- to engage in quarterly discussions with the financial management and the auditors on the Company's financial results and stock exchange release before the approval of the Board of Directors;
- to discuss significant financial risks and the management's measures regarding the monitoring, management and reporting of risks;
- to monitor the Company's internal control, potential internal audit and risk management systems, plans and reports as well as the efficiency of these functions;
- to familiarize itself with the principles concerning the monitoring and assessment of related party transactions;
- to review the Corporate Governance Statement, including the description of the main features of the internal control and risk management systems related to the financial reporting process;
- To support the Company's Board of Directors in the appropriate management of functions related to sustainability and ESG criteria, as well as the management of ESG risks;
- to regularly review sustainability-related reporting and processes, as well as risks and controls relating to sustainability;
- to monitor the statutory audit of the financial statements and consolidated financial statements and the assurance of the sustainability report;

- to evaluate the independence of the statutory auditor or audit firm and sustainability auditor and the provision of related services;
- to evaluate the auditor's qualifications and performance;
- to prepare a proposal for a resolution on the election of the auditor and sustainability auditor;
- to maintain communication with the auditor and sustainability auditor and review the reports prepared by the auditor for the Audit Committee and the management's responses to the reports;
- to monitor compliance with laws and regulations and the Company's policies, as well as the effectiveness of the Company's compliance system;
- to monitor and evaluate the development of sustainability (CSRD obligations and the EU Taxonomy);
- to review the Board of Directors' report in its entirety;
- to monitor and evaluate the results of the Group's ESG assessments and analyses (EcoVadis, COP, etc.).

The Audit Committee regularly provides the Board of Directors with a summary of matters considered by the Committee.

Work on the committee is subject to remuneration as determined by the General Meeting.

On 10 April 2024, the Board elected Kim Ignatius (Chair), Heli Iisakka and Tiina Kurki as the members of the Audit Committee.

The Audit Committee convened eight times during the financial year 2024. The attendance rate of the Committee members was 100 %.

People and Sustainability Committee

Pihlajalinna Plc's Board of Directors has established from among its members a People and Sustainability Committee, which assists the Board by preparing matters pertaining to the remuneration and nomination of the Company's CEO and other management, as well as the Company's remuneration principles. The Committee also prepares matters concerning organisational development and sustainability for the Board.

The People and Sustainability Committee comprises three to five members who are elected from among the members of the Board of Directors. The majority of the members of the Committee must be in-

dependent of the Company. The CEO or other executives of the Company may not be appointed to the People and Sustainability Committee.

The Board of Directors has confirmed a written Charter for the People and Sustainability Committee, according to which the Committee has the following duties:

- to prepare matters related to the remuneration and other financial benefits of the CEO and other management;
- to prepare proposals related to the Company's incentive plans;
- to evaluate the remuneration of the CEO and other management and to ensure the appropriateness of the Company's remuneration systems;
- to answer any questions at the General Meeting that are related to the remuneration report and within the scope of the People and Sustainability Committee's duties;
- to prepare matters related to the nomination of the CEO and other management and to look for prospective successors for them and specify the personal profiles;
- to plan the remuneration of other personnel and organisational development;
- to review the results of personnel surveys and monitor the diversity of the personnel;
- to steer and evaluate the process of talent identification and development;
- to monitor and evaluate the development of the operating environment, regulations and stakeholder support;
- to monitor and evaluate sustainability-related target setting in the short and long term;
- to review and prepare personnel-related matters for the sustainability programme, including issues relating to occupational safety, work ability, equality and diversity;
- to review and prepare other matters of relevance to the sustainability programme, including quality, impact, data protection and the environment;
- to review and prepare matters pertaining to corporate governance;
- to monitor and evaluate the results of the Group's ESG assessments and analyses (EcoVadis, COP, etc.).

Work on the committee is subject to remuneration as determined by the General Meeting.

On 10 April 2024, the Board of Directors elected Hannu Juvonen (Chair), Leena Niemistö, Jukka Leinonen and Mikko Wirén as the members of the People and Sustainability Committee.

The People and Sustainability Committee convened seven times during the financial year 2024. The attendance rate of the Committee members was 100%.

Attendance at Meetings by the Board of Directors and Committee Members in 2024:

Name	Board meetings ⁽¹⁾	Audit Committee meetings ⁽¹⁾	People and Sustainability Committee meetings ⁽¹⁾
Kim Ignatius Board member	14/14	8/8	-
Heli Iisakka Board member	14/14	8/8	-
Hannu Juvonen Board member	14/14	-	7/7
Tiina Kurki Board member	14/14	8/8	-
Jukka Leinonen Chair	14/14	-	7/7
Leena Niemistö Vice-chair	14/14	-	7/7
Seija Turunen ⁽²⁾ Board member	3/3	1/1	-
Mikko Wirén Board member	14/14	-	7/7

1) Attendance rates cover meetings held during each member's term of office. All members of the Board of Directors may join both committee meetings.

2) Member of the Board of Directors until 10 April 2024.

Pihlajalinna holdings of the members of Pihlajalinna Plc's Board of Directors on 31 December 2024:

	Number of Shares
Mikko Wirén, total	2 325 343
MWW Yhtiö Oy	2 319 010
Mikko Wirén	6 333
Leena Niemistö	709 644
Jukka Leinonen	15 302
Juvonen Hannu	5 291
Seija Turunen (until 10 April 2024)	4 392
Heli Iisakka	3 600
Ignatius Kim	3 095
Tiina Kurki	2 651

CEO

The Board of Directors appoints the Chief Executive Officer and decides on the terms and conditions of his or her service contract. The CEO is in charge of the Company's operational management and Pihlajalinna Group's business in accordance with the instructions and orders issued by the Board of Directors. The CEO is responsible for ensuring that the Company's accounting practices comply with the law and that the financial matters are handled in a reliable manner. The Management Team assists the CEO in leading the Company's operations.

Tuomas Hyryläinen was the CEO of Pihlajalinna Plc during the financial year 2024. Pihlajalinna Plc does not have a Deputy CEO.

Group Management Team

Pihlajalinna Group's Management Team assists the CEO in operative business management. The Management Team prepares and steers the development of the Group's business, processes and joint Group functions and promotes cooperation and the flow of information between the various parts of the organisation. It also prepares the Group's strategic planning and budgeting, monitors the implementation of plans and reporting and prepares acquisitions and other major investments. In addition, the Management Team monitors and evaluates the profitability of the Company's businesses as well as the func-

tioning of its internal control and reporting systems. The Management Team convenes regularly by invitation of the CEO. The Management Team conducts an annual evaluation of its operations and working methods.

Group Management Team (31 December 2024):

Tuomas Hyryläinen

b. 1977, M.Sc. (Econ.)
employed by the Company since 2023
Chief Executive Officer



Heikki Färkkilä

b. 1980, M.Sc. (Technology)
employed by the Company since 2024
EVP, Strategy and Group Operations



Anu Kallio

b. 1968, M.Sc. (B.A.), Accounting and Finance
employed by the company since 2024
EVP, Private Healthcare Services



Seppo Kariniemi

b. 1983, MBA
employed by the Company since 2022
EVP, Public Services



Tuula Lehto

b. 1973, M.Sc. in Political Science
employed by the company since 2022
EVP, Communications and Sustainability



Jaakko Liljeroos

b. 1979, LL.M
employed by the company since 2024
EVP, Chief Legal Officer



Lauri Muhonen

b. 1984, Bachelor of Laboratory Sciences, eMBA
employed by the company since 2024
EVP, Chief Information Officer

**Tarja Rantala**

b. 1972, M.Sc. (Econ.)
employed by the Company since 2014
EVP, Chief Financial Officer

**Sari Riihijärvi**

b. 1977, D.Med.Sc., Specialist
employed by the Company since 2021
EVP, Chief Medical Officer

**Mika Videman**

b. 1967, Master of Science,
Employed by the Company since 2024
EVP, People and Culture



In 2024, the Group Management Team also included Chief Information Officer Antti Jussi Aro (until 10 May 2024), Chief Operating Officer, Private Healthcare Services Timo Harju (until 29 February 2024), Chief Operating Officer, Public services Eetu Salonen (until 21 May 2024) ja Chief Legal Officer Marko Savolainen (until 1 December 2024).

The Management Team has met regularly, on a weekly basis. The table below presents the direct and indirect Pihlajalinna shareholdings of the CEO and other members of Pihlajalinna Group's Management Team (31 December 2024).

	Number of shares
Tuomas Hyyryläinen, CEO	40 000
Tarja Rantala	17 142
Seppo Kariniemi	7 100
Heikki Färkkilä	4 400
Sari Riihijärvi	4 004
Jaakko Liljeroos	4 000
Lauri Muhonen	4 000
Anu Kallio	2 876
Tuula Lehto	1 510
Mika Videman	0

III INTERNAL CONTROL AND RISK MANAGEMENT MECHANISMS

Internal Control

The purpose of the Group's internal control systems is to ensure that the Company's operations comply with the applicable laws and regulations and the Company's business principles. The goal of internal control associated with the financial reporting process is to ensure that the financial reports published by the Company are prepared in accordance with the accounting principles applied by the Company and that they provide materially correct information regarding the Group's financial position and that financial reporting is accurate and reliable.

The Group's financial development is monitored by Group-wide reporting systems. The systems cover financial information, the budget approved by the Board of Directors, monthly financial forecasts and operational performance indicators. The Group Management Team analyses the result and deviations, is responsible for budgeting and forecasting together with the CEO, monitors the integration and development of completed M&A transactions and other investments. The business controller function and financial management analyse and produce financial reports as well as prepare separate analyses for use by the management, the Audit Committee and the Board of Directors. The Group's financing is centralized.

The Group's financial management issues guidelines and instructions on the preparation of the financial statements and interim financial statements and, together with the Group communications function

and the Chief Legal Officer, is responsible for the Group's regular disclosure obligations.

Pihlajalinna's financial and HR management functions have defined and documented control targets and control points (process-specific control catalogues) related to financial management, reporting and HR administration processes. The appropriateness and effectiveness of control targets and control points are evaluated at least once a year in cooperation with auditors. Internal control observations are analysed and, as a result, guidelines, practices and potentially also control points are updated.

The control measures consist of automated and manual reconciliation of processes, controls, analytical checks and instructions aimed at ensuring the accuracy of financial reporting. Further key control mechanisms include the administration of access rights to information systems and reporting systems as well as the controlled implementation of authorisations and changes to systems. The financial management function processes and regularly reports to the Board of Directors on exceptional items and items subject to management judgment and analyses the underlying reasons behind changes to forecasts.

The CEO and the chief executives of the subsidiaries are in charge of ensuring that accounting and administration in the areas they are responsible for comply with the law and that the Group's guidelines are adhered to. The Group's legal department is in charge of issuing operational guidelines and instructions in its area of responsibility. The auditors audit the accounting and administration of the parent company and the subsidiaries annually. In all Group companies, auditing is conducted by a firm of authorised public accountants. The auditor of the parent company is responsible for the coordination of audit focus areas, the analysis of audit observations from the point of view of the consolidated financial statements and communication with the Group's financial management and the CEO. The detailed auditing results are reported annually to the Group management, the Audit Committee and the Board of Directors.

The Audit Committee verifies that accounting, financial administration, finance, the internal audit and auditing are organised appropriately. The Board of Directors reviews and approves half-year reports, interim reports and financial statements bulletins.

Internal controls related to sustainability reporting are described in more detail in the Board of Directors report as a part of the sustainability statement in section *General Information (ESRS2)*.



Internal audit

The purpose of Pihlajalinna's internal audit is to assess the appropriateness and performance of the Company's internal control system, risk management, management processes and administrative processes. The internal audit supports organisational development and enhances the fulfilment of the Board of Directors' supervisory duty.

The internal audit assists the organisation in achieving its objectives by evaluating and surveying its functions and supervising compliance with Company guidelines and instructions. To this end, the internal audit produces analyses, estimates, recommendations and information for use by the Board of Directors and senior management. The assessments are reported upon completion to the CEO, the CFO and the management in charge of the function being assessed. They are also reported regularly to the Board's Audit Committee.

The internal audit function is based on internal standards (IIA). The internal audit function is independent of the rest of the organisation. The point of departure for the internal audit is primarily management-oriented, and the work is coordinated in cooperation with the external audit. The annual audit plan and audit report are presented to the Audit Committee. The internal audit function also audits other areas by request of the Board of Directors and Pihlajalinna's Management Team.

Pihlajalinna's internal audit activities continued in 2024 in accordance with the cooperation previously organised with PwC. The subject of PwC's follow-up audit was information security and related controls. The audit also assessed asset and supply chain management as two new targets. In addition in 2024, Pihlajalinna developed in particular together with its external partner processes and controls related to invoicing.

Risk management

Pihlajalinna's Risk Management Policy defines the goals, principles, operating methods and responsibilities of risk management. Risk management at Pihlajalinna has been carried out at the Group, business unit, service and process level in accordance with the Risk Management Policy approved by Pihlajalinna's Board of Directors. Furthermore, the Group invests in the management of occupational safety and health risks and in quality management systems, such as ISO 9001 and ISO 14001.

The goal of Pihlajalinna's risk management is to promote the achievement of the Group's strategic and operational targets, customer and patient safety, shareholder value, the Group's operational profitability and the realisation of responsible operating methods. Risk management is used to ensure that the risks affecting the Company's operations are known, assessed and monitored, and that measures are implemented to control the risks. Internal risk reporting is included in the regular business reporting as well as in business planning and decision-making. The material risks and their management are reported to stakeholders regularly and, when necessary, on a case-by-case basis.

The assessment of sustainability-related risks plays an important role in risk management. This component has covered the identification and assessment of impacts and risks in terms of business risk assessment, human rights risk assessment, and double materiality assessment (DMA). These areas will be integrated into the Group's general risk management process in the coming financial years.

Pihlajalinna's risk management principles emphasise the necessary obligations related to operations and the resulting opportunities for organising risk management, standard-based quality management tools and self-monitoring. Risk management supports the management system and the day-to-day management of services. Risk management is integrated into the service processes and the process owner is responsible for the risk management. The aim is to minimise the impact on Pihlajalinna's operations in the event of a risk materialising.

At the beginning of 2024, Pihlajalinna's Management Team launched a qualitative risk management project to update the analysis of the Group-level risks targeted at the Company. Based on the analysis, Pihlajalinna's new risk management principles were formed as the basis for risk management work, Pihlajalinna's risk management template table was updated, a risk management network representing Pihlajalinna's various business and Group functions was compiled and a work plan was specified for the network. In connection with the analysis, the close connection between risk management and the business continuity and contingency planning was also identified.

In 2024, Pihlajalinna's risk management project identified the key targets of risk management measures to be the changing operating environment in normal and exceptional circumstances, resources and supervisory work, organisation, strategy and prioritisation, systems and their development, personnel availability and work ability, information security, particularly from the perspective of cybersecurity,

and patient safety, particularly from the perspective of self-monitoring.

Group management and operative management are responsible for risk management according to their reporting responsibilities. In addition, risk management specialists guide and develop the group's risk management. The Group Management Team regularly discusses the key risks related to the Group's business operations. Everyone working at Pihlajalinna must also know and manage risks related to their responsibilities. The internal audit function evaluates the appropriateness and performance of the Company's risk management as part of its annual audit plan.

IV OTHER INFORMATION REQUIRED

Insider administration and principles

Pihlajalinna Plc complies with the Nasdaq Helsinki Ltd Guidelines for Insiders in effect at any given time, subject to the additional specifications concerning Pihlajalinna and referred to in Pihlajalinna's Insider Guidelines. The Pihlajalinna insider guidelines, which specify the insider guidelines of Nasdaq Helsinki Ltd, are approved annually by the Board of Directors.

The Company's insider information and the managers' and their related parties' transactions in Company's financial instruments are administered according to applicable legislation and the Insider Guidelines of the Company. When necessary, the Company sets up project-specific insider lists which includes every person who receives project-specific inside information.

The insider lists are not public. The Company's insider lists are maintained in the SIRE register of Euroclear Finland Ltd.

In addition to the insider lists, the Company creates and maintains a list of persons discharging managerial responsibilities and related parties (natural or legal persons) who have the duty to notify their transactions related to Company's financial instruments to the Company and the Financial Supervisory Authority within three business days after the transaction. The Company publishes transactions notified to it with a release within the same time limit. Persons discharging managerial responsibilities include Pihlajalinna's members of the Board of Directors and members of the Management Team.

Executives at Pihlajalinna and non-executive persons defined by the Company are prohibited from all trading in the Company's securities or related derivatives and other financial instruments on their own

account or for the account of a third party during the period of 30 calendar days before the publication of the Company's annual financial statements, interim report and half year financial report (closed window) or on the publication date of the aforementioned information.

Pihlajalinna Plc has published its insider principles (insider and related party principles) on the Company's website.

Related parties and principles for related party transactions

Pihlajalinna complies with the legislation pertaining to related party transactions and, in accordance with the Corporate Governance Code for listed companies, ensures compliance with the requirements for the monitoring, assessment, decision-making and disclosure of related party transactions. Pihlajalinna's Guidelines on Related Party Transactions, which describe the principles for the monitoring and assessment of related party transactions, is approved annually by Pihlajalinna's Board of Directors, which is responsible for monitoring and assessing related party transactions.

The purpose of Pihlajalinna Plc's Guidelines on Related Party Transactions is to ensure that any business transactions involving persons belonging to the Company's related parties are made independently and based on market terms. The Company assesses and verifies that any related party transactions are in the best interests of the Company overall and that any conflicts of interest are duly taken into account when making decisions on related party transactions. The principles of the Guidelines on Related Party Transactions are observed throughout the Group and in the decision-making concerning all of the Group companies.

Pihlajalinna Plc's related parties include the Group's executives, such as the members, deputy members (if any) and secretary of the Board of Directors, the CEO, Deputy CEO and members of the Management Team, and the aforementioned persons' spouses and common-law spouses and other people living in the same household. In addition, related parties include organisations in which an above-mentioned related party, either alone or together with other related parties, exercises significant influence or control. Related parties also include

the Company's subsidiaries, associated companies and joint ventures and their CEOs, Board members and potential deputy members, as well as any organisations in which the above-mentioned parties exercise significant influence or control. Furthermore, related parties include the Company's shareholders holding at least 10 per cent of the Company's shares or the total votes carried by the Company's shares.

Pihlajalinna Plc maintains a related party register of major business transactions between the Company and its related parties, the parties involved and the key terms of such transactions. The information entered in the register is collected annually from the persons belonging to the Company's related parties by means of control surveys. The Company's related party register is not public, and any information entered in it will not be disclosed to third parties, with the exception of any authorities and the auditor entitled to receive such information. People considered as related parties are obliged to notify the Company's related party administration of any related party transactions which are being planned, or which have come to their knowledge. Such notification must be made without delay after receiving such information. The results of the monitoring of related party transactions are regularly reported to the Board's Audit Committee.

Pihlajalinna may carry out transactions with related parties provided that the transactions are part of Pihlajalinna's ordinary course of business and implemented under arms-length terms in compliance with the decision-making procedure specified in Pihlajalinna's internal policies and guidelines. Related party transactions that are not part of Pihlajalinna's ordinary course of business or are not implemented under arms-length terms are decided on by Pihlajalinna's Board of Directors, with due consideration given to the regulations concerning conflicts of interest.

Any related party transactions will be processed in accordance with the Guidelines on Related Party Transactions approved by Pihlajalinna's Board of Directors. Any major transactions to be executed with Pihlajalinna's management and its related parties shall always be approved by the Board of Directors.

Pihlajalinna reports on related party transactions annually in its financial statements. Related party transactions that are of material significance from the shareholder's perspective and are not part of the Company's ordinary course of business or are not implemented under arms-length terms are disclosed in accordance with the Securities Markets Act and the rules of the Nasdaq Helsinki Ltd stock exchange.

Pihlajalinna Plc has published its principles concerning related party transactions (insider and related party principles) on the Company's website.

Auditors and auditing

According to the Articles of Association, the Company shall have one (1) Auditor that shall be a firm of authorised public accountants with an APA-certified Auditor acting as the Auditor with principal responsibility.

The auditor will annually submit an auditor's report to Pihlajalinna's Annual General Meeting. When the Company's Board of Directors reviews the financial statements, the principal auditor provides a statement on the implementation of the audit and on their audit observations.

Pihlajalinna Plc's Annual General Meeting on 10 April 2024 resolved, in accordance with the Board's proposal, to appoint KPMG Oy Ab as the Company's auditor for a term ending at the conclusion of the Annual General Meeting 2025. The responsible auditor appointed by KPMG Oy Ab was Assi Lintula, APA.

KPMG Oy Ab has been the auditor of Group companies during the financial year 2024. The following fees have been paid to the auditor (amounts in thousands of euros):

Auditor's fees	2024	2023
Auditing, KPMG Oy Ab	328	328
Statements, KPMG Oy Ab	64	10
Non-audit services, KPMG Oy Ab	48	57
Total	441	395





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Basis for preparation of the sustainability statement (BP-1)

Pihlajalinna Plc's sustainability statement has been prepared in accordance with the requirements laid down in chapter 7 of the Accounting Act and the sustainability reporting standards (ESRS). The sustainability statement for 2024 covers the period from 1 January to 31 December 2024, and it has been prepared in consolidation with the financial statements for 2024. The scope of consolidation in the sustainability statement is the same as in the financial statements. The Group companies are described on the note to the consolidated financial statements.

No information relating to industrial design or copyright, know-how or innovation results has been omitted from the sustainability statement. The sustainability topics and sustainability KPIs reported in the sustainability statement are based on the requirements of the EU sustainability reporting standards and Pihlajalinna's double materiality analysis (DMA), which was conducted in late 2023. The relevant themes and sustainability topics based on the materiality analysis have been approved by the Board of Directors of Pihlajalinna. The DMA process described in IRO-1 contains impacts, risks and opportunities which cover Pihlajalinna's own operations and upstream and

downstream in essential parts. The policies, measures, targets and metrics extending to Pihlajalinna's value chain are described in the sections connected to the relevant standards. For more detailed information about Pihlajalinna's double materiality analysis process and its results see the ESRS 2 section, IRO-1: Process for identifying material impacts, risks and opportunities.

Coverage of the upstream and downstream value chain

The data in the sustainability statement is reported for the entire Pihlajalinna Group, covering Pihlajalinna's own operations and partially the upstream and downstream of the value chain. Pihlajalinna's material sustainability topics extend to the consumers and end users. The sustainability topics extend to upstream and downstream value chain workers through service and supplier partners. The material sustainability topics extend to consumers downstream through our own services and service partners. The sustainability topics extend to the environment upstream and downstream in the value chain as a result of personnel, customers and procurement through supplier and service partners' value chains. The sustainability statement covers the material value chain sustainability topics.

Boundaries and foundations of reporting (BP-2)

Time horizons

This sustainability statement complies with the time horizons defined by the ESRS standards. Short term (1 year) describes the current financial year, medium term the following 1–5 years and long term the period beyond 5 years.

Value chain estimation sources and outcome uncertainty

Pihlajalinna Group's sustainability statement for 2024 has been prepared for the first time following the structures and principles of the European sustainability reporting standards (ESRS). Therefore, not all sustainability matters are presented for the comparison periods. Comparison period data is only disclosed with regard to GHG emissions accounting. The changes to the previous sustainability reports are mainly connected to the coverage of KPIs and their presentation and the structure of the report. Greenhouse gas (GHG) emissions accounting has been expanded with regard to reporting boundaries and emission sources included. More detailed emissions accounting can be read in section E1, under E1-6: Gross Scope 1, 2, 3 and Total GHG emissions.



The consolidation approach to emissions accounting is operational control, i.e. the emissions of energy from leased facilities has been included in Pihlajalinna's Scope 1 and 2 emissions. The biggest uncertainties in the outcomes of emissions accounting are included in spend-based emissions from purchases and procurement as well as emissions from customers' travel and commuting emissions calculated based on the personnel survey. As these categories account for

more than two-thirds of emissions, it is necessary to consider the total emissions with caution. Pihlajalinna's total emissions will become more accurate as data collection is enhanced. The spend-based accounting of indirect emission sources will be developed in the future. Identified development opportunities include improving the accuracy and availability of data. In particular, data sources concerning the up-

stream value chain will be refined to enhance data quality and accounting accuracy. Development plans concerning emissions accounting will be specified further over the coming financial years.

ESRS Standard	Disclosure requirement (DR)		Sustainability statement sections
ESRS2 General disclosures	BP-1	General basis for preparation of sustainability statements	Basis for preparation of the sustainability statement (BP-1)
	BP-2	Disclosures in relation to specific circumstances	Boundaries and foundations of reporting (BP-2)
	GOV-1	The role of the administrative, management and supervisory bodies	The role of senior management in sustainability management (GOV-1)
	GOV-2	Information provided to and sustainability matters addressed by the administrative, management and supervisory bodies	Information provided to and sustainability matters addressed by the administrative, management and supervisory bodies (GOV-2)
	GOV-3	Integration of sustainability-related performance in incentive schemes	Integration of sustainability- related performance in incentive schemes (GOV-3)
	GOV-4	Statement on due diligence	Statement on sustainability due diligence (GOV-4)
	GOV-5	Risk management and internal controls over sustainability reporting	Risk management and internal controls over sustainability reporting (GOV-5)
	SBM-1	Strategy, business model and value chain	Strategy, business model and value chain (SBM-1)
	SBM-2	Interests and views of stakeholders	Interests and views of stakeholders (SBM-2)
	SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Material sustainability topics in Pihlajalinna's activities and their link with the strategy (SBM-3)
	IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities	Process to identify and assess material impacts, risks and opportunities (IRO-1)
	IRO-2	Disclosure requirements in ESRS covered by the undertaking's sustainability statement	List of disclosure requirements in ESRS (IRO-2) Table: Management of Pihlajalinna's material impacts, risks and opportunities (IRO)
ESRS E1 Climate change	ESRS 2, GOV-3	Integration of sustainability- related performance in incentive schemes	Integration of sustainability- related performance in incentive schemes (GOV-3)
	ESRS 2, IRO-1	A description of relevant climate-related impacts, risks and opportunities identification and assessment processes	Process to identify and assess material impacts, risks and opportunities (IRO-1)
	ESRS 2, SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Material sustainability topics in Pihlajalinna's activities and their link with the strategy (SBM-3)
	E1-1	Transition plan for climate change mitigation	Transition plan for climate change mitigation (E-1)
	E1-2	Policies related to climate change mitigation and adaptation	Policies related to climate change mitigation and adaptation (E1-2)
	E1-3	Actions and resources in relation to climate change policies	Actions and resources in relation to climate change policies (E1-3)
	E1-4	Targets related to climate change mitigation and adaptation	Targets related to climate change mitigation and adaptation (E1-4)
	E1-5	Energy consumption and mix	Energy consumption and mix (E1-5)
	E1-6	Gross Scopes 1, 2, 3 and Total GHG emissions	Gross Scope 1, 2, 3 and Total GHG emissions (E1-6)



ESRS S1 Own workforce	ESRS 2, SBM-2	Interests and views of stakeholders	Interests and views of stakeholders (SBM-2)
	ESRS 2, SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Material impacts, risks and opportunities related to Pihlajalinna's own personnel and their management (SBM-3)
	S1-1	Policies related to own workforce	Management of material topics and policies (S1-1)
	S1-2	Processes for engaging with own workers and workers' representatives about impacts	Engaging with own workforce (S1-2)
	S1-3	Processes to remediate negative impacts and channels for own workers to raise concerns	Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)
	S1-4	Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions	Actions (S1-4, S1-5)
	S1-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	Actions (S1-4, S1-5)
	S1-6	Characteristics of the undertaking's employees and S1-7 – Characteristics of non-employee workers in the undertaking's own workforce	Characteristics of the undertaking's employees (S1-6)
	S1-9	Diversity metrics	Diversity metrics (S1-9)
	S1-10	Adequate wages	Adequate wages (S1-10)
	S1-14	Health and safety metrics	Health and safety metrics (S1-14)
	S1-16	Compensation metrics (pay gap and total compensation)	Compensation metrics (S1-16)
	S1-17	Incidents, complaints and severe human rights impacts	Incidents, complaints and severe human rights impacts (S1-17)
ESRS S4 Consumers and end-users	ESRS 2, SBM-2	Interests and views of stakeholders	Identification and assessment of material impacts, risks and opportunities
	ESRS 2, SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model	Material impacts, risks and opportunities related to consumers and end-users and their management (SBM-3)
	S4-1	Policies related to consumers and end-users	Management of material topics and policies (S4-1)
	S4-2	Processes for engaging with consumers and end-users about impacts	Engaging with consumers and end-users (S4-2)
	S4-3	Processes to remediate negative impacts and channels for consumers and end-users to raise concerns	Processes to remediate negative impacts and channels for consumers and end-users to raise concerns (S4-3)
	S4-4	Taking action on material impacts on consumers and end-users, and approaches to managing material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions	Measures (S4-4)
	S4-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	Targets and metrics (S4-5)
ESRS G1 Business conduct	ESRS 2, GOV-1	The role of the administrative, supervisory and management bodies	The role of the administrative, management and supervisory bodies (ESRS2 GOV-1)
	ESRS 2, IRO-1	Description of the processes to identify and assess material impacts, risks and opportunities	Impact, risk and opportunity management related to business conduct (ESRS2 IRO-1)
	G1-1	Corporate culture and business conduct policies and corporate culture	Business conduct policies and corporate culture (G1-1), Targets and metrics (G1)
	G1-5	Political influence and lobbying activities	Political influence and lobbying activities (G1-5), Targets and metrics (G1)

The role of senior management in sustainability management (GOV-1)

By consistently managing sustainability, Pihlajalinna wants to ensure that the Group operates sustainably and ethically as well as promotes and facilitates the achievement of the goals set for sustainability.

Pihlajalinna's operations are concentrated in Finland, so all administrative, management and supervisory bodies have relevant experience with regard to geographical location. In addition, all have relevant industry, product and service expertise available. Pihlajalinna's Board of Directors, its committees and management feature extensive expertise and skill with regard to important areas relating to business and sustainability. There is a high level of competence in quality, medical impact, ethical business practises, data protection and personnel, for example.

Pihlajalinna Group's Management Team has reviewed the manner of adding employee representation in the Group's senior administration during 2024. The matter has also been discussed with the Group's shop stewards. The decision on the matter will be made during 2025.

Board of Directors

At the end of the reporting period (31 December 2024), Pihlajalinna's Board of Directors had seven members: Jukka Leinonen (Chair), Leena Niemistö (Vice Chair), Kim Ignatius, Heli Iisakka, Hannu Juvonen, Tiina Kurki and Mikko Wirén. Until 31 November 2024, the regular secretary of the Board of Directors was Chief Legal Officer Marko Savolainen and as of 1 December, 2024 Chief Legal Officer Jaakko Liljeroos. Three (42 per cent) of the Board members are female and four are male. The Board's gender distribution is thus 0.75. There are no employees or other workers on the Board of Directors.

Pihlajalinna's Board of Directors is the highest body responsible for sustainability. The Board of Directors approves the Group policies and principles guiding the Group's operations and internal control, such as the Pihlajalinna Code of Conduct, human rights principles and policies on corruption and bribery, HR, equality, quality, risk management, data protection, information security and environment. It reviews and approves the principles and policies concerning responsible business and related targets and results. The policies, principles and targets are regularly reviewed and updated, if necessary, to reflect changes in the operating environment. The Board of Directors approves the sus-

tainability programme and strategic sustainability targets and monitors their progress. The Board of Directors has approved the material topics of double materiality (DMA) and this sustainability statement and is the highest body responsible for associated impacts, risks and opportunities (IRO). The CEO provides the Board of Directors with regular updates on impacts, risks and opportunities. The Board of Directors also receives regular reviews of the progress of sustainability targets from the Executive Vice President, Communications and Sustainability. In addition, the Board of Directors regularly reviews the Group's key risks and their control and also reviews the big picture once a year.

With regard to sustainability reporting, the Board of Directors and senior management have been trained and the theme is regularly addressed. Pihlajalinna has recognised the increasing need for new expertise also with regard to other responsibility topics and sustainability reporting and has systematically increased operational resources in these areas. The Executive Vice President, Communications and Sustainability is a member of the Group Management Team.

On the whole, Pihlajalinna's Board of Directors features extensive expertise and experience in themes relating to environment, social responsibility and corporate governance, as well as solid expertise in the social and healthcare sector and medicine. In addition, the Board of Directors has diverse experience in material topics of the Group's sustainability reporting and the assessment of related risks and opportunities. Several Board members have also accumulated experience in working on the boards of other listed companies. They have

broad insight into the requirements of responsibility and sustainability reporting from the perspectives of different industries, such as telecommunications, the food industry, environmental and property business, retail, the pharmaceutical industry and logistics. In addition, the Board members have extensive experience in public healthcare administration and various advocacy organisations. The various dimensions of corporate governance are part of the Board expertise in both board work and executive positions in large companies and their activities in extremely regulated sectors.

Board diversity and assessment of independence

In order to diversely support and develop Pihlajalinna's business, the Group's Board of Directors must have a sufficiently diverse lineup. The overall aim of the Board composition is to achieve sufficiently extensive qualifications, expertise and experience. The sufficient diversity of the Board of Directors, including age and gender, as well as educational and professional background, is taken into account in the preparation of a proposal for the composition of the Board of Directors. When preparing the proposal regarding the composition of the Board of Directors, each candidate for Board membership provides confidentially the information necessary for the assessment of qualifications and time utilization, in accordance with the Group's instructions. The proposal concerning the composition of the Board of Directors is prepared by the largest shareholders in the Shareholders' Nomination Board. It is the duty of the Board of Directors to assess the independence of its members, the majority of the members must be independent of the Group. The independence rate is 86 per cent

Board's gender distribution and diversity

	Male	%	Female	%	Other	%	Total
Executive members	4	57	3	43	0	0	7
Other members	0	0	0	0	0	0	0
Total members	4	57	3	43	0	0	7
Board's gender distribution (ratio of female to male members)							0.75
Percentage of Board members who are independent							86

Management Team's gender distribution and diversity

	Male	%	Female	%	Other	%	Total
Pihlajalinna Group Management Team	6	60	4	40	0	0	10
Other members	0	0	0	0	0	0	0
Representation of workers	0	0	0	0	0	0	0
Management Team's gender distribution							0.66

for this reporting period. At least two of the independent Board members shall be independent of major shareholders of the Group.

Ignatius Kim, Iisakka Heli, Juvonen Hannu, Kurki Tiina, Leinonen Jukka and Niemistö Leena are independent of major shareholders.

Committees

The Board of Directors has two committees: the Audit Committee and the People and Sustainability Committee. These have a clear-cut division of responsibilities in their agendas in the totality of sustainable development and sustainability. The Audit Committee is responsible for sustainability reporting, and it supervises and develops sustainability reporting. The Committee reviews the Board of Directors' report in its entirety. The People and Sustainability Committee is responsible for monitoring the development of the operating environment, and steering the Group's sustainability programme and targets.

Group Management Team

All of the quantitative data related to senior management concern the composition as of 31 December 2024. The Group's businesses and corporate functions are represented in the Management Team. Employee representation will be decided on in 2025.

Pihlajalinna's Management Team is responsible for ensuring that the monitoring and implementation of the impacts, risks, and opportunities of Pihlajalinna's material sustainability topics are carried out according to plans. The Management Team is responsible for setting Pihlajalinna's sustainability targets, monitoring progress and supervising the operating methods that address the material impacts, risks and opportunities. In addition, it reviews the overall progress of sustainability efforts and sustainability on a quarterly basis. The Executive Vice President, Communications and Sustainability, who is a member of the Management Team, is responsible for presentation. The Management Team also supervises the implementation of approved sustainability measures for its own part. No special methods are currently used for managing impacts, opportunities and risks for the time being; instead, supervision is part of normal risk management and internal control processes.

The Group CEO is responsible for the implementation of sustainability-related matters. The CEO holds delegated responsibility for sustainability matters covering the sustainable development action plan and capability. The CEO submits the whole to the Board of Directors for information twice a year and possibly for further decision making

at least once a year. In addition, the director in charge of the relevant area is responsible for the control of the impacts, risks and opportunities of different areas of sustainability topics and the decision making related to them. The Executive Vice President, Communications and Sustainability is responsible for sustainability reporting and the progress of sustainability work at the strategic level. The well-being of the personnel is the responsibility of the Head of HR, the Chief Medical Officer is responsible for the health and safety of customers and the Chief Legal Officer is responsible for ethics-related areas.

Information provided to and sustainability matters addressed by the administrative, management and supervisory bodies (GOV-2)

Different areas of sustainability are presented by management and specialists at the meetings of the Board and its committees. The reviews provide the members with information about the most material sustainability impacts, risk and opportunities, as well as up-to-date information about sustainability in general and related regulation. The Executive Vice President, Communications and Sustainability, who is a member of the Management Team, is responsible for presenting sustainability-related matters to the Board of Directors, its committees and the Management Team. A presentation is given to the Board of Directors twice a year and quarterly to the committees and Management Team. These presentations also cover the progress of sustainability targets. The Board is also given a review by the CEO on impacts, risks and opportunities twice a year. The Management Team, on the other hand, discusses sustainability-related themes at least on a quarterly basis in accordance with the target setting and reporting. All of Pihlajalinna's material sustainability impacts, risks and opportunities have been reviewed by the Board of Directors in 2024.

The results of Pihlajalinna's risk management, including material sustainability risks, are presented as part of the normal risk management and self-monitoring process to the Board of Directors once a year and quarterly to the Management Team by the Executive Vice President, Communications and Sustainability and experts responsible for the risk management process. During 2024, the results and effectiveness of the approved policies, measures, metrics and targets intended to manage material impacts, risks and opportunities have been presented to the administrative, management and supervisory bodies by the Executive Vice President, Communications and Sustainability and



topic experts. There have been several reviews due to the preparations for the first report, but going forward, the Board of Directors will receive the reviews twice a year.

The Board of Directors received an update of the implementation of the due diligence process with regard to human rights during the reporting year 2024, but going forward, it will receive a more extensive presentation as part of regular reviews. The due diligence process on the whole will be specified further in 2025 and an HRDD module will also be incorporated into it. With regard to the themes presented in this report and to be developed further, as well as the results and effectiveness of the policies, measures, metrics and targets set for them, the Board of Directors will receive updates from the Executive Vice President, Communications and Sustainability twice a year going forward.



When developing the strategic focus areas for 2024, the key impacts, risks and opportunities were taken into account to the extent that they were identified before the results of the actual double materiality analysis. The prioritisation of consumers and end-users was taken into account by making the renewal of services for private customers one of the strategic focus areas. Pihlajalinna has, for instance, strengthened its multichannel services through new service concepts and digital innovation. This supports the availability of service throughout Finland, which is one of Pihlajalinna's positive impacts. Another important focus area is collaboration with the public healthcare sector. The Group has been identified as having an actual positive impact in this respect, as Pihlajalinna has long-standing traditions in developing the operational prerequisites of the public healthcare sector in close collaboration with the public sector. Thirdly, Pihlajalinna invests in the digital development of work, leadership and managerial work. Remote working reduces the negative impact on stress when tools with better usability are used. This also supports work-life balance. In addition, well-managed operations and clearly defined duties contribute to the personnel's wellbeing at work and health through understandable duties and roles.

In the future, impacts, risks and opportunities will be more integrated to the strategy work, the risk management process and major business decisions by discussing them at the level of the Management Team and Board of Directors and its committees in the processes of preparing the strategy and business decisions. When drawing up plans, efforts are made to take into account human resource needs in order to better manage personnel workload.

Sustainability topics discussed in the meetings of the Board of Directors, its committees and the Group Management Team in the financial year 2024:

- Sustainability programme and its targets
- Results of the double materiality assessment
- Sustainability reporting and related regulatory development
- Verification of sustainability reporting
- Emissions accounting and climate road map
- Customer experience and satisfaction
- Personnel wellbeing, development and personnel survey results
- Personnel survey action plan (Group Management Team)
- Occupational safety
- Development of diversity, equity and inclusion (DEI)

- Human rights principles and commitment
- Information security and data protection
- Risk management
- Sustainability reporting and related regulatory development (Group Management Team)

Integration of sustainability related performance in incentive schemes (GOV-3)

Pihlajalinna's remuneration policy describes the principles of remuneration and the total remuneration of the administrative, management and supervisory bodies. The remuneration policy and any material amendments to it are prepared by the People and Sustainability Committee of Pihlajalinna's Board of Directors. The Board of Directors reviews and approves the remuneration policy to be presented to the General Meeting and material amendments to it. The Board of Directors of Pihlajalinna decides on the remuneration paid to the CEO in accordance with the remuneration policy. The People and Sustainability Committee prepares remuneration-related matters, if necessary, with the assistance of independent external experts.

The maximum level of remuneration available in the CEO's short-term remuneration scheme in 2024 is, accounting for Pihlajalinna's EBIT multiplier, 60 per cent of the fixed annual salary. The remuneration is based on Pihlajalinna's adjusted EBITA (weight 60 per cent), organic revenue growth (30 per cent) and personnel satisfaction, eNPS (10 per cent). In addition, the CEO takes part in the long-term share-based incentive scheme, in which the remuneration available is tied to Pihlajalinna's adjusted EBITA (weight 60 per cent), development of sickness-related absence rate (20 per cent), customer satisfaction, NPS (10 per cent) and personnel satisfaction, eNPS (10 per cent).

For the other Management Team members, the remuneration available in the long-term share-based incentive scheme is tied to the same metrics as for the CEO. The remuneration available in the short-term remuneration scheme in 2024 is, accounting for Pihlajalinna's EBIT multiplier, a maximum of 25–33 per cent of fixed annual salary. The remuneration is based on a weighted basis, on the Group's adjusted EBITA and organic revenue growth and personnel satisfaction. In addition, it includes targets relating to one's own area of responsibility.

Of the sustainability programme targets, customer satisfaction (NPS), sickness-related absence rate (SPO) and personnel satisfaction (eNPS)

are tied to long- and short-term remuneration. These are key metrics from the point of view of Pihlajalinna's material sustainability topics (S4 Consumers and end-users and S1 Own workforce). Climate-related aspects are not part of the remuneration paid to the administrative, management and supervisory bodies.

Follow-up

The Board of Directors' People and Sustainability Committee monitors the implementation of the remuneration policy and, if necessary, proposes measures to the Board of Directors to ensure the implementation of the remuneration policy. The Board of Directors submits the remuneration policy to the General Meeting to review as necessary, however at least once every four (4) years. In addition, the Board of Directors annually presents the Annual General Meeting with the Remuneration Report which the shareholders can use as a basis to assess the implementation of the remuneration policy at Pihlajalinna. The General Meeting decides on approval of the Remuneration Report. The General Meeting's resolution on the Remuneration Report is of an advisory nature.

Description and implementation of the remuneration of the Board of Directors

Pihlajalinna's General Meeting decides on the fees paid to the members of the Group's Board of Directors. The proposal for the remuneration of the Board members is prepared by the Shareholders' Nomination Board. Board members can be paid annual or monthly fees, for instance, and a meeting fee for meetings of the Board of Directors, its committees or other bodies. The remuneration of the Board of Directors was comprised of shares and a cash component in 2024. A total of EUR 107,973 was paid in shares. The cash paid totalled EUR 250,227, including meeting fees.

Description of the remuneration of the CEO

Pihlajalinna's Board of Directors appoints the CEO and decides on the terms and conditions of their service contract. Before decision-making by the Board, the matter is prepared by the People and Sustainability Committee. The CEO is not a member of the People and Sustainability Committee and does not take part in decision-making in matters concerning their own remuneration. In accordance with the Remuneration Policy, the remuneration of the CEO is based on a fixed



monthly salary including fringe benefits and separately decided variable remuneration components, such as long-term share-based incentive schemes of short-term incentive schemes, for example.

Statement on sustainability due diligence (GOV-4)

Pihlajalinna's due diligence is part of the Group's operating and governance practices, which are based on the Finnish Corporate Governance Code for listed companies. For governance, the process sets requirements for the transparency of the organisation, ethical management and stakeholder engagement in decision-making. In addition, Pihlajalinna's due diligence process has been expanded into safeguarding human rights to prevent activities infringing fundamental rights. This includes working conditions, prevention of discrimination and prevention of other human rights infringements. The human rights risk assessment was carried out during 2024. The development of measures will continue during the coming financial years, including more extensive assessment of the environment. In addition, the due diligence process will be increasingly integrated into key business processes to support strategic decision-making and operational activities.

In sustainability reporting, embedding due diligence in governance, strategy and business model is described in the following sections: ESRS 2 GOV-4: Statement on sustainability due diligence and SBM-1: Strategy, business model and value chain.

The methods of identifying and assessing adverse impacts are described in sections:

ESRS 2 IRO-1: Process to identify and assess material impacts, risks and opportunities and SBM-3: Material sustainability topics in Pihlajalinna's activities and their link with the strategy, GOV-5: Risk management and internal controls over sustainability reporting, S1-3 ja S4-3: Processes to remediate negative impacts and channels for own workers to raise concerns, Processes to remediate negative impacts and channels for consumers and end-users to raise concerns.

Interaction with affected stakeholders in all due diligence processes is described in sections:

SBM-2: Interests and views of stakeholders, IRO-1: Process to identify and assess material impacts, risks and opportunities, S1-2: Processes for engaging with own workers and workers' representatives about impacts, G1-5: Political influence and lobbying activities and S4-2: Processes for engaging with consumers and end-users about impacts.

Taking action to address the adverse impacts is described in sections: S1-3: Processes to remediate negative impacts and channels for own workers to raise concerns, S1-4: Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions, G1-1: Business conduct policies and corporate culture, S4-3: Processes to remediate negative impacts and channels for consumers and end-users to raise concerns and E1-3: Actions and resources in relation to climate change policies.

Tracking the effectiveness of efforts and communications are addressed in sections:

SBM-2: Interests and views of stakeholders, S4-5: Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities and S1-5: Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities.

Risk management and internal controls over sustainability reporting (GOV-5)

Sustainability reporting complies with the principles of Pihlajalinna's statutory reporting, risk management and internal control. The Group services communications and sustainability team is centrally responsible for sustainability reporting. Sustainability reporting is carried out by persons specialising in sustainability reporting and reporting standards. Pihlajalinna's general risk management principles follow the obligations set by legislation and public and private customers (e.g. Social Welfare and Health Care Supervision Act, Emergency Powers Act, NIS2). In addition, the risk management requirements related to the used ISO 9001:2015 and ISO 14001 standards are part of strategic and day-to-day management. The coverage of the standards is described in the policy table in section G1.

In order to ensure the accuracy and timeliness of the reported data, Pihlajalinna has defined and deployed a governance model that defines the roles and responsibilities for sustainability reporting. The capabilities required for producing the reported data have been identified and defined in the different areas of Pihlajalinna's operations so that all reported areas are covered at a sufficient level. This includes engaging experts from financial administration, HR administration, communications and sustainability, as well as the legal department.

The Board of Directors has the ultimate responsibility for the appropriate organisation of internal control related to reporting. The Board

of Directors annually reviews and approves the Board of Directors' report, which includes the sustainability statement and financial statements. The Audit Committee assists the Board of Directors in monitoring the effectiveness of the principles of internal control and risk management. The Audit Committee supervises the financial statements and financial reporting as well as the sustainability reporting processes to ensure the high quality and integrity of the annual reporting and related data. Pihlajalinna's Board of Directors assesses the level of internal control at least once a year. The Board of Directors may also use an external service provider for separate internal audit assignments.

Pihlajalinna's first-time sustainability reporting compliant with the sustainability reporting standards (ESRS) involves risk of error due to data precision or human error concerning the new reporting method. The other identified sustainability reporting risks are the accuracy and reproducibility of the reported data and the timeliness of reporting. In addition, reporting must be independent of persons. These risks are mitigated and managed by following the principles of internal control and sustainability reporting governance model. Pihlajalinna has deployed a reporting system that supports compliance with reporting requirements and data management. The persons responsible for reporting can verify the entered data, monitor progress and identify and rectify any inconsistencies. Pihlajalinna has established reporting process practises, regular progress monitoring and reviews by the Audit Committee, but not yet a separate risk management model for sustainability reporting. A model will be developed during the next financial year.

The internal control of sustainability reporting is based on risk identification, analysis and targeting of at the most material identified risks as well as the best practices of internal control. The data used for reporting is generated as business processes progress, and everyone involved in the process is responsible for the accuracy of the data. Reporting-related risks and their prioritisation have been assessed through the findings of the process participants, and any risks have been addressed with immediate measures. No specific critical risks emerged during the reporting process.

The business areas and Group functions are responsible for Pihlajalinna's process environment being able to provide transparency to the required reported data. The work roles in Pihlajalinna's business areas and Group functions specified in the governance model are responsible for the content accuracy of the data as well as compliance with reporting schedules and provision to the person responsible for



sustainability reporting. Internal controls have been deployed to ensure the accuracy and timeliness of the reported content. These are part of the common business processes and their systematic monitoring is part of internal control reporting. The risks and findings related to sustainability reporting have been reviewed as separate topics, and they have not been incorporated into the Group's other risk management processes during the first reporting year. The harmonisation of processes and approaches will be reviewed after the first reporting. Sustainability reporting and any risk findings are regularly reported to the Audit Committee and the Management Team by the Executive Vice President, Communications and Sustainability.

Strategy, business model and value chain (SBM-1)

Pihlajalinna is one of the leading private social and healthcare service providers in Finland. The Group offers comprehensive and high-quality private clinic and hospital services as well as occupational healthcare and insurance company services. In addition, the Group offers social and healthcare services for wellbeing services counties. Pihlajalinna's customers, private individuals, businesses, insurance companies and the public sector are served with an extensive range of on-site, remote and digital services. Pihlajalinna's shares are listed on Nasdaq Helsinki Ltd and 98.5 per cent of shares are held by Finnish shareholders. All of the Group's business operations are in Finland. Pihlajalinna pays all its taxes in Finland.

At the end of the financial year 2024, the Group employed 6,493 (6,880) experts, in addition to which the Group had 2,145 (2,103) practitioners at the end of the financial year. Pihlajalinna is headquartered in Tampere and all of the Group's functions are located in Finland. Pihlajalinna's values are energy, ethics and open-mindedness. Pihlajalinna builds effective social and healthcare services that promote people's health, reduce morbidity and take care of the customers of assisted living and special needs residential services. Pihlajalinna wants to be an impactfully responsible industry pioneer that offers quick and high-quality care. This goal is promoted by building multichannel services for all customer groups.

Private clinic and hospital services

Pihlajalinna's private clinic networks covers all of Finland, focusing on the biggest regional centres. In addition to general practitioners, specialists and nurses' appointments and emergency and on-call services, the private clinic services include, among other things, surgical operations, physiotherapy and diverse examination services.

Occupational health services

For customer companies in occupational healthcare, Pihlajalinna offers services that help maintain working capacity with the aim of supporting organisations and helping them achieve their goals. The services are provided at Pihlajalinna's private clinics, hospitals and remote service channels.

Examinations

Pihlajalinna provides an extensive range of laboratory and imaging services. Imaging examinations include, for example, magnetic, X-ray and ultrasound examinations. The services also cover various clinical physiological examinations.

Remote services

Pihlajalinna invests in the multichannel approach to services. Remote services equalise regional differences and enable cost-effective service production. Pihlajalinna's remote services include assessments of need for treatment, general practitioner and medical specialist services and various service concepts, such as a national disease clinic (Kansantautiklinikka), responsible doctor services and digital health centres (Digiterveysasema).

Fitness centre services

The Group's Forever fitness centres offer diverse wellbeing services for adults who exercise. Fitness centre services complement Pihlajalinna's preventive occupational healthcare services and rehabilitation services carried out after specialised care procedures.

Public Services

Pihlajalinna produces impactful social and healthcare services for wellbeing services counties. Pihlajalinna's outsourcing services include care units, health centres and complete and partial outsourcings as well as remote services, such as responsible doctor services. Additionally, Pihlajalinna offers various service production packages as outsourcing, such as services produced with service vouchers and procurement packages covering a certain number of surgical operations. Studies have shown that the most cost-efficient approach to producing social and healthcare services in the public sector is the multi-producer model, which involves service production and provision through cooperation between the public sector, the private sector and non-profit organisations.

Strategy

Pihlajalinna's two strategic priorities in 2024 were the renewal of services for private customers and cooperation in social and healthcare services. The Group continuously develops the customer experience and serves its customers across an increasingly broad range of channels, where the services are needed. Wellbeing services counties have significantly changed the operating environment in social and healthcare services. Solid experience in working as a partner to public healthcare helps Pihlajalinna solve the challenges of society in cooperation with wellbeing services counties. The most significant challenges related to Pihlajalinna's operations and affecting sustainability issues are retaining and attracting professionals and implementing and further developing diverse services.

Pihlajalinna sets targets to promote sustainable development by customer category and in stakeholder relations. Private clinic and hospital services aim at quick, need-based and high-quality care for customers. High-quality assessment of need for care facilitates the optimum use of healthcare resources. Occupational health services, on the other hand, focus on maintaining the work ability of companies' employees and offering cost-efficient solutions to companies. Extensive geographical coverage aim to provide regionally equal services to all customers. Insurance company collaboration focuses particularly on cooperation to achieve mutual goals and continuously improve impactful services, not only to ensure quick and appropriate care for individual customers but also securing cost-efficient solutions.

The wellbeing of our own workforce is a key part of Pihlajalinna's strategy. The Group focuses on improving the personnel and practitioner experience. This ensures the Group's ability to offer high-quality services and function as a responsible employer.

Remote services enhance cost efficiency and balances out regional differences. As remote services grow and the assessment of the need for care becomes more efficient, GHG emissions from customer travel are reduced. This promotes the Group's goal of reducing negative climate change impacts from the value chain. With regard to environmental sustainability, emissions are reduced, resources are used wisely, and the generation of waste is reduced, and its appropriate treatment is ensured.

Pihlajalinna provides a broad range of social and healthcare services, designed to promote the health and wellbeing of customers. Pihlajalinna's inputs and resources are presented in more detail in the "Ba-



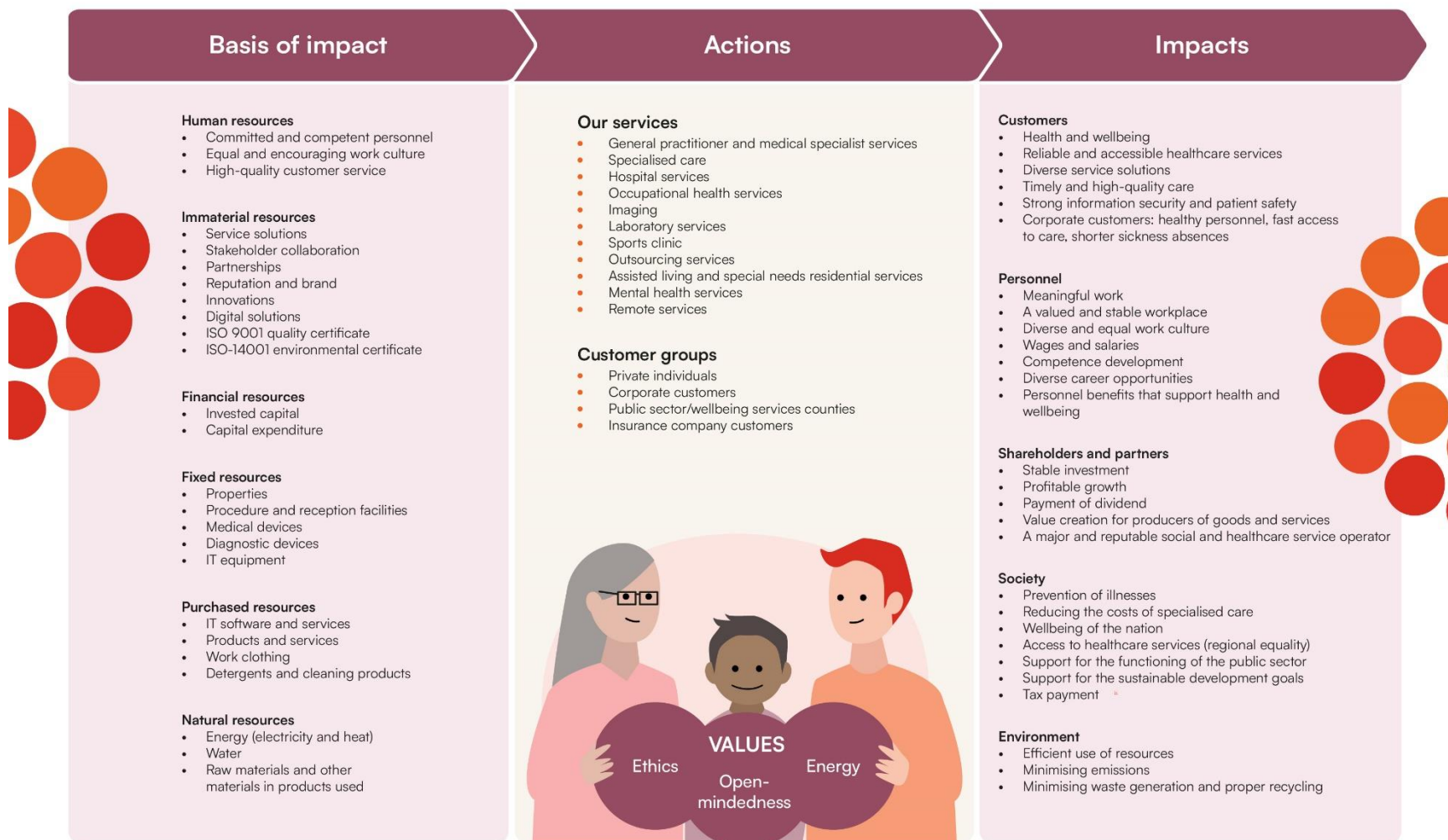
sis of impact" figure below. The Group's key activities, outputs and results in terms of the current and expected benefits for customers, investors and other stakeholders are described under "Our services" and "Impacts". The customer segments are described under "Customer groups". As a provider of social and healthcare services, the Group does not have actual distribution channels.

Pihlajalinna continuously develops its operations to ensure the high quality and availability of services and to safeguard human resources. Word equipment and properties are taken care of with the required maintenance measures. Risks assessments are made on a regular basis, and the Group holds reliable ISO certificates (ISO 9001, ISO 27001 and ISO 14001), the coverage of which is described in the policy table in section G1. Digital software is taken care of with the required updates and by preparing for cyber-attacks, among other measures. Pihlajalinna aims to ensure the availability of purchased materials and equipment with long-term agreements and good supplier relations.

The Group only operates in the health sector, so there are no other relevant industries. The link between the impacts, risks and opportunities with the Group's business model and value chain is described in more detail in section ESRS 2 SBM-3: Material sustainability topics in Pihlajalinna's activities and their link with the strategy. The cost structure and revenues of the business segments according to IFRS 8 disclosure requirements are described in note 1 in the financial report.

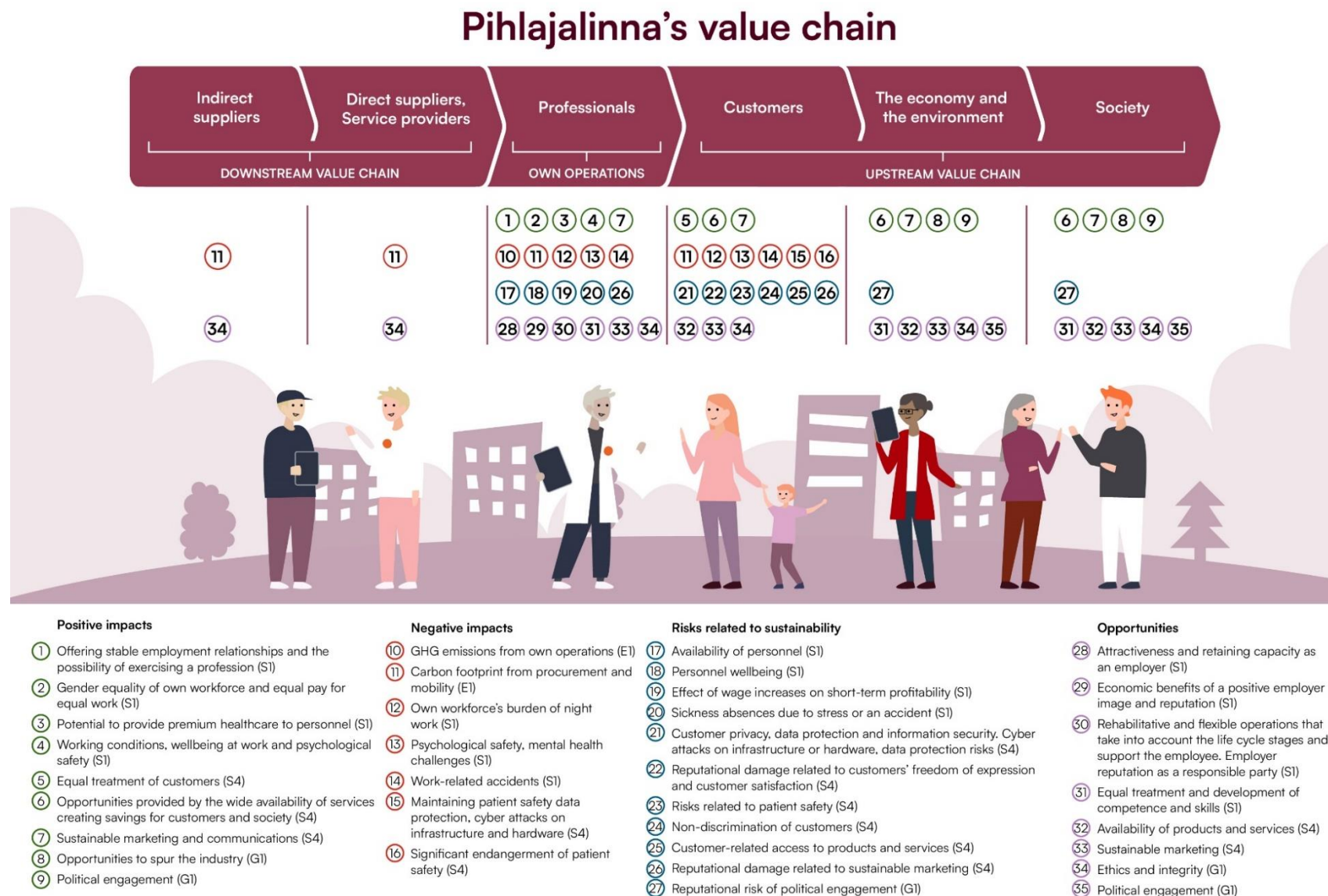


Impact and value creation





Pihlajalinna's value chain is described in the figure below. The figure shows the main features of the upstream and downstream value chain and Pihlajalinna's position in the value chain.





Interests and views of stakeholders (SBM-2)

Pihlajalinna is a significant operator in social and healthcare services sector in Finland. The Group has various stakeholders whose expectations it aims to meet through open dialogue. Engagement with different stakeholders is ensured with diverse communication channels. Key stakeholders include insurance companies, businesses, consumers and the public sector. With highly competent and professional personnel, Pihlajalinna can respond to the expectations of other stakeholders. Operating in the social services and healthcare sector requires close engagement with the public authorities, decision-makers and industry organisations. In addition, as a listed company, Pihlajalinna creates value for its shareholders and engages in open dialogue with the media.

Pihlajalinna engages in active dialogue with various industry participants in meetings and through its own channels. Pihlajalinna is a member of the Finnish Association of Private Care Providers (HALI), which represents companies and organisations that produce social and healthcare services. HALI is a member of the Confederation of Finnish Industries EK. Pihlajalinna is also a member of the industry association Lääkäripalveluyhdistys LPY.

Pihlajalinna has not changed its business or strategy on the basis of the stakeholder analysis during the reporting year, but aims to better consider the results going forward. Administrative, management and supervisory bodies are informed of the views of the affected stakeholders and the company's sustainability-related impacts by the Executive Vice President, Communications and Sustainability, Sustainability Manager and managers of different functions, such as HR.

Pihlajalinna's own personnel is the most essential group of the affected stakeholders. Pihlajalinna actively listens to its personnel. The Group's extensive personnel survey is carried out once a year and it is an important tool for assessing, monitoring and developing the wellbeing and practices of the work community, as well as for dialogue between personnel and supervisors. The broad personnel survey is supplemented with lighter mini-pulse surveys carried out regularly. In addition, there is a separate DEI survey in place. The results are used in both Group-level decision-making and development and at the team level. Pihlajalinna has used the open-ended feedback from the personnel survey as part of planning for the coming strategy period. The perceptions of professionals working at Pihlajalinna about the company itself are monitored not only through a dedicated survey but also in regularly organized professional evenings. Pihlajalinna

Stakeholder	Interests and views of stakeholders	Purpose and development areas	Engagement channels
Private individuals	High-quality and effective treatment and care Skilled and professional healthcare personnel Diverse remote services Smooth appointment booking and service use Reliability and data protection	Professional skills and training of the personnel Developing multi-channel services Extensive and up-to-date data processing and information security Quality certifications	Interaction in services Customer service channels Customer satisfaction surveys Feedback channels Social media
Customer organisations: wellbeing services counties, public sector entities, insurance companies and businesses	Effective referral for treatment Cost control High-quality and effective services Data protection and information security Partnership models	Professional skills and training of the personnel Adequate resources Continuous development of remote channels Providing solutions to the changes in the operating environment Impact-based treatment and service models	Personal interaction Customer service channels Customer satisfaction surveys
Personnel and practitioners	Clear job descriptions and targets Excellent leadership and supervisory work Collaboration in statutory employer-employee cooperation Management of wellbeing at work and occupational safety and health Equality in all operations High-quality tools First-class facilities Motivating remuneration model	Target-setting and development discussions at the individual and team level Development of leadership and supervisory work Active communication and dialogue Personnel, non-discrimination and equality policies Development of tools	Personal interaction Personnel briefings Target-setting and development discussions Training and coaching Intranet Pihlis Pulse personnel survey Statutory employer-employee cooperation, occupational safety and health meetings and Kimpassa forum Pihlajalinna Academy training portal Anonymous whistleblowing channel HSE Lite occupational safety and health notification system
Shareholders	The company's strategic management and increasing shareholder value Transparent and regular communication Sharing of understanding regarding changes in the operating environment and their impacts Risk management Development of sustainability Up-to-date and reliable financial reporting	Good leadership, promoting profitability and growth Consistent strategy and a goal-driven roadmap Active communication on the development and progress of business and strategy Extensive scanning and analysis of the operating environment A comprehensive risk management process Progression of sustainability efforts	Quarterly and annual reporting Quarterly results release webcasts Stock exchange releases and website IR meetings General Meeting
Media	Reliability, openness, timeliness and speed of communication	Quick responses to media requests Assigning the right experts to interviews Active dialogue Communication resources and ensuring professional competence Disclosure policy Trained spokespersons	Stock exchange releases and media releases E-mails and phone calls Social media Media meetings
The public authorities and industry organisations	Smooth cooperation that promotes the industry's common goals Broad sharing of expertise	Open dialogue on topics related to the industry Cooperation with the public authorities Sharing current themes and ideas	Websites Participation in networks Responding to requests for information Personal meetings

respects its employees' right to unionisation and develops cooperation based on trust and openness with employee representatives.

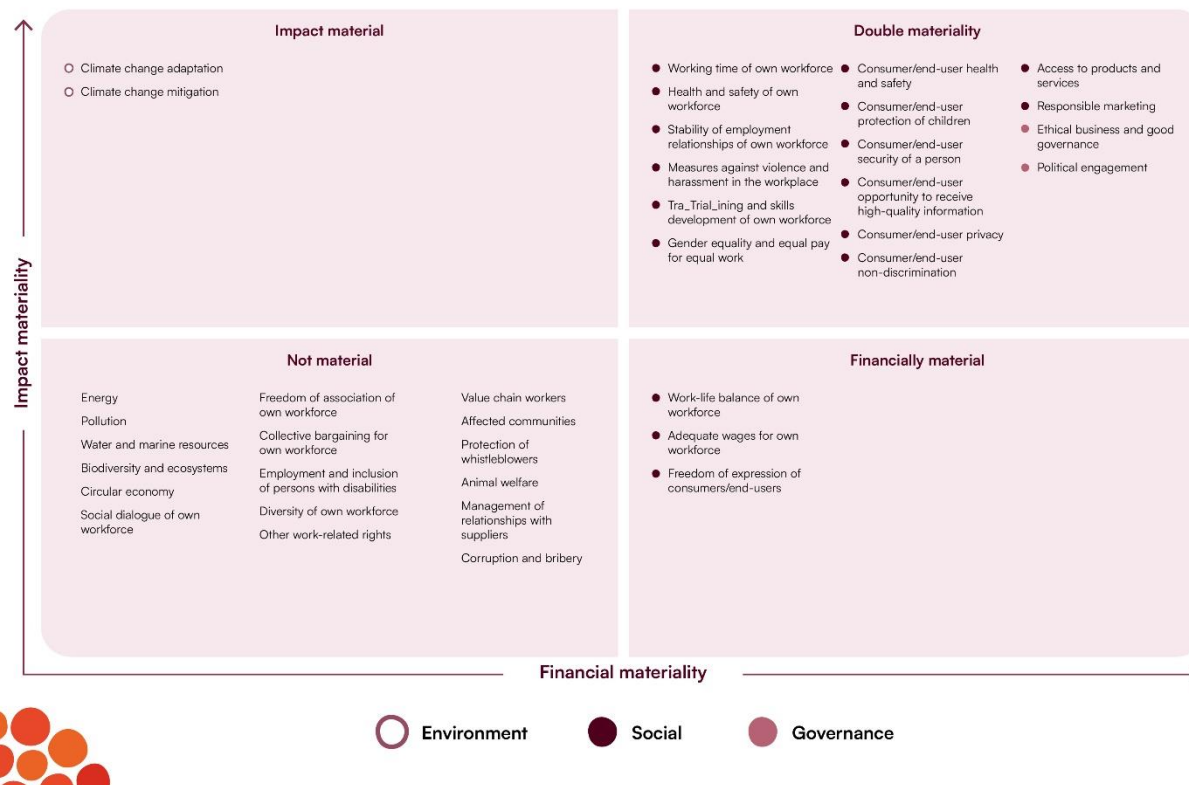
Material sustainability topics in Pihlajalinna's activities and their link with the strategy (SBM-3)

The material impacts, risks and opportunities identified in Pihlajalinna's double materiality assessment are presented with the ESRS standards E1 (Climate change), S1 (Own workforce), S4 (Consumers and end-users) and G1 (Business conduct) in this sustainability statement.

Pihlajalinna operates only in Finland, so all of the impacts are concentrated in Finland. Primarily, the impacts take place in a similar manner in all facilities, but there is slight variation depending on whether they are an office, private clinic, hospital, service housing unit or a fitness centre. For example, worker stress occurs the most in care activities, not so much in ordinary office work. The impacts related to end-users materialise in both remote and on-site services. Climate (E1) and governance (G1) themes affect all of the Group's activities in a similar manner. Pihlajalinna's resilience analysis will be carried out in the coming financial years in connection with strategy updates. In the first reporting year under ESRS, Pihlajalinna has assessed the ability of its strategy and business model to address material sustainability-related impacts and risks and, on the other hand, its ability to exploit material opportunities as part of the sustainability reporting process.

Based on the results of the double materiality analysis, Pihlajalinna's material sustainability impacts are presented in the attached materiality matrix.

Pihlajalinna's materiality matrix





Climate change (E1)

The double materiality assessment identified essential, actual negative impacts related to climate change adaptation and mitigation in Pihlajalinna's own operations and at the beginning and end of the value chain. Due to the nature of Pihlajalinna's business no significant risks have been identified related to climate change adaptation or mitigation. The Group's resilience related to climate change and climate change adaptation has been estimated to be high. The current and foreseen impacts of the material climate change impacts, risks and opportunities do not influence Pihlajalinna's strategy and business model, and they do not have significant financial effects. A more detailed climate change scenario and resilience analysis will be conducted in future financial years.

Pihlajalinna's aim is to reduce carbon dioxide emissions, improve energy efficiency and develop dialogue with stakeholders, as well as to create targets and measures with supplier partners to reduce emissions from procurement.

Climate change adaptation and mitigation

Pihlajalinna's own environmental footprint causes negative impacts on the climate, and no actual mitigation and adaptation measures have been taken yet. Greenhouse gas emissions from, for instance, procurement, as well as personnel and customer travel as a result of business activities have a negative impact on the climate and environment and hinder climate change mitigation. The long supply chains required by the business are exposed to for example various weather-related events caused by climate change and hinder climate change adaptation.

The impacts are caused throughout the value chain. Business operations generate emissions with long supply chains, for example, with regard to products used in healthcare. The strategy to grow business activities also indirectly drives emissions to increase.

Own workforce (S1)

Pihlajalinna's material impacts concern own workforce, covering workers and self-employed practitioners and any temporary workforce. The presence of material negative impacts concerning own personnel is associated with impacts typical of the industry, such as occupational safety, working hours and wellbeing at work. In addition, there are negative impacts related to individual events. Pihlajalinna operates in a target-oriented manner in a growing and changing operating environment in which maintaining personnel resources, skills

and wellbeing is of paramount importance. The change in the industry and fast growth of business can have a potential negative impact on workers' wellbeing and working hours, among other things. These potential negative impacts affect workers in own operations. The overall workload in healthcare is typically high for the industry and can place an additional burden on personnel and resources. Pihlajalinna's resilience is assessed as high and preparing for potential changes and risks typical for the industry is part of the continuous monitoring and improvement of operations.

As part of the human rights risk assessment, Pihlajalinna has developed its understanding of the special groups of personnel that may face negative impacts. Special groups included in Pihlajalinna's own workforce include young workers and workers belonging to special groups or minorities, who may be more exposed to impacts on their physical and mental development. Such impacts may include psychosocial workload factors, which refer to the features or characteristics of the duties, work dimensioning and design, working arrangements and management that may cause harmful stress on the worker. Psychosocial workload factors are not individual problems, rather they concern all workers. Special groups that may be subject to occupational safety risks due to the nature of their duties are also typical of the sector. In addition, special groups include migrant workers and workers poorly familiar with their own rights who possibly do not have the capability or competence to use external help when needed, for example in recruitment processes or other employment-related matters. Pihlajalinna operates in Finland and does not have direct activities in areas with significant risks related to forced labour. Pihlajalinna has, to a minor extent, international recruitment activities that could be subject to the risk of forced labour.

Pihlajalinna operates an anonymous whistleblowing channel in case of harassment and an operating model for any incidents.

Working conditions

Pihlajalinna's actual positive impact on working conditions is connected to workers' job satisfaction, safety, adequate wages and wellbeing. Pihlajalinna invests in high-quality supervisory work, and the personnel also have access to flexible working hour arrangements, such as flexible working hours and high-quality occupational healthcare. As an expert in the field, Pihlajalinna can offer its personnel premium healthcare. Working environment-related risks are regularly assessed and addressed, if necessary. Adequate wages can reduce workers' financial worries, which may have a potential positive impact on the personnel.

An actual negative impact, on the other hand, is related to heavy night work, which burdens part of the personnel, and accidents caused by violent situations in customer work. Work-life balance involves potential negative impacts due to work-related stress. Potential negative impacts have also been observed in the personnel's psychological sense of safety and mental health. In addition, there are potential negative impacts associated with medical devices, such as the release of helium. These impacts materialise in the Group's own activities in the short term. Working conditions have an indirect impact on business, as workers who feel good are more productive. Optimising the cost structure, on the other hand, can take away benefits and increase stress in the personnel.

Ensuring the working conditions and wellbeing, as well as health and safety of the personnel is also significant from the point of view of financial risks and opportunities. Stress or accidents can result in long-term sickness absences.

Maintaining competitive pay causes costs and can affect short-term profitability. On the other hand, good remuneration is an appeal and retention factor and increases work motivation. Seeing to working conditions results in longer careers and higher productivity. Taking care of the personnel and activities that support workers open up financial opportunities, creating a positive employer image and improving the reputation. Pihlajalinna's climate road map measures have not been identified as having negative impacts on the personnel.

These risks and opportunities materialise in own operations.

Equal treatment and opportunities

Pihlajalinna's material sustainability matters regarding our own workforce are mainly positive and materialise in the short or medium term. The measures focus particularly on workers' working conditions, wellbeing at work and psychological safety. Based on the personnel surveys, workers feel that their work is meaningful, and they are appreciated, their job satisfaction has improved and they have good opportunities for learning and development. Particular attention is paid to work-life balance, adequate wages and equal opportunities. These factors together support job satisfaction and the psychological safety of workers.

Pihlajalinna has an actual positive impact on equal opportunities for the personnel through on-the-job learning and development opportunities. Pihlajalinna provides its personnel with equal and equitable opportunities for training and competence development. Each worker



undergoes an annual development discussion. At Pihlajalinna, competence development primarily involves on-the-job learning, the sharing of internal knowledge and training. The majority of on-the-job learning takes place through actual work and interaction with others. Practical tools also include onboarding and induction, team-specific and personal target and development discussions, independent studying, mentoring, work guidance and job rotation. Professional training is provided by both Pihlajalinna's own experts and external training providers. In annual target-setting and development discussions, an individual competence development plan is drafted for each employee.

Efforts towards equality also include equal pay. The remuneration of the personnel is based on collective agreements and each employee's responsibilities, competence and adherence to the principles of equal treatment. Gender has no impact on pay. Pihlajalinna's most recent pay survey was conducted in September 2024. The pay survey reviewed the breakdown of men and women in different positions, pay and pay gaps. The salary comparison did not indicate that there would be gender-related pay differences between men and women.

These impacts materialise in the Group's own activities in the short term.

Equality does not have significant interaction with strategy or business, but equality can support work motivation and productivity and thereby business. Maintaining equal pay is an appeal and retention factor and increases work motivation, thereby providing a positive opportunity. Seeing to equality and operating in a manner that equally supports all workers opens up financial opportunities, creates a positive employer image and builds reputation. This opportunity materialises in own activities.

Consumers and end-users (S4)

Material risks and opportunities affecting consumers and end users were identified as having financial impacts on Pihlajalinna's financial position, results and cash flows.

Information-related impacts for consumers and end-users

In conjunction with its personnel, Pihlajalinna produces and distributes information about social and healthcare themes significant to society. This has an actual positive impact on customers. There are actual negative impacts related to customers' privacy, such as patient safety and data protection, but no severe incidents were identified during the reporting year. In addition, a potential negative impact is related to cybersecurity threats to infrastructure and equipment,

which may compromise the availability, confidentiality and integrity of systems. These materialise in the short term in the Group's own activities.

At Pihlajalinna, the purpose of data protection and the management of information security is to ensure the secure processing of all of Pihlajalinna's data, particularly patient and personal data, as well as the protection of the privacy of patients and customers. Pihlajalinna has enhanced cooperation between the data protection and information security teams by establishing a cross-functional cooperation group that meets regularly. Pihlajalinna also has a cyber security development plan in place that guides the development of information security and the monitoring of the targets set for it. The management of information security aims to ensure the integrity, confidentiality and availability of information. Pihlajalinna has an external Security Operations Centre (SOC) that ensures the continuous monitoring of the organisation's information security and identifies and responds to information security threats and deviations in order to protect the organisation's information systems and data.

The strategy does not directly interact with privacy or the availability of information, but as a healthcare group Pihlajalinna's business model closely interacts with privacy, as it has to collect customers' health data, for example, as part of the day-to-day customer service work of hospitals and private clinics.

Significant financial risks were also identified in relation to customer privacy, data protection and information security, as well as the ability to obtain high-quality information. Most significant risks include cyber threats against infrastructure or hardware and resulting reputational damage and potential liability for damages. The risks can materialise in Pihlajalinna's own activities and downstream value chain in the short and medium term.

Personal health and safety of consumers and end-users

Pihlajalinna has a positive impact on customers' health and safety by offering diverse general practitioner and medical specialist services. Pihlajalinna has a comprehensive network of hospitals and private clinics, remote services and extensive diagnostics services. The Group produces actual positive impacts on various stakeholders, such as health benefits to private customers through quick access to treatment and savings to society and employers. Pihlajalinna aims for an excellent customer experience in all of its services. In addition physical patient safety is at a strong level.

A potential risk is related to physical patient safety, reputational damage and possible liability for damages. These are regularly assessed and taken into account in conjunction with the risk mapping and human rights risk assessment. There are actual negative impacts related to customers' privacy and child protection, for example, in relation to patient safety and data protection. The impacts are identified by the number of reminders, complaints and patient injury notices. In 2024, there were no cases of patient injury subject to compensation. In addition, both subtopics involve potential negative impacts through cyber-attacks. Pihlajalinna develops cyber security in accordance with the set targets. These impacts materialise in the Group's own activities in the short term.

As a healthcare company, Pihlajalinna's operating model is linked to customers' health and safety, privacy protection and child protection. Expanding and developing remote services strengthen customer inclusion and also interact with the strategy. In addition good practices can support responsible business conduct and reduce the risks arising from dependencies related to consumers and end-users.

Social inclusion of consumers and end-users

Customers' social inclusion is at the heart of Pihlajalinna's activities and involves several actual positive impacts. Customers' equality can be increased by improving the availability of services with remote services even in locations where the required on-site services are not available. This helps the public service system and thereby society as a whole. As a social and healthcare services provider and listed company, transparent, timely and reliable communications to stakeholders are particularly important to Pihlajalinna and also constitute an actual positive impact. The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge, and they are seen as an actual positive impact. The impacts materialise in Pihlajalinna's own activities in the short term.

The strategy and business activities do not have a direct impact on customers' social inclusion, but good practices in marketing, accessibility and non-discrimination of customers can support business operations. Reputation can cause both financial risks and opportunities. The risk would materialise in the Group's own activities.

Business conduct (G1)

The material risks and opportunities of this topical standard were not identified as having significant financial effects on Pihlajalinna's financial position, performance and cash flows.



Corporate culture

Pihlajalinna has an actual positive impact on corporate culture, and the Group consistently builds it by strengthening leadership and managerial skills as well as work community skills. Moreover, Pihlajalinna complies with the current legislation, the orders issued by authorities and the rules and regulations applicable to listed companies and trains its personnel. This has a positive impact on society.

The policies applied in Pihlajalinna's own activities are documented in the Code of Conduct and the anti-corruption and anti-bribery policy. Training on the Code of Conduct is mandatory for all Pihlajalinna personnel, including practitioners, and it is part of Pihlajalinna's induction training programme. Supervisors' capabilities to address problems are developed through training. Pihlajalinna also has internal controls and a confidential whistleblowing channel in place for reporting misconduct and problems in the organisation. The impacts materialise in the Group's own activities and downstream value chain in the short term. Ethical business conduct has a positive impact on business relationships, such as smaller industry companies, in the value chain.

Sustainable business and a strategy that takes into account the needs of the entire personnel can have a positive impact on corporate culture. No direct impact was observed with the current strategy. The sub-topic is taken into account as an opportunity, as ethical business conduct increases trust among stakeholders. Different stakeholders, such as investors, partners, employees and customers, are of primary importance with regard to ensuring profitable business. Trust can increase share value, enable financing packages on better terms, improve the availability of workers, and enhance customer acquisition and retention. The opportunities can materialise in the Group's own activities and downstream value chain.

Political engagement

Pihlajalinna has an actual positive impact on political engagement. Pihlajalinna actively monitors legislation and its preparation, as well as political dialogue in general. Pihlajalinna has a long tradition of developing the possibilities of public social and healthcare in cooperation with various parties, such as the current wellbeing services counties. Pihlajalinna adapts operating practices in accordance with legislation. The Group also observes ethical policies in political engagement. Pihlajalinna is registered in the Finnish Transparency Register to ensure the transparency of lobbying activities. Pihlajalinna only en-

gages in lobbying in Finland. The Group does not support political parties or their members. The impacts materialise in own activities in the long term.

Political engagement can have a positive impact on business. One of the strategic focus areas of Pihlajalinna is to operate as a partner of public healthcare and thereby ensure operating prerequisites in public healthcare. Political engagement can contribute to a more favourable legislative framework for private healthcare organisations and thus generate economic benefits. The sub-topic is seen as an opportunity, although it can also involve reputational risk in conjunction with political influence. Both the risks and opportunities can materialise in the Group's own operations.

The following were assessed to be non-material topics:

- ESRS E2 Pollution
- ESRS E3 Water and marine resources
- ESRS E4 Biodiversity and ecosystems
- ESRS E5 Resource use and circular economy
- ESRS S2 Workers in the value chain
- ESRS S3 Affected communities

As part of the double materiality analysis, Pihlajalinna identified impacts, risks and opportunities, taking into account the Group's location, activity, sector and the structure of the business. Pihlajalinna's operating area is Finland. Pihlajalinna provides social and healthcare services and fitness centre services. The Group's own operations are not linked to major water withdrawal, extraction of natural resources such as mining or deterioration of habitats through agriculture, forestry or construction. The amount of waste generated in operations is estimated to be non-material in the double materiality assessment, and this has also taken into account the hazardous waste generated in health service operations.

Pihlajalinna's operating locations are located in Finland, in city centres and urban environments, in buildings which are primarily in office and commercial use. Pihlajalinna does not engage in own production, property development activities or agriculture and forestry. The impacts on pollution, water and marine resources, deterioration of natural habitats and the habitats of species are potential in the upstream value chain, but Pihlajalinna has not become aware of significant environmental impacts related to the supply chain. The impacts described above have been considered to be minor in the materiality

assessment stage, and no remedial action related to biodiversity have been found to be necessary.

Process to identify and assess material impacts, risks and opportunities (IRO-1)

As part of the double materiality analysis, Pihlajalinna identified impacts, risks and opportunities, taking into account the Group's location, activity, sector and the structure of the business. Pihlajalinna operates in Finland, and it is one of the leading private social and healthcare service providers in Finland. The Group offers comprehensive private clinic and hospital services, as well as occupational healthcare and insurance cooperation services. In addition, the Group offers social and healthcare service production models for wellbeing services counties.

In 2023, Pihlajalinna conducted a double materiality assessment in accordance with the requirements of the ESRS and reports on material sustainability matters from 2025, using the data for 2024. The analysis has used EFRAG guidelines and a clear process that includes an accurate scoring logic and prioritises material sustainability topics with experts. Material topics are classified into environmental, social and governance themes in accordance with the ESRS.

The double materiality analysis was comprised of several stages. The preliminary assessment screened the potential sustainability matters on the basis of ESRS and scientific research, and narrowed the topics down to a short list assessed by experts. The material sustainability topics identified in the assessment have been described and their materiality have been assigned numerical values using the materiality assessment calculation model described in the ESRS 1 standard.

The DMA process identified impacts, risks and opportunities which cover Pihlajalinna's own operations as well as upstream and downstream value chains. The materiality assessment did not focus on specific activities, business relationships or geographical areas; instead, it covered all own activities and the value chain. The impacts caused by the Group's own operations and value chain have been assessed separately for each topic. The calculation matrix includes a separate column to identify the stage of the value chain in which the impact is caused: downstream and/or upstream. The impact can thus be a consequence of either own activities and/or different stages of the value chain. Thus, the assessment takes into account impacts in which the undertaking is involved through its own operations or as a result of its business relationships.



Collecting stakeholder insight was an important part of the double materiality analysis, supplementing the understanding of the impacts on stakeholders and the kind of information expected by stakeholders as the basis of their own decision-making. Pihlajalinna actively engages with stakeholders, in addition to which a stakeholder survey was conducted as part of the analysis to obtain a deeper and more accurate insight into the views and expectations of stakeholders. In addition to the Group's own personnel, the stakeholders that responded to the survey included customers, customer organisations, practitioners, shareholders, public authorities and decision-makers, partners and media.

After the preliminary assessment and stakeholder consultation, an expert assessment was carried out to identify and assess the impacts of Pihlajalinna on nature and society through the sustainability issues selected for the "short list", as well as the risks and opportunities arising from these impacts and from nature and society (double materiality). The results of the expert assessment were discussed with Pihlajalinna experts in a workshop and a double materiality assessment was conducted based on it, identifying the sustainability themes material to Pihlajalinna. Pihlajalinna's Board of Directors has approved the choice of material topics, and the Group's sustainability reporting is verified by KPMG.

The materiality assessment has been prepared in accordance with the requirements of ESRS 1, and it uses the criteria and time horizons provided by the standard. Based on the pre-screening, the materiality assessment defined which topics are probably material, and a numerical assessment was made for them. Impact materiality and financial materiality have been assessed for each topic. In assessing the materiality of a negative impact, its scale, scope and irremediable character were assessed, which combined make up the severity of the impact. The average severity of the impact is calculated based on this severity by dividing it by three. The average of severity is multiplied by probability, which results in the final impact materiality value between 0 and 5.

A value of 3 has been used as the threshold. If the impact value of a positive impact is equal to or higher than 3 or the materiality of a negative impact is equal to or higher than 3, the topic is material. The topics have not been directly listed in order of priority, but the order can be seen based on the values. Positive impacts have not been listed in order of priority with regard to relative scope and probability, but the order can be seen in the assessment matrix. The more detailed criteria are tabulated below.

With regard to material themes, it has been assessed how the identified negative and positive impacts can influence risks and opportunities arising from sustainability. Based on the assessment, material impacts and risks related to sustainability topics have been identified. Dependencies have typically been assessed for different sustainability matters from different perspectives, i.e. there can be dependencies with regard to personnel, economy and the environment, and they were taken into account in the assessment for the pre-screened topics. In addition, a consultation with the stakeholders was carried out at a general level in order to understand how the effects of the impacts will be targeted. For the time being, sustainability-related risks have not been listed in order of priority relative to other risks.

The financial effects of risks and opportunities and the likelihood of the materialisation of the risks are also assessed in accordance with ESRS 1. The financial assessment has considered the business risks and opportunities of different sustainability matters and topics in monetary amounts; the assessment has been verified by external experts. The financial significance was first assessed on a scale of 0–5 and then multiplied by the likelihood, which then yielded the final estimate of materiality. The threshold was 3 here as well.

Decision-making process

Pihlajalinna implemented the materiality assessment in cooperation with external experts. Pihlajalinna's Board of Directors approved the materiality result.

Impacts, opportunities and risks as part of risk management and management processes

Pihlajalinna has not yet incorporated the impact, risk and opportunities identification, assessment and management process into the general risk management process or used it for assessing the general risk profile and risk management processes. Pihlajalinna's impact, risk and opportunity identification, assessment and management process has been developed during the past financial year. The risk management process has covered the identification and assessment of impacts with regard to business risk assessment, human rights risk assessment and double materiality assessment as part of the big picture. These areas will be harmonised with the Group's general risk management process during future financial years. The opportunity identification, assessment and management process was not yet incorporated into the general management processes during the reporting year.

Level of detail, sources and follow-up of the materiality assessment

The first materiality assessment was reviewed generally at the standard level, and with regard to the key topics, the impacts were detailed further to the sub-topic and sub-sub-topic level and their materiality assessment was calculated. In subsequent years, Pihlajalinna will deepen the assessment at the level of sub-topic, sub-sub-topic as well as individual impacts, and more thoroughly in its value chain. Pihlajalinna has used the science-based and generally accepted Sixth Assessment Report of the IPPC (2023) as its primary data source as well as sector-specific sources but intends to use sources even more comprehensively going forward. The process of identifying material impacts, risks and opportunities has not changed compared to the previous reporting period, as Pihlajalinna is reporting for the first time in accordance with the European Sustainability Reporting Standards (ESRS) for 2024. The double materiality analysis will be specified further and updated during 2025.

Description of the processes to identify and assess material impacts, risks and opportunities (G1 IRO-1)

Pihlajalinna Group has a business risk management plan in place. The Group has a risk management network owned by the Chief Medical Officer, and the chief administrative physician coordinates its management. The network comprehensively includes persons in managerial positions at different Group functions. Pihlajalinna has surveyed the impacts, risks and opportunities, as well as risk management practices and tools and the content of the ISO quality management standards regarding risk management. The risk management principles and policy have been prepared based on them.

Pihlajalinna's risk management network annually submits the risk management policy to the Group Management Team, which presents the matter to the Group's Board of Directors. The Pihlajalinna Board of Directors has approved the Risk Management Policy and the risks and opportunities annually presented by the Management Team. The Risk Management Policy defines the content, goals, operating methods, principles and responsibilities of Pihlajalinna's risk management. The results of the regularly conducted risk analysis are reviewed by the Group Management Team. Within the risk management network, there is a working group that works with risk management and plans the measures for risk management and its implementation.



As the risk management framework, Pihlajalinna uses the risk classification widely used in social and healthcare services, which defines the external and internal risks as well as risks caused to third parties. In addition, the customer, professional, health, finances and environment are at the heart in accordance with Pihlajalinna's value creation model. The impact assessment of risks uses a five-step likelihood assessment that is reflected on the five-step risk impact scale in the theme's finances, reputation, customer, personnel and data protection. The risk management measures and risk owners are always identified as part of the risk work to ensure risk management in the area of each operational responsibility. Risk management at Pihlajalinna has traditionally been carried out at the Group, business unit, service and process level. The key risks and disturbances are regularly identified and assessed, and continuity plans have been prepared for them so that if the risk materialises, Pihlajalinna's operations will continue with minimum disturbance.

The goal of Pihlajalinna's risk management is to promote the achievement the Group's strategic and operational targets, share-holder value, the Group's operational profitability and the realisation of responsible operating practises. Risk management seeks to ensure that the risks affecting the Group's business operations are known, assessed and monitored. Risk management also includes practical measures and real-time monitoring to anticipate risks and mitigate or reduce their adverse impacts.

The Group's general risk management principles have been approved by the Board of Directors. The Group's Chief Financial Officer, in conjunction with the operative management, is responsible for identifying financial risks and for practical risk management. The goal of the Group's financial risk management is to ensure sufficient liquidity, minimise financing costs and regularly inform the management about the Group's financial position and risks.

Description of the processes to identify and assess material climate-related impacts, risks and opportunities (E1 ERS2 IRO-1)

Pihlajalinna Group's impacts on climate change and GHG emissions are described in section E1-6: Gross Scope 1, 2, 3 and total GHG emissions. The double materiality analysis identified Pihlajalinna's impacts on environment and society. The assessment took into account the special characteristics of Pihlajalinna's business model and value chain. Identified negative impacts include GHG emissions from the Group's own operations, sustainability of the supply chain and environmental footprint caused by personnel and customer travel and procurement. Due to the nature of Pihlajalinna's business activities, no significant risks related to climate change adaptation or mitigation have been identified. A scenario and resilience analysis related to the business impacts of climate-related physical and transition risks, identifying the risks and related management methods and operational impacts more comprehensively, will be carried out during subsequent financial years.



List of disclosure requirements in ESRS (IRO-2)

Datapoints in cross-cutting and topical standards that derive from other EU legislation

The table below presents the datapoints of ESRS 2 and topical ESRSs derived from other European Union (EU) legislation in accordance with ESRS 2, Appendix B. The table indicates the location of the material datapoints in the sustainability statement and which datapoints are not material.

Disclosure requirement	Datapoint	SFDR reference	Pillar 3 reference	Climate Benchmark Standards Regulation reference	EU Climate Law reference	Materiality
ESRS 2 GOV-1	21 d	Board's gender distribution		X		Roles of senior management in sustainability management (GOV-1)
ESRS 2 GOV-1	21 e	Percentage of board members who are independent		X		Roles of senior management in sustainability management (GOV-1)
ESRS 2 GOV-4	30	Statement on due diligence				Statement on sustainability due diligence (GOV-4)
ESRS 2 SBM-1	40 d i	Involvement in activities related to fossil fuel activities	X	X		Non-material
ESRS 2 SBM-1	40 d ii	Involvement in activities related to chemical production	X	X		Non-material
ESRS 2 SBM-1	40 d iii	Involvement in activities related to controversial weapons	X	X		Non-material
ESRS 2 SBM-1	40 d iv	Involvement in activities related to cultivation and production of tobacco		X		Non-material
ESRS E1-1	14	Transition plan to reach climate neutrality by 2050			X	Transition plan for climate change mitigation (E-1)
ESRS E1-1	16 g	Undertakings excluded from Paris-aligned Benchmarks		X		Transition plan for climate change mitigation (E-1)
ESRS E1-4	34	GHG emission reduction targets	X	X		Targets related to climate change mitigation and adaptation (E1-4)
ESRS E1-5	38	Energy consumption from fossil sources, disaggregated by source (only high climate impact sectors)	X			Non-material
ESRS E1-5	37	Energy consumption and mix	X			Energy consumption and mix (E1-5)
ESRS E1-5	40-43	Energy intensity associated with activities in high climate impact sectors	X			Non-material
ESRS E1-6	44	Gross Scopes 1, 2, 3 and Total GHG emissions	X	X		Gross Scopes 1, 2, 3 and total GHG emissions (E1-6)
ESRS E1-6	53-55	Gross GHG emissions intensity	X	X		Gross Scopes 1, 2, 3 and total GHG emissions (E1-6)
ESRS E1-7	56	GHG removals and carbon credits			X	Non-material
ESRS E1-9	66	Exposure of the benchmark portfolio to climate-related physical risks		X		Transitional provision applied
ESRS E1-9	66 a 66 c	Disaggregation of monetary amounts by acute and chronic physical risk; Location of significant assets at material physical risk		X		Transitional provision applied



ESRS E1-9	67 c	Breakdown of the carrying value of its real estate assets by energy-efficiency classes	X	Transitional provision applied
ESRS E1-9	69	Degree of exposure of the portfolio to climate-related opportunities	X	Transitional provision applied
ESRS E2-4	28	Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil	X	Non-material
ESRS E3-1	9	Water and marine resources	X	Non-material
ESRS E3-1	13	Dedicated policy	X	Non-material
ESRS E3-1	14	Sustainable oceans and seas	X	Non-material
ESRS E3-4	28 c	Total water recycled and reused	X	Non-material
ESRS E3-4	29	Total water consumption in m3 per net revenue of own operations	X	Non-material
ESRS 2 SBM3 - E4	16 a i	Activities negatively affecting biodiversity-sensitive areas	x	Non-material
ESRS 2 SBM3 - E4	16 b	Material negative impacts with regards to land degradation , desertification or soil sealing	x	Non-material
ESRS 2 SBM3 - E4	16 c	Operations that affect threatened species	X	Non-material
ESRS E4-2	24 b	Sustainable land / agriculture practices or policies	X	Non-material
ESRS E4-2	24 c	Sustainable oceans / seas practices or policies	X	Non-material
ESRS E4-2	24 d	Policies to address deforestation	X	Non-material
ESRS E5-5	37 d	Non-recycled waste	X	Non-material
ESRS E5-5	39	Hazardous waste and radioactive waste	X	Non-material
ESRS 2 – SBM-3 – S1	14 f	Risk of incidents of forced labour	X	Material sustainability topics in Pihlajalinna's activities and their interaction with strategy (SBM-3)
ESRS 2 – SBM-3 – S1	14 g	Risk of incidents of child labour	X	Material sustainability topics in Pihlajalinna's activities and their interaction with strategy (SBM-3)
ESRS S1-1	20	Human rights policy commitments	X	Policies
ESRS S1-1	21	Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions	X	Policies
ESRS S1-1	22	Processes and measures for preventing trafficking in human beings	X	Policies
ESRS S1-1	23	Workplace accident prevention policy or management system	X	Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)
ESRS S1-3	32 c	Grievance/complaints handling mechanisms	X	Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)



ESRS S1-14	88 b, c	Number of fatalities and number and rate of work-related accidents	X	X	Health and safety metrics (S1-14)
ESRS S1-14	88 e	Number of days lost to injuries, accidents, fatalities or illness	X		Transitional provision applied
ESRS S1-16	97 a	Unadjusted gender pay gap	X	X	Compensation metrics (S1-16)
ESRS S1-16	97 b	Excessive CEO pay ratio	X		Compensation metrics (S1-16)
ESRS S1-17	103 a	Incidents of discrimination	X		Incidents, complaints and severe human rights impacts (S1-17)
ESRS S1-17	104 a	Non-respect of UNGPs on Business and Human Rights principles and OECD guidelines	X	X	Incidents, complaints and severe human rights impacts (S1-17)
ESRS 2 – SBM-3 – S2	11 b	Significant risk of child labour or forced labour in the value chain	X		Non-material
ESRS S2-1	17	Human rights policy commitments	X		Non-material
ESRS S2-1	18	Policies related to value chain workers	X		Non-material
ESRS S2-1	19	Non-respect of UNGPs on Business and Human Rights principles or OECD guidelines	x	x	Non-material
ESRS S2-1	19	Due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions		X	Non-material
ESRS S2-4	36	Human rights issues and incidents connected to upstream and downstream value chain paragraph 36	X		Non-material
ESRS S3-1	16	Human rights policy commitments	X		Non-material
ESRS S3-1	17	Non-respect of UNGPs on Business and Human Rights, ILO principles or OECD guidelines	X	X	Non-material
ESRS S3-4	36	Human rights issues and incidents	X		Material
ESRS S4-1	16	Policies related to consumers and end-users	X		Management and policies related to material topics (S4-1)
ESRS S4-1	17	Non-respect of UNGPs on Business and Human Rights principles or OECD guidelines	X	X	Management and policies related to material topics (S4-1)
ESRS S4-4	35	Human rights issues and incidents	X		Actions (S4-4)
ESRS G1-1	10 b	United Nations Convention against Corruption	X		Policies
ESRS G1-1	10 d	Protection of whistle-blowers	X		Non-material
ESRS G1-4	24 a	Fines for violation of anti-corruption and anti-bribery laws	X	X	Non-material
ESRS G1-4	24 b	Standards of anti-corruption and anti-bribery	X		Non-material



Table: Management of Pihlajalinna's material impacts, risks and opportunities (IRO)

E1 Climate change						
Sustainability matter	Impacts, risks and opportunities (IRO)		Impact area	Time horizon	Stage of the value chain and stakeholder	Management lever
Climate change adaptation	GHG emissions from own operations, sustainability of value chains, environmental footprint, tax footprint. The emissions from Pihlajalinna's own operations are caused by business, business travel and energy consumption of facilities, among others. The emissions generated have an actual negative impact on environment.	Actual negative impact	Widespread	Medium term	All / Environment, society	Improving the quality of emissions accounting data makes it possible to target effective measures more accurately. Approving the climate road map (based on the SBTi framework) and managing and monitoring the impact of measures.
Climate change mitigation	GHG emissions caused by customers' and workers' travel and procurement	Actual negative impact	Widespread	Short	Upstream value chain, downstream / Environment, society	Strengthening remote services reduces emissions from customers' travel. Maintaining stakeholder dialogue with supplier partners to reduce emissions from procurement.



S1 Own workforce						
Sustainability matter	Impacts, risks and opportunities (IRO)		Impact area	Time horizon	Stage of the value chain and stakeholder	Management lever
Stability of the employment of own workforce	Pihlajalinna offers stable employment relationships and the possibility of exercising a profession.	Actual positive impact	Widespread	Short	Own operations / Employees	Pihlajalinna provides supervisors support in employment-related matters through central HR advice, investments are made in developing supervisors' leadership with targeted training. A working time bank and flexible working hours are in place in some functions in the Pihlajalinna Group. In addition, duties in which presence at the workplace is not required to carry them out may be performed remotely. Pihlajalinna offers extensive opportunities for operating as a practitioner, especially as a doctor. The work can be customised flexibly based on the doctor's own interests, and work is supported by doctor customer account managers who provide assistance in making day-to-day life smooth and practical matters.
	The opportunities from the employer's perspective are major: attractiveness and retaining capacity as employer, work motivation, length of careers, coping at work, productivity, supervisory work and leadership.	Opportunity	Widespread	All		
	Ensuring the working conditions, wellbeing, health and safety of the personnel is also significant from the point of view of financial risks and opportunities. Stress or accidents can result in prolonged sickness-related absence, and offering competitive pay can have an impact on short-term profitability.	Risk	Individual	All		
Working hours of own workforce	Night work stresses the personnel	Actual negative impact	Individual	Short	Own operations / Employees	Pihlajalinna has health examinations in place for work under conditions with special risks of illness. The Group has an early intervention model in place, and all supervisors are trained in it. Pihlajalinna complies with the applicable employment legislation and collective agreements. Pihlajalinna provides supervisors support in employment-related matters through central HR advice, investments are made in developing supervisors' employment-related expertise with targeted training. Pihlajalinna provides supervisors support in employment-related matters through central HR advice, investments are made in developing supervisors' employment-related expertise with targeted training. A working time bank and flexible working hours are in place in some functions in the Pihlajalinna Group. In addition, duties in which presence at the workplace is not required to carry them out may be performed remotely. Pihlajalinna complies with the applicable employment legislation and collective agreements. Pihlajalinna has a role architecture for workers with contractual salary. The remuneration of the personnel is based, in addition to collective agreements, on each employee's job grade, performance and adherence to the principles of equal treatment. Pihlajalinna acknowledges and rewards exemplary action and significant achievements at work with different forms of rewarding. In addition, personnel benefits are offered to support the wellbeing at work and satisfaction of the personnel.
	The opportunities from the employer's perspective are major: attractiveness and retaining capacity as employer, work motivation, length of careers, coping at work, productivity, supervisory work and leadership.	Opportunity	Widespread	All		
	Ensuring the working conditions, wellbeing, health and safety of the personnel is also significant from the point of view of financial risks and opportunities. Stress or accidents can result in prolonged sickness-related absence, and offering competitive pay can have an impact on short-term profitability.	Risk	Individual	All		
Adequate wages for own workforce	The opportunities from the employer's perspective are major: attractiveness and retaining capacity as employer, work motivation, length of careers, coping at work and productivity. A positive employer image and reputation also result in financial benefits.	Opportunity	Widespread	All		
	Increasing wages may increase costs, affecting short-term profitability.	Risk	Individual	All		



Gender equality and equal pay for work of equal value among own workforce	The remuneration of the personnel is based on the competence of each employee and adherence to the principles of equal treatment. In jobs covered by collective agreements, remuneration is based on the wage categories stipulated by the applicable agreement. Remuneration also takes into account job-specific responsibility premiums, years of experience and the job location's cost of living category. Gender is not a factor in remuneration under any circumstances. The remuneration of senior salaried employees is determined by the demands of the job and the individual's competence, experience, performance and results.	Actual positive impact	Widespread	Short	Own operations / Employees	At Pihlajalinna, all decisions concerning remuneration, rewarding and promotions are based on each employee's skills and achievements. Pihlajalinna regularly carries out wage surveys.
Work-life balance of own workforce	Attractiveness and retaining capacity as employer, increasing work motivation and length of careers, rehabilitative and flexible activities that take the life stage into account and support the worker also provide financial opportunities, employer reputation as a responsible party.	Opportunity	Widespread	All	Own operations / Employees	Pihlajalinna has a working time bank and flexible working hours in place in some functions. At Pihlajalinna, duties in which presence at the workplace is not required to carry them out may be performed remotely. Work-life balance is supported with high-quality supervisory work and compliance with the active caring model.
	Sickness absence due to stress or accident	Risk	Individual	All		
Health and safety of own workforce	Psychological safety, mental health challenges	Actual negative impact	Individual	Short	Own operations / Employees	The objectives of promoting employee wellbeing include healthy employees, a functional work community and the effective prevention of work-related illnesses. At Pihlajalinna, managing people's wellbeing is taken into account as part of all management. Occupational healthcare at Pihlajalinna is based on prevention and an active caring model, which involves training supervisors to address work ability issues among employees as early as possible. Pihlajalinna has an adjusted work operating model and Mental Care (Mielen huoli) services in place. The wellbeing of personnel is supported by high-quality day-to-day leadership.
	Work-related injuries	Potential negative impact	Individual	Short		The management of occupational safety and health risks identifies work-related hazards, risks and adverse effects, and to systematically eliminate or reduce these. Working environment risks are assessed by Pihlajalinna's units at least once a year and whenever significant changes happen. The significance to health of the identified risks is also assessed in workplace surveys conducted by the occupational healthcare function. These are carried out in five-year intervals at a minimum and whenever significant changes happen. A safety walk is regularly carried out in the locations, intended to familiarise the workers with the safety and occupational safety and health of their own workplace and its surroundings in practice.
	As an expert in the field, Pihlajalinna has the potential to offer its personnel premium healthcare	Actual positive impact	Widespread	Short		The objectives of promoting employee wellbeing include healthy employees, a functional work community and the effective prevention of work-related illnesses. Pihlajalinna regularly assesses the content of the occupational health agreement so that it supports the work ability of the personnel in the best manner possible.
	Attractiveness and retaining capacity as employer, increasing work motivation and length of careers, rehabilitative and flexible activities that take the life stage into account and support the worker also provide financial opportunities, employer reputation as a responsible party.	Opportunity	Widespread	All		
	Sickness absence due to stress or accident	Risk	Individual	All		



Measures against violence and harassment in the workplace in own workforce	Pihlajalinna applies an operating model aimed at the prevention of inappropriate conduct. Accordingly, all forms of harassment or inappropriate treatment of employees are prohibited. Supervisors are under an obligation to address inappropriate conduct or harassment immediately after being informed of the issue.	Actual positive impact	Widespread	Short	Own operations / Employees	Pihlajalinna has an operating model for the management of harassment and inappropriate treatment in place, and adherence to it promotes the wellbeing at work of the personnel.
Training and skills development of own workforce	Pihlajalinna offers its personnel equal and non-discriminating opportunities for training and skills development	Actual positive impact	Widespread	Short	Own operations / Employees	All Pihlajalinna employees are within the scope of annual development discussions. Pihlajalinna Academy is an online learning environment for the company's personnel that offers new content to support competence development. The Group's training plan comprises Group-level training organised by target group based on the Group's strategy and business areas' competence needs. Taking workers under threat of incapacity for work and unemployment into account. Taking the special needs of workers in different situations in life into account.
	Equal treatment and development of competence and skills is also significant from the point of view of financial risks and opportunities. Attractiveness and retaining capacity as employer, increasing work motivation and length of careers, equality, activities that accumulate competence also provide financial opportunities.	Opportunity	Widespread	All		



S4 Consumers and end-users						
Sustainability matter	Impacts, risks and opportunities (IRO)		Impact area	Time horizon	Stage of the value chain and stakeholder	Management lever
Privacy of consumers and end-users	Maintaining patient safety, data protection (cyber attacks against infrastructure and hardware)	Actual and potential negative impact	Widespread	Short	Own operations / Consumers and end-users	At Pihlajalinna, the purpose of data protection and the management of information security is to ensure the secure processing of all of Pihlajalinna's data, particularly patient and personal data, as well as the protection of the privacy of patients, customers and the company's personnel. The management of information security aims to ensure the integrity, confidentiality and availability of information. The cyber security development plan guides the development of information security and the monitoring of the targets set for it. An external Security Operation Centre (SOC) is used, which ensures the continuous monitoring of the organisation's information security and identifies and reacts to information security threats and incidents, thereby safeguarding the organisation's information systems and data
	Customers' privacy, data protection and information security involve significant financial risks. Significant risks include cyber threats against infrastructure or hardware and resulting reputational damage and potential liability for damages.	Risk	Widespread	Short, medium		
Privacy protection of consumers and end-users	Maintaining patient safety, data protection (cyber attacks against infrastructure and hardware)	Actual and potential negative impact	Widespread	Short	Own operations / Consumers and end-users	An external Security Operation Centre (SOC) is used, which ensures the continuous monitoring of the organisation's information security and identifies and reacts to information security threats and incidents, thereby safeguarding the organisation's information systems and data
	Customers' privacy, data protection and information security involve significant financial risks. Significant risks include cyber threats against infrastructure or hardware and resulting reputational damage and potential liability for damages.	Risk	Widespread	Short, medium		
Freedom of expression of consumers and end-users	Reputational damage and customer satisfaction	Risk	Individual	Medium term	Own operations / Consumers and end-users	Pihlajalinna's service principles guide customer service work and operating methods for customer encounters. Pihlajalinna instructs and trains the personnel in communications in the areas of customer privacy protection, data protection and security of services, among others.
Consumers' and end-users' access to high-quality information	In conjunction with its personnel, Pihlajalinna produces and distributes information about social and healthcare themes relevant to society. However, communication may not jeopardise the privacy of customers or employees, data protection or the security of services.	Actual positive impact	Widespread	Short	Own operations / Consumers and end-users	Pihlajalinna instructs and trains the personnel in communications in the areas of customer and worker privacy protection, data protection and security of services, among others.
Health and safety of consumers and end-users	Pihlajalinna provides customers with health benefits, society and employers with savings, access to care (reducing queues). Patient safety (physical patient safety) and positive impact are strong.	Actual and potential positive impact	Widespread	Short	Own operations / Consumers and end-users	Pihlajalinna has a comprehensive network of hospitals and private clinics, remote services along with extensive diagnostic services. They ensure the quick availability of services and can help wellbeing services counties with the reduction of queues. Pihlajalinna has enhanced the cooperation of the data protection and information security teams by establishing a regularly convening cooperation group. Pihlajalinna has a cyber security development plan in place that guides the development of information security and the monitoring of the targets set for it in coming years. Pihlajalinna aims for an excellent customer experience in all of its services. The systematic collection and processing of feedback enables the company to develop services, processes and operating models according to the customers' wishes. Pihlajalinna uses the Net Promoter Score (NPS) to measure the customer experience.
	Significant compromise of patient safety	Potential negative impact	Individual	All		
	Customers' health, safety and privacy protection are at the heart of Pihlajalinna's operations. Patient safety-related risks are reputationally damaging and potential liabilities for damages.	Risk	Individual	Short, medium		



CORPORATE GOVERNANCE STATEMENT

SUSTAINABILITY STATEMENT

Protection of consumers' and end-users' children	Maintaining patient safety, data protection (cyber attacks against infrastructure and hardware)	Actual and potential negative impact	Widespread	Short	Own operations / Consumers and end-users	Pihlajalinna has enhanced the cooperation of the data protection and information security teams by establishing a regularly convening cooperation group. Pihlajalinna has a cyber security development plan in place that guides the development of information security and the monitoring of the targets set for it in coming years.
	Maintaining patient safety, data protection (cyber attacks against infrastructure and hardware)	Risk	Widespread	Short, medium		
Non-discrimination of consumers and end-users	Equal treatment of customers	Actual positive impact	Widespread	Short	Own operations / Consumers and end-users	Customer equality can be increased by improving the availability of services through remote services, even in places where local services are not available.
	Non-discrimination of customers is also at the heart of Pihlajalinna's operations. The associated reputational damage can cause significant financial risks, but the reputational benefit can also provide opportunities.	Risk and opportunity	Widespread	Short, medium		
Access to products and services	The public service system is in a crisis. Pihlajalinna provides its customers, society and employers with savings through access to services	Actual positive impact	Widespread	Short	Own operations / Consumers and end-users	Provision of diverse services that match the demand and improving access to remote services.
	Customer-related access to products and services is also at the heart of Pihlajalinna's operations. The associated reputational benefit, as well as reputational damage, can cause both financial risks and opportunities.	Risk and opportunity	Widespread	Short, medium	Own operations / Consumers and end-users	
Responsible marketing	The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.	Actual positive impact	Widespread	Short	Own operations / Consumers and end-users	As a provider of social and healthcare services and a listed company, Pihlajalinna places a high priority on transparent, timely and reliable stakeholder communications. The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.
	Responsible marketing is also at the heart of Pihlajalinna's operations, and the associated reputational benefit, as well as reputational damage, can cause both significant financial risks and opportunities.	Risk and opportunity	Widespread	Short, medium		



G1 Governance						
Sustainability matter	Impacts, risks and opportunities (IRO)		Impact area	Time horizon	Stage of the value chain	Management lever
Corporate culture (business ethics)	As a large company, Pihlajalinna has an opportunity to spur the entire sector on. The industry is strongly regulated, as a result of which the industry has strong ethical practices in patient work and processing data, for example. Developing transparent processes in business operations in particular, as the formal governance processes must be in order.	Actual positive impact	Widespread	Short	Upstream value chain, own operations / Society	In its operations, Pihlajalinna complies with the currently valid legislation, the orders issued by authorities and the rules and regulations concerning listed companies. The principles applied in the company's operations are also documented in the Code of Conduct and the anti-corruption and anti-bribery policy. Training on the Code of Conduct is a mandatory part of Pihlajalinna's induction training programme. Supervisors' capabilities to address problems are developed through training. Pihlajalinna has internal controls in place. Pihlajalinna has a confidential whistleblowing channel that can be used for reporting misconduct and problems in the organisation.
	Ethical conduct increases trust among stakeholders. Different stakeholders, such as investors, partners, employees and customers, are of primary importance with regard to ensuring profitable business. Trust can increase the value of the share, enable access to financing packages on better terms, improve the availability of workers, and enhance customer acquisition and retention.	Opportunity	Widespread	Short		
Political engagement	Pihlajalinna operates strongly in the public interface and engages in discussions at different levels. Sharing information about corporate activities as part of political decision-making strengthens the diverse knowledge capital for decision-makers. Pihlajalinna has a long tradition of operating as a partner to the public healthcare sector.	Actual positive impact	Widespread	Long	Own operations / Society	Pihlajalinna actively monitors legislation and its preparation, as well as political dialogue in general. The company observes ethical policies in political engagement. Pihlajalinna is registered in the Finnish Transparency Register to ensure the transparency of lobbying activities. The company does not support political parties or their members.
	Political engagement can lead to a more favourable legislative framework for private healthcare organisations and thus generate economic benefits.	Opportunity	Widespread	Short		Active monitoring of legislation and its preparation and general political dialogue.
	Political interaction may involve a reputational risk.	Risk	Individual	Short		All interaction takes place solely via the Executive Vice President, Communications and Sustainability or with the approval of the Management Team and therefore can be managed and steered.



Climate change (E1)

EU taxonomy reporting	61
The identification and assessment of material impacts, risks and opportunities (ESRS 2 IRO)	65
Transition plan for climate change mitigation (E1-1)	65
Policies related to climate change mitigation and adaptation (E1-2)	65
Actions and resources in relation to climate change policies (E1-3)	66
Targets related to climate change mitigation and adaptation (E1-4)	66
Energy consumption and mix (E1-5)	66
Gross Scope 1, 2, 3 and Total GHG emissions (E1--6)	67

EU taxonomy reporting

The EU taxonomy is a classification system for environmentally sustainable economic activities. The Taxonomy Regulation sets six environmental objectives: climate change mitigation, climate change adaptation, sustainable use and protection of water and marine resources, transition to a circular economy, pollution prevention and control, and protection and restoration of biodiversity and ecosystems. An economic activity that promotes any of these objectives while doing no significant harm to the other objectives can be considered environmentally sustainable. Environmentally sustainable projects should also respect human rights and labour rights.

The scope of Pihlajalinna's operations covered by the climate regulations is limited to the economic activities that have the greatest need and potential to substantially contribute to climate change mitigation and adaptation. The company's interpretation is that its business activities are not within the scope of the classification system, as the production of social and healthcare services is not among the industries with the highest emissions. Pihlajalinna has assessed the taxonomy eligibility of its economic activities and concluded that the taxonomy-eligible share of turnover (totalling EUR 704.4 million), capital expenditure (totalling EUR 31.1 million) and operating expenditure (totalling EUR 12.3 million) is 0% for all three. Accordingly, the non-eligible share of turnover, capital expenditure and operating expenditure

is 100%. Pihlajalinna does not engage in economic activities relating to nuclear power or fossil gases. Information on taxonomy-aligned activities is presented in the tables below.

Template 1: Nuclear and fossil gas related activities

Nuclear energy related activities		
1.	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2.	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3.	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	No
Fossil gas related activities		
4.	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	No
5.	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	No
6.	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	No



Proportion of turnover from products or services associated with Taxonomy-aligned economic activities

Financial year 2024	2024		Substantial contribution criteria							DNSH criteria									
Economic Activities	Code	Turnover	Proportion of Turnover, 2024	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum Safeguards	Proportion of Taxonomy-aligned (A.1) or -eligible (A.2) turnover	Category enabling activity	Category transitional activity
	MEUR	%		Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	N	N	N	N	N	N	N	0.0 %		
Of which enabling	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	N	N	N	N	N	N	N	0.0 %	E	
Of which transitional	0.0	0.0 %	0.0 %							N	N	N	N	N	N	N	0.0 %		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
Turnover of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %								0.0 %		
A. Turnover of Taxonomy-eligible activities (A.1+A.2)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %								0.0 %		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
Turnover of Taxonomy-non-eligible activities	704.4	100%																	
TOTAL (A+B)	704.4	100%																	

EL = Eligible; N/EL – Not eligible



Proportion of CapEx from products or services associated with Taxonomy-aligned economic activities

Financial year 2024	2024		Substantial contribution criteria							DNSH criteria									
Economic Activities	Code	CapEx	Proportion of CapEx, 2024	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum Safeguards	Proportion of Taxonomy-aligned (A.1) or -eligible (A.2) CapEx	Category enabling activity	Category transitional activity
	MEUR	%		Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
CapEx of environmentally sustainable activities (Taxonomy-aligned) (A.1)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	E	E	E	E	E	E	E	0.0 %		
Of which enabling	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	E	E	E	E	E	E	E	0.0 %	E	
Of which transitional	0.0	0.0 %	0.0 %							E	E	E	E	E	E	E	0.0 %		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
				EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
CapEx of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %								0.0 %		
A. CapEx of Taxonomy-eligible activities (A.1+A.2)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %								0.0 %		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
CapEx of Taxonomy-non-eligible activities	31.1	100%																	
TOTAL (A+B)	31.1	100%																	

EL = Eligible; N/EL – Not eligible



Proportion of OpEx from products or services associated with Taxonomy-aligned economic activities

Financial year 2024	2024		Substantial contribution criteria							DNSH criteria									
Economic Activities	Code	OpEx	Proportion of OpEx, 2024	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Climate Change Mitigation	Climate Change Adaptation	Water	Pollution	Circular Economy	Biodiversity	Minimum Safeguards	Proportion of Taxonomy-aligned (A.1) or -eligible (A.2) OpEx	Category enabling activity	Category transitional activity
	MEUR	%	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y; N; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	%	E	T
A. TAXONOMY-ELIGIBLE ACTIVITIES																			
A.1. Environmentally sustainable activities (Taxonomy-aligned)																			
Turnover of environmentally sustainable activities (Taxonomy-aligned) (A.1)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	E	E	E	E	E	E	E	0.0 %		
Of which enabling	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	E	E	E	E	E	E	E	0.0 %	E	
Of which transitional	0.0	0.0 %	0.0 %							E	E	E	E	E	E	E	0.0 %		T
A.2. Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities)																			
			EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL	EL; N/EL										
OpEx of Taxonomy-eligible but not environmentally sustainable activities (not Taxonomy-aligned activities) (A.2)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %								0.0 %		
A. OpEx of Taxonomy-eligible activities (A.1+A.2)	0.0	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %	0.0 %								0.0 %		
B. TAXONOMY-NON-ELIGIBLE ACTIVITIES																			
OpEx of Taxonomy-non-eligible activities	12.3	100%																	
TOTAL (A+B)	12.3	100%																	

EL = Eligible; N/EL – Not eligible



The identification and assessment of material impacts, risks and opportunities

The material climate change impacts, risks and opportunities have been identified in the double materiality analysis. A description of the materiality assessment process and criteria is available in section ESRS 2, under IRO-1: Process to identify and assess material impacts, risks and opportunities. Pihlajalinna reports on its actions regarding the material topics identified in the double materiality analysis.

Transition plan for climate change mitigation (E1-1)

Pihlajalinna has started the preparation of a transition plan during the reporting year. The transition plan draft was reviewed by the Group Management Team in late 2024, and it will be submitted to the Board of Directors to review and approve during the year 2025.

Based on the criteria presented in Commission Delegated Regulation (EU) 2020/1818 (Article 12), Pihlajalinna is not excluded from the EU Paris Agreement benchmarks.

Policies related to climate change mitigation and adaptation (E1-2)

The policies described below guide Pihlajalinna's activities to manage and assess material impacts and opportunities related to climate

change adaptation and mitigation. The policies cover the following matters: climate change mitigation and climate change adaptation.

The following policies cover impacts related to GHG emissions, climate change mitigation and adaptation in own activities and upstream and downstream value chain. The policies are applied to all Pihlajalinna workers and business throughout the value chain, and they must be complied with in all Pihlajalinna locations and operating countries. The policies are available on Pihlajalinna's website and intranet.

Environmental policy

Pihlajalinna Group's environmental policy compiles the policies for environmental management and practices, such as identifying the environmental impacts of Pihlajalinna's operations and the continuous development of operations. Pihlajalinna's environmental policy lays out Pihlajalinna's commitment to environmental work and guides decision-making. Pihlajalinna's private healthcare services, i.e. occupational health services and private clinics, and hospitals, are certified under the ISO 14001 environmental management standard. Activities are based on the ISO 14001 environmental management framework. As part of Pihlajalinna's joint management system, it establishes consistent operating practices for the company. The impacts related to climate change mitigation and adaptation are assessed in accordance with the environmental policy. The environmental policy is also taken into account in procurement agreements and supplier selection, which is an important lever for Pihlajalinna for mitigating its negative impacts. Systematic environmental management compliant with the

environmental policy ensures progress towards targets and is therefore also aligned with the targets of the climate road map. The Quality Director is the highest body responsible for implementation.

As part of the monitoring process, the Chief Legal Officer, in cooperation with the Quality Director, maintains a list of acts and regulations concerning Pihlajalinna's environmental perspectives. Environmental perspectives are reviewed once a year by the respective person in charge. The private clinic and hospital service locations have designated persons responsible for environmental affairs. They ensure that environmental perspectives are taken into account in the unit's operations and monitor the implementation of the environmental programme. They meet once a month with external waste management experts to review and develop location-specific environmental plans and guidelines. Binding obligations are taken into account in different activities so that there is a sufficient number of skilled personnel, appropriate facilities, equipment and functional information systems and a high level of information security. The personnel are required to comply with binding obligations. Compliance with binding obligations is monitored at different levels and with different methods. Pihlajalinna's private clinics are supervised by both Valvira and Regional State Administrative Agencies. At Pihlajalinna, compliance with binding obligations is monitored through audits, quality management, feedback, incident reports and self-monitoring, for instance.

E1 Connections between policies and targets related to climate change adaptation and mitigation					
Sustainability matter	Impacts, risks and opportunities (IRO)		Policy	Target	Metric
Climate change adaptation	GHG emissions from own operations	Actual negative impact	Environmental policy Risk management policy Quality policy	The targets will be published during 2025 once the climate road map is complete.	Emissions
Climate change mitigation	The emissions from Pihlajalinna's own operations are caused by business, business travel and energy consumption of facilities, among others. The emissions generated have an actual negative impact on environment.				
	GHG emissions caused by customers' travel and procurement	Actual negative impact	Environmental policy Risk management policy Quality policy	More detailed targets will be published during 2025 once the climate road map is complete. The aim is to strengthen the assessment of the need for care and remote services to reduce emissions from customer travel. In addition, the aim is to develop dialogue with stakeholders and create targets and measures with supplier partners to reduce emissions from procurement.	Emissions caused by customer travel. Scope 3 emissions from procurement.
The scope of the measures is the entire value chain. The operating area of own operations is Finland (no other geographical areas). The base year is 2024, and the baseline values are the values for 2024. Result analysis and justifications: All results for 2024 are aligned with the achievement of the planned annual target and long-term target. The targets or metrics have not been validated by a third party. With regard to all future measures, the time horizon is future financial years, or the measures are continuous.					



Risk Management Policy and Quality Policy

In addition, climate change impacts, risks and opportunities have been taken into account in operations subject to Pihlajalinna's Risk Management Policy and Quality Policy. The Risk Management Policy is described in more detail in section G1-1: Business conduct policies and corporate culture. The Quality Policy is described in section S4-1: Management of material topics and policies. The Risk Management Policy and Quality Policy monitoring processes and sustainability topics related to each policy are described in the policy table in section G1.

Actions and resources in relation to climate change policies (E1-3)

Measures taken during the reporting year 2024 included preparing the climate road map draft and surveying the impacts of operations, such as by further specifying emissions accounting. The setting of emission reduction targets and measures has been started, and they will be approved during 2025. The effectiveness of the measures cannot be assessed yet.

As part of the preparation work, Pihlajalinna has planned possible measures with which emissions will be reduced. The healthcare sector consumes energy and resources from the procurement and property perspectives, but the carbon footprint can be reduced by reducing energy consumption, using renewable energy and optimising operations. The use of digital services, such as remote services and electronic communications, reduce travel and thereby emissions. Customer guidance in using remote services, for instance, has also been taken into account in the future climate road map. Below is a list of possible measures aimed to reduce emissions in future reporting periods:

Most important possible measures: procurement

1. The commitment of the biggest suppliers to climate targets. Climate criteria for procurement and training those carrying out procurement in taking climate criteria into account.
2. Encouraging partners to shift away from fossil industry.
3. Extending the service lives of equipment, more effective use of repair services.

Most important possible measures: travel

1. Further increasing the capacity utilisation rate of remote appointments
2. Supporting low-emission commuting
3. Leased vehicles to run on renewable electricity, where possible.

Most important possible measures: properties

1. Climate criteria used in new property agreements and follow-up agreements.
2. Energy overhauls, especially in connection with renovations.
3. Requiring or encouraging renewable energy in leased properties.

Pihlajalinna's future climate road map and action plan are not dependent on external financing. The requirements for financial resources will be calculated during 2025. The cost of the measures required by implementing Pihlajalinna's action plan for properties and the cost impacts of measures to reduce emissions from procurement will be estimated during 2025. Therefore, Pihlajalinna has not yet assessed the amount of OpEx and CapEx in more detail.

Targets related to climate change mitigation and adaptation (E1-4)

Objectives pursuant to the requirements of the standard have not yet been drafted for sustainability matters, but they will be prepared in 2025. Sustainability matters and the implementation of the related policies and targets and the effectiveness of measures will be monitored once the emission reduction targets and measures have been set. The preparation of emission reduction targets has been started, and the aim is for the Board of Directors to approve them during 2025. The proposed targets or metrics have not been verified by a third party. With regard to all future measures, the time horizon is future financial years, or the measures are continuous.

Energy consumption and mix (E1-5)

Energy consumption and mix	2024
Total renewable energyconsumption (MWh)	34,473
Share of renewable sources in total energy consumption, %	73%
Energy consumption from biomass (MWh)	13,612
Share of purchased energy (MWh)	34,473
Share of self-generated energy (MWh)	0
Total fossil energyconsumption (MWh)	12,692
Share of fossil sources in total energy consumption %	27%
Share of purchased energy	12,692
Share of self-generated energy (MWh)	0
Nuclear energy (MWh)	0
Share of nuclearenergy in energy consumption %	0%
Total energy consumption(MWh)	47,165
<i>The information is calculated market-based. The base year data includes vehicles. The data for 2024 only includes energy in properties, not vehicles.</i>	

**Gross Scope 1, 2, 3 and Total GHG emissions (E1-6)**

GHG emissions (tCO ₂ eq)	2024
Scope 1 emissions	446.09
Scope 2 emissions	
Location-based emissions	2,841.64
Market-based emissions	1,899.38
Scope 3	27,769.23
1. Purchased goods and services	18 049,31
3. Fuel and energy-related activities	1,093.15
4. Upstream transportation and distribution	39.45
5. Waste generated in operations	12.3
6. Business travelling	772.98
7. Employee commuting	4 617,95
9. Downstream transportation	3,115.89
13. Downstream leased assets	68.21
Total GHG emissions	
Location-based emissions	31 433,88
Market-based emissions	30,114.71

Biogenic GHG emissions (tCO ₂ eq)	2024
Scope 1	0
Scope 2	2 523,00
Scope 3	55,66

Emissions intensity per net revenue (tCO ₂ eq / MEUR)	2024
Location-based based on emissions	44.6
Market-based based on emissions	42.8
Net revenue used for calculating intensity (MEUR)	704.4
Revenue (other)	0.0
Total revenue (in financial statements)	704.4



GHG emission accounting policies

Pihlajalinna's energy and greenhouse gas calculations and measurement are based on the GHG Protocol Corporate Standard (version 2004) and GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard (version 2011). The consolidation method for the preparation of the data for the metrics is operational control. The data was collected from various systems and consolidated at the Group level. The data was validated by the respective persons in charge and input in a joint data collection platform. The emissions were calculated by linking the source data with emission factors.

The base year of Pihlajalinna's GHG emissions accounting is 2023, which is the first representative year for which a GHG inventory report was prepared. The base year was re-calculated in 2025, as the data collection methods developed and the coverage of input data improved in conjunction with the accounting for 2024. However, the accounting data for the base year has not been published in this sustainability statement due to the lack of validation; instead, it will be published in conjunction with the next reporting period. No methodological changes took place in the reporting between the base year and this report.

The analysis includes the following greenhouse gases: carbon dioxide (CO₂), methane (CH₄), nitrous oxide (N₂O), sulphur hexafluoride (SF₆), nitrogen trifluoride (NF₃), hydrofluorocarbons (HFCs) and perfluorocarbons (PFCs).

The emissions of these greenhouse gases are expressed as CO₂ equivalent (CO₂eq), which is based on their global warming potential on a 100-year time horizon (GWP100). The global warming potential (GWP) values of greenhouse gases are based on the fourth, fifth or sixth Assessment Report (AR4, AR5 or AR6) of the Intergovernmental Panel on Climate Change (IPCC) according to the methodological choices of the emission factor publishers used in the accounting.

The emission factors of aviation have been expanded so as to take the radiative forcing impact caused by the emitted gases and aerosols and additional impacts caused by changing cloud cover into account. A centrally estimated factor applied to the GWP100 value is used for this purpose. The aim of this assessment is to take into account the additional impact based on best available scientific evidence while being consistent with the UNFCCC convention. The total emissions in this report include emissions from electricity according to both the market-based and location-based methods.

There are no carbon offsets or removals, and therefore they are not deducted from the total.

A local emission factor that is as relevant as possible has been chosen for each activity using best judgement. In addition to locality and relevance, other perspectives included the availability of emission factors and the consistency of the choice of emission factor publisher throughout the document.

Scope 1 and 2 accounting used Exiobase, DEFRA and AIB emission factors from the Carbon+Alt+Delete emission factor database. For district heating, the most recent nominal emission factors of district heating companies were used for all sites. In addition, Scope 1 accounting used direct emission data from partners' reports. Scope 3 accounting used Exiobase, Ecolnvent and DEFRA emission factors from the Carbon+Alt+Delete emission factor database and Finnish Environment Institute and Statistics Finland emission factors. The accounting also used Posti and VR emission factors. The most recent nominal emission factors from AIB, DEFRA, IEA and district heating companies were used in calculating the life cycle impacts of energy generation. In addition, emission data provided by partners was used, where possible.

The difference between market-based and location-based Scope 2 emissions and the difference between market-based and location-based total emissions is due to the life cycle emissions of purchased energy (category 3.3), which have also been calculated based on market and location. Other Scope 3 emissions have been calculated based on location according to the GHG protocol guidelines.

The accounting data was collected with the maximum extensiveness and coverage within the resources available. Shortcomings were observed in the data collection systems with regard to properties and procurement in particular and therefore estimates made based on the previous year and the spend-based calculation method were used in the accounting.

Pihlajalinna has excluded the following categories from its GHG accounting for the reporting year 2024, because they are not relevant to Pihlajalinna's activities or the emission data is included in other categories.

- 3.1.1 Cloud computing and data centre services
- 3.2 Capital goods
- 3.8 Upstream leased assets
- 3.10 Processing of sold products
- 3.11. Use of sold products
- 3.12 End-of-life treatment of sold products
- 3.14 Franchising
- 3.15 Investments



Own workforce (S1)

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Identification and assessment of material impacts, risks and opportunities

The material impacts, risks and opportunities related to the company's own workforce have been identified in the double materiality analysis described in section ESR2 under IRO-1: Process to identify and assess material impacts, risks and opportunities. Pihlajalinna reports on its activities in the areas identified as material in the double materiality analysis.

Material impacts, risks and opportunities related to Pihlajalinna's own personnel and their management (SBM-3)

A description of the material impacts, risks and opportunities and their interaction with the strategy and business model is presented in section ESR2, under SBM-3: Material sustainability topics in Pihlajalinna's activities and their link with the strategy.



S1 Links between policies related to own workforce and targets		
Sustainability matter	Impacts, risks and opportunities (IRO)	
Stability of employment relationships in own workforce	Pihlajalinna offers stable employment relationships and the possibility of exercising a profession	Actual positive impact
	From the employer's point of view, the opportunities are major: attractiveness and retention as an employer, work motivation, length of careers, coping at work, productivity, supervisory work and leadership.	Opportunity
	Ensuring the working conditions and wellbeing of personnel as well as health and safety is also significant from the perspective of financial risks and opportunities. Stress or an accident can result in long sickness absences, and offering competitive pay can affect short-term profitability.	Risk
Working hours of own workforce	Night work puts a strain on the personnel	Actual negative impact
	From the employer's point of view, the opportunities are major: attractiveness and retention as an employer, work motivation, length of careers, coping at work, productivity, supervisory work and leadership.	Opportunity
	Ensuring the working conditions and wellbeing of personnel as well as health and safety is also significant from the perspective of financial risks and opportunities. Stress or an accident can result in long sickness absences, and offering competitive pay can affect short-term profitability.	Risk
Adequate wages for own workforce	From the employer's point of view, the opportunities are major: attractiveness and retention as an employer, work motivation, length of careers, coping at work and productivity. A positive employer image and reputation also provide financial benefits.	Opportunity
	Wage increases can increase costs, affecting short-term profitability.	Risk
Gender equality and equal pay for equal work among own workforce	The remuneration of the personnel is based on the competence of each employee and adherence to the principles of equal treatment. In jobs covered by collective agreements, remuneration is based on the wage categories stipulated by the applicable agreement. Remuneration also takes into account job-specific responsibility premiums, years of experience and the job location's cost of living category. Gender is not a factor in remuneration under any circumstances. The remuneration of senior salaried employees is determined by the demands of the job and the individual's competence, experience, performance and results.	Actual positive impact
Work-life balance of own workforce	Attractiveness and retaining capacity as an employer, increasing work motivation and the length of careers, rehabilitative and flexible operations that take into account the life cycle stages and support the employee also provide financial opportunities, employer reputation as a responsible party.	Opportunity
	Sickness absences due to stress or an accident	Risk
Health and safety of own workforce	Psychological safety, mental health challenges	Actual negative impact
	Work-related injuries	Potential negative impact
	As an expert in the field, Pihlajalinna has the potential to offer its personnel premium healthcare	Actual positive impact
	Sickness absences due to stress or an accident	Risk
	Attractiveness and retaining capacity as an employer, increasing work motivation and the length of careers, rehabilitative and flexible operations that take into account the life cycle stages and support the employee also provide financial opportunities, employer reputation as a responsible party.	Opportunity
Measures against violence and harassment in the workplace in own workforce	Pihlajalinna applies an operating model aimed at the prevention of inappropriate conduct. Accordingly, all forms of harassment or inappropriate treatment of employees are prohibited. Supervisors are under an obligation to address inappropriate conduct or harassment immediately after being informed of the issue.	Actual positive impact
Training and skills development of own workforce	Pihlajalinna provides its personnel with equal opportunities for training and competence development	Actual positive impact
	Equal treatment and the development of competence and skills are also significant from the point of view of financial risks and opportunities. Attractiveness and retaining capacity as an employer, increasing work motivation and the length of careers, equal, competence-building activities also provide financial opportunities.	Opportunity



Management of material topics and policies (S1-1)

A description of Pihlajalinna's management system and key policies can be found in section ESRS 2, under GOV-1: The role of senior management in sustainability management. Information on the key policies can be found in the policy table in section G1.

In its human rights commitment, Pihlajalinna is committed to respecting the human rights of its own workforce and to complying with the following international principles for managing the impacts, risks and opportunities concerning its own workforce: UN Universal Declaration of Human Rights, International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work, UN Guiding Principles on Business and Human Rights and OECD Guidelines for Multinational Enterprises. Pihlajalinna is committed to the UN Global Compact initiative and respects internationally recognised principles of human rights and equality. Pihlajalinna's human rights assessment is reviewed every two years by the Group's sustainability working group. The assessment is available on the company's website.

Pihlajalinna's Code of Conduct guides the activities of everyone at Pihlajalinna. The Code of Conduct describes the way the Group operates, based on the principles of good corporate governance, legal compliance, transparency, fairness and confidentiality. Each Pihlajalinna professional is responsible for knowing the Code of Conduct and complying with the Code in their work. Every Pihlajalinna employee must complete mandatory training on the Code of Conduct and commit to complying with the Code, which also entails respecting human rights. The Group Management Team is in charge of preparing the Code of Conduct and the acting management is in charge of deploying the Code throughout the organisation. The follow-up is carried out actively and workers are personally reminded of the obligation to complete training.

In addition to the Code of Conduct, daily work is guided by the more detailed instructions and policies available in the intranet and on our website.

Pihlajalinna is committed to promoting the diversity, equity and inclusion of its own workforce by e.g. signing the national FIBS diversity commitment. Pihlajalinna does not condone discrimination based on a person's origin, nationality, religious beliefs, ethnicity, gender, age or any other such factor.

Engaging with own workforce (S1-2)

Pihlajalinna regularly listens to its personnel. The regular personnel survey (Pihliksen pulssi) and the DEI survey on diversity, equity and inclusion help to monitor the impacts of actions and observe potential areas for development. The Group's extensive personnel survey, Pihliksen pulssi, is conducted twice a year. The survey is an important tool for assessing, monitoring and developing the state and practices of the work community, as well as for dialogue between personnel and supervisors. The Pihliksen pulssi survey is supplemented by lighter mini-pulse surveys carried out at regular intervals. The results of the Pulse are used both for Group-level decision-making and development as well as team-specifically. Group-level results and their use is communicated to the personnel in Kimpassa meetings and personnel information sessions. The results of the pulse surveys are discussed and used in the team's performance and development discussion. Pihlajalinna has also used the open-ended feedback from the personnel survey as part of planning for the coming strategy period. In addition to the pulse survey, the views and opinions of the company among practitioners who work for Pihlajalinna are monitored by means of regular practitioner evenings.

Pihlajalinna respects its employees' right to unionisation and develops cooperation based on trust and openness with employee representatives. Pihlajalinna is a member of the Finnish Association of Private Care Providers (HALI) and, based on its membership, obliged to comply with universally binding collective agreements, namely the collective agreement for the healthcare services sector and the collective agreement for the private social services sector.

To promote interactive cooperation between Pihlajalinna and its personnel, Pihlajalinna engages in Kimpassa ("Together") activities. It is a cooperative organisation spanning the entire Group. The Kimpassa cooperation organisation meets twice a year, in spring and autumn. The people involved in the activities include Kimpassa representatives selected by employees, shop stewards and the occupational safety and health organisation. The aim of the activities is to develop Pihlajalinna's equity, dialogue and trust between management and personnel and to meet the requirements set out in the Act on Co-operation within Undertakings. The meeting memos of the meetings are kept for everyone to see on the intranet.

Everyone at Pihlajalinna is responsible for monitoring wellbeing at work and working conditions, ensuring safety and addressing prob-

lems. The working conditions of the personnel are monitored continuously and reported regularly to the business and Group management. Pihlajalinna also actively cooperates with the occupational safety and health organisation. Pihlajalinna's regional and company-specific occupational safety and health cooperation groups meet regularly four times a year and discuss occupational safety and health matters in accordance with a uniform agenda. The key task of the cooperation groups is to ensure safe, healthy and fair working conditions and to promote the implementation of the occupational safety and health action programme. The cooperation group also discusses other matters covered by the Act on Co-operation within Undertakings with personnel representatives. The cooperation group includes the occupational safety and health delegate, regional shop steward, occupational safety manager, HR manager and the regional director or CEO as the chair. If necessary, a representative of occupational healthcare, for example, can also be invited to the meeting. The personnel in the workplace are kept up to date on occupational safety and health cooperation, and the meeting memos are kept available to everyone on the intranet.

Pihlajalinna's CEO, Executive Vice President, Communications and Sustainability, and Executive Vice President, People and Culture meet with the chief shop stewards on a quarterly basis. The HR directors of the businesses engage in regular dialogue with the chief shop stewards of the Group on a monthly basis. In addition, HR managers and regional shop stewards meet at least once a quarter. Pihlajalinna Group's HR administration has operational responsibility for ensuring that cooperation is carried out in accordance with legislation and that the decisions and actions are influenced by the perspectives of the personnel.

In addition, the personnel are encouraged to engage in active dialogue with supervisors or shop stewards in order to identify potential negative impacts and take corrective measures. Pihlajalinna has a reporting system for personnel to report any occupational safety deviations they observe and their grievances.

Pihlajalinna has identified and assessed its human rights impacts in accordance with its duty of due diligence, covering its own personnel and customers. In addition, Pihlajalinna has carried out a preliminary assessment on employees in its value chain, and this work will continue in order to achieve a more comprehensive understanding. In accordance with the duty of due diligence, practices and operating methods are continuously developed so that respect for human rights is taken into account in all operations.



Pihlajalinna has identified the need to develop its internal reporting channels and has taken measures to ensure that, in the coming years, even better information will be obtained from the perspective of employees who may be particularly vulnerable to potential negative human rights impacts. Since autumn 2024, the experience and perspective of young employees has been surveyed as part of Pihlajalinna's extensive personnel survey. Processes that follow the duty of due diligence aim to avoid, prevent and mitigate potential and actual adverse human rights impacts.

Processes to remediate negative impacts and channels for own workers to raise concerns (S1-3)

Processes to remediate negative impacts

Pihlajalinna takes action on all observations of potential human rights violations and illegal activities in respect of values and agreements, regardless of whether the human rights violations have been committed by a person belonging to its own or the value chain's workforce, affected communities or consumers and end-users. Clear processes help to handle matters systematically so that human rights violations can be addressed and corrective measures can be taken immediately. Targeted measures to minimise and prevent negative impacts are defined for all the most critical potential and actual human rights impacts.

Each Pihlajalinna professional is responsible for reporting any suspected breaches of legislation or infringement of Pihlajalinna's Code of Conduct without delay. The supervisors must process any suspicions they have become aware of in an appropriate manner and take appropriate corrective action. The supervisors must treat all parties involved in a respectful manner and ensure that the employee does not suffer any negative consequences as a result of reporting their suspicion, as well as report any incidents or suspicions to the Group's legal department. Pihlajalinna also has a confidential whistleblowing channel.

Pihlajalinna has an occupational safety and health action plan based on risk assessments. The action plan sets out responsibilities and performance indicators related to occupational safety. Drafting an occupational safety and health action plan is a legal requirement, and the action plan is reviewed annually. In accordance with the occupational safety and health action programme, the objective of occupational safety and health is to ensure healthy, safe and fair working conditions for everyone working at Pihlajalinna, to support measures to

maintain work ability and to encourage everyone to contribute to fostering a good working atmosphere and an open flow of information. Pihlajalinna's local occupational safety and health committees also prepare local action plans and set local occupational safety targets.

Monitoring the working conditions and ensuring safety is every employee's responsibility. Pihlajalinna's operating principle for preventing occupational accidents is to identify and assess the hazards that cause accidents and to eliminate or manage the risks. Pihlajalinna uses the HSE Lite electronic system for occupational safety management and development. Written documentation of the operating principles will be completed during the upcoming financial year. The personnel must report any occupational safety deviations they observe with HSE Lite reporting system. This is a proactive occupational safety tool that Fennia offers to its occupational accident insurance customers to develop occupational safety. The tool is available to everyone at Pihlajalinna and reports can be submitted via an open link or QR code. The reporter's supervisor is primarily responsible for processing safety observation reports. The reporter will be informed by email of the progress of processing and the corrective measures taken. Safety observations are discussed in a team meeting headed by the supervisor. The effectiveness of corrective actions is assessed on a case-by-case basis. In addition to safety observation reports, the system is also used for risk assessments and recording work-related accidents.

Channel for bringing up grievances or needs

Pihlajalinna's confidential whistleblowing channel can be used for reporting misconduct and problems in the organisation. The whistleblowing channel is implemented in partnership with a neutral third party to ensure that the anonymity of the person who submits the report is maintained. A more detailed description of the whistleblowing channel policies concerning the protection of persons using structures and processes from countermeasures can be found in section G1, under Mechanisms for identifying, reporting and investigating concerns. The whistleblowing channel is available on Pihlajalinna's intranet and website in Finnish, Swedish and English, and its functioning will be regularly communicated to the personnel and stakeholders.

Induction training on the cooperation organisation, incident and reporting channels and the personnel survey is part of Pihlajalinna's group-level general induction training for all Pihlajalinna employees. The supervisor is responsible for the implementation of the induction

training. The personnel's awareness and confidence in the process of reporting grievances is assessed as part of the self-monitoring survey.

Working conditions, equal treatment and equal opportunities for all

Pihlajalinna respects its employees' right to unionisation and develops cooperation based on trust and openness with employee representatives. Pihlajalinna's Kimpassa cooperation organisation covers the entire Group and empowers employees to exercise influence on their jobs and working environments.

Work-life balance of personnel, personnel health and safety, personnel working hours

The purpose of occupational safety and health cooperation is to ensure compliance with occupational safety and health regulations and to improve the working environment and working conditions through the regulatory control of occupational safety and health authorities and cooperation between the employer and employees. The Group's cooperation groups meet regularly four times a year and discuss occupational safety and health matters in accordance with a uniform agenda.

In accordance with its duty of due diligence, Pihlajalinna has identified that, as a significant health and social care operator, it has potential and actual impacts on human rights and their realisation, both directly and indirectly through its value chain. In 2024, Pihlajalinna convened a multidisciplinary working group to assess Pihlajalinna's potential and actual impacts on human rights. Through these stakeholder discussions, Pihlajalinna has identified, for example, that young employees are in a vulnerable position.

Pihlajalinna has policies concerning its own workforce that promote the inclusion of the workforce and positive behaviour, particularly with regard to vulnerable groups. Young employees have been particularly taken into account in Pihlajalinna's induction programme. Pihlajalinna's induction training coaching for supervisors describes concrete ways for supervisors to support new employees and strengthen the resources of young people at the beginning of their careers. Supervisors have also been provided with training on supporting young people's mental health.



Measures (S1-4, S1-5)

The scope of the measures for material impacts related to the risks and opportunities related to the own workforce is the own personnel and own operations in Finland (the Group has no other geographical areas). The financial resources allocated to all current and planned measures are personnel resources. For all measures, the time horizon is future financial years (2025–2026) or the measures are continuous. With regard to the measures, Pihlajalinna has not identified any negative impacts on its own workforce caused by the transition to a greener and climate-neutral economy.

Positive impacts

Material positive impacts are related to the stability of employment relationships of our own workforce, adequate wages, health and safety, gender equality and equal pay for equal work among our own workforce, training and skills development of our own workforce and measures to prevent violence and harassment in the workplace in the workforce.

During the past year, Pihlajalinna's HR department has harmonised several employment-related practices and processes. In the coming financial years, Pihlajalinna's HR will continue the ongoing work of identifying and harmonising areas for development of personnel processes. Pihlajalinna considers that managing people's wellbeing is not a separate activity, but wellbeing is part of all management. Pihlajalinna has continued the development of work ability themes that began in 2023. The work has been promoted in cooperation with occupational healthcare and employment pension insurance companies. In the coming financial years, Pihlajalinna's HR will, in cooperation with occupational healthcare, clarify processes related to work ability and occupational healthcare cooperation to make them even smoother and more consistent at Group level. In order to support the efforts promoting the health and safety of the company's own workforce, Pihlajalinna's wellbeing at work team's resources were strengthened with the appointment of a new occupational safety and health manager in autumn 2024.

Employment stability

Pihlajalinna offers stable employment relationships and the possibility of exercising a profession. During the year under review, Pihlajalinna has been building up a uniform recruitment process. With joint recruitment, a new recruitment organisation and processes have been created, recruitment practices have been harmonised and the

resources of recruitment services have been strengthened. The effectiveness of the measures is monitored and assessed by Pihlajalinna's recruitment steering group. The development of joint recruitment activity will continue in the coming financial years.

Adequate wages

At Pihlajalinna, the remuneration of workers is based on the demanding nature of each worker's work, competence, performance at work and compliance with the principles of equal treatment. Pihlajalinna recognises and rewards exemplary action and significant achievements. Pihlajalinna also offers personnel benefits to support the wellbeing and job satisfaction of personnel. Adequate wage can reduce financial pressure and improve the wellbeing of employees and increase social equality. Pihlajalinna carried out a wage survey in accordance with the equality and non-discrimination plan and a job grading workers with contractual salary in 2024. In addition, Pihlajalinna has invested in building remuneration as a whole. Remuneration measures apply to employees. The aim is to meet the requirements of the upcoming EU Wage Transparency Directive and to bring transparency to job grades. The impacts of the measures are assessed as part of the wage survey and in regular dialogue with shop stewards. Pihlajalinna will continue to operate in accordance with the wage harmonisation plans and develop remuneration as a whole.

Training and skills development of workforce

Pihlajalinna provides its personnel with equal opportunities for training and competence development. Successful induction training supports the wellbeing of personnel. An independent general induction training course has been published in Pihlajalinna's online learning environment, providing a good general understanding of Pihlajalinna as a company, basic knowledge and understanding of work-related rights and responsibilities, and how Pihlajalinna as an employer supports the wellbeing and development of personnel. The development of Pihlajalinna's induction training will continue in the coming financial years.

In addition to strengthening the professional competence of personnel, Pihlajalinna will offer diverse, targeted training on topics such as diversity, living in change and modern work to its personnel in 2025. In addition, supervisors will be offered themed training courses related to work ability management, change management, giving feedback and employment relationship skills, among other things, during the coming year. Pihlajalinna uses internal expertise, external stakeholders and partners in the planning and implementation of training.

The aim is for everyone at Pihlajalinna to have the necessary competence to achieve the goals and the opportunity to develop and maintain their own professional competence. Pihlajalinna regularly assesses the effectiveness of the measures in the light of the objectives set for competence management.

Gender equality and equal pay for equal work among own workforce

Pihlajalinna has an equality and non-discrimination plan to produce positive impacts for the company's personnel. In 2024, Pihlajalinna developed remuneration as a whole, built a due diligence process concerning human rights and created a programme promoting diversity, equity and inclusion for the years 2025–2026.

In accordance with the equality and non-discrimination plan, Pihlajalinna focuses in particular on the development of equal pay and recruitment as well as work-life balance, strengthening a corporate culture in line with values and strengthening the competence of its personnel in terms of equality and non-discrimination. This development work will define Pihlajalinna's work community principles, promote Pihlajalinna's DEI programme, update Pihlajalinna's current instructions and operating models for managing harassment and inappropriate treatment and prepare for compliance with the Wage Transparency Directive. The work is led by Pihlajalinna's HR, and internal stakeholders are involved in the work.

At Pihlajalinna, the equality and non-discrimination situation is monitored and assessed regularly through personnel surveys. In addition, data is collected on the positioning of women and men in different personnel groups and positions, for instance. In connection with the update of the plan, the achievement of the goals set for equality and non-discrimination work will be reported to the Group's management and personnel. Group HR is responsible for monitoring, assessing and reporting on the implementation of equality and non-discrimination.

Measures against violence and harassment at the workplace

Pihlajalinna applies an operating model aimed at the prevention of inappropriate conduct. Accordingly, all forms of harassment or inappropriate treatment of employees are prohibited. Supervisors are under an obligation to address inappropriate conduct or harassment immediately after being informed of the issue. Pihlajalinna cooperates closely with the occupational accident insurance company in the prevention of work-related accidents and the prevention of violence and harassment at the workplace. To support the development of occupational safety, the new position of occupational safety and health man-



ager was established in autumn 2024. During the past year, Pihlajalinnna has strengthened supervisors' occupational safety management skills through targeted online training courses and increased communications related to the topic. The goal of occupational safety and health work is to ensure healthy, safe and fair working conditions for everyone at Pihlajalinnna. The impacts are assessed through Pihlajalinnna's occupational safety and health targets and metrics. During the next financial year, Pihlajalinnna's operating model for preparing for and preventing the threat of violence will be updated.

Pihlajalinnna also strives to improve the personnel's wellbeing at work through high-quality supervisory work. Pihlajalinnna has invested in the development of management, and as a result of this work, Pihlajalinnna's leadership principles were defined and launched. Pihlajalinnna's leadership principles describe what kind of leadership is aimed for and valued at Pihlajalinnna. The leadership principles were defined in cooperation with the personnel. The impacts of the measures are assessed as part of the annual extensive personnel survey and work ability management metrics. The assessment of psychosocial stress is carried out in cooperation with supervisors and Group HR's occupational safety and health department. The assessment of psychosocial workload factors is part of the workplace survey carried out by occupational healthcare.

Effectiveness of measures

Pihlajalinnna monitors and assesses the effectiveness of the measures in accordance with the operating principle of continuous development. Once a year, Pihlajalinnna conducts an extensive Pihliksen pulssi personnel survey, supplemented by more frequent pulse surveys throughout the year. The purpose of the extensive personnel survey is to measure and monitor the implementation of Pihlajalinnna's management principles, the functionality of the work community, the wellbeing at work of personnel and cohesion. The Pihliksen pulssi survey helps to monitor the effects of the measures taken and to observe potential areas for development. Smaller pulse surveys monitor the development of the employee experience and the work ability index during the year.

In addition to the extensive personnel survey and pulse surveys, Pihlajalinnna's HR, occupational safety and health, management and supervisors monitor the wellbeing and job satisfaction of the personnel in their area of responsibility from the perspective of several different metrics. Occupational healthcare monitors the work ability of workers through workplace surveys and health examinations, for example.

Pihlajalinnna also monitors the effectiveness of its activities in joint steering groups and meetings held with external stakeholders, such as occupational healthcare and earnings-related pension insurance companies. Pihlajalinnna has internal working groups and steering groups responsible for the progress and monitoring of key measures and reporting on their effectiveness to senior management. The achievement of the objectives set for occupational safety and health is monitored by means of, for example, the number of safety observation reports, the number of occupational accidents and commuting accidents, accident frequency, work ability assessments and work atmosphere surveys. Cooperation groups and the Kimpassa organisation are also key internal forums from the point of view of monitoring effectiveness.

The management and the sustainability working group regularly review and assess human rights efforts, and related risks are addressed as part of the Group's risk management process. In connection with the review, it is ensured that the actions taken in accordance with the duty of due diligence do not cause or promote material negative human rights impacts related to the company's own workforce. Pihlajalinnna strives to fulfil its duty of due diligence in human rights matters as part of the company's decision-making process.

The due diligence process helps to identify current and potential impacts on people and to address any shortcomings immediately. Corrective processes support the principle and enable the respect and implementation of human rights as part of the operations. The assessment of adverse impacts on human rights and corrective measures are carried out as part of human rights due diligence and in cooperation between different functions. Material impact management is carried out in cooperation with different stakeholders. The work involves, among others, Group HR, regional and company-specific HR managers, shop stewards, the occupational safety organisation, occupational healthcare, the occupational accident insurance company and earnings-related pension insurance companies. Pihlajalinnna has described the available resources in connection with the implemented, planned and ongoing measures.

Negative impacts

At Pihlajalinnna, there are potential and actual negative impacts on the working hours of employees, work-life balance and the health and safety of employees.

During 2024, Pihlajalinnna implemented several development measures aimed at developing leadership, strengthening wellbeing at

work, promoting modern working methods and harmonising policies related to employment relationships and recruitment. The aim of the measures is to improve the employee experience of the company's own personnel and prevent negative impacts on the company's own workforce. Pihlajalinnna aims to improve the wellbeing at work of its personnel through, for example, high-quality supervisory work, work arrangements, occupational health services and active support as well as development projects that support wellbeing at work. Pihlajalinnna has a working time bank and flexible working hours in place in some functions. At Pihlajalinnna, duties not tied to the employer's workplace may be performed remotely.

The management of occupational safety and health risks aims to identify work-related hazards, risks and adverse effects, and to systematically eliminate or reduce these. Working environment risks are assessed by Pihlajalinnna's units at least once a year and whenever significant changes happen. The significance to health of the identified risks is also assessed in workplace surveys conducted by the occupational healthcare function. These are carried out in five-year intervals at a minimum and whenever significant changes happen. Pihlajalinnna employees are covered by statutory occupational healthcare as well as occupational accident and occupational disease insurance. Work-related illnesses and the causes of absences are monitored at the annual level at Pihlajalinnna. The effectiveness of the measures is monitored and analysed by Pihlajalinnna's HR.

Working time of workforce

Pihlajalinnna prevents and mitigates negative impacts related to the working hours of its own workforce, such as the burden of night work, in many different ways. Pihlajalinnna actively cooperates with occupational healthcare regarding the burden related to night work. Occupational healthcare monitors employees' work ability through workplace surveys and health examinations, for example. Monitoring rest periods in accordance with collective agreements, providing security services and planning work shifts also help to alleviate the burden caused by night work. Occupational safety and health plays a key role in preventing negative impacts related to working hours. Each Pihlajalinnna unit annually carries out and updates a unit-specific risk assessment. Measures to prevent and mitigate the burden of night work are particularly aimed at personnel working in shifts. The outcome of these measures is reasonable working hours and ensuring safe and healthy working conditions. The impacts are assessed in cooperation with the supervisor, occupational healthcare and occupational safety and health. Pihlajalinnna will continue to implement the



current measures and invest further in the development of occupational safety.

The model Pihlajalinna has an active caring model in place, aimed at resolving challenges related to work ability and performance in a proactive and systematic manner. The supervisor is responsible for allocating resources and for the occupational health and safety of workers. Active dialogue in accordance with Pihlajalinna's active caring model and regular target and development discussions ensure that the supervisor is aware of the worker's work ability and possible work-related workload factors, such as night work, in order to be able to react proactively to any workload factors.

The impacts of the prevention and mitigation measures related to the negative impacts of the working hours of Pihlajalinna's own workforce are assessed in cooperation with occupational safety and health and occupational healthcare. Annual risk surveys, workplace surveys carried out every 3 to 5 years and the Regional State Administrative Agency's inspection reports are discussed in cooperation groups. Several internal and external stakeholders participate in the prevention and mitigation of the impacts, such as Pihlajalinna's HR and occupational safety and health, supervisors and occupational healthcare. Pihlajalinna will continue to operate in accordance with the current measures and invest in the development of occupational safety in the coming financial years.

Work-life balance

There are potential negative impacts on the work-life balance of Pihlajalinna's own workforce. If the workload reaches unreasonable levels, it affects work-life balance and workers can become unreasonably stressed. Pihlajalinna has prevented and mitigated potential negative impacts through the following measures: monitoring working hours and limiting overtime and working hours in employment contracts, adopting an adjusted work operating model, working time bank and flexible working hours in some services and functions, and allowing remote work for tasks that are not tied to the employer's workplace.

Pihlajalinna takes into account the special needs of employees in different situations in life as far as possible. Pihlajalinna wants to make it easier for workers to reconcile work and family life, and the aim is to enable them to return from family leave without problems. Pihlajalinna takes a positive approach to different family situations and wants to make the related family leaves as smooth as possible. The employer and the worker can jointly agree on working time arrange-

ments according to the worker's needs and the employer's possibilities. Agreed working time equalisation periods or a working time bank that are in use for as long as possible also promote the flexible reconciliation of work and family life.

The conditions for the employment of employees with partial work ability are ensured by focusing on reconciling work and work ability in cooperation with the employee, supervisor and occupational healthcare in accordance with the active caring model. Means of supporting employees with partial work ability in returning to work include a plan for returning to work, work arrangements, working time arrangements, enhanced support, work ability assessments and the insurance company's vocational rehabilitation measures. The aim of occupational health negotiations held in cooperation with occupational healthcare is to find out the best support and means for the employee to return to work.

The desired outcome of these measures is to ensure safe and fair working conditions for all Pihlajalinna employees, support measures to maintain work ability and encourage everyone to contribute to fostering a good working atmosphere and an open flow of information. The impacts of measures affecting work-life balance are assessed at Group level as part of the annual extensive personnel survey. Supervisor use Pihlajalinna's working time monitoring system to monitor and ensure that working hours are kept to a reasonable limit. Several internal and external stakeholders, such as Pihlajalinna's HR, supervisors and occupational healthcare, participate in the prevention and mitigation of the impacts. During the coming financial years, Pihlajalinna will develop the workforce management system and the management system for wellbeing at work. Pihlajalinna's HR is responsible for developing the working time monitoring system and the resources required for it.

Health and safety of own workforce

Both actual and potential negative impacts on the health and safety of our own workforce have been identified. To promote mental health and psychological safety, Pihlajalinna cooperates closely with occupational healthcare and pension insurance companies. At Pihlajalinna, compliance with the occupational healthcare action plan and occupational safety and health action programme are at the core. Occupational healthcare monitors the work ability of workers through workplace surveys and health examinations, for example. Pihlajalinna offers its employees services that support mental wellbeing, such as the Mielen huoli Line, occupational health psychologist consultations, short-term therapy, short-term psychotherapy and sleep coaching. In

2024, supervisors and all personnel were offered information and practical tools in the form of online training courses on supporting mental wellbeing in the working environment. Strengthening psychological safety and work ability management are discussed as part of the induction training for supervisors. The change management training programme, which began in autumn 2024, will continue in 2025. The training programme has been implemented in cooperation with an external partner.

Risks and opportunities

Ensuring the working conditions and wellbeing of personnel as well as health and safety is significant from the point of view of financial risks and opportunities. The material risks and opportunities related to the company's own workforce have been identified in the double materiality analysis described in section ESRS 2, under IRO-1: Process to identify and assess material impacts, risks and opportunities. The financial risk management methods used at Pihlajalinna are also essential from the point of view of opportunities. The ongoing measures are described in more detail in section ESRS 2, under SBM-3: Material sustainability topics in Pihlajalinna's activities and their link with the strategy.

Equal treatment and development of competence and skills

Equal treatment and the development of competence and skills are also significant from the point of view of financial risks and opportunities. At Pihlajalinna, competence development involves particularly on-the-job learning, the sharing of internal knowledge and training. The majority of on-the-job learning takes place through actual work and interaction with others. Practical tools also include induction training and work guidance, team-level and personal target and development discussions, independent study, mentoring, work guidance and job rotation. Professional training is provided by both Pihlajalinna's own experts and external training providers.

Pihlajalinna has a proprietary online learning environment, Pihlajalinna Academy, that provides content in support of competence development. The Group's training plan includes training courses organised by target group at Group level based on the Group's strategy and the competence needs of the business areas and medical expertise. Pihlajalinna's leadership principles describe what kind of leadership is aimed for and valued at Pihlajalinna. By complying with the leadership principles, we contribute to ensuring equal treatment and equal opportunities for all.



In annual target-setting and development discussions, an individual competence development plan is drafted for each Pihlajalinna employee. At Pihlajalinna, target-setting and development discussions involve two parts: a team discussion and a personal target-setting and development discussion. The discussion checks whether the employee's job description is up to date and discusses competence, successes, development areas, wellbeing at work and motivation. An important part of the annual personal target-setting and development discussion is also giving feedback to the supervisor and evaluating the supervisor's leadership in accordance with Pihlajalinna's leadership principles. Pihlajalinna's monitoring and feedback channels are described in more detail in section S1-2: Engaging with own workforce.

Equal treatment and the development of competence and skills are also significant from the point of view of opportunities. Pihlajalinna wants to support the coping at work of older employees and the possible extension of their careers. Special attention is paid to wellbeing at work and coping at work in target and development discussions and, if necessary, wellbeing at work discussions, with older employees. The aim is to provide older employees with the opportunity for work arrangements, part-time work or partial old-age pension whenever this is possible with regard to the work tasks.

Objectives related to the management of material negative impacts, the promotion of positive impacts and the management of material risks and opportunities are presented in the attached table (S1-5).

Pihlajalinna's target setting is based on Pihlajalinna's personnel, equality and non-discrimination policy. Senior management sets time-bound and result-oriented targets based on preparation by internal stakeholders. Joint, Group-level targets are used to monitor the progress and effectiveness of measures related to actual material impacts. In addition, Pihlajalinna internally monitors the effectiveness and progress of individual measures in operations. The Group Management Team is responsible for monitoring operations in accordance with the company's targets. In setting and monitoring targets, we have used the feedback received from the personnel and their representatives in personnel surveys and stakeholder meetings, such as Kimpassa meetings.

Pihlajalinna will define new work ability management steering group practices in 2025. With the new steering group practices, target setting and monitoring will be carried out with internal and external stakeholders. The Pihlajalinna Group Management Team confirms the targets set. Pihlajalinna develops the company's operations and em-

ployees' opportunities to influence the decisions made in the company concerning their work, working conditions and position in the company in mutual understanding. Pihlajalinna's development plan is prepared and maintained as part of the dialogue required by the Act on Co-operation within Undertakings.

Pihlajalinna monitors the development of the personnel's wellbeing and working conditions using the eNPS metric, sickness absence rate and work ability index. The metrics are part of the extensive annual personnel survey. The work ability index (= work ability scores) used at Pihlajalinna is part of the seven-section metric developed by the Finnish Institute of Occupational Health. eNPS is an employee experience metric that measures workers' willingness to recommend the company. The sickness absence rate is calculated in accordance with the model of the Confederation of Finnish Industries.

The development of Pihlajalinna's eNPS and work ability index has been jointly monitored in a meeting of Pihlajalinna's Kimpassa organisation, in which personnel representatives were involved in identifying improvements as part of the monitoring of performance. Pihlajalinna will develop the sickness absence rate monitoring processes in the coming financial years.



S1 Links between policies related to own workforce and targets					
Sustainability matter	Impacts, risks and opportunities (IRO)		Policy	Result 2024/Target 2025	Metric
Stability of employment relationships in own workforce	Pihlajalinna offers stable employment relationships and the possibility of exercising a profession	Actual positive impact	Code of Conduct Personnel Policy Human rights principles Data Protection and Information Security Policy	eNPS Result 2024: +9 Target 2025: 20	Willingness to recommend (eNPS)
	From the employer's point of view, the opportunities are major: attractiveness and retention as an employer, work motivation, length of careers, coping at work, productivity, supervisory work and leadership.	Opportunity			
	Ensuring the working conditions and wellbeing of personnel as well as health and safety is also significant from the perspective of financial risks and opportunities. Stress or an accident can result in long sickness absences, and offering competitive pay can affect short-term profitability.	Risk			
Working hours of own workforce	Night work puts a strain on the personnel	Actual negative impact	Personnel Policy	Work ability index Result 2024: 8 Target 2025: >8 Sickness-related absence rate Result 2024: 5.6% Target 2025: 5.3%	Work ability index Sickness-related absence per cent
	From the employer's point of view, the opportunities are major: attractiveness and retention as an employer, work motivation, length of careers, coping at work, productivity, supervisory work and leadership.	Opportunity			
	Ensuring the working conditions and wellbeing of personnel as well as health and safety is also significant from the perspective of financial risks and opportunities. Stress or an accident can result in long sickness absences, and offering competitive pay can affect short-term profitability.	Risk			
Adequate wages for own workforce	From the employer's point of view, the opportunities are major: attractiveness and retention as an employer, work motivation, length of careers, coping at work and productivity. A positive employer image and reputation also provide financial benefits.	Opportunity	Personnel Policy Equality and Non-Discrimination Policy Human rights principles Data Protection and Information Security Policy	eNPS Result 2024: +9 Target 2025: 20 Remuneration-related targets that Pihlajalinna monitors in internal forums.	Willingness to recommend (eNPS) Remuneration metrics
	Wage increases can increase costs, affecting short-term profitability.	Risk		Remuneration-related targets that Pihlajalinna monitors in internal forums.	Remuneration metrics



Gender equality and equal pay for equal work among own workforce	The remuneration of the personnel is based on the competence of each employee and adherence to the principles of equal treatment. In jobs covered by collective agreements, remuneration is based on the wage categories stipulated by the applicable agreement. Remuneration also takes into account job-specific responsibility premiums, years of experience and the job location's cost of living category. Gender is not a factor in remuneration under any circumstances. The remuneration of senior salaried employees is determined by the demands of the job and the individual's competence, experience, performance and results.	Actual positive impact	Code of Conduct Personnel Policy Equality and Non-Discrimination Policy Human rights principles Data Protection and Information Security Policy	Remuneration-related targets that Pihlajalinna monitors in internal forums. The big picture will be reviewed during the coming financial year in order to set any specific targets and metrics.	Wage surveys
Work-life balance of own workforce	Attractiveness and retaining capacity as an employer, increasing work motivation and the length of careers, rehabilitative and flexible operations that take into account the life cycle stages and support the employee also provide financial opportunities, employer reputation as a responsible party.	Opportunity	Personnel Policy	eNPS Result 2024: +9 Target 2025: 20 Work ability index Result 2024: 8 Target 2025: >8 Sickness-related absence rate Result 2024: 5.6% Target 2025: 5.3% There are several occupational safety and management metrics in place with targets set for the coming years. Goals related to work ability management that Pihlajalinna monitors in internal forums.	Willingness to recommend (eNPS) Sickness-related absence per cent Work ability index Occupational health and safety metrics Work ability management metrics
	Sickness absences due to stress or an accident	Risk		Sickness-related absence rate Result 2024: 5.6% Target 2025: 5.3% Occupational health and safety goals monitored by Pihlajalinna in internal forums.	Sickness-related absence per cent Occupational health and safety metrics



Health and safety of own workforce	Psychological safety, mental health challenges	Actual negative impact	Code of Conduct Personnel Policy Human rights principles Quality Policy Data Protection and Information Security Policy	Work ability index Result 2024: 8 Target 2025: >8 Sickness-related absence rate Result 2024: 5.6% Target 2025: 5.3%	Work ability index Sickness-related absence per cent
	Work-related injuries	Potential negative impact		Our personnel are Pihlajalinna's most valuable asset, and monitoring and responding to workers' work ability is a strategic target. Several targets have been set for occupational health and safety, which Pihlajalinna monitors in internal forums.	Occupational health and safety metrics
	As an expert in the field, Pihlajalinna has the potential to offer its personnel premium healthcare	Actual positive impact		Several targets have been set for occupational health and safety, which Pihlajalinna monitors in internal forums.	Occupational health and safety metrics
	Sickness absences due to stress or an accident	Risk		Sickness-related absence rate Result 2024: 5.6% Target 2025: 5.3% Several targets have been set for occupational health and safety, which Pihlajalinna monitors in internal forums.	Sickness-related absence per cent Occupational health and safety metrics
	Attractiveness and retaining capacity as an employer, increasing work motivation and the length of careers, rehabilitative and flexible operations that take into account the life cycle stages and support the employee also provide financial opportunities, employer reputation as a responsible party.	Opportunity		eNPS Result 2024: +9 Target 2025: 20 Sickness-related absence rate Result 2024: 5.6% Target 2025: 5.3% The big picture will be reviewed during the coming financial year in order to set specific targets.	Willingness to recommend (eNPS) Sickness-related absence per cent Work ability management metrics
Measures against violence and harassment in the workplace in own workforce	Pihlajalinna applies an operating model aimed at the prevention of inappropriate conduct. Accordingly, all forms of harassment or inappropriate treatment of employees are prohibited. Supervisors are under an obligation to address inappropriate conduct or harassment immediately after being informed of the issue.	Actual positive impact	Code of Conduct Personnel Policy Equality and Non-Discrimination Policy Human rights principles	Several targets have been set for occupational health and safety, which Pihlajalinna monitors in internal forums. The big picture will be reviewed during the coming financial year in order to set specific targets.	Occupational health and safety metrics



Training and skills development of own workforce	Pihlajalinna provides its personnel with equal opportunities for training and competence development	Actual positive impact	Code of Conduct Personnel Policy Equality and Non-Discrimination Policy Data Protection and Information Security Policy	eNPS Result 2024: +9 Target 2025: 20 Several targets have been set for competence development, which Pihlajalinna monitors in internal forums.	Willingness to recommend (eNPS) Competence management metrics
	Equal treatment and the development of competence and skills are also significant from the point of view of financial risks and opportunities. Attractiveness and retaining capacity as an employer, increasing work motivation and the length of careers, equal, competence-building activities also provide financial opportunities.	Opportunity			
The scope of all activities is the company's own operations, with Finland as the operating area (no other geographical areas). The base year is 2024 and the baseline values are 2024, as these are the first comparable values reported. The targets apply to employees. Analysis of the results and justifications: All results for 2024 are in line with the planned annual targets and the achievement of long-term goals. No external party has validated the targets or metrics. For all future actions, the time horizon is future financial years or the actions are continuous.					

Characteristics of the undertaking's employees (S1-6)

In 2024, Pihlajalinna had 6,493 employees and 2,145 practitioners. All of Pihlajalinna's operations are in Finland. 85 per cent of Pihlajalinna's employees are women and 15 per cent men. The forms of employment and working hours used at Pihlajalinna are based on collective agreements (collective agreement for the healthcare services sector and collective agreement for the private social services sector) and labour law.

Employment data has been collected from the HR and payroll system, from which the data is retrieved for processing in the reporting system once a day. The payroll system administrators and payroll clerks are responsible for maintaining the data. Supervisors are responsible for reporting the data. The data is reported to the payroll system using electronic forms. In the payroll system, all persons have either male or female as gender information. The information is based on the personal identity number. As the system develops, it will also be possible to collect information about other genders.

The number of personnel is reported as the number of persons at the end of the reporting period, unless otherwise stated. The total number of workers corresponds to the figures reported in Pihlajalinna's financial statements for 2024.

In the payroll system, employment relationships are broken down into fixed-term employment or permanent employment. In the payroll system, employment relationships are divided according to the nature of the employment relationship: full-time, part-time or on-call. The number of employees as full-time equivalent (FTE) by contract type and gender is reported as the average for the reporting year.

In 2024, the employee turnover rate was 10.7 per cent and the total number of terminated employment relationships was 1,148. The following reasons for termination have been taken into account in calculating the turnover rate: termination during trial period by employer, termination during trial period by employee, death, other pension, personal request, production-related financial reasons, termination of employment, old-age pension, mutual agreement. The following situations have not been taken into account in the calculation: fixed-term employment ends, transfer to another payment group, transfer to another payment group/company/merger, job rotation ends.

Employees are only hired for fixed-term employment relationships when there is a legal and verifiable reason for it. The reason is explained to the employee and recorded in the employment contract. Termination of a fixed-term employment contract before the end of the agreed term can be negotiated upon if the employee so wishes. Efforts will be made to arrange partial old-age pension, partial child-care leave and shortening of working hours to extend the working career whenever possible with regard to the performance of work tasks. Part-time employment relationships can be used in the company for tasks for which part-time work is suitable when there is a justified reason on the part of the employer and/or employee. The grounds for part-time work are always considered on a case-by-case basis.

Number of employees broken down by gender	
Gender	Number of persons
Male	961
Female	5,532
Other	0
Not reported	0
Total number of employees	6,493

Number of employees by country	
Country	Number of persons
Finland	6,493

Number of employees by contract type, broken down by gender (FTE)			
Type of employment relationship	Female	Male	Total
Total number of employees (FTE)	3,874	542	4,416
Number of permanent employees (FTE)	3,302	444	3,747
Number of fixed-term employees (FTE)	364	63	427
Number of non-guaranteed hours employees (FTE)	202	33	235
Number of full-time employees (FTE)	3,002	436	3,438
Number of part-time employees (FTE)	665	72	737



Diversity metrics (S1-9)

In this context, senior management refers to employees working in the Pihlajalinna Group's Management Team. Pihlajalinna's senior management consists of 10 people, of whom 40 per cent (4) are women and 60 per cent (6) are men.

14.1 per cent (917) of Pihlajalinna's personnel are under 30 years of age, 51.4 per cent (3340) are 30 to 50 years of age and 34.4 per cent (2236) are over 50 years of age.

No external party has validated the metrics.

Adequate wage (S1-10)

All Pihlajalinna employees are paid adequate wages in accordance with the applicable benchmarks. No external actor has validated these metrics, but they are based on the background assumption that remuneration in accordance with Finnish collective agreements meets the definition of adequate wage at the European level. Pihlajalinna operates only in Finland.

Pihlajalinna is a member of the Finnish Association of Private Care Providers (HALI) and, based on its membership, obliged to comply with universally binding collective agreements, namely the collective agreement for the healthcare services sector and the collective agreement for the private social services sector. The remuneration of employees is determined in accordance with the remuneration system of the applicable collective agreement. Pihlajalinna complies with the minimum wage specified in the collective agreements. If no collective agreement is applied to the employment relationship (e.g. doctors), the wage is defined as reasonable. The wages paid by Pihlajalinna are equal to or higher than the minimum salary in accordance with the collective agreement. Overtime is voluntary and the employee is compensated in accordance with legislation and any applicable collective agreements.

Occupational health and safety metrics (S1-14)

Occupational safety and health statistics	2024	2023
Number of work-related fatalities	0	0
Number of work-related accidents	319	335
Accident severity	29.5	27.4
Number of work-related ill health cases	0	0

The figures presented in the table apply to Pihlajalinna's employees (including Forever fitness centres) occupational accidents. Commuting accidents between the home and the workplace are not included in the figures.

Every Pihlajalinna employee is covered by the occupational health and safety management system and is taken into account in the number of incidents related to occupational accidents, occupational healthcare and work-related fatalities.

In the first reporting year, Pihlajalinna does not report the number of fatalities caused by work-related accidents and cases of ill health for other employees working at the Group's sites.

The quality management system, environmental management system and information security management system are complied with in all of Pihlajalinna's operations. Pihlajalinna's management is committed to constantly improving the operations and the quality management system and creates the prerequisites for achieving the quality-related objectives. Pihlajalinna carries out both internal and external audits. The standards ISO 9001:2015, ISO 27001:2017 and ISO 14001:2015 are in use. Internal audits cover themes that are relevant to Pihlajalinna's health and safety management system, such as safety practices and incident reports. External and internal audits are carried out every three years. The annual coverage of audit activities is ensured by ensuring that internal and external audits are not carried out in the same year for an individual unit. The audit observations made in internal and external audits are used at each Pihlajalinna location according to the nature of the observations. Internal and external audit reports are available to the personnel electronically.

The accident insurance company provides Pihlajalinna with a regular report on key occupational health and safety metrics. No external party has validated the metrics.

Compensation metrics (S1-16)

Pihlajalinna complies with the applicable employment legislation and collective agreements. See section S1-10: Adequate wage.

Pihlajalinna's internal salary survey indicates that the remuneration of employees belonging to nursing staff within the scope of the collective agreements of both the private social services sector and the healthcare services sector is equal regardless of gender.

At Pihlajalinna, the pay gap between women and men among nursing staff is 3.44 per cent. The wages are equal in both job-specific wage components and personal wage components.

At Pihlajalinna, the pay gap between women and men among doctors and dentists is 8.22 per cent. The number of men in doctors and dentists is relatively the highest among all personnel groups. In the Group, the duties of a doctor and dentist are often carried out as practitioners, so reviewing employees does not provide a complete overview of all of the duties carried out at Pihlajalinna. The amount of wages is influenced, for example, by the job grade and the level of education.

For other personnel, the percentage pay gap between women and men is 8.38 per cent. The wages of other personnel are determined either in accordance with the collective agreements or according to the job grade, and there are no differences based on gender.

It is not yet possible to carry out a comparable salary comparison for administrative personnel, as it consists of tasks with vastly different job grades. In order to ensure equal pay and a fair wage level, Pihlajalinna worked during autumn 2024 to assess the job grade of tasks with contractual salary and determine the wage. In 2025, Pihlajalinna will analyse the contractual wages and any differences in these wages in more detail and decide on corrective measures.

At Pihlajalinna, the pay gap between women and men among all employees is 41.44 per cent. The average wage level of employees is EUR 25.24 per hour, of which the average hourly wage for women is EUR 22.95 and for men EUR 39.19. The median wage of employees in Pihlajalinna is EUR 33,942.75. The ratio of the highest-paid person's total annual earnings to the median total annual earnings (excluding the highest-paid person) was 15.3.

The compensation paid to Pihlajalinna's personnel is documented and reported on the basis of current information in the HR and payroll system. The data takes into account all wage components, including



fringe benefits, for both monthly and hourly paid employees. The report does not take into account whether the person has been paid wages in that month. No external party has validated the metrics.

Incidents, complaints and serious human rights complaints (S1-17)

Pihlajalinna does not tolerate discrimination, harassment or inappropriate behaviour at the workplace or in the work carried out there or at work events. If a Pihlajalinna employee or service provider experiences or observes inappropriate behaviour or harassment, they are instructed to discuss the matter primarily with the person concerned or their own supervisor. Pihlajalinna's operating model for inappropriate treatment and harassment will be developed in order to obtain sufficiently comprehensive data in the future. Currently, it is not possible to systematically compile complaints or reports made in accordance with the inappropriate treatment and harassment operating model unless they lead to legal action.

During the 2024 reporting period, the anonymous whistleblowing channel received a total of 17 HR-related reports (10 in 2023). The reports were related to the equal treatment of personnel, inappropriate behaviour of supervisors/employees or equal recruitment. Of these reports, 5 were related to harassment or discrimination. The HSE Lite system has received 19 reports of inappropriate treatment concerning our own personnel, of which 2 were related to harassment or discrimination. A total of 7 reports of harassment or discrimination were received in 2024. Information on the total number of reports received through the Whistleblowing channel is also reported in the financial statements.

In 2024, Pihlajalinna had one ongoing case of discrimination, on which a court decision was issued in April 2023. Pihlajalinna Lääkärikeskukset Oy has been ordered to pay compensation to a dismissed employee on the basis of a violation of the Equality and Non-Discrimination Acts and compensation under the Employment Contracts Act for unjustified termination of the employment relationship. The district court's decision is not yet final. However, the Court of Appeal's permission to proceed further has only been granted for the amounts of compensatory and reparatory measures ordered.

In 2024, Pihlajalinna had no fines, penalties or damages caused by serious human rights issues and incidents related to its own personnel.



Consumers and end-users (S4)

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Identification and assessment of material impacts, risks and opportunities

The material impacts, risks and opportunities related to consumers and end-users have been identified in the double materiality analysis described in more detail in section ESRS 2, IRO-1: Process to identify and assess material impacts, risks and opportunities. Pihlajalinna reports on its activities in the areas identified as material in the double materiality analysis.

Material impacts, risks and opportunities related to consumers and end-users and their management (SBM-3)

Pihlajalinna’s customer groups are corporate customers, insurance and private customers and public sector customers. The material sustainability topics related to consumers and end-users and their management measures are described in section ESRS 2, table Managing the Material Impacts, Risks and Opportunities (IRO).

A description of the material impacts, risks and opportunities and their interaction with the strategy and business model is presented in ESRS 2, section SBM-3: Material sustainability topics in Pihlajalinna's activities and their link with the strategy.



S4 Links between policies related to consumers and end-users and targets.
During the reporting year, targets and metrics have not been set for all identified impacts, risks and opportunities, but during the coming financial year, the whole will be reviewed in order to set any dedicated targets and metrics.

Sustainability matter	Impacts, risks and opportunities (IRO)	
Consumer and end-user privacy	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Actual and potential negative impact
	There are significant financial risks related to customers' privacy, data protection and information security. The most significant risks are cyber attacks on infrastructure or hardware and the resulting reputational damage and potential liability for damages.	Risk
Security of consumers and end-users	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Actual and potential negative impact
	There are significant financial risks related to customers' privacy, data protection and information security. The most significant risks are cyber attacks on infrastructure or hardware and the resulting reputational damage and potential liability for damages.	Risk
Freedom of expression for consumers and end-users	The risk related to consumers' freedom of speech can manifest itself as reputational damage or customer satisfaction.	Risk
Access of consumers and end-users to high-quality information	In cooperation with its personnel, Pihlajalinna produces and distributes information on social and healthcare themes that are relevant to society. However, communication may not jeopardise the privacy of customers or employees, data protection or the security of services.	Actual positive impact
Health and safety of consumers and end-users	Pihlajalinna provides customers with health benefits, society and employers with savings, access to care (reducing queues). Patient safety (physical patient safety) and positive impact are strong.	Actual and potential positive impact
	Significant compromise of patient safety	Potential negative impact
	The health, safety and security of customers are at the heart of Pihlajalinna's operations. Risks related to patient safety are reputational damage and potential liability for damages.	Risk
Protecting children of consumers and end-users	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Actual and potential negative impact
	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Risk
Non-discrimination of consumers and end-users	Equal treatment of customers	Actual positive impact
	Non-discrimination of customers is also at the heart of Pihlajalinna's operations. The related reputational damage can pose significant financial risks, but on the other hand, reputational benefits can also provide opportunities.	Risk and opportunity
Access to products and services	The public service system is in a crisis. Pihlajalinna provides its customers, such as society and employers, with savings through access to services	Actual positive impact
	The availability of services produced for customers is at the heart of Pihlajalinna's operations. The related reputational benefit and, on the other hand, reputational damage can pose both financial risks and opportunities.	Risk and opportunity
Sustainable marketing	The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.	Actual positive impact
	Non-discrimination of customers, the availability of services and responsible marketing are also at the heart of Pihlajalinna's operations. The related reputational benefit and, on the other hand, reputational damage can pose both significant financial risks and opportunities.	Risk and opportunity

Management of material topics and policies (S4-1)

The purpose of Pihlajalinna's policies is to promote the excellent and high-quality service provided to customers and the realisation of human rights. In addition, operations are guided by the Code of Conduct and the minimisation of adverse impacts on the environment so that the services offered to private customers and the products used meet the requirements set for them.

Pihlajalinna's operations are strongly based on the company's values, vision and mission. Pihlajalinna's guiding policies related to consumers and end-users include the Code of Conduct approved by the Board of Directors, Supplier Code of Conduct, human rights principles, quality and risk management policy and data protection and information security policy. The Chief Medical Officer is responsible for medical quality and effectiveness as a member of the Group Management Team. In addition, the Group Management Team is responsible for the policies related to the customer experience.

Code of Conduct

The aim of Pihlajalinna's Code of Conduct is to establish clear ethical standards that cover all aspects of Pihlajalinna's operations and day-to-day work. The Code of Conduct provides guidance to the company's management, personnel and practitioners. The Code of Conduct describes the way Pihlajalinna operates, based on the principles of good corporate governance, legal compliance, transparency, fairness and confidentiality. Pihlajalinna's procurement principles concerning partners are laid down in a separate Supplier Code of Conduct and separate ethical guidelines concerning sports cooperation. The procurement principles cover five areas: legislation and human rights,



the environment and customer health and safety. The Code of Conduct is reviewed and updated as necessary. Pihlajalinna's CEO is the most senior person in charge of compliance with the Code of Conduct.

Quality management

Pihlajalinna's quality policy and quality management system support the Group's strategy. The quality policy aims to ensure that the Group's operations comply with valid legislation, regulations issued by the authorities and any licences and requirements of the industry. Pihlajalinna's management is committed to compliance with the requirements and monitors the development of medical quality, customer experiences, employee satisfaction and process quality and takes the necessary action to achieve the quality-related objectives.

Pihlajalinna's quality management is based on comprehensive self-monitoring, external quality assurance and comprehensive monitoring by the authorities. The Social Welfare and Health Care Supervision Act, which entered into force at the beginning of 2024, regulates the supervision of social and healthcare services, as well as the operating conditions, registration and self-monitoring of service providers. A service provider such as Pihlajalinna must prepare a self-monitoring programme for the tasks and services for which it is responsible. The programme describes how the service provider organises and implements its self-monitoring. The appendices to Pihlajalinna's self-monitoring programme include the Group's pharmacotherapy plan, information security plan and environmental plan. The self-monitoring programme and plans are reviewed and updated annually or as necessary when there are changes in the activities or the operating environment. Self-monitoring makes it possible to quickly identify and address risks related to quality or safety. The self-monitoring programme and plan are available on Pihlajalinna's website.

Risk management

Pihlajalinna's risk management is guided by the Group's risk management policy, which covers all of the Group's companies and the objectives of which are patient safety, the wellbeing of professionals, business profitability and sustainability, and the continuity of the organisation's operations. In social and healthcare services, the documentation of statutory self-monitoring is also a risk management tool: self-monitoring programme and plans, pharmacotherapy and information security plans. Pihlajalinna uses quality management systems to sup-

port risk management. An ISO 9001:2015 quality management system, ISO 27001 information security management system and ISO 14001 environmental management system are in place. These include requirements for risk management as part of the management system and practical management.

Data protection and information security

The purpose of high-quality data protection and information security management is to ensure the secure legal processing of all of Pihlajalinna's data, particularly patient and personal data, as well as the protection of the privacy of patients, customers and the company's personnel. Pihlajalinna is committed to complying with the ISO27001 standard, which supports the implementation of information security and data protection. The Group's information security principles are described in Pihlajalinna's data protection and information security policy, which includes data protection and information security as an integral part of all operations. Developing and maintaining data protection and information security is part of the Groups security activities, risk management and internal control. Information security and data protection management ensure the confidentiality, integrity and availability of data.

Data protection and information security are also an important part of Pihlajalinna's ISO 9001-certified quality management system. Pihlajalinna's principles, guidelines and policies concerning information security are reviewed and updated regularly, at least once a year. Information security and data protection training is mandatory for all personnel and must be renewed once a year. This ensures that Pihlajalinna's information security policies are implemented and put into practice. In addition, Pihlajalinna regularly distributes information security instructions to its personnel.

Data protection and information security is managed and monitored by the CEO of Pihlajalinna. The CEO decides the development goals, organisation, resources and operating authorisations of the various sections of overall safety and security. The person in charge of data protection is the Chief Medical Officer, who appoints the company's data protection officers. The Chief Information Officer is the manager responsible for information security and appoints the Chief Information Security Officer and the Information Security Manager. This is described in the data protection and information security policy document.

Consumer and end-user human rights

Pihlajalinna is committed to respecting the international human rights commitments, principles, guidelines and initiatives. In its human rights commitment, Pihlajalinna is committed to respecting the human rights of consumers and end-users and to complying with the following international principles for managing the impacts, risks and opportunities related to consumers and end-users: UN Universal Declaration of Human Rights, International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work, UN Global Compact initiative and Guiding Principles on Business and Human Rights, as well as the OECD Guidelines for Multinational Enterprises. The human rights principles are reviewed and updated as necessary. Pihlajalinna's Chief Legal Officer is the most senior person in charge of compliance with the human rights principles. The human rights risk assessment is reviewed regularly and is part of the continuous development of operations. This ensures that the assessment reflects any changes in the business environment. The human rights risk assessment was carried out during the reporting year and is reviewed regularly as part of the continuous development of operations to ensure that the assessment reflects any changes in the business environment.

Pihlajalinna's human rights commitment defines the expectations and requirements that the organisation has set for itself and its partners. All human rights policies have been approved by the Group Management Team. The human rights principles apply to all Pihlajalinna employees, subcontractors, suppliers, business partners and communities that may be affected by the Group's operations. Every Pihlajalinna employee must complete mandatory training on the Code of Conduct and commits to complying with the Code, which also entails respecting human rights. Service providers, suppliers and partners are obliged to follow the principles, including the principles related to human rights. Pihlajalinna's various functions actively work for human rights, including the legal service, HR department, procurement and the communications and sustainability team. The Group Management Team is responsible for ensuring that the personnel are familiar with the Code of Conduct, and supervisors are responsible for adherence to the Code of Conduct. New supervisors are familiarised with the Code of Conduct by means of induction training designed specifically for them.

Pihlajalinna has addressed the need for corrective measures and possible actions as part of the 2024 Human Rights due diligence process. Clear processes are in place to systematically address issues so that



potential human rights violations can be addressed, and corrective measures can be taken immediately. For all the most critical potential and actual human rights impacts, targeted measures are identified to minimise and prevent negative impacts. During the year under review, there have been no cases of non-compliance with the UN Guiding Principles on Business and Human Rights, the ILO Declaration on Fundamental Principles and Rights at Work or the OECD Guidelines for Multinational Enterprises concerning consumers or end-users have been reported during the year.

Engaging with consumers and end-users (S4-2)

Customer feedback channels

The systematic collection and processing of customer feedback enables Pihlajalinna to develop services, processes and operating models according to the customers' wishes. Pihlajalinna uses several contact channels through which customers, end-users and other stakeholders can give customer feedback and raise concerns. The customer can provide feedback to Pihlajalinna on their own initiative through various channels, such as the website, the Pihlajalinna health app or by calling the customer service by phone. In addition, feedback is requested after using the services by means of an SMS questionnaire or directly in the digital service. The customer may be in direct contact or the contact can be made by their legitimate representative such as a patient ombudsman or other authority. A survey is sent daily to a random sample of customers who have used Pihlajalinna services. The feedback survey covers all customer groups.

The feedback channels are available to all customers and end-users or persons and entities acting on their behalf on whom Pihlajalinna has a potential or actual material impact. These channels can be used to submit complaints or concerns related to Pihlajalinna's own operations. The development of services also uses qualitative engagement, such as target group interviews and user testing, and involves special groups, such as people who use digital services little and the elderly.

In accordance with the feedback process, Pihlajalinna's personnel record verbal feedback received from the customer at various points of contact on an electronic feedback form and forward it to Pihlajalinna's feedback processing. Customers are informed about the feedback channels and their utilisation on Pihlajalinna's website and by the personnel. Feedback on customer service situations is also collected from the personnel in accordance with Pihlajalinna's feedback

process. Corporate customers are regularly asked for structured feedback, including customer satisfaction measurement, the results of which Pihlajalinna monitors.

Pihlajalinna's customers particularly appreciate the highly competent and professional personnel and the quality of surgical operations and procedures. In 2024, the most critical customer feedback was related to customer guidance between services. Themes related to booking appointments and pricing emerged as development areas in the customer feedback.

At Pihlajalinna, the continuous improvement of the customer experience consists of regular and up-to-date quality and customer experience measurements, continuous review of measurement methods, daily analysis and processing of customer feedback and the reporting and use of the results.

The Chief Medical Officer is the highest operational decision-maker with regard to healthcare objections complaint process or similar feedback. The results of customer experience measurements are used in the development activities of the entire Group in accordance with the customer experience management model. Pihlajalinna's management (Management Teams, regional and business management) monitors the overall feedback from the monthly reports and is responsible for the development measures.

Clinical quality and impact are among Pihlajalinna's key strategic priorities. Continuous development enhances dialogue with customers and other stakeholders, creates systematic structures and a measurement culture to support the management, development and monitoring of quality and efficacy to ensure safe and effective care for everyone.

Marketing

The aim of Pihlajalinna's marketing measures is to increase customers' awareness of health-related issues. Pihlajalinna communicates its diverse service offering to its customers with the aim of generating positive impacts on consumers and end-users.

The content of marketing and communications is based on careful fact-checking and is produced in close cooperation with medical experts. This ensures that visitors can trust the quality and accuracy of the content. The content is designed to be easy to find with search engines, so that visitors can quickly and easily get answers to their

questions, and the content responds to visitors' searches for information and guides them to the right services in a timely and clear manner. Accessibility (e.g. readers) is taken into account in content production so that the content serves everyone as easily as possible. Content is developed to be increasingly diverse and inclusive.

Processes to remediate negative impacts and channels for consumers and end-users to raise concerns (S4-3)

Processes to remediate negative impacts

Pihlajalinna has several channels through which its personnel, customers and other stakeholders can report any concerns and observations they may have.

Patient safety

Pihlajalinna's private healthcare services and Forever fitness centres use Pihlajalinna's HaiPro system, with which the personnel can report incidents and hazards related to customer and patient safety. In joint ventures, notifications concerning patient safety are made in the joint venture's HaiPro system or the wellbeing services county's system. In services produced for wellbeing services counties, patient safety notifications are primarily submitted to the wellbeing services county. The HaiPro system is specifically designed for the development of operations and learning from hazardous events. Reporting and processing grievances and incidents related to patient safety is an important part of the development of operations and the prevention of incidents. Customers report any problems they observe either directly to the personnel or through Pihlajalinna's feedback systems.

The professional competence of the personnel is the foundation of patient safety, and it is actively developed. The professional qualifications of employees are verified during recruitment, and all new employees are trained for their duties in accordance with an induction training programme. Clinical quality and impact are among Pihlajalinna's key strategic priorities. Continuous development enhances dialogue with customers and other stakeholders, creates systematic structures and a measurement culture to support the management, development and monitoring of quality and efficacy to ensure safe and effective care. The Quality Policy is owned by the Group Quality Director, who is responsible for updating and amending it. The Chief Medical Officer is the authority responsible for the implementation of the Quality Policy.



Information security

Pihlajalinna's suppliers and external service providers are required to commit to compliance with the specified information security standards. Suppliers undergo audits and information security requirements are reviewed in connection with changes to external services. Compliance with information security requirements, including the right to audit, is part of the supplier agreement, but the requirements do not yet fully cover all existing contracts. As a result of the ongoing reform, they will be incorporated into all contracts. The need for and implementation of audits is assessed on a case-by-case basis and the audits are carried out according to the identified need. The information security assessment of external suppliers is applied to all services, systems, applications and devices procured that are related to Pihlajalinna's operations. An assessment of the need for external auditing and competitive tendering will be carried out during the coming financial year.

Information security is continuously developed with a high priority. Projects are planned for the coming years to adopt new technologies, such as more advanced threat detection systems and AI-based analysis tools. In addition, Pihlajalinna is strengthening its personnel's training and raising awareness of information security issues so that the entire organisation is better prepared for potential threats. An extension of ISO27001 certification is also planned for 2025, strengthening the commitment to a high level of information security.

Processes for handling customer feedback

Pihlajalinna ensures that all contacts are responded to appropriately and that whistleblowers are protected from retaliatory measures. The contact channels are discussed in section S4-2: Engaging with consumers and end-users, and more detailed information is available on Pihlajalinna's website. The Chief Medical Officer is the highest operational decision-maker with regard to healthcare objections complaint process or similar feedback. The results of customer experience measurements are used in the development activities of the entire Group in accordance with the customer experience management model. Pihlajalinna's management monitors the feedback in general with monthly reports and is responsible for the development measures. Pihlajalinna's website explains the different feedback processes and links to any official process descriptions.

The functionality of Pihlajalinna's contact channels is tested regularly and, if necessary, they are developed taking into account stakeholder

feedback. Consumers and end-users are involved in the development of operations and engagement data is collected from them for use in individual development projects, and it will be used more extensively in the future. Consumers and end-users have not participated in identifying experiences or improvements directly based on the company's performance.

Through the customer feedback channels, customers can give general feedback on Pihlajalinna's services or submit a complaint. All feedback is processed only by relevant and trusted persons in accordance with the feedback processes. Identifying personal data is only used if necessary (e.g. when responding to a complaint) and it is only visible to limited personnel. Pihlajalinna complies with the Act on the Processing of Client Data in Healthcare and Social Welfare. Pihlajalinna provides its personnel with mandatory data protection and patient information training. Pihlajalinna's operations are guided by complaints practices and, if necessary, individual compensation cases are handled separately. The persons handling healthcare objections, the complaint process or similar feedback have up-to-date training and expertise in the proper implementation of the process. If necessary, the customer will be directed to the official channels listed below.

The wellbeing services counties and the City of Helsinki are responsible for patient ombudsperson activities, including with regard to private service providers. If the customer needs help or advice with writing a reminder, the patient ombudspersons (formerly patient ombudsmen) will help. The patient ombudsperson cannot take a stand on the medical treatment decisions or whether a patient injury has occurred during treatment. According to section 10 of the Act on the Status and Rights of Patients (785/1992), a patient who is not satisfied with the healthcare or medical care and the related treatment received by then has the right to submit a healthcare objection to the director responsible for healthcare at the healthcare unit in question. If the customer is dissatisfied with the response to the objection, they can make an official complaint directly to the Regional State Administrative Agency or Valvira. An official complaint is a notification of suspected misconduct or negligence that is made to a supervisory authority. If the customer suspects a patient injury, they can submit a patient injury notice to the Patient Insurance Centre.

Whistleblowing channel

Pihlajalinna has a confidential whistleblowing channel that can be used for reporting misconduct and problems in the organisation. For a more detailed description of the operating principles related to the

whistleblowing channel is available in section G1-1: Business conduct policies and corporate culture.

Human rights-related impacts

Pihlajalinna is committed to remediating any negative impacts related to human rights. Pihlajalinna addresses all observations of possible adverse human rights impacts and any illegal activities that are contrary to its values and agreements. Clear processes help to handle matters systematically so that human rights violations can be addressed and corrective measures can be taken immediately. Targeted measures to minimise and prevent negative impacts are defined for all the most critical potential and actual human rights impacts. Pihlajalinna has reviewed the need for corrective measures and possible measures as part of the human rights due diligence process implemented in 2024.

Pihlajalinna uses internal and external feedback channels and surveys that enable monitoring the realisation of human rights and compliance in different areas of operations. The management and the sustainability working group review and assess the human rights work regularly, and related risks are addressed as part of the Group's risk management process. The assessment of adverse impacts on human rights and corrective measures are carried out as part of human rights due diligence and in cooperation between different functions. Pihlajalinna reports on the progress of its human rights work annually in the sustainability report that is part of the Board of Directors' report. Progress with the various areas of the human rights principles is communicated regularly, both internally and externally. Pihlajalinna will also develop the training it offers to its personnel and increase stakeholder dialogue on the topic. Pihlajalinna's human rights commitment and human rights due diligence process can be found on Pihlajalinna's website.

Measures (S4-4)

Measures to manage material impacts on consumers and end-users and to assess the effectiveness of the measures are described below. The scope of all activities is the company's own operations, with Finland as the operating area (no other geographical areas). The base year is 2024 and the baseline values are 2024, as these are the first reported values. Analysis of the results and justifications: All results for 2024 are in line with the planned annual target and the achievement of the long-term target. No other external party has validated



the targets or metrics. For all future actions, the time horizon is future financial years or the actions are continuous.

Positive impacts

Clinical quality and impact are among Pihlajalinna's key strategic priorities. Continuous development enhances dialogue with customers and other stakeholders, creates systematic structures and a measurement culture to support the management, development and monitoring of quality and efficacy to ensure safe and effective care for everyone. Pihlajalinna's quality management is based on comprehensive self-monitoring, external quality assurance and comprehensive monitoring by the authorities. The realisation and development of patient safety is evaluated by measuring, for example, deviations, infection rates, patient injury notifications and the decisions of the Patient Insurance Centre.

A service provider such as Pihlajalinna must prepare a self-monitoring programme for the tasks and services for which it is responsible. Read more in section S4-1: Management of material topics and policies.

Pihlajalinna's positive impact on customers and end-users is strong, and it materialises through the health benefits produced for customers, the effects of which are also visible to society, for example, in the reduction of the need for expensive specialised care or for employers, for example, in the avoidance of early retirement. Patient safety (physical patient safety) and data protection are strong and therefore also material opportunities, the impact of which is reflected in Pihlajalinna's reputational benefits, among other things. These topics are regularly assessed in connection with the risk survey, for example. Equal treatment of customers, privacy, data protection and information security, access to high-quality information, health and safety, non-discrimination, availability of products and services and responsible marketing have positive impacts. In cooperation with its personnel, Pihlajalinna produces and distributes information on social and healthcare themes that are relevant to society. These measures support the access of consumers and end-users to high-quality up-to-date information.

Pihlajalinna has extensive experience in the development and implementation of impact-based healthcare concepts. Pihlajalinna Syd-änkaista is an example of effective care that achieves treatment goals, reduces healthcare costs and morbidity and improves the patient's quality of life. Pihlajalinna Sydänkaista carried out a pilot follow-up period in the wellbeing services county of Southwest Finland

in 2023–2024. In addition to the key clinical metrics, the pilot validated, among other things, the degree of patient engagement and treatment outcomes.

Negative impacts

The material negative impacts on consumers and end-users are related to maintaining customers' patient safety and data protection. The most significant risks are cyber attacks on infrastructure or hardware and the resulting reputational damage and potential liability for damages. Pihlajalinna defines the most significant information security and data protection incidents as follows: Has an impact as a likely negative risk of losing a strategically significant account or long-term loss of several customers. In addition, there is a significant loss of personnel and significant difficulty in recruiting additional staff in the long term. The aim is that no significant incidents occur annually that would lead to financial or other losses.

Pihlajalinna takes account of the continuously increasing information security requirements that come with the development of digital services. Pihlajalinna strengthens its information security by applying up-to-date and secure methods, such as strong authentication practices, external monitoring and continuous testing. In addition, Pihlajalinna invests in monitoring and preventive activities through vulnerability management, for example. Pihlajalinna has adopted a cyber security development plan that guides the development of information security and the monitoring of the targets set for information security in the coming years. During 2024, Pihlajalinna implemented several significant measures to improve information security. These measures include the restructuring of the organisation, strengthening the information security team with new experts and roles. In addition, resources were increased to better respond to growing information security challenges and ensure rapid response to potential threats. In 2024, a new disaster recovery system was also procured to improve the organisation's preparedness for exceptional situations. In addition, development measures in vulnerability management and the automation of response to incidents have improved the organisation's ability to detect and handle threats quickly and efficiently.

Pihlajalinna has mandatory information security and protection training for all personnel, including practitioners. In addition, Pihlajalinna organises topical targeted training for its personnel. Such training was organised several dozen times during 2024. In addition, training sessions have been held for regional management teams, the HR management team and the finance department, among others.

Pihlajalinna uses an SOC service provider that monitors and analyses information security incidents and escalates critical incidents if necessary. Every month, the SOC assesses thousands of information security incidents, some of which have been escalated to Pihlajalinna's own information security team for further investigation. Incidents are classified according to criticality. Pihlajalinna's target for data protection is zero successful attempts to gain unauthorised access. This target was achieved in 2024. Customers can report suspected data protection or information security incidents through feedback systems or directly to the personnel. All of Pihlajalinna's operating locations have a reporting system for the personnel to report any observed data protection or IT security deviations. The Group has defined procedures and tools for detecting information security deviations. Additionally, action plans are in place for exceptional situations. Each information security deviation is recorded and processed for further action. The incident management process is reviewed and updated regularly. It is of primary importance to Pihlajalinna that customers and end-users are provided with clear privacy notices and information on how confidential data is processed, and that they have the right to control their own data. More information on information security and data protection measures is available in section S4-1: Management of material topics and policies.

Risks and opportunities

There are significant financial risks related to customers' privacy, data protection and information security. The most significant risks are cyber attacks on infrastructure or hardware and the resulting reputational damage and potential liability for damages. Pihlajalinna has enhanced cooperation between the data protection and information security teams by establishing a cross-functional cooperation group that meets regularly. Pihlajalinna has a cyber security development plan in place that guides the development of information security and the monitoring of the targets set for information security in the coming years. The risks related to customers' privacy, data protection and information security are managed using the processes and management methods related to data protection and information security described above. In addition, the risk related to consumers' freedom of expression can manifest itself as damage to reputation or customer satisfaction.

Non-discrimination of customers, the accessibility of services and responsible marketing are also at the heart of Pihlajalinna's operations. The related reputational benefit and, on the other hand, reputational damage can pose both significant financial risks and opportunities.



Customer equality can be increased by improving the availability of services through the provision of remote services, even in areas where in-person services or the expert in question may not be available. The provision of diverse and demand-oriented services and improving their availability are an essential part of the development of operations. Pihlajalinna Sydänaikaista is an example of effective care and potential reputational benefit. As a provider of social and healthcare services and a listed company, Pihlajalinna places a high priority on transparent, timely and reliable stakeholder communications. The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.

Metrics and targets (S4-5)

Pihlajalinna monitors and evaluates the effectiveness of the measures from the perspective of consumers and end-users through stakeholder consultations, feedback and testing of processes. Target levels have been set for the metrics and the development of the results is monitored regularly, internal reporting at monthly, quarterly and annual level.

The base year is 2024 and the 2024 values are used as the baseline, as they are the first reported values. All 2024 results are in line with the planned annual target and long-term target achievement. No other external party has validated the targets or metrics.

Patient safety

The goal of patient safety is that care and the care environment do not cause the patient a hazard or harm that is not related to the care. Patient safety work is based on risk assessment, continuous development of operations and maintaining safety. The realisation and development of patient safety is evaluated by measuring, for example, deviations, infection rates, patient injury notifications and the decisions of the Patient Insurance Centre.

Pihlajalinna monitors the number of patient injury notifications and the decisions of the Patient Insurance Centre solutions in Private Healthcare Services and joint ventures in Public Services. With regard to patient safety in surgical operations, Pihlajalinna monitors the number of treatment-related deep infections in the surgical area, among other things. The implementation and effectiveness of the measures is monitored through, for example, customer feedback, customer surveys, internal and external audits and assessments. In

Patient safety and impact indicators	Results in 2024	Target for 2025
Healthcare objections * According to section 10 of the Act on the Status and Rights of Patients (785/1992), a patient who is not satisfied with the healthcare or medical care and the related treatment received by then has the right to submit a healthcare objection to the director responsible for healthcare at the healthcare unit in question.	8.87 *	< 8.87 *
Official healthcare complaints * Complaints to the supervisory authority of suspected misconduct or neglect or dissatisfaction with the response to the objection.	0.52*	< 0.52*
Patient injury notifications submitted* The Finnish Patient Insurance Centre (PIC) processes all patient injury notifications concerning healthcare and medical care in Finland.	0.04 *	< 0.04 *
Compensated patient injuries * The Finnish Patient Insurance Centre (PIC) decides on the basis of the legislation on patient injury whether the patient injury is compensated and pays compensation to the person entitled to compensation in accordance with the law.	0 *	0 *
Personnel safety image (NSS) (Patient safety perceived by the personnel in their own unit, which is asked about in the personnel survey. Value range +100 to -100)	+79	+60
Impact metrics		
Access to surgery in the target time (2024 target > 76%)	91%	78%
Group healthcare services (2024 target NPS 80)	84	81
The share of preventive activities by occupational health physicians in occupational healthcare (2024 target 60%)	70%	> 60%
Share of preventive work by occupational health nurses (2024 target 75%)	83%	> 75%
Data protection measures aim at 0 detected successful attempts to gain unauthorised access	0	0
Incidents classified as severe		
Severe patient injuries	**	0
Severe data protection and information security breaches	0	0
The number of appointments, objections, official complaints, patient injury notifications and compensated patient injuries include Pihlajalinna's private healthcare services. The Group does not necessarily receive information about objections, official complaints or patient injury notifications related to the operations of practitioners working at Pihlajalinna's clinics. * The number is reported per 100,000 appointments. ** Patient safety events have been categorised by severity since December 2024.		



addition, there are continuous development activities in different areas of the business.

Severe patient injuries

Pihlajalinna defines the most severe incidents related to patient safety as follows: Severe patient safety incidents in healthcare are situations in which the customer/patient experiences serious harm or dies and which could have been avoided by following the safety recommendations and instructions. The treatment and examination decisions of an individual physician are assessed on the basis of how an experienced specialist would have acted in the situation. The Finnish Centre for Client and Patient Safety has published hot line (never event) indicators that reflect events in which the customer/patient experiences serious harm or dies and which could be avoided by following the safety recommendations and instructions and which should never happen. The hot line indicators are based on the criteria of the British NHS and they have been integrated into Pihlajalinna's private healthcare services' HaiPro patient safety incident and hazard reporting system deployed in December 2024. If the indicators indicate a serious safety incident, the organisation must immediately initiate corrective and preventive measures. In the HaiPro system, each grievance and hazardous incident report is classified separately according to the harm suffered by the patient, even if the incident does not include a hot line indicator.

Pihlajalinna set a target of zero significant incidents leading to loss of information or financial losses for 2024. No significant information security incidents were observed in 2024. One incident resulted in minor financial losses. Pihlajalinna defines the most serious data protection/information security incidents according to how significant financial or other damage the incidents lead to. A significant incident is defined using the risk significance of the information risk assessment. If the impact of the incident is significant or very high based on the assessment, it is interpreted as a significant incident. The aim is that no significant incidents occur annually that would lead to financial or other losses.

Fast and high-quality care chain

The objective of surgical operations is to implement a quick and high-quality chain of care, which Pihlajalinna continuously develops. The aim of the activities is to rehabilitate the customer as quickly as possi-

ble and to restore their work ability after the accident or surgery. Access to treatment, the duration of sickness-related absences and rehabilitation are monitored by means of various tools, which makes it possible to address deviations and comprehensively develop the operations. Access to treatment within the target time is an important indicator of the effectiveness of surgical operations and chain of care for accident insurance customers.

Hospital chief physicians monitor, report and correct overruns of the service promise times. The implementation of the service promise time is the regional responsibility of the chief physicians. The target and results are presented in the attached table.

Preventive healthcare

Pihlajalinna invests in services that can help to reduce prolonged sickness-related absences, permanent disability and human suffering as well as costs to the employer and society. The prevention of ill health is in everyone's interest society-wise and helps to reduce costs in the long term. Focusing on prevention is a key objective, especially in occupational healthcare. This is monitored on a vocational group-specific basis. The target and results are presented in the attached table. The direction of development is correct and the results achieved are aligned with the targets. Pihlajalinna will continue to maintain good practices and actively monitor development needs in the future.

Customer experience

The results of customer experience measurements are used in the development activities of the entire Group in accordance with the customer experience management model. Pihlajalinna's management (management teams, regional and business management) monitors the overall feedback through monthly and quarterly reports and is responsible for development measures. In addition, consumers and end-users are regularly consulted and, on the basis of the feedback and suggestions received, Pihlajalinna develops its activities and sets targets and processes to monitor their progress. Customer experience is Pihlajalinna's strategic focus, and measuring the customer experience and feedback process is part of the customer experience management model. The feedback process highlights topics for service development. The needs for quality development arising from the customer interface play a key role in the development of Pihlajalinna's operations. Pihlajalinna follows high data protection practices in its management model and feedback process. In addition to

customer feedback provided proactively by the customer, Pihlajalinna measures the customer experience on a daily basis by means of various surveys, SMS or directly in the digital service channel.

Pihlajalinna uses the Net Promoter Score (NPS) to measure the customer experience, among others. In the sustainability report, Pihlajalinna reports the NPS results and targets for health services for the coming financial years. Healthcare services include primary care and specialised care services, both for private healthcare services and public services (clinic private services, surgical operations, remote consultations, services in wellbeing services counties). Healthcare services do not include wellbeing services or customer service (gym services, contact centre). The target and results are presented in the attached table.

At Pihlajalinna, the continuous improvement of the customer experience consists of regular and up-to-date quality and customer experience measurements, continuous review of measurement methods, daily analysis and processing of customer feedback and the reporting and use of the results

**S4 Links between policies related to consumers and end-users and targets.**

During the reporting year, targets and metrics have not been set for all identified impacts, risks and opportunities, but the whole will be reviewed in order to set any targeted targets and metrics during the coming financial year.

Sustainability matter	Impacts, risks and opportunities (IRO)		Policy	Result 2024 / Target 2025	Metric
Consumer and end-user privacy	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Actual and potential negative impact	Data Protection and Information Security Policy. Risk Management Policy	Data protection and information security targets: The number of detected successful intrusion attempts is zero. No significant incidents that would result in financial or other losses.	Number of successful intrusion attempts. The number of significant incidents. Annual completion rate of information security and data protection training and the patient data protection exam (%)
	There are significant financial risks related to customers' privacy, data protection and information security. The most significant risks are cyber attacks on infrastructure or hardware and the resulting reputational damage and potential liability for damages.	Risk	Data Protection and Information Security Policy Quality Policy Risk Management Policy	Data protection and information security targets.	Data protection and information security metrics.
Security of consumers and end-users	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Actual and potential negative impact	Data Protection and Information Security Policy Quality Policy Risk Management Policy	Patient safety targets and data protection and information security targets.	Patient safety targets and data protection and information security targets.
	There are significant financial risks related to customers' privacy, data protection and information security. The most significant risks are cyber attacks on infrastructure or hardware and the resulting reputational damage and potential liability for damages.	Risk	Quality Policy Code of Conduct Human rights principles Supplier Code of Conduct	Data protection and information security targets.	Data protection and information security metrics.
Freedom of expression for consumers and end-users	The risk related to consumers' freedom of speech can manifest itself as reputational damage or customer satisfaction.	Risk	Code of Conduct Human rights principles	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)
Access of consumers and end-users to high-quality information	In cooperation with its personnel, Pihlajalinna produces and distributes information on social and healthcare themes that are relevant to society. However, communication may not jeopardise the privacy of customers or employees, data protection or the security of services.	Actual positive impact	The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)



CORPORATE GOVERNANCE STATEMENT

SUSTAINABILITY STATEMENT

Health and safety of consumers and end-users	Pihlajalinna provides customers with health benefits, society and employers with savings, access to care (reducing queues). Patient safety (physical patient safety) and positive impact are strong.	Actual and potential positive impact	Quality Policy Risk Management Policy	Pihlajalinna aims for an excellent customer experience in all service channels and at all business locations. There are several metrics in place with targets set for the coming years: Group healthcare services, customer experience (NPS), access to surgery in the target time, Net Safety Score (NSS), patient safety metrics and proportion of preventive care.	Customer experience metric (Net Promoter Score, NPS) Access to surgical treatment within the target time Net Safety Score (NSS) Patient safety metrics (Objections, official complaints, patient injury reports and compensation) Proportion of preventive care KL1 (TTH)
	Significant compromise of patient safety	Potential negative impact	Quality Policy Risk Management Policy	Patient safety targets.	Patient safety metrics
	The health, safety and security of customers are at the heart of Pihlajalinna's operations. Risks related to patient safety are reputational damage and potential liability for damages.	Risk	Quality Policy Risk Management Policy Code of Conduct	Patient safety targets and data protection and information security targets.	Patient safety metrics and data protection and information security targets.
Protecting children of consumers and end-users	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Actual and potential negative impact	Data Protection and Information Security Policy Risk Management Policy	Patient safety targets and data protection and information security targets.	Data protection and information security metrics.
	Maintaining patient safety and data protection. (cyber attacks on infrastructure and hardware)	Risk	Data Protection and Information Security Policy Risk Management Policy	Patient safety targets and data protection and information security targets.	Data protection and information security metrics
Non-discrimination of consumers and end-users	Equal treatment of customers	Actual positive impact	The Equality and Non-Discrimination Policy defines Pihlajalinna's policies related to equality and non-discrimination in all activities related to working life.	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)
	Non-discrimination of customers is also at the heart of Pihlajalinna's operations. The related reputational damage can pose significant financial risks, but on the other hand, reputational benefits can also provide opportunities.	Risk and opportunity	Quality Policy Code of Conduct Human rights principles Supplier Code of Conduct	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)
Access to products and services	The public service system is in a crisis. Pihlajalinna provides its customers, such as society and employers, with savings through access to services	Actual positive impact	Quality Policy	No targets in place in 2024.	No metrics in place in 2024.
	The availability of services produced for customers is at the heart of Pihlajalinna's operations. The related reputational benefit and, on the other hand, reputational damage can pose both financial risks and opportunities.	Risk and opportunity	Quality Policy	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)



Sustainable market- ing	The cornerstones of Pihlajalinna’s marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.	Actual positive impact	Quality Policy Code of Conduct	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)
	Non-discrimination of customers, the availability of services and responsible marketing are also at the heart of Pihlajalinna’s operations. The related reputational benefit and, on the other hand, reputational damage can pose both significant financial risks and opportunities.	Risk and opportunity	Quality Policy Code of Conduct Human rights principles	Group healthcare services, customer experience (NPS) Result 2024: 84 Target 2025: 81	Customer experience metric (Net Promoter Score, NPS)
The scope of all activities is our own operations and the downstream value chain, with Finland as the operating area (no other geographical areas). The base year is 2024 and the baseline values are 2024, as these are the first reported values. Analysis of the results and justifications: All results for 2024 are in line with the planned annual target and the achievement of the long-term target. The targets or metrics have not been validated by an external assurance provider. For all future actions, the time horizon is future financial years or the actions are continuous.					



Business Conduct (G1)

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The role of the administrative, management and supervisory bodies (ESRS2 GOV-1)

Information on the roles of the administrative, management and supervisory bodies is presented in section ESRS 2 GOV-1: The role of senior management in sustainability management.

Impact, risk and opportunity management related to business conduct (ESRS2 IRO-1)

More detailed information on the description of impacts, risks and opportunities related to business conduct is presented in section ESRS 2 SBM-3: Material sustainability topics in Pihlajalinna's activities and their link with the strategy. The materiality assessment process and process for managing impacts, risks and opportunities related to business conduct are described in section ESRS 2 IRO-1: Process to identify and assess material impacts, risks and opportunities.

A double materiality assessment and a risk assessment have been used in the identification of impacts, risks and opportunities. The identified material sustainability topics related to business conduct are corporate culture and political engagement, for which Pihlajalinna's impact is primarily positive and materialises in the short and medium term.

Corporate culture

Pihlajalinna has an actual positive impact on corporate culture. Pihlajalinna manages its material impacts on corporate culture and builds corporate culture through compliance with the applicable legislation, regulations issued by the authorities and the rules and regulations applicable to listed companies, and by training its personnel. These measures are enhanced by Pihlajalinna's internal controls. The principles applied in the company's operations are also documented in the Code of Conduct and the anti-corruption and anti-bribery policy. Training on the Code of Conduct is a mandatory part of Pihlajalinna's induction training programme. Supervisors' capabilities to address problems are developed through training. Pihlajalinna also has internal controls in place. The company also has a confidential whistleblowing channel that can be used to report misconduct and problems in the organisation.

The company's business operations and strategy do not directly affect the corporate culture, but they can affect it indirectly. Sustainable business and a strategy that takes into account the needs of the entire personnel can have a positive impact on corporate culture and thereby also on business operations. This subtopic is considered as an opportunity, as ethical conduct increases trust among stakeholders. Different stakeholders, such as investors, partners, employees and customers, are of primary importance with regard to ensuring profitable business. Trust can increase the value of the share, enable

access to financing packages on better terms, improve the availability of workers, and enhance customer acquisition and retention.

Political engagement

Pihlajalinna has a truly positive impact on political interaction. Pihlajalinna actively monitors legislation and its preparation, as well as political dialogue in general. Pihlajalinna has a long tradition of developing opportunities in public social and healthcare in collaboration with the public sector. Pihlajalinna adapts its practices according to legislation. The Group also adheres to ethical policies in political interaction. Pihlajalinna is registered in the Finnish Transparency Register to ensure transparency in advocacy activities. The Group does not support political parties or their members.

Political interaction can impact business positively. One of Pihlajalinna's strategic focus areas is to act as a partner in public healthcare, thus ensuring operational conditions in public healthcare. Political interaction can facilitate a more favourable legislative framework for private healthcare providers, thereby enabling economic benefits. This topic is seen as an opportunity, although it also carries a reputational risk in the context of political influence. Both risks and opportunities can materialise in its operations.



G1 Connections between governance policies and targets					
Sustainability matter	Impacts, risks and opportunities (IRO)		Policy	Result 2024 / Target 2025	Metric
Corporate culture (business ethics)	As a large group, Pihlajalinna can spur the entire industry on. The sector is highly regulated, which has created strong ethical practices in the sector for patient work and data processing, for example. Developing transparent processes, especially in business, as formal governance processes must be in place.	Actual positive impact	Quality policy Code of Conduct Human rights principles Supplier Code of Conduct Anti-Corruption and Anti-Bribery Policy	All employees have completed the digital Code of Conduct training. The target is continuous. Incidents of corruption or bribery: 0. The aim is to expand stakeholder discussions to deepen the understanding of ethical policies and human rights principles.	The percentage of employees who have completed the digital Code of Conduct training. Incidents of corruption or bribery.
	Ethical conduct increases trust among stakeholders. Different stakeholders, such as investors, partners, employees and customers, are of primary importance with regard to ensuring profitable business. Trust can increase share value, enable access to financing packages on better terms, improve the availability of workers, and enhance customer acquisition and retention.	Opportunity			
Political engagement	Pihlajalinna operates strongly in the public interface and engages in discussion at different levels. Sharing information about business operations as part of political decision-making strengthens the diverse knowledge capital for decision-makers. Pihlajalinna has operated as a partner to the public healthcare sector for many years.	Actual positive impact	Code of Conduct Supplier Code of Conduct Anti-Corruption and Anti-Bribery Policy Disclosure Policy	Incidents of corruption or bribery: 0.	Incidents of corruption or bribery.
	Political engagement may lead to a more favourable legislative framework for private healthcare organisations and thus facilitate economic benefits.	Opportunity			
	Political engagement may involve a reputational risk.	Risk			
The scope of all activities is our own operations and downstream value chain, with Finland as the operating area (no other geographical areas). The base year is 2024 and the baseline values are for 2024, as these are the first reported values. Result analysis and rationale: All of the results for 2024 are aligned with the achievement of the planned annual target and the long-term target. No external party has validated the targets or metrics. For all future actions, the time horizon is future financial years or the actions are continuous.					

Business conduct policies and corporate culture (G1-1)

Business conduct policies

The sustainability of Pihlajalinna's business conduct is guided by the applicable legislation and the company's guidelines and policies, which supplement the legal requirements and provide further specification. Pihlajalinna's Code of Conduct guides the company's management, personnel and practitioners. The Code of Conduct describes the way the company operates, based on the principles of good corporate governance, legal compliance, transparency, fairness and confidentiality. Compliance with these policies and their realisation in the day-to-day actions of all Pihlajalinna professionals, customers and

other stakeholders enable reliable operating relationships and have a positive impact on the well-being of customers and the personnel, thereby contributing to profitable and ethical business.

The realisation of the principles of good governance and legal compliance is monitored regularly at Pihlajalinna as part of internal auditing. Compliance with the principles of openness and transparency is monitored twice a year by means of the Pihlis Pulse personnel survey, which examines material issues relating to the openness of the work community and management and the transparency of operations. The same survey is also used to examine the realisation of the principles of fairness and confidentiality in the day-to-day work of Pihlajalinna professionals.

In addition to the Pihlis Pulse survey, compliance with policies and their realisation are monitored in bilateral development discussions between supervisors and employees. Issues arising from these discussions are also addressed by the management of the organisation in question as necessary. Compliance with the Code of Conduct and its realisation are also examined in all management activities, from day-to-day management to the Management Team and the Board of Directors. The highest level of accountability lies with the Board of Directors.

Pihlajalinna's procurement principles concerning partners are laid down in a separate Supplier Code of Conduct and separate ethical



guidelines concerning sports cooperation. The procurement principles cover five areas: legislation and human rights, the environment, customers' health and safety, workers' rights and ethical business.

The most senior level that is accountable for compliance with the procurement principles is the Chief Procurement Officer. The procurement organisation examines the ethical compliance of suppliers of goods and services as well as other stakeholders as part of procurement decisions and partnership cooperation.

For Pihlajalinna, sustainable business means good corporate citizenship. Operating ethically and sustainably is key to achieving the Group's strategic objectives. The company brings economic value to society by providing efficient and impactful social and healthcare services, procuring services and products from local operators, and paying all taxes in Finland. Pihlajalinna is a significant employer across Finland. As a provider of healthcare and social welfare services and as a listed company, Pihlajalinna places a high priority on transparent, timely and reliable communications, both internally and with external stakeholders. The cornerstones of Pihlajalinna's marketing and communications are professionalism, reliability, truthfulness and up-to-date medical knowledge.

Pihlajalinna is committed to respecting the following international commitments, principles, guidelines and initiatives:

- The Universal Declaration of Human Rights by the UN
- International Labour Organization (ILO) Declaration on Fundamental Principles and Rights at Work
- The UN Guiding Principles on Business and Human Rights (UNGPR) and the Global Compact initiative
- The OECD Guidelines for Multinational Enterprises on Responsible Business Conduct

The Group's operations are also guided by the following principles and guidelines, among others:

- Governance practices
- Quality policy, environmental policy and risk management policy
- Equality and non-discrimination plan
- Data protection and information security policy and guidelines
- Disclosure policy and the disclosure rules of Nasdaq Helsinki
- Marketing guidelines for healthcare services

These commitments, principles, operating guidelines and initiatives have been incorporated into Pihlajalinna's operations at every level as applicable and in such a way that they serve employee well-being,

customers and other stakeholders, and thereby contribute to Pihlajalinna's business objectives. Each policy and operating principle is an integral part of Pihlajalinna's operations.

The commitments, policies, guidelines and initiatives are integrated into the company's Code of Conduct and procurement principles, and they are applied as part of the activities of Pihlajalinna's management and the work of immediate supervisors. The implementation of these guidelines is monitored as part of personnel surveys and discussions, and any issues identified in the course of these monitoring activities are referred to the management for evaluation and further processing if necessary. If an issue or concern cannot or is preferred not to be raised without anonymity, Pihlajalinna has a whistleblowing channel that guarantees full anonymity. The system ensures that incidents and issues are reliably addressed by a group that is appointed by the management and operates under the leadership of the Chief Legal Officer.

Corporate culture

Pihlajalinna's corporate culture is the sum of several components. The key building blocks of the corporate culture include the company's values – ethics, energy and open-mindedness – and Pihlajalinna's way of working, which is driven by the values together with the Code of Conduct established by the company. Pihlajalinna's leadership principles describe the type of leadership that is aimed for and valued at Pihlajalinna. These principles have been defined in collaboration with the personnel.

Pihlajalinna's approach to looking after its personnel, customers and partners, and taking them into consideration, is an integral part of the company's culture. Communications play an important role, as do the company's operating models in relation to stakeholders in different contexts.

Pihlajalinna respects its employees' right to unionisation and develops cooperation based on trust and openness with employee representatives. The company engages in cooperation with elected employee representatives, occupational safety and health delegates and representatives selected by the personnel. Pihlajalinna monitors and assesses the development of the employee experience with the help of the twice-yearly Pihlis Pulse personnel survey. More information on Pihlajalinna's measures related to the company's own workforce is provided in the S1 section.

Information on the organisation's internal training with regard to business conduct

Training on Pihlajalinna's Code of Conduct applies to all employees and private practitioners working at Pihlajalinna. The members of the Board of Directors have reviewed the Code of Conduct in connection with the approval process. The training is implemented as an independently taken online course in Pihlajalinna's e-learning environment, the Pihlajalinna Academy. The training covers Pihlajalinna's key ethical principles and encourages the personnel to act responsibly. Approved completion of the training is required of every Pihlajalinna professional, and completion of the training is monitored by supervisors. The course completion rates are also subject to regular monitoring by senior management. Necessary measures, such as activation measures, are agreed upon as needed.

In addition to being the subject of a separate online course, the Code of Conduct is incorporated into Pihlajalinna's general induction training and induction training aimed at supervisors. The induction training for supervisors is mandatory for all new supervisors, and the completion of the training is also subject to regular monitoring. A reminder is sent to new supervisors at two-month intervals to ensure that they complete the induction training. Pihlajalinna's Code of Conduct includes a commitment to the prevention of bribery and corruption. The Group Management Team is responsible for ensuring that the personnel is familiar with the Code of Conduct, and supervisors are responsible for adherence to the Code of Conduct.

Regular dialogue between the personnel, supervisors, elected employee representatives and other parties is part of work and day-to-day operations to maintain openness and trust in a safe work environment. The Pihlis Pulse survey is conducted regularly and the results are monitored all the way up to senior management. By purposefully managing sustainability, Pihlajalinna wants to ensure that the company operates in a sustainable and ethical manner and enables the achievement of the targets set for sustainability. The highest responsibility for the realisation of the policies lies with the Board of Directors and its People and Sustainability Committee. The most senior person in charge of compliance with the Code of Conduct is the company's Chief Legal Officer.

Mechanisms for identifying, reporting and investigating concerns

Pihlajalinna has an operating model in place for the management of harassment and inappropriate treatment. The model and the related principles are communicated to the entire personnel. Supervisors and occupational safety and health delegates receive training on how to



identify and address harassment and inappropriate treatment. Supervisors are responsible for the monitoring of working conditions. Attention is paid to working conditions in accordance with the operating model for the management of inappropriate treatment. The operating model for the management of harassment and inappropriate treatment is the subject of dialogue with personnel representatives in compliance with the Act on Co-operation within Undertakings. Inappropriate behaviour or actions are not tolerated in any form. Pihlajalinna's intranet provides access to instructions on what to do if inappropriate behaviour is encountered. Professional behaviour at work prevents inappropriate treatment. The key is for everyone to operate in accordance with the rules, instructions and schedules relevant to their work, and to take the initiative to offer and request help.

The channels available to the personnel for raising concerns are described in more detail in the section on Pihlajalinna's own workforce (S1) of this report.

Incidents identified as harassment or inappropriate treatment are handled objectively and confidentially in consultation with all of the parties concerned. Consistent decisions and measures are taken to put a stop to inappropriate treatment. The parties involved in any incident of harassment or inappropriate treatment, and the supervisor concerned, can request assistance and support from the occupational safety and health delegate, the elected employee representative, the occupational safety and health manager, the HR administration and occupational healthcare as necessary. The supervisor, or a person designated by the supervisor, will investigate the incident confidentially and without prejudice, as quickly as possible, primarily through discussion with the persons concerned and, if necessary, through other means. A memorandum is prepared on the discussions. The methods and timing of following up on the agreed measures are agreed upon with the parties concerned, and the supervisor informs, to the extent deemed necessary, the other members of the work community of the processing of the matter and its progress at a general level if the supervisor considers the matter to be of significance to the well-being of the work community as a whole. The parties concerned are informed in advance of any measures to inform the work community.

Whistleblower protection

Pihlajalinna aims to operate responsibly, in compliance with the law and in line with the Group's ethical values in all circumstances. Pihlajalinna has an anonymous whistleblowing channel for reporting misconduct or illegal actions. The Group's personnel, customers and

other stakeholders can use the channel to safely report any misconduct or violations of the company's values they have observed. The whistleblowing channel is accessible to stakeholders via Pihlajalinna's website.

If any irregularities are observed in the company's operations, the information is processed immediately. All reports are processed appropriately and confidentially. According to the law, a person who has submitted a report through the whistleblowing channel may not be retaliated against for submitting a report. The whistleblower is always protected and the identities of the subject of the report and any other parties mentioned in the report are processed in strict confidentiality. The reports are only seen by the persons designated to process them. Where necessary, other experts may be used in the investigation of whistleblower reports to ensure that they are processed appropriately.

The aforementioned whistleblowing channel and the anonymity it provides are deemed adequate at Pihlajalinna, and the company has not considered it necessary to introduce any separate lines of operation.

Description of functions that are most at risk in respect of corruption and bribery

Pihlajalinna drew up a separate anti-corruption and anti-bribery policy in late 2024, and the policy was approved by the Management Team at the end of 2024. The policy was implemented in December 2024. Themes related to this topic were previously addressed in Pihlajalinna's Code of Conduct. The new policy is aligned in its essential aspects with the UN Convention against Corruption.

No incidents of corruption or bribery have been detected at Pihlajalinna. Therefore, based on the company's experience, no specific function can be identified as being most at risk. On a theoretical level, incidents of corruption could be possible in the procurement organisation, which is responsible for the entire Group's procurement decisions and their supervision under the leadership of the Chief Procurement Officer. Pihlajalinna's Code of Conduct, Supplier Code of Conduct and the new anti-corruption and anti-bribery policy state that all forms of corruption are prohibited. Pihlajalinna considers the general risk of corruption to be low and has therefore not assessed the topic to be material. Pihlajalinna operates in Finland, where the risk of bribery and corruption is generally low. (Transparency International Corruption Perceptions index)

Political influence and lobbying activities (G1-5)

Pihlajalinna does not support any political activities and is therefore politically independent. Pihlajalinna was registered in the EU Transparency Register in autumn 2024 (register number: PIH-24-1415-R). Actual reporting on the topic will take place from 2025 onwards. Pihlajalinna's political lobbying activities can be considered to be minor. Pihlajalinna is a member of the Finnish Association of Private Care Providers (HALI), which represents companies and organisations that produce social and healthcare services. HALI is a member of the Confederation of Finnish Industries EK. Pihlajalinna is also a member of the industry association Lääkäripalveluyhdistys LPY. Pihlajalinna does not have a statutory obligation to be a member of a Chamber of Commerce or any other advocacy organisation.

The Executive Vice President, Communications and Sustainability is the senior representative in charge of matters related to political influence and lobbying activities. All discussions, meetings or topics related to the subject are reviewed to the extent deemed necessary with the Management Team and business management. The business and business management engage in interaction with the Executive Vice President, Communications and Sustainability. The Executive Vice President, Communications and Sustainability communicates the matter in question to the extent deemed necessary to the senior management, such as the Board of Directors and the Management Team.

Information on the most important topics related to lobbying activities and the company's most significant views

The overarching theme of Pihlajalinna's political influence activities is to ensure the operating conditions of the multi-producer model, i.e. cooperation between public and private healthcare services. Utilising all existing healthcare resources in society not only promotes Pihlajalinna's business activities but also contributes to reducing the costs of healthcare in the national economy and promoting citizens' well-being through timely access to care. In 2024, efforts were made to promote Pihlajalinna's operating conditions under two separate themes related to regulatory changes and promoting the operating conditions of the wellbeing services counties.

Reform of the Health Care Act, the Hospital Decree and the multi-producer model



In the organisation of healthcare services, the wellbeing services counties should be given as much flexibility as possible in service production, and no feasible methods should be ruled out in the applicable legislation. Legislation should enable different forms of ownership and production also in hospital operations, and avoid restrictions pertaining to the temporary nature of operations or medical terms being subject to interpretation.

The financing model of the wellbeing services counties

The current financing model of the wellbeing services counties needs to be overhauled. The current financing model is based on morbidity and rewards wellbeing services counties on the basis of services performed without ensuring effectiveness. The operating model increases costs and has an adverse impact on the health of citizens.

Pihlajalinna has operated as a partner to the public healthcare sector for many years. The company has experience and evidence of how to ensure, together with the public sector, the best possible service structure from the perspective of overall effectiveness, in terms of both health impact and cost efficiency.

Targets and metrics

Pihlajalinna's Code of Conduct training is mandatory for all Pihlajalinna professionals. In 2024, the digital training was completed by 59%. The target was for the digital training to be completed by a minimum of 70% of the personnel by the end of 2024. Going forward, the target for the completion rate of Code of Conduct training 100%. No external party has validated the targets or metrics.

Pihlajalinna was not subject to any decisions, court judgments, fines or similar penalties for violations related to corruption or bribery. Information on cases and legal action is compiled by the legal department. No cases of such type were pending, nor were any reported to the auditors, who are otherwise reported to with regard to any disputes, criminal cases and other legal proceedings.

Pihlajalinna has no reportable information regarding political donations in cash or in-kind.



Policy name	Key contents and general objectives	Follow-up process	Highest decision-making party	Related sustainability topics
Code of Conduct	The Code of Conduct describes the key values and principles that workers are expected to follow. The aim of the Code of Conduct is to establish clear ethical standards that cover all aspects of Pihlajalinna's operations and day-to-day work. This is complemented by our human rights policy, which reinforces our commitment to respecting human rights in all of our activities and in the sphere of influence of our operations, and to eradicate all forms of modern slavery, forced labour, trafficking in human beings and child labour in accordance with the ILO Declaration on Fundamental Principles and Rights at Work. Pihlajalinna has signed the UN Global Compact initiative's Guiding Principles on Business and Human Rights. The Code of Conduct also includes themes related to corruption and bribery, for which there is also a separate policy.	Pihlajalinna has a confidential whistleblowing channel that can be used for reporting misconduct and problems in the organisation. Every Pihlajalinna employee must complete mandatory training on the Code of Conduct and commits to complying with the Code, which also entails respecting human rights. Pihlajalinna's legal affairs unit is responsible for processing whistleblower notifications, and the Board of Directors monitors messages submitted via the whistleblowing channel and the actions taken in response to them. The Group Management Team is responsible for ensuring that the personnel are familiar with the Code of Conduct, and supervisors are responsible for adherence to the Code of Conduct.	Board of Directors	G1 Governance S1 Own workforce S4 Customers and end-users
Supplier Code of Conduct and ethical sports cooperation policy	The Supplier Code of Conduct describes our expectations of suppliers and partners to conduct business in an ethical and socially responsible manner. It covers five areas: legislation and human rights, environment, customer health and safety, employee rights and ethical business including anti-corruption and anti-bribery. Service providers, suppliers and partners are obliged to follow the principles.	Monitoring commitment to the Supplier Code of Conduct is part of the supplier management process and agreements. A systematic monitoring process is under development and therefore was not yet complete during the reporting year.	Pihlajalinna's CEO	G1 Governance
Anti-Corruption and Anti-Bribery Policy	Pihlajalinna drew up a separate anti-corruption and anti-bribery policy in late 2024, and the policy was approved by the Management Team at the end of 2024. The new policy is essentially aligned with the UN Convention against Corruption. The theme of the anti-corruption and anti-bribery policy is also included in the Code of Conduct.	The anti-corruption and anti-bribery policy was adopted at the end of the reporting year and the monitoring process will be deployed during 2025.	Board of Directors	G1 Governance
Human rights principles	Pihlajalinna's human rights policy reinforces Pihlajalinna's commitment to respecting human rights in all of activities and in the sphere of influence of operations, and to eradicate all forms of modern slavery, forced labour, trafficking in human beings and child labour in accordance with the ILO Declaration on Fundamental Principles and Rights at Work. These human rights principles describe how Pihlajalinna fulfils its obligation to respect human rights and implement continuous human rights due diligence, and how Pihlajalinna promotes stakeholder cooperation, corrective measures and the available grievance mechanisms. Pihlajalinna's human rights policy is available	The human rights risk assessment is reviewed annually and is part of the continuous development of operations. This ensures that Pihlajalinna responds to any changes in the business environment. Pihlajalinna's various functions actively monitor and work for human rights, including the legal service, HR department, procurement and the communications and sustainability team.	Board of Directors	S1 Own workforce S4 Customers and end-users
Personnel Policy	The Personnel Policy compiles the most important operating principles in different HR areas. The Personnel Policy includes requirements and expectations for the Group's operations so that our personnel can perform meaningful work in a well-managed and healthy work community.	At Pihlajalinna, the implementation of policies aligned with the Personnel Policy is monitored and assessed regularly through personnel surveys and discussions with personnel representatives. The Group's Chief People and Culture Officer is the owner of the Personnel Policy. Group HR is responsible for updating/amending the policy.	Board of Directors	G1 Governance S1 Own workforce
Equality policy	The Equality and Non-Discrimination Policy defines Pihlajalinna's policies related to equality and non-discrimination in all activities related to working life.	At Pihlajalinna, equality and non-discrimination are regularly monitored and assessed through employee surveys and by collecting and analysing statistics on the placement of women and men in different personnel groups and positions. The survey of wages and pay gaps is carried out as part of the monitoring, and these statistics are included in the equality and non-discrimination plan. The Group's Chief People and Culture Officer is the owner of the Equality and Non-Discrimination Policy. Group HR is responsible for updating/amending the policy.	Board of Directors	G1 Governance S1 Own workforce



CORPORATE GOVERNANCE STATEMENT

SUSTAINABILITY STATEMENT

Risk management policy	Pihlajalinna's risk management is guided by the Group's Risk Management Policy. Continuity plans are prepared for the most important risks. Pihlajalinna describes the significant near-term risks and uncertainties related to its business in its interim reports and Board of Directors' report. Pihlajalinna uses quality management systems to support risk management. Pihlajalinna describes the significant near-term risks and uncertainties related to its business in its interim reports and Board of Directors' report.	The Group Management Team regularly assesses risks, refines risk reporting if necessary and reports on key risks to the Board of Directors. The Board of Directors annually verifies that risk management is up to date. Pihlajalinna describes the significant near-term risks and uncertainties related to its business in its interim reports and Board of Directors' report. The Group Management Team regularly assesses risks, refines risk reporting if necessary and reports on key risks to the Board of Directors.	Board of Directors	G1 Governance S1 Own workforce S4 Customers and end-users
Quality policy	Pihlajalinna's quality policy and quality control system support the strategy of Pihlajalinna Group. The aim is to ensure that Pihlajalinna's operations comply with valid legislation, authoritative regulations and any licences and requirements of the industry. Pihlajalinna's quality management is based on comprehensive self-monitoring, external quality assurance and comprehensive monitoring by the authorities. The quality policy is owned by the Group's Quality Director, who is responsible for updating the policy and changes made to it. The quality policy includes the following certificates: ISO9001 certificate: Private clinic operations, occupational health services, hospital operations, inpatient ward operations, service housing with 24-hour assistance (Ikipihlaja, Uniikki), in-house support services and management and development. ISO27001 certificate: Pihlajalinna Dextra private clinic. ISO14001 Environmental management system: Private healthcare services	Pihlajalinna's management agrees to comply with the requirements and monitors the development of customer experiences, medical quality, employee satisfaction and process quality and takes the necessary action needed to fulfil the quality-related objectives. Pihlajalinna's management is committed to constantly improving operations and the quality management system and creates the prerequisites for achieving the quality-related objectives.	Chief Medical Officer	G1 Governance S1 Own workforce S4 Customers and end-users
Data Protection and Information Security Policy	The purpose of the Data Protection and Information Security Policy is to ensure that all personal data and other confidential information is processed securely and lawfully. The organisation is committed to complying with the ISO27001 standard and other similar initiatives that support the implementation of information security and data protection. This is described in the Data Protection and Information Security Policy.	The implementation of data protection and information security is continuously monitored. Each employee is responsible for the implementation of data protection and information security and required to report any threats or deviations they observe. The Chief Medical Officer is responsible for data protection. The Chief Information Officer is responsible for information security. Operations are guided by the appointed Data Protection and Information Security Director.	Pihlajalinna's CEO	G1 Governance S1 Own workforce S4 Customers and end-users
Environmental Policy	Pihlajalinna Group's Environmental Policy sets out the policies for environmental management and practices, such as the identification of the environmental impacts of Pihlajalinna's operations and the continuous development of operations. Pihlajalinna's Environmental Policy defines our commitment to environmental efforts and guides decision-making. Operations are based on the ISO 14001 environmental management framework, which, as part of Pihlajalinna's joint management system, creates uniform operating methods for the Group. Pihlajalinna's private healthcare services, i.e. private clinics, occupational health services and hospitals, are certified under the ISO 14001 environmental management standard.	Together with the Quality Director, the Chief Legal Officer maintains a list of acts and decrees concerning Pihlajalinna's environmental aspects. Environmental aspects are reviewed once a year by the person in charge. Environmental officers have been appointed for private clinics and hospital service locations. They see to taking environmental aspects into account in the unit's operations and monitoring the implementation of the environmental programme. They convene once a month with external waste management experts to review and develop location-specific environmental plans and guidelines.	Communications and Sustainability Director	E1 Climate change mitigation and adaptation S1 Own workforce S4 Customers and end-users
Whistleblowing channel instructions for users	Pihlajalinna's confidential whistleblowing channel can be used for reporting misconduct and grievances in the organisation. The whistleblowing channel is implemented in partnership with a neutral third party to ensure that the anonymity of the person who submits the report is maintained. The neutral party is only responsible for the technical provision of the service, not receiving the reports. Reports can only be viewed by the persons designated to handle reports, and all reports are handled appropriately and confidentially. Confidentiality regarding the identity of the person who submits the report, the person who is the subject of the report and any other parties mentioned in the report is maintained. The whistleblowing channel is available on Pihlajalinna's website and the intranet for personnel, and its operations is regularly communicated to the personnel and stakeholders. Reports can be submitted in Finnish, Swedish and English.	All reports are processed appropriately and confidentially. We always maintain confidentiality regarding the identity of the person who submits the report, the person who is the subject of the report and any other parties mentioned in the report. The reports are only seen by the persons designated to process them. Where necessary, other experts may be used in the investigation of whistleblower reports to ensure that they are processed appropriately.	Chief Legal Officer	G1 Governance S1 Own workforce S4 Customers and end-users



Remuneration Policy	Pihlajalinna's Remuneration Policy is a remuneration policy for governing bodies as referred to in the Limited Liability Companies Act, the Securities Markets Act and the Corporate Governance Code. It sets out the principles for the remuneration of the members of the Board of Directors and the CEO. The main principle of the Remuneration Policy is that the remuneration of the Board of Directors and the CEO should promote the achievement of the Group's objectives and offer a fair, engaging and competitive system which adheres to the market practices in its extent and structure. The purpose of all remuneration at Pihlajalinna Group is to encourage good performance and motivate the personnel to work long-term to achieve the company's goals. Remuneration is one of the factors that the Group uses to ensure that we have talented and motivated people for each position at all levels of the organisation. These principles also apply to the remuneration of Board members and the CEO. However, the characteristics required of Board members and the CEO and the measurement of success in these positions differ significantly from most other positions in the Group. The terms of employment of the Group's employees have no effect on this Remuneration Policy.	Pihlajalinna's General Meeting decides on the remuneration paid to the members of the Board of Directors. The proposal for the remuneration of the Board members is prepared by the Shareholders' Nomination Board. Assisting the Board of Directors, the People and Sustainability Committee prepares the principles applied to the remuneration of the CEO. Pihlajalinna's Board of Directors annually confirms the amount, targets and criteria for performance bonuses.	General Meeting of Pihlajalinna Plc	ESRS2
Disclosure Policy	The Disclosure Policy approved by Pihlajalinna Plc's Board of Directors describes the key principles and operating methods according to which the Group operates in investor communications and financial reporting. Pihlajalinna Group's goal is to ensure that all market participants have access to relevant and sufficient information about factors affecting the price of Pihlajalinna's shares. In its communications, Pihlajalinna Group complies with EU and Finnish legislation, the rules of Nasdaq Helsinki Ltd, the guidelines and regulations of the Financial Supervisory Authority and other authorities, the Corporate Governance Code for listed companies and the company's corporate governance principles, insider guidelines and other guidelines. Pihlajalinna's principles for investor communications are timeliness, reliability, transparency, consistency and fairness. The Group communicates clearly and comprehensively about both positive and negative matters. Pihlajalinna publishes releases as soon as possible and simultaneously to both the market and its key stakeholders. The Group publishes all stock exchange releases and investor news in Finnish and English.	The Disclosure Policy is reviewed and updated as necessary. The Board of Directors reviews and approves the financial statements and interim reports. In addition, the Board of Directors approves significant stock exchange releases, such as the CEO's appointment announcement. Other stock exchange releases are approved by the CEO or CFO.	Board of Directors	ESRS2 G1 Governance
The scope of all policies is own personnel and operations in Finland (no other geographical areas), excluding the Supplier Code of Conduct, which covers suppliers. The financial resources associated with all current and planned policies are human resources. The policies are available on the website and intranet.				

Financial Statements 1 January–31 December 2024

Financial statements 1 Jan–31 Dec 2024

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Date of and signatures to the report by the board of directors and the financial statements

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Consolidated statement of comprehensive income, IFRS

EUR 1,000	Note	1–12/2024	1–12/2023
Revenue	2	704,447	719,984
Other operating income	3	3,800	7,532
Materials and services	4	-200,369	-255,231
Employee benefit expenses	5	-321,203	-322,760
Other operating expenses	7	-85,141	-76,559
Share of profit in associated companies and joint ventures	29	-26	-478
EBITDA		101,508	72,487
Depreciation, amortisation and impairment	8	-53,018	-51,906
Operating profit (EBIT)		48,489	20,581
Financial income	9	1,090	355
Financial expenses	10	-10,930	-12,749
Financial income and expenses		-9,840	-12,394
Profit before taxes		38,649	8,187
Income tax	11	-8,497	-3,587
Profit for the period		30,152	4,600
Attributable to:			
To the owners of the parent company		27,359	5,729
To non-controlling interests		2,793	-1,129
Earnings per share calculated on the basis of the result for the period attributable to the owners of the parent company (EUR)			
Basic	12	1.13	0.19
Diluted		1.13	0.19

Consolidated statement of comprehensive income

EUR 1,000	Note	1–12/2024	1–12/2023
Profit for the period		30,152	4,600
Other comprehensive income that will be reclassified subsequently to profit or loss			
Cash flow hedge	26	-1,961	-1,768
Recorded in equity		-981	-1,020
Transferred to income statement		-980	-748
Income tax on other comprehensive income		392	354
Other comprehensive income for the reporting period		-1,569	-1,415
Total comprehensive income for the reporting period		28,583	3,185
Attributable to:			
To the owners of the parent company		25,790	4,314
To non-controlling interests		2,793	-1,129

Consolidated statement of financial position, IFRS

EUR 1,000	Note	31 Dec 2024	31 Dec 2023
ASSETS			
Non-current assets			
Property, plant and equipment	13	63,565	65,807
Goodwill	14	254,875	251,773
Other intangible assets	14	15,731	21,071
Right-of-use assets	15	185,091	203,932
Interests in associates	29	26	1,591
Other investments		166	168
Other receivables	16	5,532	6,088
Deferred tax assets	20	7,746	14,595
Total non-current assets		532,732	565,025
Current assets			
Inventories	4	4,503	4,460
Trade and other receivables	17	61,156	61,498
Current tax assets		866	1,998
Cash and cash equivalents		30,908	24,517
Total current assets		97,434	92,473
Total assets		630,166	657,498

EUR 1,000	Note	31 Dec 2024	31 Dec 2023
EQUITY AND LIABILITIES			
Equity attributable to owners of the parent			
Share capital		80	80
Fair value reserve		1,107	2,676
Reserve for invested unrestricted equity		116,520	116,520
Hybrid loan		20,000	20,000
Retained earnings from previous years		5,654	3,032
Profit for the financial year		27,359	5,729
Equity attributable to owners of the parent company		170,720	148,036
Non-controlling interests		-1,769	-3,445
Total equity	22	168,951	144,591
Liabilities			
Deferred tax liabilities	20	7,901	8,452
Provisions	18	2,519	123
Lease liabilities	23	180,887	199,834
Financial liabilities	21	114,573	144,546
Other non-current liabilities		516	666
Total non-current liabilities		306,396	353,620
Current liabilities			
Trade and other payables	19	121,085	125,333
Current tax liabilities		798	119
Provisions	18	66	84
Lease liabilities	23	31,047	30,754
Financial liabilities	21	1,823	2,996
Total current liabilities		154,820	159,287
Total liabilities		461,216	512,907
Total equity and liabilities		630,166	657,498

Consolidated statement of cash flows, IFRS

EUR 1,000	Note	1-12/2024	1-12/2023
Cash flow from operating activities			
Profit for the period		30,152	4,600
Taxes	11	8,497	3,587
Depreciation, amortisation and impairment	8	53,018	51,906
Financial income and expenses	9, 10	9,840	12,394
Other		273	6,450
Net cash generated from operating activities before change in working capital		101,781	78,937
Change in working capital		-2,146	25
Interest received		724	409
Paid and received taxes		484	-370
Net cash flow from operating activities		100,842	79,002
Cash flow from investing activities			
Investments in tangible and intangible assets		-11,029	-22,859
Proceeds from disposal of tangible and intangible assets and prepayments		912	311
Changes in other receivables and investments		-15	-34
Sale of subsidiaries with time-of-sale liquid assets deducted	27	0	7,657
Granted loans and repayments		12	-2,078
Dividends received		31	3
Acquisition of subsidiaries less cash and cash equivalents at date of acquisition	27	-2,202	-1,460
Net cash flow from investing activities		-12,289	-18,460
Cash flow from financing activities			
Changes in non-controlling interests	27	-172	-262
Acquisition of own shares	22	-937	0
Proceeds from long-term borrowings	24	110,000	5,000
Repayment of long-term borrowings	24	-142,560	-33,975
Repayment of lease liabilities	24	-32,068	-31,825
Interest and other financial expenses		-11,873	-6,178
Dividends paid and other profit distribution	22	-2,152	-1,480
Proceeds from hybrid bond	22	0	20,000
Hybrid bond interest and expenses	22	-2,400	-432
Net cash flow from financing activities		-82,161	-49,153
Changes in cash and cash equivalents		6,392	11,389
Cash at beginning of period		24,517	13,128
Cash at end of period		30,908	24,517

Consolidated statement of changes in equity, IFRS

Equity attributable to owners of the parent company								
EUR 1,000	Note	Share capital	Reserve for invested unrestricted equity	Fair value reserve	Hybrid bond	Retained earnings	Non-controlling interests	Equity Total
Total equity, 1 Jan 2023		80	116,520	4,090		3,290	-1,092	122,888
Profit for the period						5,729	-1,129	4,600
Other comprehensive income items for the period	26			-1,415				-1,415
Total comprehensive income for the period				-1,415		5,729	-1,129	3,185
Dividends paid						-	-730	-730
Share-based benefits	6					299		299
Total transactions with owners						299	-730	-431
Changes in NCI without a change in control	27					-202	-347	-550
Other changes						77	-146	-70
Total changes in subsidiary shareholdings						-126	-494	-619
Proceeds from hybrid bond	22				20,000			20,000
Hybrid bond interests and expenses	22					-432		-432
Total equity, 31 Dec 2023		80	116,520	2,676	20,000	8,760	-3,445	144,591

Equity attributable to owners of the parent company								
EUR 1,000	Note	Share capital	Reserve for invested unrestricted equity	Fair value reserve	Hybrid bond	Retained earnings	Non-controlling interests	Equity Total
Total equity, 1 Jan 2024		80	116,520	2,676	20,000	8,760	-3,445	144,591
Profit for the period						27,359	2,793	30,152
Other comprehensive income items for the period	26			-1,569				-1,569
Total comprehensive income for the period				-1,569		27,359	2,793	28,583
Dividends paid						-1,579	-1,109	-2,688
Acquisition of own shares						-937		-937
Share-based benefits	6					1,407		1,407
Investments in group subsidiaries							-3	-3
Total transactions with owners						-1,109	-1,112	-2,220
Changes in NCI without a change in control	27					-166	-6	-172
Other changes						88	-	88
Total changes in subsidiary shareholdings						-78	-6	-84
Proceeds from hybrid bond	22				-			0
Hybrid bond interests and expenses	22					-1,920		-1,920
Total equity, 31 Dec 2024		80	116,520	1,107	20,000	33,013	-1,769	168,951

General accounting policies

Company profile

Pihlajalinna is one of the leading private social and healthcare service providers in Finland. The Group serves private persons, companies, insurance companies and public sector entities. Pihlajalinna provides a broad range of social and healthcare services as well as wellbeing services. The service selection includes general practitioner and medical specialist services, occupational healthcare, social and healthcare outsourcing, fitness centre services, responsible doctor and remote consultation services as well as residential services and staffing services.

At the end of the financial year, the total number of Pihlajalinna's private clinics, hospitals, dental clinics, fitness centres and service housing units with 24-hour assistance was approximately 160. In addition, Pihlajalinna has four major complete social and healthcare outsourcing agreements that collectively cover some 40 locations (including health centres, maternity and child health clinics, service housing units with 24-hour assistance and daytime activity centres).

The Group's parent company, Pihlajalinna Plc, is a Finnish public limited company established under the laws of Finland, whose Business ID is 2617455-1. The company is domiciled in Tampere, and its registered address is Kehräsaari B, FI-33200 Tampere, Finland. Pihlajalinna Plc's shares are listed on the NASDAQ OMX Helsinki main market. A copy of the consolidated financial statements is available on the internet at investors.pihlajalinna.fi or can be obtained at the head office of the Group's parent company, address Kehräsaari B, 33200 Tampere, Finland.

The Board of Directors of Pihlajalinna Plc approved these financial statements in its meeting on 19 March 2025. In accordance with the Finnish Limited Liability Companies Act, the shareholders may adopt or reject the financial statements at the Annual General Meeting held after their publication and if needed, return the financial statements to the Board of Directors for modifications.

Basis of preparation

The consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS), and their preparation complies with the IAS and IFRS as well as SIC and

IFRIC interpretations effective on 31 December 2024. International Financial Reporting Standards, as intended in the Finnish Accounting Act and the regulations issued pursuant to the Act, refer to the standards that have been approved for application within the EU in accordance with Regulation (EC) No. 1606/2002 and interpretations thereof. The notes to the consolidated financial statements also comply with the Finnish accounting and company legislation that complements the IFRS regulations.

General accounting policies to the consolidated financial statements are described in this section. Accounting policies that influence a particular note to the consolidated financial statements are indicated with the heading *Accounting policies* in the note in question.

The consolidated financial statements are presented in euros and all figures are rounded to the nearest thousand, unless otherwise specified.

New and amended standards applied in the past financial year

From the beginning of 2024, the Group has applied the following new and amended standards (effective for financial years beginning on or after 1 January 2024):

Amendments to IFRS 16 *Leases*

The amendments introduce a new accounting model for variable payments and will require seller-lessees to reassess and potentially restate sale-and-leaseback transactions entered into since the implementation of IFRS 16 in 2019.

Amendments to IAS 1 *Presentation of Financial Statements*

The amendments are to promote consistency in application and clarify the requirements for determining if a liability is current or non-current. The amendments specify that covenants to be complied with after the reporting date do not affect the classification of debt as current or non-current at the reporting date. The amendments require to disclose information about these covenants in the notes to the financial statements. The amendments also clarify transfer of a company's own equity instruments is regarded as settlement of a liability.

Liability with any conversion options might affect classification as current or non-current unless these conversion options are recognized as equity under IAS 32.

Amendments to IAS 7 *Statement of Cash Flows* and IFRS 7 *Financial Instruments: Disclosures*

The amendments enhance the transparency of supplier finance arrangements and their effects on a company's liabilities, cash flows and exposure to liquidity risk. Amendments require to disclose quantitative and qualitative information about supplier finance programs.

The new and amendment standards did not have a material impact on the Pihlajalinna's consolidated financial statements. Other new or amended standards that entered effect on 1 January 2024 did not have effect on Pihlajalinna's consolidated financial statements.

Consolidation principles

Subsidiaries

Subsidiaries are entities in which the Group exercises control. The Group has control of an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Intragroup shareholdings are eliminated using the acquisition method. The consideration transferred and the acquired entity's identifiable assets and assumed liabilities are measured at fair value at the date of acquisition. Acquisition-related costs are expensed. Any contingent consideration is measured at fair value at the date of acquisition and classified as a liability. If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group reports in its financial statements provisional amounts for the items for which the accounting is incomplete. During the measurement period, the Group retrospectively adjusts the provisional amounts recognised at the acquisition date to reflect any new information. The measurement period may not exceed one year from the acquisition date. A contingent consideration classified as a liability is measured at fair value at the end of each reporting period, and any resulting gain or loss is recognised in profit or loss after the end of the measurement period.

Non-controlling interests in the acquiree are recognised either at fair value or an amount that corresponds to their pro rata share of

the acquiree's net assets. The amount by which the consideration transferred, non-controlling interests in the acquiree and previously owned holding combined exceed the fair value of the acquired net assets is recognised as goodwill in the consolidated statement of financial position. If the combined value of the consideration, non-controlling interests and previously owned holding is lower than the fair value of the acquiree's net assets, the difference is recognised in the statement of comprehensive income.

Acquired subsidiaries are consolidated from the date when the Group obtained control, and disposed subsidiaries are consolidated until the date when the Group lost control. All intragroup transactions, receivables, liabilities, unrealised profits and internal profit distribution are eliminated in the preparation of the consolidated financial statements. Unrealised losses will not be eliminated in case of impairment losses. Profit or loss for the financial year attributable to the owners of the parent company and to the non-controlling interests is presented in the consolidated statement of comprehensive income. Comprehensive income is attributed to the owners of the parent company and to the non-controlling interests, even if this would lead to a situation where the portion attributable to the non-controlling interests is negative. The portion of equity attributable to the non-controlling interests is presented as a separate item under equity in the consolidated statement of financial position. Such changes in the parent company's ownership interest in a subsidiary that do not lead to loss of control are treated as equity transactions.

In connection with step-by-step acquisitions, the former ownership interest is measured at fair value, and the resulting gain or loss is recognised in profit or loss. When the Group loses control of a subsidiary, any remaining interest is measured at fair value at the date of loss of control, and the resulting difference is recognised in profit or loss.

Associates and joint arrangements

Associates are companies over which the Group has significant influence. As a rule, significant influence is established when the Group holds more than 20% of a company's voting power or otherwise has significant influence but no control.

A joint arrangement is an arrangement of which two or more parties have joint control. Joint control involves contractually agreed sharing of control of an arrangement, which exists only when decisions about relevant activities require the unanimous consent of the parties sharing control. A joint arrangement is either a joint operation or a joint venture. A joint venture is an arrangement whereby the Group has rights to the net assets of the arrangement, whereas in a joint operation the Group has rights to the assets, and obligations for the liabilities, relating to the arrangement.

Associates are consolidated using the equity method. If the Group's share of the loss of an associate exceeds the carrying amount of the investment, then the investment is carried at zero value, and the losses exceeding the carrying amount are not consolidated, unless the Group is committed to fulfilling the obligations of the associate. An investment in an associate includes the goodwill generated through the acquisition. Unrealised profits between the Group and an associate are eliminated in proportion to the Group's ownership interest. The Group's pro rata share of an associate's profit for the financial year is included in operating profit.

The Group owns 31 % in Kiinteistö Oy Levin Pihlaja, which is consolidated as a joint operation according to the pro rata share, using the proportionate consolidation method.

Foreign currency translation

The consolidated financial statements are presented in euros, which is the functional currency and presentation currency of the Group's parent company and of the subsidiaries engaged in business activities. In their own accounting, Group companies translate day-to-day transactions denominated in foreign currency into their functional currency applying the exchange rates of the transaction date. Foreign exchange gains and losses related to the business are included in the corresponding expense items.

Key accounting estimates and uncertainties related to estimates

In the course of preparing the financial statements, it is necessary to make estimates and assumptions about the future. However, such estimates and assumptions may later prove inaccurate compared with actual outcomes.

The Group regularly monitors the realisation of the estimates and assumptions and changes in the underlying factors together with the business units by using several, both internal and external, sources of information. Any changes in estimates and assumptions are recognised in the financial year during which the estimate or assumption is corrected and in all subsequent financial years.

The key accounting estimates and assumptions used in the preparation of the consolidated financial statements that pose a significant risk of materially changing the carrying amounts of assets and liabilities during the next financial year are described in more detail in the following sections:

	Note
Assumptions used in impairment testing	14
Assumptions used in provisions	18

Accounting policies requiring management judgement

The Group's management makes judgement-based decisions regarding the choice of accounting policies and their application in the financial statements. The management has exercised judgement in the application of accounting policies in the financial statements with regard to the measurement of lease assets and liabilities in the statement of financial position (note 15).

New and revised standards and interpretations to be applied in future financial years

The International Accounting Standards Board has published the following new or amended standards and interpretations which the Group has not yet applied, but which are expected to have an effect on the consolidated financial statements. The Group will adopt them as from the effective date of each standard and interpretation, or if the effective date is some date other than the first day of the financial year, as from the beginning of the financial year that first follows the effective date.

* = The regulation in question was not approved for application in the EU by 31 December 2024.

IFRS 18 Presentation and Disclosure in Financial Statements*

(effective for financial years beginning on or after 1 January 2027, early application is permitted)

IFRS 18 will replace IAS 1 Presentation of Financial Statements. The key new requirements are as follows:

- Income and expenses in the income statement to be classified into three new defined categories which are operating, investing and financing and two new subtotals: "Operating profit or loss" and "Profit or loss before financing and income tax".
- Disclosures about management-defined performance measures (MPMs) in the financial statements. MPMs are subtotals of income and expenses used in public communications to communicate management's view of the company's financial performance.
- Disclosure of information based on enhanced general requirements on aggregation and disaggregation. In addition, specific requirements to disaggregate certain expenses, in the notes, will be required for companies that present operating expenses by function in the income statement.



Other new or amended standards or interpretations are not expected to have a significant effect on Pihlajalinna's consolidated financial statements.

Notes to the consolidated financial statements, IFRS

1. Segment information

Accounting policies

Pihlajalinna has changed its segment reporting from 1 January 2024. The Group's reporting segments are Private Healthcare Services and Public Services. The new reporting structure follows Pihlajalinna's business model and organisational structure.

The segment information is reported to the chief operating decision maker. Pihlajalinna's chief operating decision maker is the CEO. The CEO monitors the revenue and profitability of the segments, makes significant operational decisions and is responsible for allocating resources to the segments. Segment information is reported in the same way as it is reported to the chief operating decision maker.

The CEO uses alternative key figures in addition to the key figures in the IFRS financial statements in the Group's financial reporting. The Group CEO assesses the segments' profitability based on adjusted operating profit before amortisation and impairment of intangible assets (EBITA). With the exception of items affecting comparability, the reporting of the result corresponds to the accounting policies of the consolidated financial statements. The adjustment items for the adjusted operating profit are specified in note 25 *Capital management*.

The Private Healthcare Services operating segment consists of private clinic, diagnostics, hospital, occupational healthcare, remote and fitness centre services. These comprehensive care path services are provided by Pihlajalinna to corporate customers, insurance companies, the public sector and private customers through its nationwide network of medical centres and diverse digital channels.

The Public Services operating segment consists of social and healthcare services produced primarily for the public sector, which include outsourcing and housing services, mainly remotely produced responsible doctor services, as well as a wide range of staffing and recruitment services.

Segment information 2024

EUR 1,000	Private Healthcare Services	Public Services	Total
Revenue	451,488	267,615	719,103
of which intersegment	-14,471	-185	-14,656
External revenue	437,018	267,430	704,447
Materials and services	-165,360	-43,835	-209,195
of which intersegment	184	8,641	8,826
Materials and services, Group	-165,176	-35,193	-200,369
Employee benefit expenses	-157,508	-163,695	-321,203
Depreciation and impairment	-44,699	-8,320	-53,018
Adjusting items affecting EBIT comparability	698	-1,477	-779
Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA)	33,633	21,530	55,163

Segment information 2023

EUR 1,000	Private Healthcare Services	Public Services	Total
Revenue	423,064	314,299	737,363
of which intersegment	-16,493	-886	-17,379
External revenue	406,571	313,413	719,984
Materials and services	-162,329	-105,689	-268,018
of which intersegment	887	11,900	12,786
Materials and services, Group	-161,442	-93,789	-255,231
Employee benefit expenses	-149,539	-173,221	-322,760
Depreciation and impairment	-42,990	-8,916	-51,906
Adjusting items affecting EBIT comparability	474	8,533	9,007
Adjusted operating profit before the amortisation and impairment of intangible assets (EBITA)	27,174	10,603	37,777

Reconciliation of the segments total adjusted operating profit before amortization and impairment of intangible assets (EBITA) to the consolidated profit before taxes

EUR 1,000	2024	2023
Profit before taxes	38,649	8,187
Net financial expenses	9,840	12,394
Amortisation and impairment of intangible assets	7,453	8,189
Adjustment items	-779	9,007
Adjusted EBITA	55,163	37,777

2. Revenue from contracts with customers

Accounting policies

The Group's revenue consists of payments related to the sale of healthcare services, social services and wellbeing services measured at fair value, adjusted by any variable consideration.

The healthcare services provided by the Group consist of occupational health services, services provided at private clinics and hospitals, responsible doctor services, diagnostics services and rehabilitation services. Pihlajalinna's healthcare services are also extensively available via digital channels. A significant part of the consolidated revenue consists complete social and healthcare outsourcing. The Group also produces staffing and recruitment services of healthcare professionals to the public sector.

The social services provided by the Group consist of services for the elderly, child welfare services, services for disabled, mental health services, substance abuse group services and family group home services. The Group's Forever fitness centres offer diverse wellbeing services for adults who exercise. Fitness centre services complement Pihlajalinna's preventive occupational healthcare services and rehabilitation services carried out after specialised care procedures.

The Group recognises revenue from services produced by employees and independent practitioners on a gross basis, i.e. based on total customer invoicing, and the fees charged to the Group by independent practitioners are recognised in the income statement item External services, practitioners. As Pihlajalinna has primary responsibility for the provision of services to its customers, and the Group is exposed to significant risks and benefits related to the sale of services, the Group acts as a principal with regard to practitioners with whom it has a contractual relationship.

IFRS 15 Revenue from Contracts with Customers includes a five-step model that defines when, and at what amount, revenue from contracts with customers is recognised. Revenue can be recognised over time or at a point in time, and the transfer of control is the key criterion.

The primary performance obligations for Pihlajalinna's various revenue streams are as follows:

Social and healthcare outsourcing

- statutory social and healthcare services for a municipality's residents, separately described in contracts with customers, including possible public specialised care
- individual social and healthcare service visits by residents of other municipalities

Private clinics

- individual customer visits to healthcare services at operating locations or digitally, including related support services

Surgical operations

- individual visits and related support services (e.g. private individuals who pay for their services themselves or through insurance companies or through wellbeing services counties payment commitment)

Occupational healthcare

- individual occupational healthcare customer visits (e.g. appointments with occupational healthcare nurses and doctors, laboratory tests) at operating locations or digitally
- preventive and health-promoting separately agreed services (e.g. occupational health check-ups, workplace-specific occupational health surveys)
- other additional services agreed upon with the customer (e.g. first aid course)

Fitness centre services

- obligations related to monthly and annual fees for fitness centre services
- individual separately charged additional services

Recruitment services

- customer-specific monthly fees for recruitment services
- individual separately charged recruitment services

Responsible doctor services

- location-specific daily charges described in the customer agreement

Staffing service

- selling a healthcare professional's labour event-specifically or based on time
- customer-specific monthly fees for emergency and on-call services

Residential services, child welfare services, family group homes

- elderly care home services, child welfare services and family group home services on each day covered by the agreement
- individual separately charged additional services or health centre visits

Digital services

- Remote doctor services
- Remote nurse services
- Other digital services related to appointment booking and assessing the need for care, other digital services ordered by the customer

The services promised in a contract are treated as a single series of distinct services comprised performance obligation when the services provided are repeated in the same manner with respect to their substantial aspects and whose transfer to the customer takes place over time. The performance obligation in the Group's social and healthcare outsourcing agreements is the municipality's statutory social and healthcare service operations described in the customer agreement. The Group's customer contracts for the outsourcing of social and healthcare services are considered to consist of a single performance obligation in which the services provided by the Group are combined into a bundle of services.

Transaction prices mainly comprise individual services according to the price list or annual, monthly, daily or hourly rates based on customer contracts. The outsourcing agreements are, as a rule, based on a fixed annual price. In most cases, the price concerns an individual performance obligation. In some cases, the price includes a variable component of consideration (e.g. discount, penalty charge, bonus, additional price, additional service), which is allocated to one or more performance obligations in proportion to their separate selling prices. The Group assesses the effect of the variable components on the amount of revenue recognised using historical data, for example, and recognises them at the most likely amount.

The performance obligations are fulfilled either over time (e.g. outsourcing, residential services, child welfare services, fitness centre services, recruitment services, responsible doctor services, fixed-price occupational health services) or at a point in time (e.g. occupational healthcare services, individual customer visits, additional services). In the services, the customer simultaneously receives and consumes the benefit from Pihlajalinna's performance.

Revenue is recognised on the reporting date at the amount that Pihlajalinna considers itself to be entitled to in exchange for the services delivered. Revenue from individual services is recognised at a point in time according to the time of the appointment or the use of the service. Revenue from outsourcing agreements for social and healthcare services under fixed annual prices is recognised over time. In outsourcing agreements, the customer simultaneously receives and consumes the benefit from the service, which means that the conditions for recognising revenue over time are met.

The payment terms and periods included in the contracts vary, but the payment periods are typically less than one year. The contracts do not include significant financing components or additional expenditure arising from contractual receivables.

In connection with outsourcing agreements, the client may provide Pihlajalinna, without financial consideration, with use of publicly owned infrastructure, or part thereof, which Pihlajalinna operates in service production under the outsourcing agreement. Infrastructure may include for example premises, machinery and equipment. The IFRIC 12 Service Concession Arrangements interpretation is applied to the recognition of outsourcing agreements if the outsourcing party decides on the scope and pricing of the services provided by Pihlajalinna and Pihlajalinna returns the infrastructure, free of charge, at the conclusion of the outsourcing agreement. In such cases, Pihlajalinna is not considered to have control over assets received without consideration from a public sector entity.

Timing of the satisfaction of performance obligations

EUR 1,000	2024	2023
At a point in time	334,377	315,864
Over time	370,070	404,119
Total	704,447	719,984

Contractual assets and liabilities

There may be differences in timing between revenue recognition and invoicing. The Group recognises a contractual asset when revenue is recognised before invoicing and, correspondingly, a contractual liability when revenue is recognised after invoicing.

Summary of contractual items

EUR 1,000	2024	2023
Trade receivables	45,397	52,469
Contract assets		
Current	4,636	3,619
Contract liabilities		
Current	1,274	1,347

Revenue recognised during the financial year included in contract liabilities at the beginning of the period:

EUR 1,000	2024	2023
Revenue recognised from amounts included in contract liabilities	1,347	3,237

Revenue distribution between segments

EUR 1,000	2024	2023
Private Healthcare Services	451,488	423,064
of which intersegment	14,471	16,493
Public Services	267,615	314,299
of which intersegment	185	886
Group Total	704,447	719,984

Revenue by region

Pihlajalinna reports its sales revenue divided into the following geographical regions:

- Southern Finland includes Pihlajalinna's business operations in the regions of Uusimaa, Kymenlaakso, Päijät-Häme and South Karelia.
- Mid-Finland includes Pihlajalinna's business operations in the regions of Pirkanmaa, Satakunta, Kanta-Häme, Central Finland, South Ostrobothnia and Ostrobothnia.
- Western Finland includes Pihlajalinna's business operations in the region of Southwest Finland.
- Eastern Finland includes Pihlajalinna's business operations in the regions of South Savo, North Karelia and North Savo.

- Northern Finland includes Pihlajalinna's business operations in the regions of North Ostrobothnia, Central Ostrobothnia, Kainuu and Lapland.
- Other operations include remote services, moving services and other administrative functions.

EUR 1,000	2024	%	2023	%
Southern Finland	153,235	22%	139,243	19%
Mid-Finland	388,595	55%	445,854	62%
Western Finland	40,209	6%	38,199	5%
East Finland	64,221	9%	57,038	8%
Northern Finland	54,802	8%	48,968	7%
Other operations	74,511	11%	66,779	9%
Intra-Group sales	-71,126	-10%	-76,098	-11%
Consolidated revenue	704,447	100%	719,984	100%

Sales revenue by customer group

Pihlajalinna's customer groups are corporate customers, private customers and public sector customers.

- The Group corporate customers consist of Pihlajalinna occupational healthcare customers, insurance company customers and other corporate customers. The number of people within the scope of the Group's occupational healthcare services is over 190,000 in the corporate customers group.
- The Group private customers are private individuals who pay for services themselves and may subsequently seek compensation from their insurance company.
- The Group public sector customers consist of public sector organisations in Finland, such as municipalities, congregations, wellbeing services counties and the public administration when purchasing either social and healthcare outsourcing services or residential, occupational healthcare and staffing services. The number of people within the scope of the Group's occupational healthcare services is approximately 85,000 in the public sector customers group.

Private Healthcare Services

EUR 1,000	2024	%	2023	%
Corporate customers	286,522	63%	260,532	58%
of which insurance company customers	152,715	34%	134,237	30%
Private customers	102,364	23%	97,813	22%
Public sector	62,602	14%	64,720	14%
Segment's revenue	451,488	100	423,065	100

Public Services

The segment's revenue was EUR 267.6 (314.3) million. Revenue from the public sector amounted to EUR 257.71 (300.9) million, or 96.1 (95.7) per cent of the segment's revenue. Revenue from complete outsourcing agreements amounted to EUR 202.2 (258.8) million.

Information on key customers

The Group's sales revenue from the four largest customers totalled approximately EUR 286.8 (313.4) million, representing approximately 41% (44%) of the consolidated revenue.

Estimate of unsatisfied performance obligations related to Group's social and healthcare outsourcing arrangements, EUR million:

	2024	2023		2024	2023
2024		209	2023	6	7
2025	162	193	2034	6	7
2026	46	75	2035	6	6
2027	47	76			
2028	47	77			
2029	48	78			
2030	48	47			
2031	31	47			
2032	6	7			
				453	829

Service provider – client	First year of service production under the current contract	Ending time of the contract
Jämsän Terveys Oy	2015	31 Aug 2025
Kuusiolinna Terveys Oy	2016	31 Dec 2025
Mäntänvuoren Terveys Oy	2016	31 Jul 2031
Kolmostien Terveys Oy	2015	31 Dec 2025
Bottenhavets Hälsa Ab - Selkämeren Terveys Oy	2021	2035-2040

3. Other operating income

Accounting policies

Government grants received as compensation for expenses already incurred are recognised in profit or loss for the period in which they become receivable. These grants are presented under other operating income.

Government grants related to capitalised development projects are recognised as deductions from the carrying amounts of intangible assets, when there is reasonable assurance that such grants will be received and that the Group will comply with the conditions for receiving them. The grants will be recognised as income over the useful life of an asset by way of reduced depreciation.

The Group has subleased certain premises that are not used for business operations. These leases are classified as operating leases and income from these leases is presented under other operating income.

Sale and leaseback

With regard to sale and leaseback agreements completed prior to the adoption of IFRS 16, the Group will continue the allocation of capital gains as before in accordance with the transition provision of IFRS 16.

If a finance lease is created as a result of a sale and leaseback agreement, the difference between the carrying amount and the sales price will be recognised in the consolidated statement of financial position and recognised as income over the lease term under other operating income. The unrecognised portion of the difference between the carrying amount and the sales price is presented as Other liabilities in the statement of financial position.

Sale of dental care services

Pihlajalinna sold its dental care services to Hammas Hohde Oy on 31 March 2023. In the comparison period, the Group recognised a gain of EUR 3.6 million from the divestment in other operating income.

EUR 1,000	2024	2023
Capital gains on property, plant and equipment	272	228
Rental income	2,622	2,265
Government grants	469	532
Other income items	438	907
Profit from sale of dental care services	0	3,600
Total	3,800	7,532

4. Materials and services

Accounting policies

The materials and services include expenses directly related to service production. Due to services produced without Value Added Tax (VAT), Pihlajalinna cannot deduct majority of the VAT related to purchases.

Pihlajalinna employs several healthcare professionals from different fields as independent practitioners. The remuneration paid to independent practitioners is presented in materials and services.

Pihlajalinna's inventories include materials and supplies used in the provision of services. Inventories are measured at acquisition cost or lower probable net realisable value.

EUR 1,000	2024	2023
Materials	-28,345	-31,197
Change in inventories	138	162
External services, practitioners	-138,608	-129,849
External services, other	-33,554	-94,348
Total	-200,369	-255,231

5. Employee benefit expenses

Accounting policies

Short-term employee benefits are recognised in the period in which they arise. Short-term incentive scheme is recognised as expense in that financial year when the obligation to make the payments arises.

Pension plans are classified as defined benefit plans and defined contribution plans. The Group only has defined contribution plans. In defined contribution plans, the Group makes fixed payments to a separate unit. The Group has no legal or constructive obligation to make additional payments if the recipient of the payments is incapable of paying out said retirement benefits. Payments made into the defined contribution plans are recognised in profit or loss for the financial year for which they are charged.

The long-term share-based incentive scheme is recognised as an expense over its accrual period. The incentive scheme and other share-based payments are described in more detail in note 6 *Share-based payments*.

Information on related party employee benefits and loans are presented in Note 32 *Related party transactions*.

EUR 1,000	2024	2023
Wages and salaries	-267,456	-267,089
Share-based incentive schemes		
- implemented as shares	-1,406	-269
Pension costs - defined contribution plans	-45,614	-45,477
Other social security expenses	-6,727	-9,926
Total	-321,203	-322,760

Number of personnel	2024	2023
Personnel on average (FTE)	4,416	4,821
Personnel at the end of the period (NOE)	6,493	6,880

6. Share-based payments

Share-based incentive scheme for key personnel, LTIP 2022

In early 2022, Pihlajalinna's Board of Directors approved the launch of a share-based incentive programme (LTIP 2022) for selected key employees. In its entirety, the incentive scheme formed a six-year programme and the share rewards based on the programme cannot be disposed of prior to the year 2026. The key employees selected for the programme were also required to make an investment in Pihlajalinna shares as a precondition for participation.

The performance- and quality-based share programme comprised four separate performance periods of one year each (the calendar years 2022, 2023, 2024 and 2025). The potential share rewards were paid out after the performance periods in the years 2023, 2024 and 2025. The Board of Directors annually decided the participants, performance indicators, targets and earning opportunities. Three performance periods were launched under the programme: 2022, 2023 and 2024. The programme was treated in their entirety as equity-settled share-based payments. The Board of Directors decided on 13 December 2024 that the last performance period, corresponding to the calendar year 2025, will not be launched.

The maximum number of shares (gross amount prior to deduction of applicable withholding tax) for each one-year performance period was defined in the allocation per participant. The applicable withholding tax was deducted from the transferred shares, and the remaining net amount was paid to the participants in shares. Shares paid out as share rewards are subject to a two-year transfer restriction. The earnings criteria applied to the 2024 performance-based and quality-based share plan were Pihlajalinna Group's adjusted EBITA, the development of customer satisfaction (NPS), the development of employee Net Promoter Score (eNPS) and the development of the sickness-related absence rate.

No performance and quality-based share rewards materialised for the performance periods 2022 and 2023 pursuant to the share-based programme, as the minimum targets set for the programme were not achieved. For the performance period 2024, the effect on the result for the financial year was EUR 1.4 million.

Performance-based long-term incentive programme (LTIP 2022)	2024	2023
Grant date	14 Mar 2024	21 Jun 2023
Share price at grant date, EUR	7.50	9.19
The year in which the shares are transferred	2025	2024
Amount of share-based rewards granted, maximum amount, number of shares	195,000	227,000
Actual share-based rewards, number of shares	181 377	0
Number of people within the scope of the programme at the end of the period	34	48
End of the vesting period	31 Dec 2024	31 Dec 2023
Form of payment	In shares and cash	In shares and cash

CEO Tuomas Hyryläinen is entitled to participate in the share-based incentive programme starting from the earnings period that begins on 1 January 2024. At the beginning of the share-based incentive scheme, the CEO had the right to purchase a maximum of 30,000 shares, so that for the first 10,000 shares, the company will give one share for each share purchased by the CEO, and for the next 20,000 shares, one share for each two shares purchased. If the CEO purchases the full quota of 30,000 shares, the company will give the CEO a total of 20,000 shares. Pihlajalinna conveyed a total of 20,000 own shares to CEO Tuomas Hyryläinen (gross amount prior to deduction of applicable withholding tax).

Performance Share Plan (PSP)

On 13 December 2024, Pihlajalinna's Board of Directors decided to establish a new long-term share-based incentive plan for key employees of the Group. The plan replaces Pihlajalinna's current share-based incentive plan.

The Performance Share Plan 2025–2029 consists of three performance periods, covering the financial years 2025–2027, 2026–2028 and 2027–2029. The Board of Directors will decide annually on the commencement and details of every performance period.

The target group in the performance period 2025–2027 consists of approximately 30 key employees, including the members of the Group Management Team and the CEO. The performance criteria of the performance period 2025–2027 are tied to relative Total Shareholder Value (rTSR), annual revenue growth, return on capital employed and the rate of sickness-related absences. The value of the rewards to be paid based on the plan corresponds to a maximum total of 553,000 Pihlajalinna shares

Short-term incentive scheme (STI)

Pihlajalinna has a short-term incentive scheme (STI), which is paid in cash in its entirety. Company's Board of Directors confirms the amount, targets and criteria for the short-term incentive scheme annually. The earnings criteria applied in the short-term incentive scheme were Pihlajalinna Group's adjusted EBITA and individual business and performance targets set by the manager of the participant. The CEO, members of the Executive Team and selected key employees are eligible to participate in the short-term incentive scheme.

7. Other operating expenses

EUR 1,000	2024	2023
Voluntary indirect employee costs	-6,390	-8,263
Facility expenses	-13,306	-13,586
Vehicle operating costs	-937	-904
Information management expenses	-26,737	-26,311
Machinery and equipment expenses	-6,942	-6,810
Travel expenses	-3,604	-3,264
Sales and marketing expenses	-5,305	-6,823
Other expenses	-21,921	-10,598
Total	-85,141	-76,559

Auditor remuneration

Auditing, KPMG Oy Ab	-328	-328
Statements, KPMG Oy Ab	-64	-11
Non-audit services, KPMG Oy Ab		
Tax services	-35	-3
Other services	-14	-55
Total	-441	-395

8. Depreciation and amortisation

Accounting policies

Property, plant and equipment will be depreciated using the straight-line method over their estimated economic useful lives. The estimated economic useful lives are as follows:

Buildings	10–25 years
Renovation expenses on real estate	5–10 years
Machinery and equipment	3–10 years
Other tangible assets	3–5 years

For the magnetic imaging equipment at Turku, Oulu and Seinäjoki private clinics, the Group adopted a units-of-production based depreciation method effective from 1 January 2018. The amount of depreciation is based on the units of production derived from the equipment. The units-of-production based depreciation method is also applied to the imaging equipment in Helsinki, Tampere, Turku, Oulu and Kuopio that was transferred to Pihlajalinna as part of the acquisition of Pohjola Hospital (now Pihlajalinna Lääkärikeskukset Oy). The units-of-production method provides a more accurate reflection of the actual economic use of the magnetic imaging equipment in question. For the Group's other machinery and equipment, the Group still uses straight-line depreciation.

For intangible assets with finite economic useful lives, the amortisation periods are as follows:

Trademarks	10 years
Development costs	3–10 years
Customer agreements	4 years
Patient database	4 years
Non-competition agreements	2–5 years
Other intangible assets	3–7 years

Right-of-use assets are depreciated on a straight-line basis over the shorter of economic useful life or lease term. The planned depreciation periods of right-of-use assets are as follows:

Right-of-use plots	25 years
Right-of-use buildings	

and business premises	1–15 years
Right-of-use equipment	3–10 years

Impairment is recognised pursuant to IAS 36 for onerous right-of-use buildings and business premises.

Impairments

During the financial year, Pihlajalinna has recognised an impairment of EUR 1.2 million related to right-of-use premises. In the comparison period, Pihlajalinna recognised an impairment of approximately EUR 0.6 million on its other investments.

Depreciation, amortisation and impairment by asset type

	2024	2023
Intangible assets		
Trademarks	-564	-564
Capitalised development costs	-287	-1,088
Customer relationship value	-985	-985
Non-competition agreements	-96	-116
Patient database	-473	-473
Other intangible assets	-5,009	-4,963
	-7,415	-8,189
Property, plant and equipment		
Buildings	-109	-109
Renovation expenses on real estate	-3,312	-2,507
Machinery and equipment	-10,002	-9,375
Other tangible assets	-1	-1
	-13,423	-11,993
Right-of-use assets		
Right-of-use plots	-105	-101
Right-of-use buildings and business premises	-29,721	-30,088
Right-of-use business premises and buildings, impairment	-1,164	0
Right-of-use equipment	-1,190	-901
	-32,180	-31,090
Impairments	0	-634
Total depreciation, amortisation and impairment	-53,018	-51,906

9. Financial income

EUR 1,000	2024	2023
Dividend income from financial assets measured at fair value through profit or loss	31	3
Interest income from loans and receivables	993	275
Interest income from financial lease receivables	59	67
Other financial income	7	9
Total	1,090	355

10. Financial expenses

EUR 1,000	2024	2023
Interest expenses from financial liabilities carried at amortised cost	-5,969	-7,168
Interest expenses on lease liabilities	-3,761	-3,724
Other financial expenses	-1,199	-1,857
Total	-10,930	-12,749

In June 2024, Pihlajalinna rearranged its long-term debt financing with a sustainability-linked financing arrangement, which is described in more detail in Note 23 *Financial liabilities* and Note 26 *Financial risk management*.

Financial expenses for the financial year are increased by refinancing, which generated a total of EUR 0.6 million in non-recurring financial expenses. In the comparison period, line Other financial expenses include impairments of loan receivables totalling approximately EUR 1.2 million.

11. Income taxes

Accounting policies

The income taxes on the consolidated income statement consist of current tax, adjustments to taxes for previous periods, and deferred taxes. Taxes are recognised in profit or loss, except when they are directly attributable to items recognised under equity or other comprehensive income. In such cases, also the tax is recognised under the item in question. Current tax is calculated on taxable profit, based on the enacted tax rate. Tax is adjusted with any taxes associated with prior financial years. Any penal interests related to these taxes are recognised under financial expenses. The share of associates' profit is presented in the statement of comprehensive income as calculated from net profit and thus including the income tax charge.

EUR 1,000	2024	2023
Current taxes	-1,249	-502
Taxes for the previous financial years	-66	-39
Deferred taxes	-7,182	-3,047
Total	-8,497	-3,587

Deferred taxes are described in more detail in note 20 Deferred tax assets and liabilities.

Reconciliation of effective tax rate

EUR 1,000	2024	2023
Profit before taxes	38,649	8,187
Taxes calculated on the basis of the Finnish tax rate (20%)	-7,730	-1,637
Income not subject to tax	53	4
Non-deductible expenses	-1,808	-1,422
Unrecorded deferred tax assets from tax losses	-53	-921
Recorded deferred tax assets from tax losses	0	187
Utilised prior losses with unrecognised tax benefits	934	0
Share of associated company's profit	-5	28
Share-based remuneration	-24	40
Other items	202	173
Taxes for prior financial years	-66	-39
Taxes in the income statement	-8,497	-3,587
Effective tax rate	-22.0 %	-43.8 %

12. Earnings per share

Accounting policies

Earnings per share is calculated by dividing the profit for the financial year attributable to owners of the parent by the weighted average number of shares outstanding during the financial year. When calculating earnings per share, the interest of the hybrid bond, net of tax, has been considered as a profit-reducing item.

Earnings per share for the financial year attributable to owners of the parent are calculated by dividing the profit for the financial year attributable to owners of the parent by the weighted average number of shares outstanding during the financial year.

When calculating diluted earnings per share, the average number of shares is adjusted by the dilution effect of the share-based incentive scheme.

EUR 1,000	2024	2023
Profit for the financial year attributable to owners of the parent, EUR	27,358,879.12	5,728,844.05
Hybrid bond interest	-2,400,000.00	-1,866,666.67
Tax effect	480,000.00	373,333.33
Adjusted profit for the financial year	25,438,879.12	4,235,510.72
Number of shares outstanding, weighted average	22,511,765	22,557,957
Basic earnings per share (EPS)	1.13	0.19
Diluted earnings per share	1.13	0.19

13. Property, plant and equipment

Accounting policies

Property, plant and equipment are measured at cost less accumulated depreciation and impairment losses. Cost includes expenditures incurred directly from the acquisition of an item of property, plant and equipment. Costs incurred subsequently are included in the carrying amount of an asset only if it is deemed probable that any future economic benefits related to the asset will flow to the Group and that the cost of the asset can be reliably determined. Other repair and maintenance costs will be expensed at the time they are incurred.

The residual value, the useful life of an asset and the depreciation method applied are reviewed at least at the end of each financial year and adjusted as necessary to reflect the changes in the expectations concerning the economic benefits attached to the asset. Capital gains generated from decommissioning and disposing of property, plant and equipment are included under other operating income, and capital losses are included under other operating expenses.

Assets are depreciated from the time when they are ready for use, i.e. when their location and condition allow them to be applied as intended by the management.

Units-of-production based depreciation method for the magnetic imaging equipment at Turku, Oulu and Seinäjoki private clinics is described in more detail in note 8 *Depreciation and amortisation*.

Property, plant and equipment

EUR 1,000	Land areas	Buildings	Renovation expenses on real estate	Shares in real estate companies	Machinery and equipment	Other tangible assets	Construction in progress	Total
Cost at 1 January 2024	36	3,116	42,757	5,287	87,879	168	2,713	141,955
Additions	0	0	570	0	8,156	0	3,318	12,044
Transfers between items	0	0	5,870	0	0	0	-5,870	0
Disposals	0	0	-32	0	-2,096	0	-2	-2,130
Cost at 31 December 2024	36	3,116	49,165	5,287	93,939	168	159	151,869
Accumulated depreciation at 1 January 2024	0	-620	-23,057	0	-52,460	-11	0	-76,147
Depreciation and amortisation	0	-109	-3,312	0	-10,002	-1	0	-13,423
Disposals	0	0	7	0	1,260	0	0	1,267
Accumulated depreciation at 31 December 2024	0	-728	-26,362	0	-61,201	-12	0	-88,304
Carrying amount at 1 January 2024	36	2,496	19,700	5,287	35,419	157	2,713	65,807
Carrying amount at 31 December 2024	36	2,387	22,803	5,287	32,737	156	159	63,565

EUR 1,000	Land areas	Buildings	Renovation expenses on real estate	Shares in real estate companies	Machinery and equipment	Other tangible assets	Construction in progress	Total
Cost at 1 January 2023	36	3,029	34,263	5,472	75,341	167	5,246	123,553
Additions	0	90	832	0	13,319	4	5,135	19,379
Transfers between items	0	0	7,358	0	-352	-2	-7,667	-663
Disposals	0	-3	304	-186	-430	0	-1	-315
Cost at 31 December 2023	36	3,116	42,757	5,287	87,879	168	2,713	141,955
Accumulated depreciation at 1 January 2023	0	-511	-20,552	0	-43,743	-11	0	-64,817
Depreciation and amortisation	0	-109	-2,507	0	-9,375	-1	0	-11,993
Transfers between items	0	0	191	0	1,129	0	0	1,320
Disposals	0	0	-188	0	-470	1	0	-657
Accumulated depreciation at 31 December 2023	0	-620	-23,057	0	-52,460	-11	0	-76,147
Carrying amount at 1 January 2023	36	2,518	13,711	5,472	31,598	155	5,246	58,736
Carrying amount at 31 December 2023	36	2,496	19,700	5,287	35,419	157	2,713	65,807



14. Intangible assets and goodwill

Accounting policies

Goodwill

Goodwill generated through business combinations is measured at the amount by which the consideration transferred, non-controlling interests in the acquiree and previously owned holding combined exceed the fair value of the identifiable acquired net assets. Goodwill typically reflects the value of acquired market share, business expertise and synergies.

Goodwill is not amortised, but it is tested for impairment annually and whenever there is an indication that the asset may be impaired. Goodwill is allocated to cash-generating units (CGUs). Goodwill is measured at original cost less accumulated impairment.

Cloud computing arrangement

Accounting treatment of cloud service arrangements depends on whether the cloud-based software is classified as an intangible asset or a service contract. The arrangements in which the Group has no authority on the software are accounted as service agreements which entitle the Group to utilize the cloud service provider's application software during the contract period. Application software license fees and related configuration or customization costs are recognized (for example, in other operating expenses) when the services are received. Prepayments to the cloud service provider for software customization that are not separable are recognized as an expense during the contract period.

Capitalised development costs

Assets are amortised from the time when they are ready for use. Assets that are not yet available for use are tested annually for impairment. Subsequent to their initial recognition, capitalised development costs are measured at cost less accumulated amortisation and impairment. The amortisation period for development costs is 3 to 10 years, during which capitalised development costs are amortized using the straight-line method.

Intangible assets and goodwill

1000 €	Goodwill	Trademarks	Development costs	Customer relationship value	Non-competition agreements	Patient database	Other intangible assets	Other long-term expenditures	Prepayments	Total
Cost at 1 January 2024	251,773	10,910	6,424	12,612	7,788	7,837	7,690	27,742	84	332,859
Additions	3,102	0	56	0	0	0	129	1,838	52	5,177
Transfers between items	0	0	0	0	0	0	-129	152	-23	0
Disposals	0	0	0	0	0	0	-62	0	0	-62
Cost at 31 December 2024	254,875	10,910	6,480	12,612	7,788	7,837	7,628	29,732	112	337,974
Accumulated depreciation at 1 January 2024	0	-7,859	-6,036	-10,733	-7,673	-6,494	-6,982	-14,239	0	-60,015
Depreciation and amortisation	0	-564	-287	-985	-96	-473	-266	-4,743	0	-7,415
Disposals	0	0	0	0	0	0	62	0	0	62
Accumulated depreciation at 31 December 2024	0	-8,423	-6,323	-11,717	-7,769	-6,967	-7,186	-18,982	0	-67,368
Carrying amount at 1 January 2024	251,773	3,051	388	1,879	115	1,343	708	13,503	84	272,844
Carrying amount at 31 December 2024	254,875	2,487	156	895	19	870	442	10,863	0	270,606

1000 €	Goodwill	Trademarks	Development costs	Customer relationship value	Non-competition agreements	Patient database	Other intangible assets	Other long-term expenditures	Prepayments	Total
Cost at 1 January 2023	251,032	10,910	6,386	12,612	7,788	7,836	7,494	21,153	482	325,694
Additions	891	0	38	0	0	0	219	5,752	481	7,381
Transfers between items	0	0	0	0	0	0	-21	837	-823	-8
Disposals	-150	0	0	0	0	0	-2	0	-57	-208
Cost at 31 December 2023	251,773	10,910	6,424	12,612	7,788	7,837	7,690	27,742	84	332,859
Accumulated depreciation at 1 January 2023	0	-7,295	-4,949	-9,748	-7,557	-6,020	-6,637	-9,654	0	-51,860
Depreciation and amortisation	0	-564	-1,088	-985	-116	-473	-368	-4,595	0	-8,189
Transfers between items	0	0	0	0	0	0	24	14	0	38
Disposals	0	0	0	0	0	0	0	-4	0	-4
Accumulated depreciation at 31 December 2023	0	-7,859	-6,036	-10,733	-7,673	-6,494	-6,982	-14,239	0	-60,015
Carrying amount at 1 January 2023	251,032	3,615	1,436	2,864	231	1,816	857	11,500	482	273,833
Carrying amount at 31 December 2023	251,773	3,051	388	1,879	115	1,343	708	13,503	84	272,845

Impairment testing

Accounting policies

The carrying amounts of goodwill, other intangible assets, property, plant and equipment, right-of-use assets and non-financial investments are reviewed regularly for potential indications of impairment.

If there are any indications of impairment, the value of the asset item must be tested. Impairment loss is recognised through profit or loss to the extent that the carrying amount of an asset exceeds its recoverable amount. In addition, goodwill and intangible assets with an unlimited economic useful life and which are not depreciated are tested annually for impairment. The impairment testing is carried out even if there are no indications of impairment. Potential impairment loss on goodwill is recognised immediately in the income statement. Previously recognised impairment losses on goodwill are not reversed.

Goodwill generated in M&A transactions is allocated to cash-generating units (CGU). Pihlajalinna changed the structure of its financial reporting during the financial year. In 2023, the cash-generating unit was the Group level. As of 1 January 2024, the Group's reporting segments and, thereby, cash-generating units are Private Healthcare Services and Public Services. The new reporting structure follows Pihlajalinna's business model and organisational structure, and both segments have their own budget, performance monitoring and Head of Business Operations. Due to the changed reporting structure, no comparison data is presented.

The recoverable amount is determined by value-in-use calculations. Cash flow-based value-in-use is determined by calculating the discounted present value of expected cash flows. The discount rate used in the calculations is determined using the weighted average cost of capital (WACC), which describes the total cost of equity and liabilities, taking into account the time value of money and the specific risks associated with Pihlajalinna's business. The discount rate is a pre-tax rate. The risk-free interest rate, risk multiplier (beta) and the additional risk premium and market risk premium parameters used in determining the discount rate are based on information obtained from the market. Cash flow estimates have been validated by comparing them to Pihlajalinna's market capitalisation.

The Group carried out its annual impairment testing of goodwill based on the situation on 30 November 2024 (30 November 2023) using the carrying amounts on the date in question and calculations of future amounts. The result of the testing was that no impairment losses were recognised for the Group's cash-generating units for the financial year that ended on 31 December 2024.

As a result of the change in the reporting structure, goodwill arising from acquisitions has been allocated to the cash-generating units in accordance with the table below in proportion to their fair values, and it includes the Company's management's assessment of the share of goodwill attributable to the cash-generating unit.

Distribution of goodwill:

EUR 1,000	2024	%
Private Healthcare Services	247,664	97
Public Services	7,211	3
Goodwill at the end of the financial year	254,875	100

Assumptions used in calculating the value in use in 2024:

Impairment testing of goodwill	Private Healthcare Services	Public Services
Turnover growth, first three years on average	7.0 %	-20.1 %
EBIT margin, first three years on average	10.1 %	7.8 %
Discount rate (pre tax WACC)	8.9 %	11.0 %
Forecast period (years)	5	8
Terminal growth rate after the forecast period	2.0 %	2.0 %
The terminal period's share of the amount of expected cash flows	70%	30%

Key accounting estimates and decisions based on management judgement

In impairment testing, the recoverable amounts are determined based on value-in-use. The cash flow forecasts used in the value-in-use calculations in impairment testing are based on cash flow forecasts of the segments prepared by the management and approved by the Board of Directors.

For the impairment testing, the cash flow forecasts cover a 5-year period in terms of the Private Healthcare Services and the terminal period. Regarding the Public Services, the cash flow forecasts cover an 8-year period and the terminal period. The management's view is that using a 8-year forecast period is justified because the Group has significant long-term and fixed-term complete social and healthcare outsourcing agreements. These agreements will expire during the 8-year forecast period, which is why management's view is that extending the forecast period provides a more accurate picture of the segment's future cash flow by making it possible to include the expiration of the agreements in the modelling of cash flows. The terminal growth rate applied after the forecast period is two per cent, which corresponds to the long-term inflation forecast for the Finnish economy.

For the period 2025–2029, the management forecasts that revenue, operating profit and cash flows will develop in line with the Group's long-term strategy. In addition, in terms of the Public Services, in the forecasts for 2025–2031 consider the impacts of the expiration of the complete outsourcing agreements in accordance with the agreement period of each agreement. More details on the duration of the agreements and unsatisfied performance obligations are provided in note 2 *Revenue from contracts with customers*.

The assumptions of the development of prices and costs used in the cash flow estimates are based on the management's estimates of the development of demand and the markets, which are compared with external information sources. The productivity and efficiency assumptions used in the calculations are based on internal targets, with previous actual development considered in their estimation.

Key assumptions defined by the management and used in the calculation in 2024:

Assumption	Description
Projected revenue	Determined based on a segment-specific forecast prepared by the management and approved by the Board.
Projected operating profit	Determined based on a segment-specific forecast prepared by the management and approved by the Board.
Duration of the forecast period	The length of the forecast period is 5–8 years plus the terminal period.
Terminal growth rate assumption	The terminal growth rate assumption is 2%.
Discount rate	Determined using the weighted average cost of capital (WACC), which describes the total cost of equity and liabilities, taking into account the time value of money and the specific risks associated with Pihlajalinna's business. Uncertainty in forecasting has been taken into account in determining the additional risk premium.

Sensitivity analyses in impairment testing

Based on the testing calculations, there is no need to recognise impairment. The recoverable amount exceeded the carrying amount by approximately EUR 243 million in the Private Healthcare Services segment and by approximately EUR 54 million in the Public Services segment. The management has conducted sensitivity analyses of the key factors. The table below shows the required change in assumptions that would lead to the recoverable amount being equal to the carrying amount, provided that the assumptions change one at a time.

Sensitivity analysis 2024	Private Healthcare Services	Public Services
Decline in EBIT margin	more than 3 percentage units	more than 4 percentage units
Decline in revenue volume	more than 18 percentage units	more than 40 percentage units
Increase in discount rate	more than 3,5 percentage units	more than 100 percentage units
Decline in the terminal growth rate	more than 6 percentage units	more than 100 percentage units

15. Right-of-use assets**Accounting policies**

Most of the Pihlajalinna rental arrangements in line with the IFRS 16 are leases for business premises. The other lease arrangements in line with the standard concern land areas, machinery and equipment (exercise equipment, clinical equipment, cars and other equipment). Pihlajalinna applies the IFRS 16 exemption that allows lessees to elect not to recognise a right-of-use asset and corresponding lease liability for assets with a lease term of 12 months or less as well as assets of low value. Assets of low value include, for example, IT equipment and office furniture. Furthermore, to make the accounting of leases easier, Pihlajalinna elects

not to separate service components from leases, instead treating the entire agreement as a lease in its consolidated financial statements. For lease arrangements valid until further notice, with a short notice period, Pihlajalinna will estimate the probable lease term.

Right-of-use assets are measured at cost, which includes the following items:

- original amount of the lease liability
- direct expenses of the initial phase and
- expenses due to restoring to original condition

Right-of-use assets are presented under property, plant and equipment and lease liabilities are presented under financial liabilities. The right-of-use asset is initially measured at cost and depreciated over the economic life of the asset. The right-of-use asset is also subject to IAS 36 Impairment of Assets. The lease liability is initially measured at the present value of future lease payments. In later periods, the lease liability is measured using the effective interest rate method, according to which the lease liability is measured at amortised cost and the interest expense is amortised over the lease term. The standard allows the lessee to also include non-lease elements of an agreement (typically services) in the lease liability.

Key accounting estimates and decisions based on management judgement

When recognising leases on the balance sheet, estimates must be made concerning the lease term, the exercising of extension options and the discount rate applied. When assessing the lease term of a new lease, extension options are not taken into account until a commitment has been made to exercise the extension option.

Right-of-use assets

EUR 1,000	Right-of- use plots	Right-of-use buildings and premises	Right-of-use equipment	Total
Cost at 1 Jan 2024	1,214	363,311	6,507	371,033
Additions	12	11,980	2,056	14,048
Disposals	0	-3,016	-467	-3,484
Cost at 31 Dec 2024	1,226	372,274	8,096	381,597
Accumulated depreciation at 1 Jan 2024	-682	-160,992	-5,428	-167,101
Depreciation and amortisation	-105	-30,885	-1,190	-32,180
Disposals	0	2,464	311	2,775
Accumulated depreciation at 31 Dec 2024	-787	-189,413	-6,306	-196,506
Carrying amount at 1 Jan 2024	533	202,319	1,080	203,932
Carrying amount at 31 Dec 2024	440	182,862	1,790	185,091

Right-of-use assets

EUR 1,000	Right-of- use plots	Right-of-use buildings and premises	Right-of-use equipment	Total
Cost at 1 Jan 2023	1,215	312,525	6,211	319,952
Additions	-1	38,764	871	39,634
Transfers between items	0	18,413	-15	18,398
Disposals	0	-6,391	-560	-6,951
Cost at 31 Dec 2023	1,214	363,311	6,507	371,033
Accumulated depreciation at 1 Jan 2023	-580	-116,684	-4,936	-122,201
Depreciation and amortisation	-101	-30,088	-901	-31,090
Transfers between items		-18,413	28	-18,386
Disposals		4,194	382	4,576
Accumulated depreciation at 31 Dec 2023	-682	-160,992	-5,428	-167,101
Carrying amount at 1 Jan 2023	635	195,841	1,274	197,751
Carrying amount at 31 Dec 2023	533	202,319	1,080	203,932

Short-term leases recognised in the income statement, totalling EUR 31 (227) thousand, and minor leases recognised in the income statement, totalling EUR 866 (1,379) thousand, are practical exemptions provided by IFRS 16 applied by the Group.

Lease liabilities relating to right-of-use items are specified in Note 23 *Financial liabilities*.

16. Other non-current receivables

Accounting policies

Right-of-use assets that have been transferred to a lessee under a sublease and classified as financial leases have been derecognised from fixed assets and presented on the balance sheet as net investments in a sublease.

EUR 1,000	2024	2023
Lease deposits paid	122	234
Non-current subleases	3,315	3,655
Non-current receivables	2,005	2,108
Other receivables	90	90
Total	5,532	6,088

Pihlajalinna subleased two care homes that it sold and leased back in May 2020 which form a significant part of sublease receivables.

The table below presents the contractual maturity analysis of subleases. The figures are undiscounted and they include both future interest payments and repayments of the net investment.

Maturity distribution of sublease receivables

		less than 1 year	1–2 years	2–3 years	3–4 years	over 4 years
Amount at 31 Dec 2024	3,655	341	346	351	357	2,261

17. Trade and other receivables

Accounting policies

At the end of each reporting period, the Group assesses whether there is objective evidence of impairment regarding any individual financial asset. Objective evidence of impairment of loans and other receivables includes significant financial distress of the debtor and payments being delinquent or substantially delayed. Impairment of loans is recognised in financial expenses in the income statement and impairment of other receivables is recognised in other operating expenses for the period in which the impairment was identified.

The expected credit loss model is based on the amount of historical credit losses. The lifetime expected credit losses are calculated by multiplying the gross carrying amount of unpaid trade receivables by the expected loss.

EUR 1,000	2024	2023
Trade receivables	45,397	52,469
Prepayments and accrued income	9,953	4,739
Current subleases	341	431
Other receivables	830	241
Contract assets	4,636	3,619
Total	61,156	61,498

The carrying amount of trade receivables and other receivables corresponds to the maximum credit risk involved at the end of financial year. Pihlajalinna regularly reviews the credit risk of its receivables, and the procedures used to estimate the credit risk. No significant changes have been observed in customers' payment behaviour during the financial year. The management of credit risks related to trade receivables, see note 26 *Financial risk management*. The Group recognised impairment losses of EUR 0.9 (0.9) million on trade receivables during the financial year.

Age distribution of trade receivables

EUR 1,000	2024	Expected impairment losses	Share of expected impairment losses	Net 2024
Not due	37,010	-3	0.0 %	37,007
Less than 30 days	4,975	-5	0.1 %	4,970
30–60 days	749	-51	6.8 %	698
61–90 days	392	-102	25.9 %	291
More than 90 days	2,779	-348	12.5 %	2,431
Total	45,905	-509		45,397

EUR 1,000	2023	Expected impairment losses	Share of expected impairment losses	Net 2023
Not due	34,321	-5	0.0 %	34,316
Less than 30 days	12,924	-7	0.1 %	12,917
30–60 days	1,058	-47	4.4 %	1,012
61–90 days	617	-91	14.7 %	526
More than 90 days	4,013	-316	7.9 %	3,697
Total	52,934	-465		52,469

The Group's expected credit loss model is based on the amount of historical credit losses. The share of expected impairment losses varies between financial years because the Group's expected credit losses based on historical information vary between different customer groups. Consequently, a particular customer group representing a higher or lower share of trade receivables can have a significant effect on the amount of expected credit losses.

The Group's trade receivables due more than 90 days mainly relate to open receivables from insurance company customers.

The expected credit losses from contractual assets amount to EUR 0.0 (0.0) million, and the assets in question have not been taken into account in the table above.

EUR 1,000	2024	2023
Credit loss provision at 1 January	465	781
Credit losses recorded	-876	-920
Change in credit loss provision	920	605
Credit loss provision at 31 December	509	465

Material items incl. in prepayments and accrued income

EUR 1,000	2024	2023
Personnel expenses	3,250	1,837
Expenses paid in advance	5,818	2,656
Hedging, interest rate swap	0	173
Other	884	73
Total	9,953	4,739

The carrying amounts of the receivables correspond materially to their fair values.

18. Provisions

Accounting policies

A provision is recognised when the Group has a legal or constructive obligation resulting from a past event, when it is probable that the payment obligation will materialise and when the amount of the obligation can be reliably estimated. The amount recognised as a provision equals the best estimate of the costs required to fulfil the present obligation on the date of the financial statements.

A restructuring provision is recognised when the Group has in place a detailed plan for such restructuring and its implementation has commenced or the interested parties have been informed of the main points of such a plan.

The Group recognises a provision for onerous contracts when the expected benefits to be derived from a contract are less than the unavoidable expenses of meeting the obligations under the contract.

During the financial year, based on management's estimate, provisions amounted to EUR 1.7 million has been recorded related to premises for renovation and maintenance responsibilities. Other provisions relate mainly to employment matters.

Key accounting estimates and decisions based on management judgement

Estimates of the existence and amount of the obligation must be used when deciding on the existence of recognition requirements for provisions and determining the amount of provisions. The recognised amount is the best assessment of the costs caused by the obligation on the financial statements date. Assessment of the financial effects of the previous event requires management judgement based on previous similar events and, if necessary, the views of external experts. The assessments may differ in terms of the amount and existence of future obligations.

EUR 1,000	2024	2023
Current provisions	66	84
Non-current provisions	2,519	123
Total	2,586	207

EUR 1,000	Onerous contracts	Restructuring provision	Premises	Other provisions	Total
1.1.2023	89	0	0	0	89
Increases in provisions	306	1,139	0	0	1,445
Provisions used	-189	-1,139	0	0	-1,327
Reversals of unused provisions	0	0	0	0	0
31.12.2023	207	0	0	0	207
Increases in provisions	0	0	1,700	907	2,607
Provisions used	-79	0	0	-150	-229
Reversals of unused provisions	0	0	0	0	0
31.12.2024	128	0	1,700	757	2,586

19. Trade and other payables

EUR 1,000	2024	2023
Trade payables	24,075	27,051
Accrued liabilities	88,695	90,466
Prepayments	27	311
Other liabilities	8,288	7,503
Total	121,085	125,333

Material items included under Accrued liabilities:

Wages and salaries and social security payments	53,139	53,823
Doctor's fee liability	19,140	17,055
Allocation of purchase invoices	8,242	11,481
Current contract liabilities	1,274	1,347
Unpaid interest expenses	2,291	2,147
Other accrued liabilities	4,608	4,614
Total	88,695	90,466

20. Deferred tax assets and liabilities

Accounting policies

Deferred taxes are calculated on temporary differences between the carrying amount and the tax base. However, a deferred tax liability shall not be recognised on the initial recognition of goodwill, or on the initial recognition of an asset or liability in a transaction which is a business combination and, at the time of

the transaction, affects neither accounting profit nor taxable profit and, at the time of the transaction, does not give rise to equal taxable and deductible temporary differences.

In the Group, the most significant temporary differences result from depreciation and amortisation of property, plant and equipment and intangible assets, fair value-based adjustments made in connection with business combinations, and unused tax losses.

Deferred taxes are calculated by applying tax rates enacted or substantively enacted by the end of the reporting period.

A deferred tax asset is only recognised to the extent that it is probable that taxable profit will be available against which the temporary difference can be utilised. However, a deferred tax asset is not recognised if it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither accounting profit nor taxable profit and, at the time of the transaction, does not give rise to equal taxable and deductible temporary differences. Whether or not deferred tax assets can be recognised in this respect is always estimated at the end of each reporting period.

The Group shall offset deferred tax assets and liabilities where these relate to the same taxation authority and the same taxable entity. Deferred tax assets and tax liabilities for leases are presented separately in the notes to the financial statements.



Changes in deferred taxes during 2024:

	1 January 2024	Recognised in profit and loss	Recognised in the statement of comprehensive income	Business combinations	Reclassification	31 December 2024
Deferred tax assets (EUR 1,000)						
Tax losses carried forward confirmed by tax authorities	8,467	-7,186				1,281
Sales proceeds from sale and leaseback arrangements	163	-30				133
Provisions	186	202				389
Share-based incentive scheme	53	-46				6
Leases - lease liabilities	46,118	-3,705				42,412
Cloud computing arrangements	330	60				390
Other items	3,485	-20	-162			3,303
Net effect of deferred tax liabilities and assets	-44,206	4,037				-40,170
Deferred tax assets on the statement of financial position	14,595	-6,688	-162			7,746
Deferred tax liabilities						
Tangible and intangible assets	5,588	19				5,607
Recognition of assets at fair value in business combinations	1,278	-424				854
Fair value hedging	669		-231			438
Leases - right-of-use assets	41,517	-3,836				37,681
Other items	481	16				498
Cloud Computing arrangements	0	67				67
Net effect of deferred tax liabilities and assets	-41,081	3,837				-37,244
Deferred tax liabilities on the statement of financial position	8,453	-321	-231			7,901



Changes in deferred taxes during 2023:

	1 January 2023	Recognised in profit and loss	Recognised in the statement of comprehensive income	Business combinations	Reclassification	31 December 2023
Deferred tax assets (EUR 1,000)						
Tax losses carried forward confirmed by tax authorities	11,860	-3,394				8,467
Sales proceeds from sale and leaseback arrangements	193	-30				163
Provisions	227	-41				186
Share-based incentive scheme	5	48				53
Reclassification to assets held for sale	-63	63				0
Leases - lease liabilities	45,915	203				46,118
Cloud computing arrangements	228	102				330
Other items	3,583	-98				3,485
Net effect of deferred tax liabilities and assets	-44,623	417				-44,206
Deferred tax assets on the statement of financial position	17,324	-2,729				14,595
Deferred tax liabilities						
Tangible and intangible assets	5,344	244				5,588
Recognition of assets at fair value in business combinations	1,705	-428				1,278
Fair value hedging	1,023			-354		669
Leases - right-of-use assets	41,289	228				41,517
Other items	99	383				481
Net effect of deferred tax liabilities and assets	-40,948	-133				-41,081
Deferred tax liabilities on the statement of financial position	8,512	294	-354			8,453

Tax losses	Available tax losses		Deferred tax assets recorded		Deferred tax assets not recorded	
	2024	2023	2024	2023	2024	2023
Maturing within five years	971	1,757	161	324	34	32
Maturing later than within five years	15,273	55,702	1,121	8,143	1,934	2,993
Total	16,244	57,460	1,281	8,467	1,968	3,025
Taxes calculated on the basis of the Finnish tax rate (20%)	3,249	11,492				

21. Financial assets and liabilities by measurement category

Accounting policies

When a financial asset or liability is recognised on the transaction date, the Group measures it at its acquisition cost, which is equal to the fair value of the consideration given or received. Derivative contracts are recognised in the balance sheet at fair value on the trade day and subsequently remeasured at their fair value on the balance sheet date.

Financial assets

For the purpose of measurement after initial recognition, the Group's financial assets are classified as financial assets measured at amortised cost and financial assets measured at fair value through profit or loss. Financial assets are derecognised when the Group has lost its contractual right for the financial assets in question or has transferred substantially all risks and rewards outside the Group.

The Group's trade receivables, lease deposits and cash and cash equivalents have been classified as financial assets measured at amortised cost using the effective interest method, taking any impairment into account.

Financial assets measured at fair value through profit or loss consist of quoted and unquoted shares and loan receivables. The Group has no holdings of shares quoted in public markets.

Derivative contracts are recognised in the balance sheet at fair value on the trade date and subsequently remeasured at their fair value on the balance sheet date. Derivatives that do not meet the conditions of hedge accounting are recorded in the income statement. The change in fair value is recorded in equity in fair value reserve if the derivative contract meets the conditions of cash flow hedging. If hedge accounting is not applied derivatives are revalued to fair value at the end of the reporting period and the profit or loss difference arising from the valuation is recorded in the income statement.

Cash and cash equivalents

Cash and cash equivalents consist of cash at hand and demand deposits. The account with credit limit in use is included in current financial liabilities.

Financial liabilities

The Group classifies loans from financial institutions, accounts with credit limits, lease liabilities, trade payables and other liabilities as financial liabilities measured at amortised cost using the effective interest method. Transaction costs are included in the initial carrying amount. Arrangement fees for loan commitments are treated as transaction costs. The Group classifies contingent considerations arising from M&A transactions as financial liabilities measured at fair value through profit or loss. No interest is paid on liabilities arising from contingent considerations. Any contingent consideration is measured at fair value at the date of acquisition and classified as a liability. A contingent consideration classified as a liability is measured at fair value at the end of each reporting period, and any resulting gain or loss is recognised in profit or loss after the end of the measurement period. The valuation principles of derivatives are discussed above in the section *Financial assets*.

Financial liabilities are classified as current liabilities, unless the Group has an unconditional right to postpone their repayment to a date that is at least 12 months subsequent to the end of the reporting period.

EUR 1,000			Fair value through profit or loss	Fair value - hedging instrument	Amortised cost	Total carrying amounts	Fair values total
31 Dec 2024	Note	Fair value hierarchy					
Carrying amounts of financial assets							
Non-current financial assets							
Other shares and participations		level 3	166			166	166
Lease deposits	16	level 2			122	122	122
Other receivables	16	level 2			90	90	90
Loan receivables		level 3	2,005			2,005	2,005
Current financial assets							
Trade receivables	17				45,397	45,397	45,397
Other receivables	17	level 2			830	830	830
Interest derivatives	26	level 2					
Cash and cash equivalents					30,908	30,908	30,908
Total			2,171		77,348	79,519	79,519
Carrying amounts of financial liabilities							
Non-current financial liabilities							
Loans from financial institutions	23	level 2			113,203	113,203	113,203
Lease liabilities	23	level 2			180,887	180,887	180,887
Other liabilities	23	level 2			499	499	499
Contingent considerations		level 3	871			871	871
Current financial liabilities							
Loans from financial institutions	23	level 2			1,823	1,823	1,823
Cheque account with credit limit	23						
Contingent considerations		level 3					
Lease liabilities	23	level 2			31,047	31,047	31,047
Interest derivatives	26	level 2		808		808	808
Trade and other payables	19				24,075	24,075	24,075
Total			871	808	351,534	353,213	353,213

EUR 1,000			Fair value through profit or loss	Fair value - hedging instrument	Amortised cost	Total carrying amounts	Fair values total
31 Dec 2023	Note	Fair value hierarchy					
Carrying amounts of financial assets							
Non-current financial assets							
Other shares and participations		level 3	168			168	168
Lease deposits	16	level 2			234	234	234
Other receivables	16	level 2			90	90	90
Loan receivables		level 3	2,108			2,108	2,108
Current financial assets							
Trade receivables	17				52,469	52,469	52,469
Other receivables	17	level 2			241	241	241
Interest derivatives	26	level 2		173		173	173
Cash and cash equivalents					24,517	24,517	24,517
Total			2,276	173	77,550	79,999	79,999
Carrying amounts of financial liabilities							
Non-current financial liabilities							
Loans from financial institutions	23	level 2			143,800	143,800	143,800
Lease liabilities	23	level 2			199,834	199,834	199,834
Other liabilities	23	level 2			536	536	536
Contingent considerations		level 3	210			210	210
Current financial liabilities							
Loans from financial institutions	23	level 2			2,296	2,296	2,296
Cheque account with credit limit	23						
Contingent considerations		level 3	700			700	700
Lease liabilities	23	level 2			30,754	30,754	30,754
Trade and other payables	19				27,051	27,051	27,051
Total			910		404,271	405,181	405,181

Fair value assessment

Financial assets and liabilities recognised at fair value on the consolidated statement of financial position are classified according to their valuation-based hierarchy levels and measurement methods as follows:

Fair value hierarchy levels

Level 1: Fair values are based on quoted prices in active markets for identical assets and liabilities. The Group has no financial assets or liabilities measured according to level 1 of the hierarchy.

Level 2: The fair value is determined using valuation methods. The financial assets and liabilities are not subject to trading in active and liquid markets. The fair values can be determined based on quoted market prices and deduced valuation. The carrying amount of the trade receivables and financial assets essentially corresponds to their fair value, as the effect of discounting is not significant taking the maturity of the receivables into consideration. The fair values of lease liabilities are based on discounted cash flows. The fair values of loans essentially correspond to their carrying amount since they have a floating interest rate and the Group's risk premium has not materially changed. The carrying amount of other financial liabilities essentially corresponds to their fair value, as the effect of discounting is not significant taking the maturity of the receivables into consideration. Derivative financial instruments are initially recognized at fair value on the trade date and are subsequently remeasured at their fair value on the balance sheet date.

Level 3: The fair value is not based on verifiable market information, and information on other circumstances affecting the value of the financial asset or liability is not available or verifiable. The Group's other shares and participations consist solely of shares in unlisted companies.

22. Notes on equity

Accounting policies

The Group classifies all instruments it issues either as an equity instrument or a financial liability, depending on their nature. Equity instruments are any contracts evidencing a residual interest in the assets of the company after deducting all of its liabilities. Costs relating to the issue or purchase of equity instruments are presented as a deduction from equity.

Pihlajalinna's equity consists of the share capital, fair value reserve, reserve for invested unrestricted equity, hybrid bond, retained earnings and treasury shares held by the parent company.

Reconciliation of the number of shares

EUR 1,000	Number of outstanding shares, 1,000 pcs	Number of treasury shares, 1,000 pcs	Number of shares	Share capital	Reserve for invested unrestricted equity	Treasury shares	Total
1 January 2023	22,550	70	22,620	80	116,520	822	117,422
Share-based rewards	17	-17				-192	-192
31 December 2023	22,566	54	22,620	80	116,520	629	117,229
1 January 2024	22,566	54	22,620	80	116,520	629	117,229
Acquisition of treasury shares	-109	109				937	937
Share-based rewards	22	-22				-231	-231
31 December 2024	22,479	141	22,620	80	116,520	1335	117,935

Treasury shares

The total number of Pihlajalinna shares is 22,620,135. On the financial statements date, 22,478,951 shares were outstanding and 141,184 were held by the Company. Pihlajalinna conveyed a total of 10,000 own shares to CEO Tuomas Hyyryläinen in January 2024. The remuneration was related to the right agreed upon in the CEO's contract to acquire shares at the beginning of the share-based incentive scheme, when Pihlajalinna conveyed shares in exchange for purchases. Pihlajalinna conveyed, in May 2024, a total of 11,977 own shares as part of the remuneration of the Board of Directors.

Share capital

Pihlajalinna has one share series, with each share entitling its holder to one vote at a General Meeting of shareholders. The company's shares have no nominal value. All shares bestow their holders with equal rights to dividends and other distribution of the Company's assets. The shares belong to the book-entry system.

Fair value reserve

The fair value reserve includes an effective portion of the change in the fair value of derivatives for which cash flow hedge accounting is applied. The fair value reserve also includes the remaining value on the reporting date of the derivative contract sold in early 2023. The gain on the sale is presented in the fair value reserve less taxes and transferred to be recognised through profit or loss in the same periods as the hedged expected future cash flows will affect the result, meaning the years 2023–2027. On the reporting date, the sold derivative contract's share of the fair value reserve was approximately EUR 1.8 (2.5) million.

Reserve for invested unrestricted equity

The reserve for invested unrestricted equity contains other equity-like investments and the share subscription price to the extent that this is not entered in share capital under a specific decision.

Hybrid Bond

Pihlajalinna issued EUR 20 million hybrid bond on 27 March 2023. The coupon rate for the hybrid loan is a fixed interest rate of 12.00 per cent per annum until 27 March 2026 ("Reset Date"). From the Reset Date onwards, the hybrid bond will bear a floating interest rate of 14.00 per cent plus the three-month Euribor, as specified in the terms and conditions of the hybrid bond. The hybrid bond does not have a specified maturity date. Pihlajalinna is entitled to redeem the hybrid bond on the Reset Date and thereafter on each interest payment date.

The hybrid bond is a financing instrument that is subordinated to the Company's other debt obligations. The hybrid bond is treated as an equity item in accordance with its nature. For this reason, the accrued interest and the transaction costs related to the issue of the hybrid bond are also presented in equity according to their nature, less any tax effect. The hybrid bond does not confer on the holders the rights of a shareholder and do not dilute the holdings of the current shareholders.

Interest on the hybrid bond of EUR 1.9 million and issue expenses of EUR 0.4 million in the comparison period have been recognised as deduction of retained earnings. On the financial statements date, the unpaid interest from the hybrid bond was EUR 1.9 (1.9) million.

Distributable funds

The parent company's total distributable funds amount to EUR 216,832,340.28, of which the profit for the financial year accounts for EUR 15,823,303.76.

Dividends

A dividend of EUR 0.07 per share was distributed on the result for 2023. The Board of Directors proposes that, a dividend of EUR 0.38 per share be paid for the financial year that ended on 31 December 2024.

No material changes have taken place in the Company's financial position after the end of the financial year. The Company's liquidity position is good and, in the view of the Board of Directors, the proposed distribution does not jeopardise the company's ability to fulfil its obligations.

23. Financial liabilities

EUR 1,000	2024	2023
Non-current interest-bearing liabilities		
Loans from financial institutions	113,203	143,800
Other liabilities	499	536
Lease liabilities	180,887	199,834
	294,589	344,169
Current interest-bearing liabilities		
Loans from financial institutions	1,823	2,296
Lease liabilities	31,047	30,754
	32,870	33,051
Interest-bearing financial liabilities total	327,459	377,220

Pihlajalinna's financing arrangement is described in more detail in note 26 Financial risk management.

The loan instalments drawn under the Group's revolving credit facility are de facto long-term items in spite of their maturity being 1, 3 or 6 months, because Pihlajalinna has an unequivocal right to postpone repayment by a minimum of 12 months from the reporting date.

Lease liabilities

EUR 1,000	2024	2023
Non-current lease liabilities		
Right-of-use plots	374	443
Right-of-use buildings and business premises	179,321	198,890
Right-of-use equipment	1,192	500
	180,887	199,834

Current lease liabilities

Right-of-use plots	77	100
Right-of-use buildings and business premises	30,120	30,076
Right-of-use equipment	850	578
	31,047	30,754

24. Changes in interest-bearing liabilities with no impact on cash flow

EUR 1,000	2023	Cash flow	New instalments and lease liabilities	Effective interest rate	2024
Non-current interest-bearing liabilities	144,336	-32,086	1,512	-60	113,702
Current interest-bearing liabilities	2,296	-473	0	0	1,823
Lease liabilities	230,588	-32,068	13,414	0	211,934
Total	377,220	-64,628	14,926	-60	327,459

25. Capital management

The goal of the Group's capital management is to ensure that the normal requirements of business operations are met, enable investments in line with the Group's strategy and increase long-term shareholder value. The Group influences its capital structure mainly through the distribution of dividend and share issues.

The key indicators concerning capital management are the equity ratio, the ratio of net debt to adjusted EBITDA and gearing. Loan covenants related to financing arrangement are described in more detail in the note 26 *Financial risk management*.

EUR 1,000	Note	2024	2023
Equity		168,951	144,591
Total statement of fin. position – deferred revenue		630,139	657,187
Equity ratio¹⁾		26.8 %	22.0 %
Interest-bearing financial liabilities	23	327,459	377,220
Cash and cash equivalents		-30,908	-24,517
Interest-bearing net debt		296,551	352,703
Gearing²⁾		175.5 %	243.9 %
EBITDA		101,508	72,487
EBITDA adjustment items*		-779	8,133
Adjusted EBITDA		100,728	80,621
Net debt/adjusted EBITDA		2.9	4.4

* Significant transactions that are not part of the normal course of business, are related to business acquisition costs (IFRS 3), are infrequently occurring events or valuation items that do not affect cash flow are treated as adjustment items affecting comparability between review periods. According to Pihlajalinna's definition, such items include, for example, restructuring measures, impairment of assets and the remeasurement of previous assets held by subsidiaries, the costs of closing down businesses and business locations, gains and losses on the sale of businesses, costs arising from operational restructuring and the integration of acquired businesses, costs related to the termination of employment relationships, as well as fines and corresponding compensation payments. Pihlajalinna has also presented costs according to the IFRS Interpretations Committee's Agenda Decision concerning cloud computing arrangements, and reversals of amortisation, as adjustment items. Cloud computing arrangements costs and reversals of amortisation according to the IFRS Interpretations Committee's Agenda Decision has not been presented as adjustment items since 1 January 2024. EBITDA adjustments amounted to EUR -0.8 (8.1) million for the financial year that ended on 31 December 2024.

¹⁾ The formula for calculating the equity ratio is $100 \times \text{Equity} / (\text{Total statement of financial position} - \text{deferred revenue})$

²⁾ The formula for calculating gearing is $100 \times \text{Interest-bearing net debt} / \text{Equity}$.

26. Financial risk management

The Group's main financial risks consist of credit and counterparty risk as well as interest rate and liquidity risks. The Group operates in Finland and is therefore not exposed to material foreign exchange risks in its operations. The Group's general risk management policies are approved by the Board of Directors. The Group's Chief Financial Officer, together with the operative management, is responsible for identifying financial risks and for practical risk management. The goal of the Group's risk management is to ensure sufficient liquidity, minimise financing costs and regularly inform the management about the Group's financial position and risks.

Group's financial administration actively monitors compliance with the financial covenants and assesses financial leeway in relation to the covenant maximums as part of the Group's business planning.

Liquidity risk

The Group monitors the amount of financing required by business operations by analysing cash flow forecasts in order to make sure the Group has a sufficient amount of liquid assets for financing operations and repaying maturing loans. The Group aims to ensure the availability and flexibility of financing with adequate credit limits, a balanced maturity profile and sufficiently long maturities for borrowings, as well as by obtaining financing through several financial instruments. Monitoring and forecasting financial covenants included in the Company's financing agreements is continuous.

In June 2024, Pihlajalinna rearranged its long-term debt financing with a sustainability-linked financing arrangement. The agreement includes a EUR 110 million term loan for refinancing the Group's previous debt, and a revolving credit facility of EUR 60 million for general financing purposes. The financing agreement is for three years and includes two option years.

Pihlajalinna has an interest rate swap agreement with a nominal value of EUR 65 million, which is used to convert the interest on a floating rate financing arrangement to a fixed rate. Cash flow hedge accounting is applied to the interest rate swap agreement, which means that the effective portion of the change in fair value is recognised in other comprehensive income. The interest rate swap entered into effect in March 2023 and will remain in effect until 25 March 2027. Its fair value was -0.8 (0.2) million at the end of the financial year.

On 27 March 2023, Pihlajalinna issued a hybrid bond with an annual coupon of 12 per cent. The hybrid bond does not have a specified maturity date. Pihlajalinna is entitled to redeem the hybrid bond on the Reset Date, 27 March 2026, and thereafter on each interest payment date. The hybrid bond is treated as an equity item in Pihlajalinna's IFRS consolidated financial statements, and it is described in more detail in note 22 *Notes on equity*.

On the financial statements date, the Group's cash and cash equivalents amounted to EUR 30.9 (24.5) million, in addition to which the Group had EUR 70.0 (70,0) million in unused committed credit limits available. Unused credit limits consist of EUR 10 million credit limit agreement and EUR 60 million unwithdrawn revolving credit facility. The Group's equity ratio at the end of the financial year was 26.8 (22.0) per cent.

Financial liabilities repayment schedule

The table below presents the contractual maturity of financial liabilities. The figures are undiscounted, and they include both future interest payments and repayments of principal. Interest payments related to the loan instalments drawn are presented in the table below according to the actual timing of their payment.

EUR 1,000	Carrying amount at 31 Dec 2024	less than 1 year	1–2 years	2–3 years	3–4 years	over 4 years
Loans from financial institutions	115,026	-7,325	-7,065	-114,111	-843	
Lease liabilities	211,934	-34,556	-30,970	-26,674	-22,858	-113,923
Other interest-bearing liabilities	499	-57	-57	-57	-57	-569
Contingent considerations	871	-6	-874			
Trade payables	24,075	-24,075				
Total	352,405	-66,020	-38,966	-140,842	-23,758	-114,492

EUR 1,000	Carrying amount at 31 Dec 2023	less than 1 year	1–2 years	2–3 years	3–4 years	over 4 years
Loans from financial institutions	136,096	-9,355	-8,607	-132,628	-1,239	-424
Revolving credit facility	10,000	-543	-541	-10,223		
Lease liabilities	230,588	-34,452	-31,357	-26,340	-23,702	-134,500
Other interest-bearing liabilities	536	-57	-57	-57	-57	-589
Contingent considerations	910	-706	-216			
Trade payables	27,051	-27,051				
Total	405,181	-72,165	-40,779	-169,249	-24,998	-135,513

Loan covenants

The Group's key loan covenants are reported to the financiers on a quarterly basis. If the Group breaches the loan covenant terms, the creditors may accelerate the repayment of the loans. The management monitors the fulfilment of loan covenant terms and reports on them to the Board of Directors on a regular basis.

The financing arrangement includes the customary financial covenants concerning leverage (ratio of net debt to pro forma EBITDA) and gearing. IFRS 16 lease liabilities are not taken into account in the calculation of the covenants. Additionally, the loan margin of the financing is linked to Pihlajalinna's main sustainability targets: patient satisfaction, access to surgical treatment and employee satisfaction. Sustainability objectives have a minor effect on the loan margin, depending on how many of the agreed-upon sustainability targets are achieved. At the end of the financial year, the sustainability targets linked to the financing arrangement did not cause any changes in the loan margins.

The gearing covenant of the financing arrangement is 115 per cent and the leverage covenant is 3.75. During the financial year and at the end of it, the Group met the financial covenants agreed upon in the agreement. At the end of the reporting period, 31 December 2024, the withdrawn loan amount to which the covenants apply was EUR 110.0 million (EUR 140.0 million).

Interest rate risk

The Group is exposed to interest rate risk through its external financing arrangement. In accordance with the Group's risk management principles, the Board of Directors decides on the need for, and extent of, interest rate hedging for the Group's loan portfolio.

The Group has an interest rate swap agreement with a nominal value of EUR 65 million, which is used to hedge its floating rate financing arrangement. Cash flow hedge accounting is applied to the interest rate swap agreement. The interest rate swap entered into effect in March 2023 and will remain in effect until 25 March 2027. The Group sold its earlier interest rate swap agreement in early 2023 and the fair value of the interest rate swap agreement at the time of concluding the agreement was approximately EUR 3.9 million. The gain on the sale is presented in the fair value reserve less taxes and is recognised through profit or loss in the same periods as the hedged expected future cash flows will affect the result, meaning the years 2023–2027.

On the financial statements date, 66 (63) per cent of the interest-bearing liabilities were subject to fixed interest rates. During the financial year, the average annual interest rate on the Group's interest-bearing liabilities and derivatives was approximately 2.9 (3.2) per cent. The duration, i.e. the fixed interest rate period, of the financing portfolio was 3.5 (3.6) years.

The table below presents the Group's interest rate position at the end of the financial year.

EUR 1,000	2024	2023
Fixed rate financial liabilities	216,960	236,786
Variable rate financial liabilities	111,908	141,822
Financial liabilities subject to hedge accounting	-65,000	-65,000
Total variable rate position	46,908	76,822

The table below presents the effects on consolidated profit before tax should market interest rates rise or fall, all other things being equal. The sensitivity analysis is based on the interest rate position at the closing date of the reporting period, including the hedging effect of derivatives. Since the Group has no material interest-bearing assets, its income and operating cash flows are not materially exposed to changes in market interest rates.

EUR 1,000	2024	2024	2023	2023
Change	1.0 percentage units higher	1.0 percentage units lower	1.0 percentage units higher	1.0 percentage units lower
Effect on profit before tax	-469	489	-768	1,418

Derivative financial instruments and hedge accounting

Accounting policy

The Group applies hedge accounting to reduce the future cash flow variation in profit due to the variation in interest rates. Derivative financial instruments are initially recognized at fair value on the trade date and are subsequently remeasured at their fair value on the balance sheet date. Derivative contracts are included in current assets or liabilities, except derivatives maturities greater than 12 months after the balance sheet date, which are classified as non-current assets or liabilities. The effective portion of the changes in the fair value of derivative financial instruments that are designated and qualified as cash flow hedges are recognized in the fair value reserve of equity.

In cash flow hedges the critical terms in hedged item and hedging instruments are the same and hedge ratio is 1:1. When a hedging arrangement is entered into, the relationship between the hedged item and the hedging instrument, as well as the objectives of the Group's risk management are documented. The effectiveness of the hedge relationship is tested regularly and the effective portion is recognised, according to the nature of the hedged item, against the change in the fair value of the hedged item in the fair value reserve of equity. The ineffective portion is recognized in the income statement either in operating profit or financial income and expenses. Hedge accounting is discontinued when the hedging instrument expires or is sold, or when the contract is terminated or exercised. Any cumulative gain or loss existing in equity at that time remains in equity until the forecast transaction has occurred.

Derivatives used for hedging

The Group has an interest rate swap agreement with a nominal value of EUR 65 million, which is used to hedge its floating rate financing arrangement. Cash flow hedge accounting is applied to the interest rate swap agreement. The interest rate swap entered into effect in March 2023 and will remain in effect until 25 March 2027. Its fair value was EUR -0.8 (0.2) million at the end of the financial year. Under the contract, the Group pays a fixed interest of 2.8 per cent and receives the floating six-month Euribor interest beginning from the start date.

The Group sold its earlier interest rate swap agreement in early 2023 and the fair value of the interest rate swap agreement at the time of concluding the agreement was approximately EUR 3.9 million. The gain on the sale is presented in the fair value reserve less taxes and is recognised through profit or loss in the same periods as the hedged expected future cash flows will affect the result, meaning the years 2023-2027.

The table below shows the annual cash flows of the derivative calculated at market interest rates. In addition, a sensitivity analysis of the derivative is presented below, illustrating the change in the market value of the derivative when the yield curve rises or falls and other factors remain unchanged.

Interest rate swap agreement cash flows

EUR 1,000	2025	2026	2027	Total
Interest rate swap agreement cash flow 31 Dec 2024				
Interest rate swap agreement	-21	-440	-176	-637

EUR 1,000	2024	2025	2026	2027	Total
Interest rate swap agreement cash flow 31 Dec 2023					
Interest rate swap agreement	632	-314	-536	-235	-453

Interest rate swap agreement sensitivity analysis

EUR 1,000	2024	2024
Change in the yield curve	1.0 percentage units lower	1.0 percentage units higher
Market value change of the interest rate swap agreement	-1,300	1,282

EUR 1,000	2023	2023
Change in the yield curve	1.0 percentage units lower	1.0 percentage units higher
Market value change of the interest rate swap agreement	-1,928	1,868

Credit risk

The Group's credit risk mostly consists of credit risks involved in customer receivables related to business operations. The Group's largest customers are wellbeing services counties, insurance companies or large and solvent listed companies. The Group's key credit risks are presented in Note 17 *Trade and other receivables*.

The payment information of corporate and private customers is checked at every appointment. For the collection of payments, the Group uses an external collections agency. The Group offers private customers financing via SveaRahoitus. This arrangement includes a check of the customer's creditworthiness.

The age distribution of trade receivables is presented in Note 17 *Trade and other receivables*. The amount of credit losses recorded in profit or loss during the financial year was not significant. The maximum amount of the Group's credit risk equals to the carrying amount of financial assets at the end of the financial year (see Note 21 *Financial assets and liabilities by measurement category*).

Currency risk

The Group operates mainly in Finland and is not therefore exposed to material foreign exchange risks in its operations. The Group's annual procurements in foreign currencies are insignificant.

27. Acquired business operations and divestments

Accounting policies

When the Group acquires assets either through business arrangements or through other arrangements, the management evaluates the actual nature of the asset and the business when determining whether it is a business combination.

When an asset or a group of assets does not form a business operation, the acquisition is not treated as a business combination and in that case the Group records the acquisition of individual assets and liabilities. The acquisition cost is allocated to individual assets and liabilities in proportion to their current values at the time of acquisition, and no goodwill is generated.

Acquisitions defined as business operations are treated as business combinations. The Group records business combinations using the acquisition method. The transferred consideration, including the contingent consideration and the identifiable assets and liabilities of the acquired company, are valued at fair value at the time of acquisition. Acquisition related expenses are recorded as expenses in the period in which they have incurred. The acquired business operations are consolidated to the financial statements from the moment the Group obtains control over the acquired business. The share of non-controlling interests is recorded for each acquisition either at fair value or at an amount that corresponds to the relative share of the non-controlling interests in the net assets of the target of acquisition.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Group presents these acquisitions as preliminary in its financial statements. Preliminary items are adjusted, and new assets and liabilities are recorded retrospectively, if new information is received that concerns the facts and circumstances that existed at the time of acquisition and which, if it had been known, would have affected the amounts recorded at that time. The measurement period may not exceed one year from the acquisition date.

27.1. Acquired business operations

Acquired business operations 2024

On 1 May 2024, Pihlajalinna acquired full ownership of its former associated company Kuura Digilääkäri Oy. Pihlajalinna's previous holding in the company was 45 per cent. On 1 July 2024, Pihlajalinna acquired 41.34 per cent of the shares of its former associated company Digital Health Solutions Oy. Following the transaction, Pihlajalinna holds 82.37 per cent of the company's shares. Pihlajalinna consolidates the companies as an acquisition achieved in stages. The pre-existing interest in the acquirees were remeasured to fair value and the capital gain, amounting to EUR 78 thousand, was recognised in other operating income. Since the acquisitions are not material individually, the following acquisition calculations on the acquired business operations have been consolidated:

EUR million	2024
Consideration transferred	
Cash	3.6
Total acquisition cost	3.6

Assets and liabilities acquired for consideration at the time of acquisitions were as follows:

EUR million	Note	2024
Trade and other receivables		0.2
Cash and cash equivalents		0.5
Total assets		0.7
Other liabilities		0.2
Total liabilities		0.2
Acquired net assets		0.5

Goodwill generated in the acquisitions:

EUR million	Note	2024
Consideration transferred		2.0
Previous holding measured at fair value		1.6
Share of the acquisition allocated to non-controlling interest		0.0
Net identifiable assets of acquirees		-0.5
Goodwill	14	3.1
Transaction price paid in cash in the financial year		2.0
Cash and cash equivalents of acquirees		-0.5
Effect on cash flow in the financial year		1.5

The business combination generated goodwill of EUR 3.1 million. The goodwill generated is not tax-deductible. EUR 0.1 million in costs related to the acquisition has been recognised under other operating expenses (IFRS 3 costs). Revenue recognised as a result of the business combination and the effect on the result for the financial period is not material.

Acquired business operations 2023

Pihlajalinna had no business acquisitions in the financial year 2023.

27.2. Acquisitions of non-controlling interest

Acquisitions 2024

Company	Acquisition date	Acquired share, %	New ownership interest, %
Suomen Yksityiset Hammaslääkärit Oy	1 Sep 2024	5%	100%
Kuusioliina Terveys Oy	1 Dec 2024	3%	100%

Eur 1,000	Acquisition price	Change in non-controlling interest share	Impact in Group earnings
Suomen Yksityiset Hammaslääkärit Oy	52	-40	-12
Kuusioliina Terveys Oy	120	34	-154

Acquisitions 2023

Company	Acquisition date	Acquired share, %	New ownership interest, %
Suomen Yksityiset Hammaslääkärit Oy	7 Jul 2023 and 16 Oct 2023	32%	95%
Pihlajalinna Ikioma Oy	1 Jan 2023	6%	100%

EUR 1,000	Acquisition price	Change in non-controlling interest share	Impact in Group earnings
Suomen Yksityiset Hammaslääkärit Oy	262	-278	15
Pihlajalinna Ikioma Oy	287	-70	-218

Accounting principles

Transactions with non-controlling interests that do not lead to a loss of control are treated as transactions with owners. Changes in the share of ownership lead to adjustments of the carrying amounts of the Group's share and the share of non-controlling interests. The difference between the adjustment made to non-controlling interests' share and the paid or received consideration is recognised in earnings.

27.3. Divestments

2024

There are no divestments during the financial year 2024.

2023

Pihlajalinna sold its dental care services to Hammas Hohde Oy on 31 March 2023. In the comparison period, as a result of the divestment, net assets totaling approximately EUR 5.1 million were removed from the consolidated statement of financial position. The Group recognized a gain of EUR 3.6 million from the divestment in other operating income in the comparison period. As part of the transaction, the Group sold the entire share capital of Wiisuri Oy and Pihlajalinna Hammasklinikat Oy, along with the dental care business operations of certain Group companies.

28. Subsidiaries and material non-controlling interests

The Group's structure

The Group had 26 (28) subsidiaries in 2024. Of these subsidiaries, 16 (17) are wholly owned and 10 (11) are partially owned. A list of all of the Group's subsidiaries is presented in Note 31 *Subsidiaries*. In 2024, the Group had 1 (3) associated companies and 1 (1) joint operation.

Breakdown of material non-controlling interests in the Group

EUR 1,000	Main busines lo- cation	Non-controlling interests' share of the votes		Non-controlling interests' share of profit or loss		Non-controlling interests' share of equity	
		2024	2023	2024	2023	2024	2023
Jämsän Terveys Oy	Jämsä	49%	49%	2,176	-1,288	-2,997	-5,173
Pihlajalinna Erityisasumispalvelut Oy	Hämeenlinna	30%	30%	31	129	30	-1
Dextra Lapsettomuusklinikka Oy	Helsinki	49%	49%	368	166	953	584
Pihlajalinna Liikuntakeskukset Group	several	30%	30%	-210	-417	826	1,036
Total				2,365	-1,410	-1,189	-3,554

Summary of financial information on subsidiaries with a material non-controlling interest

	Jämsän Terveys Oy		Pihlajalinna Erityisasumispalvelut Oy		Dextra Lapsettomuusklinikka Oy		Pihlajalinna Liikuntakeskukset Group	
	2024	2023	2024	2023	2024	2023	2024	2023
Current assets	2,934	3,725	757	1,136	2,356	1,439	1,098	1,430
Non-current assets	409	876	3,898	4,126	3,378	3,651	36,917	37,916
Current liabilities	9,459	15,059	1,337	1,254	1,124	936	18,662	18,136
Non-current liabilities		80	3,215	3,996	2,041	2,321	17,483	18,632
Revenue	38,771	69,204	7,176	6,848	5,445	5,100	15,327	14,489
Operating profit	4,351	-2,663	168	595	904	364	538	-127
Profit/loss	4,440	-2,628	104	430	751	338	-707	-1,401
Share of profit/loss attributable to owners of the parent	2,264	-1,340	73	301	383	172	-497	-984
Non-controlling interests' share of profit/loss	2,176	-1,288	31	129	368	166	-210	-417
Net cash flow from operating activities	-3,833	1,925	913	826	1,478	1,085	5,066	4,808
Net cash flow from investing activities	241	-85	91	-184	-1,015	-669	20	-599
Net cash flow from financing activities	3,652	-2,403	-1,004	-642	-465	-418	-5,060	-4,496
of which dividends paid to non-controlling interests								

29. Interests in associates and joint arrangements

Changes in interests during the financial year

On 1 May 2024, Pihlajalinna acquired full ownership of its former associated company Kuura Digilääkäri Oy. Pihlajalinna's previous holding in the company was 45 per cent. On 1 July 2024, Pihlajalinna acquired 41.34 per cent of the shares of its former associated company Digital Health Solutions Oy. Following the transaction, Pihlajalinna holds 82.37 per cent of the company's shares. For more information, refer to Note 27 *Acquired business operations and divestments*.

In the comparison period, the share of profit in associated companies and joint ventures include approximately EUR 0.5 million impairment on Pihlajalinna's holdings in Digital Health Solutions Oy.

EUR 1,000		2024	2023
Interests in associates	Ullanlinnan Silmälääkärit Oy	26	34
	Digital Health Solutions Oy	0	0
	Kuura Digilääkärit Oy	0	1,557
Interests in joint operations	Koy Levin Pihlaja Oy	40	40
Total carrying amount		66	1,631

Interests in associates

Name	Main business location		Holding, %	
			2024	2023
Ullanlinnan Silmälääkärit Oy	Helsinki	Healthcare services	37%	37%

Interests in joint operations

The Group owns 31 % in Kiinteistö Oy Levin Pihlaja, which is consolidated as a joint operation according to the pro rata share.

30. Contingent assets and liabilities and commitments

Collateral given on own behalf	2024	2023
Sureties	5,806	5,300
Properties' VAT refund liability	4	7
Lease commitments for off-balance sheet leases	897	1,606
Lease deposits	122	234

Hybrid bond interests

Pihlajalinna issued EUR 20 million hybrid bond on 27 March 2023. On the financial statements date, the unpaid interest on the hybrid bond was EUR 1.9 (1.9) million.

Lawsuits and official proceedings

The City of Jämsä took legal action against Jämsän Terveys Oy regarding a matter concerning the price adjustment provision in the service agreement. The difference in views was regarding whether the fixed annual price for social and healthcare services can decrease due to price. Jämsän Terveys filed an additional counterclaim against the City of Jämsä. The additional counterclaim concerns the effect of changes in the services under the service agreement on price and the service provider's liability for financing investments by the Pirkanmaa Hospital District insofar as such investments serve operations after the term of the service agreement. The service provider is entitled to price adjustments corresponding to increases in costs and the contractual parties are under an obligation to negotiate and try to reach an agreement.

On 4 April 2022, the District Court of Central Finland handed down its ruling on the dispute concerning the service agreement between Jämsän Terveys Oy and the City of Jämsä. The District Court did not deny the validity of the grounds for the variable charges in Jämsän Terveys' service agreement, but the District Court found that the evidence presented regarding the realisation of the costs was insufficient. Pihlajalinna submitted an application for leave to appeal to the Supreme Court and an appeal concerning part of the judgement of the Vaasa Court of Appeal.

On 22 November 2023, the Vaasa Court of Appeal handed down its ruling on the dispute. The Court of Appeal decided to uphold the decision of the District Court. Pihlajalinna submitted an application for leave to appeal to the Supreme Court and an appeal concerning part of the judgement of the Vaasa Court of Appeal. The Supreme Court did not grant Pihlajalinna leave to appeal concerning the judgement of the Vaasa Court of Appeal.

Jämsän Terveys Oy has taken legal action in the District Court against the The City of Jämsä, a former client, mainly concerning COVID-19-related costs which the City of Jämsä has not paid in breach of the service agreement. In addition, a difference of opinion has emerged between the company and the city during the 2022 financial year on the impact of the transfer of personnel on the annual fee under the service agreement. The District Court of Central Finland considered the case and rendered its decision in late December 2024. The Court ruled the City of Jämsä to pay Jämsän Terveys Oy the COVID-19 related costs it had claimed, with interest. Other aspects of the dispute, such as the impact of the transfer of personnel on the annual fee, were settled by the parties before the Court hearing. The City of Jämsä has filed an appeal regarding the decision to the Vaasa Court of Appeal and, hence, the decision rendered by the District Court of Central Finland is not legally binding.

Pihlajalinna is involved in certain pending legal proceedings concerning employment relationships, but they are not expected to have a significant financial impact on the Group.

Contingent assets

At the end of the financial year 2024, Pihlajalinna has EUR 0.0 (8.2) million in contingent receivables in accordance with IAS 37. In 2024, EUR 1.5 million of the receivables have been returned as receivables to the financial statements. The receivables are related to receivables of Jämsän Terveys from the City of Jämsä, for which the financial benefit to Pihlajalinna has become certain following the District Court's decision. Otherwise, regarding the contingent receivables presented in the 2023 financial statements, Pihlajalinna no longer considers probable that it will benefit from them financially.

31. Subsidiaries

The Group's parent company and subsidiary relationships 31.12.2024

The Group's parent company is Pihlajalinna Plc, which owns all of Pihlajalinna Terveys Oy's Series A shares.

Company	Domicile	Holding	% of votes
Pihlajalinna Terveys Oy	Parkano	100%	100%
Ikipihlaja Johanna Oy	Jämsä	100%	100%
Jokilaakson Terveys Oy	Jämsä	90%	90%
Mäntänvuoren Terveys Oy	Mänttä-Vilppula	91%	91%
Ikipihlaja Kuusama Oy	Kokemäki	100%	100%
Ikipihlaja Sofianhovi Oy	Mänttä-Vilppula	100%	100%
Ikipihlaja Matinkartano Oy	Lieto	100%	100%
Ikipihlaja Setälänpiha Oy	Lieto	100%	100%
Ikipihlaja Oiva Oy	Raisio	100%	100%
Kolmostien Terveys Oy	Parkano	96%	96%
Jämsän Terveys Oy	Jämsä	51%	51%
Kuusiolinnat Terveys Oy	Alavus	100%	100%
Lääkäriasema DokTori Oy	Lappeenranta	100%	100%
Mediapu Oy	Oulu	100%	100%
Pihlajalinna Erityisasumispalvelut Oy	Hämeenlinna	70%	70%
Dextra Lapsettomuuslinikka Oy	Helsinki	51%	51%
Bottenhavets Hälsa Ab - Selkämeren Terveys Oy	Kristiinankaupunki	75%	75%
Linnan Klinikka Oy	Hämeenlinna	100%	100%
Pihlajalinna Liikuntakeskukset Oy	Tampere	70%	70%
Forever Helsinki Oy	Helsinki	70%	70%
Suomen Yksityiset Hammaslääkärit Oy	Tampere	100%	100%
Laihian Hyvinvointi Oy	Laihia	100%	100%
Digital Health Solutions Oy	Sotkamo	82%	82%
Pihlajalinna Lääkärikeskukset Oy	Helsinki	100%	100%
Pihlajalinna Ikioma Oy	Mikkeli	100%	100%
Pihlajalinna Kainuu Oy	Sotkamo	100%	100%

Information on the associates is presented in Note 29 Interests in associates and joint arrangements.

Changes in Group Structure

The following changes in Group Structure were implemented during the financial year:

Merged Company	Target Company	Month of the merge
Pihlajalinna Seppälääkärit Oy	Pihlajalinna Lääkärikeskukset Oy	1 Mar 2024
Kuura Digilääkäri Oy	Pihlajalinna Lääkärikeskukset Oy	1 Oct 2024
Kompassi Lääkärikeskus Oy	Pihlajalinna Lääkärikeskukset Oy	1 Nov 2024

The following changes in Group Structure were implemented during 2023:

Merged Company	Target Company	Month of the merge
Pihlajalinna Lääkärikeskukset Oy	Pihlajalinna Lääkärikeskukset Oy (former Pihlajalinna Omasairaala Oy 1.2.-31.12.2022)	1 Jan 2023
Pihlajalinna Turku Oy	Pihlajalinna Lääkärikeskukset Oy (former Pihlajalinna Omasairaala Oy 1.2.-31.12.2022)	1 Jan 2023
Etelä-Savon Työterveys Oy	Pihlajalinna Lääkärikeskukset Oy (former Pihlajalinna Omasairaala Oy 1.2.-31.12.2022)	1 Jan 2023
Pihlajalinna Oulu Oy	Pihlajalinna Lääkärikeskukset Oy (former Pihlajalinna Omasairaala Oy 1.2.-31.12.2022)	1 April 2023
Pihlajalinna Seppämagneetti Oy	Pihlajalinna Lääkärikeskukset Oy (former Pihlajalinna Omasairaala Oy 1.2.-31.12.2022)	1 May 2023

Acquired and sold business operations are described in more detail in note 27 *Acquired business operations and divestments*.

32. Related party transactions

The Group's related parties consist of the subsidiaries, associates and joint ventures. Key management personnel considered related parties consist of the members of the Board of Directors, the Management Team, including the CEO, and their family members and companies controlled by them. Subsidiaries are described in more detail in note 31 *Subsidiaries*. Associate and joint ventures are described in more detail in note 29 *Interests in associates and joint arrangements*.

Transactions with related parties which are not eliminated in the consolidated financial statements are presented as related party transactions.

Employee benefits of management

EUR 1,000	2024	2023
Monetary salaries, Management Team	1,713	1,768
Share-based rewards, Management Team	143	0
Fringe benefits, Management Team	12	36
Post-employment benefits, Management Team	390	277
Management Team, total	2,258	2,081

Salaries and remuneration

Tuomas Hyryläinen acted as the CEO of Pihlajalinna starting from 1 September 2023. During the financial year 2023, Joni Aaltonen served as Pihlajalinna's CEO until 8 March 2023 and Mikko Wirén as the interim CEO from 9 March to 31 August 2023. In 2023, Joni Aaltonen received a total of EUR 353,000 in salaries and remuneration and Mikko Wirén received EUR 174,000.

EUR 1,000	2024	2023
Tuomas Hyryläinen		
Monetary salaries	378	120
Share-based rewards	143	0
Fringe benefits	0	0
Total	521	120

In January 2024, Pihlajalinna conveyed a total of 20,000 shares to CEO Tuomas Hyryläinen (gross amount before deduction of withholding tax). The remuneration was related to the right agreed upon in the CEO's contract to acquire shares at the beginning of the share-based incentive scheme, when Pihlajalinna conveyed shares in exchange for purchases. The arrangement is described in more detail in note 6 Share-based payments.

EUR 1,000		2024	2023
Board of Directors			
Chair of the Board	Jukka Leinonen	72	68
Vice-Chair of the Board	Leena Niemistö	52	54
Chair of the Audit Committee	Kim Ignatius	53	38
Board member	Heli Iisakka	43	43
Chair of the People and Sustainability Committee	Hannu Juvonen	52	54
Board member	Tiina Kurki	43	37
Board member (until 3 April 2023)	Mika Manninen	0	6
Chair of the Audit Committee (until 10 April 2024)	Seija Turunen	2	53
Board member	Mikko Wirén	42	44
Total		358	397

Of the annual remuneration paid in shares, a total of 2,662 (2,636) shares held by the company were transferred to the Chair of the Board of Directors, 1,774 (1,757) shares transferred to the Vice Chair and the Chairs of the People and Sustainability Committee and Audit Committee each, and 1,331 (1,318) shares to each member of the Board of Directors.

According to the CEO's contract, the notice period for dismissal is 6 months. The company is liable to pay the CEO one-time compensation for termination amounting to eight months' total salary. The CEO's pension benefits are according to the statutory pension scheme. The CEO Tuomas Hyryläinen is not a member of the Board of Directors.

Related party transactions and related party receivables and liabilities:

	2024	2023
Key management personnel		
Rents paid	1,103	1,014
Services procured	949	1,277
Other payments	138	0
Prepayments	-76	-99
Trade payables	87	179
Interests in associates and joint arrangements		
Rents paid	38	29
Services procured	321	944
Other payments	14	75
Trade payables	6	197

During the financial year, the Group has leased its business premises in Karkku, Tampere and Kangasala from Mikko Wirén's controlling company. Mikko Wirén is a member of the Board of Directors. The Group also has an agreement with MWW Oy, a company controlled by Mikko Wirén, under which the Group buys healthcare professionals' services and consulting. In addition, during the financial year the Group has paid old receivables, late payment interests and premises renovation costs to a company controlled by Mikko Wirén.

Business transactions with associates and joint venture companies comprise mainly of healthcare professionals' services obtained from Kuura Digilääkäri Oy in addition to rents paid to Kiinteistö Oy Levin Pihlaja.

33. Events after the balance sheet date

There are no material events after the end of the financial year.



PARENT COMPANY FINANCIAL STATEMENTS, FAS

Parent company income statement, FAS

EUR	Note	2024	2023
Revenue	1.1.	11,988,270.96	9,077,280.90
Other operating income	1.2.	529,576.34	395,721.08
Personnel expenses	1.3.	-1,505,644.20	-1,397,212.74
Depreciation, amortisation and impairment	1.4.	-2,808,741.76	-2,672,301.20
Other operating expenses	1.5	-11,742,181.16	-8,876,588.58
Operating profit (loss)		-3,538,719.82	-3,473,100.54
Financial income and expenses	1.6	-621,839.96	-5,353,946.60
Profit (loss) before appropriations and taxes		-4,160,559.78	-8,827,047.14
Appropriations	1.7		
Change in depreciation difference		265,842.71	-783,600.41
Group contribution		22,200,000.00	537,000.00
Income taxes	1.8.	-2,481,979.17	1,364,318.99
Profit (loss) for the financial year		15,823,303.76	-7,709,328.56

Parent company balance sheet, FAS

EUR	Note	2024	2023
Assets			
Non-current assets			
Intangible assets	2.1	2,152,146.73	3,377,107.41
Property, plant and equipment	2.2	4,960,479.89	6,397,913.16
Investments	2.3	384,535,075.95	384,535,075.95
Total non-current assets		391,647,702.57	394,310,096.52
Current assets			
Non-current receivables	2.4	6,062.31	2,488,041.48
Current receivables	2.5	72,586,162.82	50,925,791.76
Cash and cash equivalents		30,637,684.94	24,278,891.96
Total current assets		103,229,910.07	77,692,725.20
Total assets		494,877,612.64	472,002,821.72
Equity and liabilities			
Equity			
	2.6		
Share capital		80,000.00	80,000.00
Reserve for invested unrestricted equity		183,190,483.50	183,190,483.50
Retained earnings		17,818,553.02	28,043,605.15
Profit/loss for the financial year		15,823,303.76	-7,709,328.56
Total Equity		216,912,340.28	203,604,760.09
Accumulated appropriations	2.7	1,431,643.08	1,697,485.79
Liabilities			
	2.8		
Non-current liabilities		132,559,107.60	163,649,827.42
Current liabilities		143,974,521.68	103,050,748.42
Total liabilities		276,533,629.28	266,700,575.84
Total equity and liabilities		494,877,612.64	472,002,821.72

Parent company cash flow statement, FAS

EUR	2024	2023
Cash flow from operating activities		
Profit for the period	15,823,303.76	-7,709,328.56
Depreciation, amortisation and impairment	2,808,741.76	2,672,301.20
Financial income and expenses	621,839.96	5,353,946.60
Other adjustments (appropriations and taxes)	-19,972,927.67	-1,157,402.06
Cash flow before change in working capital	-719,042.19	-840,482.82
Change in net working capital	1,062,114.17	-1,039,744.79
Operating cash flow before financial items and taxes	343,071.98	-1,880,227.61
Interest received	3,486,952.95	3,308,330.35
Direct taxes paid	0.00	1,489,667.78
Cash flow from operating activities	3,830,024.93	2,917,770.52
Cash flow from investing activities		
Investments in tangible and intangible assets	-207,283.68	-1,502,075.32
Proceeds from sale of intangible and tangible assets	50,000.00	52,000.00
Income from dividends	10,000,000.00	0.00
Cash flow from investing activities	9,842,716.32	-1,450,075.32
Cash flow from financing activities		
Proceeds from short-term borrowings from group companies	35,823,456.62	29,052,037.78
Loans granted to group companies	3,751,291.99	5,349,810.60
Proceeds from long-term borrowings	110,000,000.00	5,000,000.00
Repayment of long-term borrowings	-141,096,795.80	-33,063,486.74
Group contributions received	537,000.00	0.00
Hybrid bond	0.00	20,000,000.00
Hybrid bond interests and expenses	-2,402,500.00	-431,860.20
Interest paid	-11,410,677.51	-7,317,894.98
Dividends paid	-1,579,002.46	0.00
Acquisition of own shares	-936,721.11	0.00
Cash flow from financing activities	-7,313,948.27	18,588,606.46
Change in cash and cash equivalents	6,358,792.98	20,056,301.66
Cash at the beginning of the financial year	24,278,891.96	4,222,589.95
Cash at the end of the financial year	30,637,684.94	24,278,891.96

Notes to the financial statements 31 December 2024

Accounting policies

Pihlajalinna Plc (2617455-1), domiciled in Tampere, is the parent company of Pihlajalinna Group. The company was established on 15 April 2014.

Valuation of non-current assets

Intangible assets and tangible assets have been recognised in the balance sheet at cost. Depreciation and amortisation according to plan is calculated using the straight-line method over the economic useful lives of the assets.

The planned depreciation periods are as follows:

Development costs	5–7 years
Other intellectual property rights	3–7 years
Other long-term expenditures	5–7 years
Machinery and equipment	3–10 years

Acquisition costs of assets included in non-current assets with a probable economic useful life of less than 3 years, and small-scale acquisitions (value under EUR 1 200) have been expensed in the financial year during which they were acquired in full. Financial assets are measured at the lower of cost or fair market value if the impairment is considered to be permanent.

Recognition of deferred taxes

Deferred tax liabilities or assets have been calculated on the temporary differences between taxation and the financial statements, using the prevailing tax base at balance sheet date. The balance sheet includes deferred tax liabilities in their entirety and deferred tax assets in the amount of the estimated probable receivables.

Revenue recognition

The sale of products and services is recognised in connection with their delivery.

Capitalised development costs (Accounting Ordinance 2:4, 3-4)

The company's capitalised product development expenditure relating to the Pihlajalinna mobile application and the company website will be amortised over their economic useful lives. Unamortised development expenditure included in intangible assets, which restricts profit distribution, amounted to EUR 0 (96) thousand at the end of the financial year.

Recognition of pension schemes

The personnel's statutory pension security is handled by an external pension insurance company. Pension costs are recognised as expenses during the year of their accrual.

Derivative financial instruments

The company has an interest swap agreement that is used to hedge floating rate financing arrangement. The company presents the interest swap agreement according to prudent basis (Accounting Board 2016/1963). The negative value of the interest swap agreement is recorded based on the lowest value as an expense and a liability. The positive unrealized value is presented as an off balance sheet item and income statement item and presented only in the Notes. Additional information on the derivative is presented in the parent company's *Other notes*.

Hybrid Bond

On March 27, 2023, Pihlajalinna Oyj issued a hybrid bond of EUR 20 million. The hybrid bond is presented in liabilities in the balance sheet and the interest is presented in financial expenses in the income statement.

1.1. Revenue

EUR	2024	2023
Revenues by sector		
Sale of services	0.00	3,160.00
Sale of services, intracompany	11,988,270.96	9,074,120.90
	11,988,270.96	9,077,280.90

1.2. Other operating income

EUR	2024	2023
Rental income	0.00	116,400.00
Lease income from equipment	416,086.56	239,637.60
Other income	113,489.78	0.00
Capital gains on property, plant and equipment	0.00	39,683.48
	529,576.34	395,721.08

1.3. Personnel expenses

EUR	2024	2023
Wages and salaries	-1,311,778.04	-1,245,387.37
Pension costs	-173,110.81	-132,917.15
Other social security expenses	-20,755.35	-18,908.22
	-1,505,644.20	-1,397,212.74

Average number of employees during the financial year	3	3
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The remuneration of the Board of Directors of Pihlajalinna Plc is included in the company's personnel expenses. The Annual General Meeting of 10 April 2024 resolved that the Board of Directors would be paid the following annual remuneration for the term ending at the conclusion of the 2025 Annual General Meeting: to the Chair of the Board of Directors EUR 60,000 per year; to the Vice-Chair of the Board and the Chairs of the Committees EUR 40,000 per year, and to members EUR 30,000 per year.

The annual remuneration shall be paid in company shares and in cash, with approximately 40 per cent of the remuneration used to acquire shares in the name and on behalf of the members of the Board of Directors, and the remainder paid in cash. The remuneration can be paid either entirely or partially in cash if the member of the Board of Directors has, on the day of the General Meeting, 10 April 2024, been in possession of over EUR 1,000,000 worth of company shares. The company was responsible for the expenses and transfer tax arising from the acquisition of the shares. The remuneration to be paid in company's own shares was completed by handing over to the members of the Board a total of 11,977 own shares in May. Rest of the annual remuneration was paid at the same time in cash.

If the term of a Board member ends before the Annual General Meeting of 2025, the Board is entitled to decide on the possible recovery of the remuneration in a manner it deems appropriate.

In addition, the Annual General Meeting decided that each Board member shall be paid a meeting fee of EUR 600 for each Board and Committee meeting. Furthermore, reasonable travel expenses of the members of the Board of Directors are reimbursed in accordance with the Company's travel policy.

1.4. Depreciation and impairment

EUR	2024	2023
Depreciation according to plan		
Intangible assets	-1,377,555.98	-1,849,409.00
Property, plant and equipment	-1,431,185.78	-822,892.20
Total depreciation according to plan	-2,808,741.76	-2,672,301.20

1.5. Other operating expenses

EUR	2024	2023
Voluntary social security expenses	-54,775.34	-12,692.29
Facility expenses	-209,775.52	-172,718.41
Vehicle expenses	-2,744.54	-15,432.06
ICT expenses	-10,389,136.69	-7,359,055.50
Machinery and equipment expenses	-5,475.60	
Sales, marketing and travel expenses	-73,238.70	-66,666.55
Administrative expenses	-996,098.90	-1,250,023.77
Losses on disposal of fixed assets	-10,935.87	
Other operating expenses, total	-11,742,181.16	-8,876,588.58

Auditor's fees		
Audit fees	104,206.91	74,677.92
Auxiliary services	60,309.22	34,871.13
Total	164,516.13	109,549.05

1.6. Financial income and expenses

EUR	2024	2023
Dividends from Group companies	10,000,000.0	
Income from interests in Group companies		
Interest income from non-current investments		
From Group companies	2,960,678.03	3,174,052.50
From others	517,545.88	359,351.18
Interest income from non-current investments, total	13,478,223.91	3,533,403.68
Interest expenses and other financial expenses		
To Group companies	-3,389,503.31	-2,552,589.11
To others	-10,710,560.56	-6,334,761.17
Interest expenses and other financial expenses, total	-14,100,063.87	-8,887,350.28

Financial income and expenses, total	-621,839.96	-5,353,946.60
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1.7. Appropriations

EUR	2024	2023
Difference between depreciation according to plan and depreciation in taxation	265,842.71	-783,600.41
Group contributions received	22,200,000.00	537,000.00
Total	22,465,842.71	-246,600.41

1.8. Income taxes

EUR	2024	2023
Change in deferred tax assets	-2,481,979.17	1,364,318.99
Income taxes on actual operations during the financial year		
Income taxes total	-2,481,979.17	1,364,318.99

Notes to the balance sheet

2.1. Intangible assets

EUR	2024	2023
Development costs		
Acquisition cost at the start of the financial year	1,606,814.06	1,606,814.06
Acquisition cost at the end of the period	1,606,814.06	1,606,814.06
Accumulated depreciation at beginning of period	-1,510,619.52	-1,348,490.86
Depreciation and amortisation for the period	-96,194.54	-162,128.66
Carrying amount at the end of period	0.00	96,194.54
Other intellectual property rights		
Acquisition cost at the start of the financial year	1,658,013.65	1,658,013.65
Acquisition cost at the end of the period	1,658,013.65	1,658,013.65
Accumulated depreciation at beginning of period	-1,618,867.23	-1,464,460.93
Depreciation and amortisation for the period	-26,288.61	-154,406.30
Carrying amount at the end of period	12,857.81	39,146.42
Other long-term expenditures		
Acquisition cost at the start of the financial year	8,972,575.87	7,448,657.25
Additions	100,564.00	1,251,142.00
Transfers between items	189,079.81	272,776.62
Acquisition cost at the end of the period	9,262,219.68	8,972,575.87
Accumulated depreciation at beginning of period	-5,867,857.93	-4,334,983.89
Depreciation and amortisation for the period	-1,255,072.83	-1,532,874.04
Carrying amount at the end of period	2,139,288.92	3,104,717.94
Prepayments for intangible assets		
Acquisition cost at the start of the financial year	137,048.51	165,678.66
Additions	52,031.30	244,146.47
Transfers between items	-189,079.81	-272,776.62
Carrying amount at the end of period	0.00	137,048.51
Intangible assets, total		
Acquisition cost at the start of the financial year	12,374,452.09	10,879,163.62
Additions	152,595.30	1,495,288.47
Acquisition cost at the end of the period	12,527,047.39	12,374,452.09
Accumulated depreciation at beginning of period	-8,997,344.68	-7,147,935.68
Depreciation and amortisation for the period	-1,377,555.98	-1,849,409.00
Carrying amount at the end of period	2,152,146.73	3,377,107.41

2.2. Property, plant and equipment

EUR	2024	2023
Machinery and equipment		
Acquisition cost at the start of the financial year	8,965,291.18	3,585,374.34
Additions	54,688.38	5,490,765.53
Disposals	-135,413.04	-110,848.69
Acquisition cost at the end of the period	8,884,566.52	8,965,291.18
Accumulated depreciation at beginning of period	-2,567,378.02	-1,843,017.99
Depreciation and amortisation for the period	74,477.17	98,532.17
Accumulated depreciation on disposals	-1,431,185.78	-822,892.20
Carrying amount at the end of the period	4,960,479.89	6,397,913.16
Total tangible assets		
Acquisition cost at the start of the financial year	8,965,291.18	3,585,374.34
Additions	54,688.38	5,490,765.53
Disposals	-135,413.04	-110,848.69
Acquisition cost at the end of the period	8,884,566.52	8,965,291.18
Accumulated depreciation at beginning of period	-2,567,378.02	-1,843,017.99
Depreciation and amortisation for the period	74,477.17	98,532.17
Accumulated depreciation on disposals	-1,431,185.78	-822,892.20
Carrying amount at the end of the period	4,960,479.89	6,397,913.16

2.3. Investments

EUR	2024	2023
Other shares and participations		
Acquisition cost at the start of the financial year	50,000.00	50,000.00
Acquisition cost at the end of the period	50,000.00	50,000.00
Shares in subsidiaries		
Acquisition cost at the start of the financial year	384,485,075.95	384,485,075.95
Acquisition cost at the end of the period	384,485,075.95	384,485,075.95
Total investments	384,535,075.95	384,535,075.95

A full list of the Group's subsidiaries is presented in Note 31 Subsidiaries in the the consolidated financial statements.

2.4. Non-current receivables

EUR	2024	2023
Receivables from others		
Deferred tax assets	6,062.31	2,488,041.48
Total non-current receivables	6,062.31	2,488,041.48

2.5. Current receivables

EUR	2024	2023
Receivables from others		
Trade receivables	0.00	12,028.00
Other receivables	678,769.65	42,542.85
Prepayments and accrued income	5,345,447.22	1,565,976.02
Total	6,024,216.87	1,620,546.87
Receivables from Group companies		
Trade receivables	1,103,518.86	1,808,354.87
Loan receivables	41,781,347.28	45,532,639.27
Prepayments and accrued income	23,677,079.81	1,964,250.75
Total	66,561,945.95	49,305,244.89
Material items included in Prepayments and accrued income		
Group contribution	22,200,000.00	537,000.00
Accrued social security expenses	54,009.11	64,005.82
Accrued trade payables	5,829,141.88	2,462,106.74
Other	939,376.04	467,114.21
Total	29,022,527.03	3,530,226.77
Total current receivables	72,586,162.82	50,925,791.76

2.6. Equity

EUR	2024	2023
Restricted equity		
Share capital at the beginning	80,000.00	80,000.00
Share capital at the end	80,000.00	80,000.00
Total restricted equity	80,000.00	80,000.00
Unrestricted equity		
Reserve for invested unrestricted equity at the beginning	183,190,483.50	183,190,483.50
Reserve for invested unrestricted equity at the end	183,190,483.50	183,190,483.50
Retained earnings at the beginning	20,334,276.59	28,043,605.15
Dividends paid	-1,579,002.46	0.00
Acquisition of own shares	-936,721.11	0.00
Retained earnings	17,818,553.02	28,043,605.15
Profit for the period	15,823,303.76	-7,709,328.56
Total unrestricted equity	216,832,340.28	203,524,760.09
Total equity	216,912,340.28	203,604,760.09
Retained earnings	17,818,553.02	28,043,605.15
Result for the period	15,823,303.76	-7,709,328.56
Reserve for invested unrestricted equity	183,190,483.50	183,190,483.50
Capitalised development costs	0.00	-96,194.54
Distributable unrestricted equity	216,832,340.28	203,428,565.55
Shares in subsidiaries	22,620,135	22,620,135
of which treasury shares	141,184	53,980
Number of outstanding shares	22,478,951	22,566,155

2.7. Accumulated appropriations

EUR	2024	2023
Accumulated depreciation difference	1,431,643.08	1,697,485.79

**2.8. Liabilities**

EUR	2024	2023
2.8.1 Non-current liabilities		
Liabilities to others		
Loans from financial institutions	110,000,000.00	140,000,000.00
Hybrid Bond	20,000,000.00	20,000,000.00
Other non-current liabilities	2,559,107.60	3,649,827.42
Non-current liabilities, total	132,559,107.60	163,649,827.42
2.8.2 Current liabilities		
Liabilities to others		
Trade payables	6,289,126.00	1,373,176.58
Other liabilities	1,145,783.75	1,212,740.53
Accrued liabilities	5,050,694.19	4,643,388.60
	12,485,603.94	7,229,305.71
Liabilities to Group companies		
Trade payables	453.50	85,105.25
Accrued liabilities	35,244.00	106,573.84
Other liabilities	131,453,220.23	95,629,763.61
	131,488,917.73	95,821,442.70
Material items included under Accrued liabilities		
Personnel expense allocations	419,860.59	173,339.05
Interest allocations	4,157,410.10	4,013,966.92
Other items	508,667.50	562,656.47
	5,085,938.19	4,749,962.44
Current liabilities, total	143,974,521.67	103,050,748.41

Other notes

EUR	2024	2023
Collaterals and contingent liabilities		
Other sureties	157,270.00	157,270.00

Pihlajalinna's financing arrangements

In June 2024, Pihlajalinna rearranged its long-term debt financing with a sustainability-linked financing arrangement. The agreement includes a EUR 110 million term loan for refinancing the Group's previous debt, and a revolving credit facility of EUR 60 million for general financing purposes. The financing agreement is for three years and includes two option years.

The financing arrangement includes the customary financial covenants concerning leverage (ratio of net debt to pro forma EBITDA) and gearing. IFRS 16 lease liabilities are not taken into account in the calculation of the covenants. Additionally, the loan margin of the financing is linked to Pihlajalinna's main sustainability targets: patient satisfaction, access to surgical treatment and employee satisfaction. Sustainability objectives have a minor effect on the loan margin, depending on how many of the agreed-upon sustainability targets are achieved. At the end of the financial year, the sustainability targets linked to the financing arrangement did not cause any changes in the loan margins. During the financial year and at the end of it, the Group met the financial covenants agreed upon in the agreement.

At the end of the reporting period, 31 December 2024, the withdrawn loan amount to which the covenants apply was EUR 110.0 million (EUR 140.0 million).

Pihlajalinna has an interest rate swap agreement with a nominal value of EUR 65 million, which is used to convert the interest on a floating rate financing arrangement to a fixed rate. The interest rate swap entered into effect in March 2023 and will remain in effect until 25 March 2027. Its fair value was -0.8 (0.2) million at the end of the financial year. Derivative contract is presented in the parent company's financial statements based on the principle of prudence, and the positive unrealized difference between the value at the time of execution and the value on the balance sheet date has not been recorded as income in the financial statements. The negative unrealized difference between the value at the time of execution and the value on the balance sheet date has been recorded as an expense and a liability.

The Group sold its previous interest rate swap agreement on early 2023. The fair value of the interest rate swap agreement at the time of concluding the agreement was approximately EUR 3.9 million. In comparison period, the gain on the sale is presented reducing financial expenses in the parent company's income statement.

On 27 March 2023, Pihlajalinna issued a hybrid bond with an annual coupon of 12%. The hybrid bond does not have a specified maturity date. Pihlajalinna is entitled to redeem the hybrid bond on the Reset Date, 27 March 2026, and thereafter on each interest payment date. The hybrid bond is presented in the parent company's financial statements in liabilities in the balance sheet and the interest is presented in financial expenses in the income statement.

Pihlajalinna had EUR 70.0 (70,0) million in unused committed credit limits available. Unused credit limits consist of EUR 10 million credit limit agreement and EUR 60 million unwithdrawn revolving credit facility.

EUR	2024	2023
Lease commitments		
Within one year	166,880.64	158,211.96
Between one and five years	278,134.40	395,529.90



Dates and signatures to the report by the Board of Directors and the financial statements

Tampere, 19 March 2025

The financial statements, prepared in accordance with applicable accounting regulations, give a true and fair view of the assets, liabilities, financial position, and profit or loss of both the company and the group of companies included in its consolidated financial statements.

The management report contains a fair review of the development and performance of the business operations of both the company and the group of companies included in its consolidated financial statements, as well as a description of the most significant risks and uncertainties and other aspects of the company's condition.

The sustainability report included in the management report has been prepared in accordance with the reporting standards referred to in Chapter 7 of the Finnish Accounting Act as well as Article 8 of the EU Taxonomy Regulation.

Jukka Leinonen
Chair

Kim Ignatius

Heli Iisakka

Hannu Juvonen

Tiina Kurki

Leena Niemistö

Mikko Wirén

Tuomas Hyryläinen
CEO

Auditor's Note

A report on the performed audit has been issued today.

On the date of the electronic signature
KPMG Oy Ab

Assi Lintula
Authorised Public Accountant



Auditor's Report

To the Annual General Meeting of Pihlajalinna Plc

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Pihlajalinna Plc (business identity code 2617455-1) for the year ended 31 December 2024. The financial statements comprise the consolidated statement of financial position, statement of comprehensive income, statement of changes in equity, statement of cash flows and notes, including a summary of significant accounting policies, as well as the parent company's balance sheet, income statement, cash flow statement and notes.

In our opinion

- the consolidated financial statements give a true and fair view of the group's financial position, financial performance and cash flows in accordance with International Financial Reporting Standards (IFRS) as adopted by the EU
- the financial statements give a true and fair view of the parent company's financial performance and financial position in accordance with the laws and regulations governing the preparation of financial statements in Finland and comply with statutory requirements.

Our opinion is consistent with the additional report submitted to the Audit Committee.

Basis for Opinion

We conducted our audit in accordance with good auditing practice in Finland. Our responsibilities under good auditing practice are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report.

We are independent of the parent company and of the group companies in accordance with the ethical requirements that are applicable in Finland and are relevant to our audit, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

In our best knowledge and understanding, the non-audit services that we have provided to the parent company and group companies are in compliance with laws and regulations applicable in Finland regarding these services, and we have not provided any prohibited non-audit services referred to in Article 5(1) of regulation (EU) 537/2014. The non-audit services that we have provided have been disclosed in note 7 to the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Materiality

The scope of our audit was influenced by our application of materiality. The materiality is determined based on our professional judgement and is used to determine the nature, timing and extent of our audit procedures and to evaluate the effect of identified misstatements on the financial statements as a whole. The level of materiality we set is based on our assessment of the magnitude of misstatements that, individually or in aggregate, could reasonably be expected to have influence on the economic decisions of the users of the financial statements. We have also taken into account misstatements and/or possible misstatements that in our opinion are material for qualitative reasons for the users of the financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. The significant risks of material misstatement referred to in the EU Regulation No 537/2014 point (c) of Article 10(2) are included in the description of key audit matters below.

We have also addressed the risk of management override of internal controls. This includes consideration of whether there was evidence of management bias that represented a risk of material misstatement due to fraud.

**The key audit matter****How the matter was addressed in the audit****Valuation of Goodwill (refer to note 14 Intangible assets and goodwill to the consolidated financial statements)**

- In the consolidated financial statements as of 31 December 2024, the goodwill balance is EUR 254.9 million, accounting for approximately 40% of the balance sheet total and 151% of the consolidated equity.
- At the beginning of the 2024 financial year, Pihlajalinna adopted a new reporting structure that is in line with the Group's business model and organisational structure. At the same time, goodwill was allocated to the cash-generating units in accordance with the new reporting structure.
- Goodwill is not amortised but is tested at least annually for possible impairment. Determining the cash flow projections underlying impairment testing requires management judgment, including revenue growth rate, profitability, discount rate and long-term growth rate, among others.
- Due to the high level of management judgement related to the forecasts used, and the significant carrying amounts involved, valuation of goodwill is considered a key audit matter.

- We considered the change in the reporting structure and assessed the calculations used to allocate goodwill to the cash-generating units at the beginning of the financial year.
- We assessed the historical accuracy of the forecasts made by management by comparing the actual cash flows with the previous forecasts.
- We assessed the key assumptions underlying the impairment calculations such as revenue growth rate, profitability, discount rate and long-term growth rate by reference to budgets and longer-term forecasts, data sources external to the Group and our own views. In examining the forecasts, we exercised professional judgement in evaluating and testing key assumptions.
- We utilised our own valuation specialists in assessing the accuracy of the technical implementation of the calculations and comparing the assumptions used with market and industry-specific data.
- In addition, we considered the appropriateness of the notes to the consolidated financial statements provided on goodwill and impairment testing.

Revenue recognition (refer to note 2 Revenue from contracts with customers to the consolidated financial statements)

- The consolidated revenue for the financial year 2024 totalled EUR 704.4 million and comprised many types of services and service packages. The performance obligations are satisfied both over time and at a point in time, and services are provided across multiple locations and channels for different customer and user groups.
- The number of sales transactions processed through the IT systems is high and the Group has a variety of pricing and contracting structures in place.
- There were significant contractual changes in the long-term social and healthcare outsourcing agreements during the financial year.
- Due to the variety and large number of contract structures and sales transactions, revenue recognition is considered a key audit matter.

- Our audit procedures included an assessment of the internal control environment related to sales processes and testing of key controls, as well as substantive testing.
- We evaluated the IT systems relevant to sales and associated general IT controls.
- We tested recording of sales transactions, operation of the invoicing and pricing processes and assessed the appropriateness and timeliness of revenue recognition transactions.
- We performed substantive audit procedures on changes in social and healthcare outsourcing agreements and resulting impacts on revenue recognition.
- In addition, we considered the appropriateness of the notes to the consolidated financial statements on revenue recognition.

We have not identified key audit matters relating to the parent company's financial statements.

Responsibilities of the Board of Directors and the Managing Director for the Financial Statements

The Board of Directors and the Managing Director are responsible for the preparation of consolidated financial statements that give a true and fair view in accordance with IFRS Accounting Standards as adopted by the EU, and of financial statements that give a true and fair view in accordance with the laws and regulations governing the preparation of financial statements in Finland and comply with statutory requirements. The Board of Directors and the Managing Director are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Board of Directors and the Managing Director are responsible for assessing the parent company's and the group's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting. The financial statements are prepared using the going concern basis of accounting unless there is an intention to liquidate the parent company or the group or cease operations, or there is no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with good auditing practice will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

As part of an audit in accordance with good auditing practice, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the parent company's or the group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of the Board of Directors' and the Managing Director's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the parent company's or the group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the parent company or the group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events so that the financial statements give a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



Other Reporting Requirements

Information on our audit engagement

We were first appointed as auditors by the Annual General Meeting when Pihlajalinna Plc was established on 15 April 2014 and our appointment represents a total period of uninterrupted engagement of eleven years. In Pihlajalinna Terveys Oy we were first appointed as auditors for the financial year ended 31 December 2010. Pihlajalinna Plc became a public interest entity on 8 June 2015. We have been the company's auditors since it became a public interest entity.

Other Information

The Board of Directors and the Managing Director are responsible for the other information. The other information comprises the report of the Board of Directors and the information included in the Annual Report, but does not include the financial statements and our auditor's report thereon. We have obtained the report of the Board of Directors and the Annual Report prior to the date of this auditor's report. Our opinion on the financial statements does not cover the other information.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. With respect to the report of the Board of Directors, our responsibility also includes considering whether the report of the Board of Directors has been prepared in compliance with the applicable provisions, excluding the sustainability report information on which there are provisions in Chapter 7 of the Accounting Act and in the sustainability reporting standards.

In our opinion, the information in the report of the Board of Directors is consistent with the information in the financial statements and the report of the Board of Directors has been prepared in compliance with the applicable provisions. Our opinion does not cover the sustainability report information on which there are provisions in Chapter 7 of the Accounting Act and in the sustainability reporting standards.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Tampere 20. March 2025

KPMG OY AB

Assi Lintula

Authorised Public Accountant, KHT

Assurance Report on the Sustainability Report

To the Annual General Meeting of Pihlajalinna Oyj

We have performed a limited assurance engagement on the group sustainability report of Pihlajalinna Oyj (business identity code 2617455-1) that is referred to in Chapter 7 of the Accounting Act and that is included in the report of the Board of Directors for the financial year 1.1.–31.12.2024.

Opinion

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the group sustainability report does not comply, in all material respects, with

- 1) the requirements laid down in Chapter 7 of the Accounting Act and the sustainability reporting standards (ESRS);
- 2) the requirements laid down in Article 8 of the Regulation (EU) 2020/852 of the European Parliament and of the Council on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088 (EU Taxonomy).

Point 1 above also contains the process in which Pihlajalinna Oyj has identified the information for reporting in accordance with the sustainability reporting standards (double materiality assessment) and the tagging of information as referred to in Chapter 7, Section 22 of the Accounting Act.

Our opinion does not cover the tagging of the group sustainability report with digital XBRL sustainability tags in accordance with Chapter 7, Section 22, Subsection 1(2), of the Accounting Act, because sustainability reporting companies have not had the possibility to comply with that provision in the absence of the ESEF regulation or other European Union legislation.

Basis for Opinion

We performed the assurance of the group sustainability report as a limited assurance engagement in compliance with good assurance practice in Finland and with the International Standard on Assurance Engagements (ISAE) 3000 (Revised) *Assurance Engagements Other than Audits or Reviews of Historical Financial Information*.

Our responsibilities under this standard are further described in the *Responsibilities of the Authorized Group Sustainability Auditor* section of our report.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matter

We draw attention to the fact that the group sustainability report of Pihlajalinna Oyj that is referred to in Chapter 7 of the Accounting Act has been prepared and assurance has been provided for it for the first time for the financial year 1.1.–31.12.2024. Our opinion does not cover the comparative information that has been presented in the group sustainability report. Our opinion is not modified in respect of this matter.

Authorized group sustainability auditor's Independence and Quality Management

We are independent of the parent company and of the group companies in accordance with the ethical requirements that are applicable in Finland and are relevant to our engagement, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

The authorized group sustainability auditor applies International Standard on Quality Management ISQM 1, which requires the authorized sustainability audit firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Responsibilities of the Board of Directors and the Managing Director

The Board of Directors and the Managing Director of Pihlajalinna Oyj are responsible for:

- the group sustainability report and for its preparation and presentation in accordance with the provisions of Chapter 7 of the Accounting Act, including the process that has been defined in the sustainability reporting standards and in which the information for reporting in accordance with the sustainability reporting standards has been identified as well as the tagging of information as referred to in Chapter 7, Section 22 of the Accounting Act and
- the compliance of the group sustainability report with the requirements laid down in Article 8 of the Regulation (EU) 2020/852 of the European Parliament and of the Council on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088;
- such internal control as the Board of Directors and the Managing Director determine is necessary to enable the preparation of a group sustainability report that is free from material misstatement, whether due to fraud or error.

Inherent Limitations in the Preparation of a Sustainability Report

Preparation of the sustainability report requires company to make materiality assessment to identify relevant matters to report. This includes significant management judgement and choices. It is also characteristic to the sustainability reporting that reporting of this kind of information includes estimates and assumptions as well as measurement and estimation uncertainty. Furthermore, when reporting forward looking information company has to disclose assumptions related to potential future events and describe company's possible future actions in relation to these events. Actual outcome may differ as forecasted events do not always occur as expected.



Responsibilities of the Authorized Group Sustainability Auditor

Our responsibility is to perform an assurance engagement to obtain limited assurance about whether the group sustainability report is free from material misstatement, whether due to fraud or error, and to issue a limited assurance report that includes our opinion. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the decisions of users taken on the basis of the group sustainability report.

Compliance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised) requires that we exercise professional judgment and maintain professional skepticism throughout the engagement. We also:

- Identify and assess the risks of material misstatement of the group sustainability report, whether due to fraud or error, and obtain an understanding of internal control relevant to the engagement in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the parent company's or the group's internal control.
- Design and perform assurance procedures responsive to those risks to obtain evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Description of the Procedures That Have Been Performed

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. The nature, timing and extent of assurance procedures selected depend on professional judgment, including the assessment of risks of material misstatement, whether due to fraud or error. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our procedures included for ex. the following:

- We interviewed group management and persons responsible for the preparation and gathering of the sustainability information.
- We familiarized with interviews to the key processes related to collecting and consolidating the sustainability information.
- We got acquainted with the relevant guidances and policies related to the sustainability information disclosed in the sustainability report.
- We acquainted ourselves to the background documentation and other records prepared by the company, as appropriate and assessed how they support the information included in the sustainability report.
- In relation to the double materiality assessment process, we interviewed persons responsible for the process and familiarized ourselves with the process description prepared of the double materiality assessment and other documentation and background materials.
- In relation to the EU taxonomy information we interviewed the management of the company and persons with key roles in reporting taxonomy information, we obtained evidence supporting the interviews and reconciled the reported EU taxonomy information to supporting documents and to the bookkeeping, as applicable.
- We assessed the application of the ESRS sustainability reporting standards reporting principles in the presentation of the sustainability information.

Tampere 20. March 2025

KPMG OY AB

Assi Lintula
Authorized Sustainability Auditor, KRT



Independent Auditor's report on the ESEF financial statements of Pihlajalinna Plc

To the Board of Directors of Pihlajalinna Plc

We have performed a reasonable assurance engagement on the financial statements 74370058MTRLEDOCHV67-2024-12-31-0-en.zip of Pihlajalinna Plc (Business ID 2617455-1) that have been prepared in accordance with the Commission's regulatory technical standard for the financial year ended 31.12.2024.

The Responsibility of the Board of Directors and Managing Director

The Board of Directors and Managing Director are responsible for the preparation of the company's report of the Board of Directors and financial statements (the ESEF financial statements) in such a way that they comply with the requirements of the Commission's regulatory technical standard. This responsibility includes:

- preparing the ESEF financial statements in XHTML format in accordance with Article 3 of the Commission's regulatory technical standard
- tagging the primary financial statements, notes and company's identification data in the consolidated financial statements that are included in the ESEF financial statements with iXBRL tags in accordance with Article 4 of the Commission's regulatory technical standard and
- ensuring the consistency between the ESEF financial statements and audited financial statements.

The Board of Directors and the Managing Director are also responsible for such internal control as they determine is necessary to enable the preparation of ESEF financial statements in accordance with the requirements of the Commission's regulatory technical standard.

Auditor's Independence and Quality Management

We are independent of the company in accordance with the ethical requirements that are applicable in Finland and are relevant to the engagement we have performed, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

The auditor applies International Standard on Quality Management (ISQM 1), which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulations requirements

Auditor's Responsibility

Our responsibility is to, in accordance with Chapter 7, Section 8 of the Securities Markets Act, provide assurance on the financial statements that have been prepared in accordance with the Commission's regulatory technical standard. We express an opinion on whether the consolidated financial statements that are included

in the ESEF financial statements have been tagged, in all material respects, in accordance with the requirements of the Article 4 of the Commission's regulatory technical standard.

Our responsibility is to indicate in our opinion to what extent the assurance has been provided. We conducted a reasonable assurance engagement in accordance with International Standard on Assurance Engagements (ISAE 3000).

The engagement includes procedures to obtain evidence on:

- whether the primary financial statements in the consolidated financial statements that are included in the ESEF financial statements have been tagged, in all material respects, with iXBRL tags in accordance with the requirements of Article 4 of the Commission's regulatory technical standard and
- whether the notes and company's identification data in the consolidated financial statements that are included in the ESEF financial statements have been tagged, in all material respects, with iXBRL tags in accordance with the requirements of Article 4 of the Commission's regulatory technical standard and
- whether there is consistency between the ESEF financial statements and the audited financial statements.

The nature, timing and extent of the selected procedures depend on the auditor's judgement. This includes an assessment of the risk of a material deviation due to fraud or error from the requirements of the Commission's regulatory technical standard.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



Opinion

Our opinion pursuant to Chapter 7, Section 8 of the Securities Markets Act is that the primary financial statements, notes and company's identification data in the consolidated financial statements that are included in the ESEF financial statements of Pihlajalinna Plc 74370058MTRLEDOCHV67-2024-12-31-0-en.zip for the year ended 31 December 2024 have been tagged, in all material respects, in accordance with the requirements of the Commission's regulatory technical standard.

Our opinion on the audit of the consolidated financial statements of Pihlajalinna Plc for the financial year ended 31 December 2024 has been expressed in our auditor's report dated 20.3.2025. With this report we do not express an opinion on the audit of the consolidated financial statements nor express another assurance conclusion.

Tampere 28. March 2025

KPMG OY AB

Assi Lintula
KHT



REMUNERATION REPORT

INTRODUCTION

This Remuneration Report of Pihlajalinna Plc ("the Company" or "Pihlajalinna") is a Remuneration Report for Governing Bodies prepared in accordance with the Limited Liability Companies Act, the Securities Markets Act and the recommendations of the Corporate Governance Code 2025. The People and Sustainability Committee of Pihlajalinna's Board of Directors has prepared this 2024 Remuneration Report, which will be presented to Pihlajalinna's Annual General Meeting in 2025. The Remuneration Report contains information on the remuneration of the members of the Board of Directors and the CEO in the financial year 2024. The Pihlajalinna Board of Directors has approved the Remuneration Report for presentation to the Annual General Meeting in 2025.

The Remuneration Report for Governing Bodies 2023 was approved at Pihlajalinna's Annual General Meeting on 10 April 2024. The decision of the Annual General Meeting on the Remuneration Report is advisory. No questions regarding the Remuneration Report were presented at the Annual General Meeting. Feedback was collected from shareholders when preparing the 2024 Remuneration Report. Based on the feedback received, more detailed information on the Company's short-term and long-term incentive schemes has been added to the Remuneration Report.

The aim of the Remuneration Report is to provide a clear picture of the implementation of the Company's Remuneration Policy. The Remuneration Policy is available on the Company's investor website at investors.pihlajalinna.fi and it has been approved by the Annual General Meeting on 10 April 2024. The Company has received feedback on the Remuneration Policy from shareholders, particularly regarding long-term remuneration. The Company will present an updated Remuneration Policy to the Annual General Meeting in 2025, which will take into account the feedback received.

There have been no deviations from the Remuneration Policy during the financial year 2024, and there have not been any situations during the financial year where there would have been a need to recover remuneration.

The auditing firm KPMG Oy Ab, which served as Pihlajalinna Plc's auditor during the financial year 2024, has verified, in accordance with Ministry of Finance decree 608/2019, that the information referred to in Section 3 of the decree has been disclosed in this report.

Development of remuneration in relation to the Company's key financial indicators

Pihlajalinna's General Meeting decides on the remuneration paid to the members of the Board of Directors. The proposal for the remuneration of the Board members is prepared by the Shareholders' Nomination Board. The Annual General Meeting 2024 resolved to keep the annual remuneration of the Board members unchanged. In 2024, the Board of Directors was paid a one-time annual fee for its entire term, as in the previous year.

Assisting the Board of Directors, the People and Sustainability Committee prepares the principles applied to the remuneration of the CEO. The Company's Board of Directors appoints the CEO and potential Deputy CEO and decides on the terms and conditions of their service. In accordance with the Remuneration Policy, the remuneration of the CEO is based on a fixed monthly salary including fringe benefits and separately decided variable remuneration components, such as long-term or short-term share-based incentive schemes, for example.

Tuomas Hyryläinen acted as Pihlajalinna's CEO throughout the financial year 2024. In addition to the fixed monthly salary, the CEO received share-based rewards in 2024, which were related to the right agreed upon in the CEO's contract at the beginning of the share-based incentive scheme, when Pihlajalinna conveyed shares in exchange for purchases.

The development of the average earnings of employees has shown a increasing trend. Approximately 79% (2023: 81%) of the Company's employees are within the scope of collective labour agreements. The development of wages for employees in these groups is guided by the general increases defined in the collective agreements.

The following table and graphs present the development of the remuneration of the Board of Directors and the CEO compared to the development of the average remuneration of the Group's employees and the Group's financial performance in the past five financial years:

	2020	2021	2022	2023	2024
Total remuneration of the Board of Directors ⁽¹⁾	473,000	588,000(*)	491,000	397,000	358,000
Total remuneration of the CEO ⁽¹⁾	433,000	405,000	333,000	647,000	521,000
Joni Aaltonen, CEO until 8 Mar 2023	433,000	405,000	339,000	353,000	0
Mikko Wirén, interim CEO 9 Mar - 31 Aug 2023				174,000	0
Tuomas Hyryläinen, CEO from 1 Sep 2023				120,000	521,000
Average employee earnings ⁽²⁾	42,000	45,000	51,000	54,000	60,000
Revenue, EUR million	508.7	577.8	690.5	720.0	704.4
Operating profit (EBIT), EUR million	18.1	27.9	8.9	20.6	48.5
Profit for the period, EUR million	8.9	19.1	7.7	4.6	30.2

1) Rounded to the nearest thousand

2) Average employee earnings have been calculated by dividing the total wages paid during the financial year by the number of employees as full-time equivalents (FTE), rounded to the nearest thousand

*) Monthly remuneration paid to the Board of Directors 1–4/2021 for the term 2020–2021 and the annual remuneration paid for the term 2021–2022 as a lump sum in shares and cash on 14 May 2021.

REMUNERATION REPORT

II REMUNERATION OF THE BOARD OF DIRECTORS

Pihlajalinna's Annual General Meeting held on 10 April 2024 resolved that the Board of Directors would be paid the following annual remuneration for the term ending at the conclusion of the 2025 Annual General Meeting: the Chair of the Board EUR 60,000, the Vice-Chair of the Board and the Chairs of the Committees EUR 40,000, and the other members EUR 30,000.

The Annual General Meeting resolved that annual remuneration shall be paid in Company shares and in cash, with approximately 40 per cent of the remuneration used to acquire shares in the name and on behalf of the members of the Board of Directors, and the remainder paid in cash. The Company was responsible for the expenses and transfer tax arising from the acquisition of the shares. The remuneration could be paid either entirely or partially in cash if the member of the Board of Directors was, on the day of the Annual General Meeting, 10 April 2024, in possession of over EUR 1,000,000 worth of

Company shares. If the term of a Board member ends before the next Annual General Meeting, the Board is entitled to decide on the possible recovery of the remuneration in a manner it deems appropriate.

The General Meeting also decided that each Board member shall be paid a meeting fee of EUR 600 for each Board and Committee meeting. Reasonable travel expenses will also be reimbursed to the members of the Board in accordance with the Company's travel policy.

In 2024, the fees paid to Pihlajalinna Plc's Board members for Board and Committee work totalled EUR 358,200 (2023: EUR 396,900). The amount paid in 2023 consisted of meeting fees and the annual fee paid to the Board of Directors for the term 2023–2024, which was paid to the Board members in the form of a lump sum in shares and in cash in May 2023. The amount paid in 2024 consists of meeting

fees and the annual fee paid to the Board of Directors for the term 2024–2025, which was paid to the Board members in the form of a lump sum in shares and in cash in May 2024.

The Company does not use any share-based incentive schemes that apply to members of the Board of Directors. The members of the Company's Board of Directors did not receive remuneration during the financial year 2024 from Pihlajalinna Group companies other than the parent company Pihlajalinna Plc.

Remunerations paid to the Board of Directors in 2024, EUR

		ANNUAL FEE (EUR), OF WHICH		MEETING FEES (EUR)	TOTAL REMUNERATION (EUR)	THE NUMBER OF SHARES TRANSFERRED AS PART OF THE ANNUAL FEE
BOARD MEMBER		SHARES (EUR)	CASH (EUR)			
Leinonen Jukka	Chair	23,998	36,002	12,000	72,000	2,662
Niemistö Leena	Vice-Chair	15,993	24,007	12,000	52,000	1,774
Ignatius Kim	Member, Audit Committee Chair since 10 April 2024	15,993	24,007	12,600	52,600	1,774
Iisakka Heli	Member	11,999	18,001	12,600	42,600	1,331
Juvonen Hannu	Member, People and Sustainability Committee Chair	15,993	24,007	12,000	52,000	1,774
Kurki Tiina	Member	11,999	18,001	12,600	42,600	1,331
Turunen Seija	Member, Audit Committee Chair until 10 April 2024	0	0	2,400	2,400	0
Wirén Mikko*	Member	11 999	18 001	12,000	42,000	1,331
		107,973	162,027	88,200	358,200	11,977

*In 2024, Mikko Wirén has additionally been paid consulting fees for tasks not related to his duties as board member, totaling EUR 6,000 (EUR 29,000 in 2023).

REMUNERATION REPORT

III REMUNERATION OF THE CEO

Tuomas Hyryläinen acted as Pihlajalinna's CEO for the entire financial year 2024, starting from 1 September 2023.

The CEO's salary and other taxable benefits for the financial year that ended on 31 December 2024 were EUR 521,000. The remuneration of the CEO consisted of a fixed annual salary of EUR 378,000 (including fringe benefits and a holiday pay). In addition, share-based rewards of EUR 143,000 were paid to the CEO. The variable remuneration accounted for approximately 40 per cent of the CEO's fixed annual salary.

The paid share-based rewards were related to the right agreed upon in the CEO's contract to acquire shares a maximum of 30,000 shares, so that for the first 10,000 shares, the Company will give one share for each share purchased by the CEO, and for the next 20,000 shares, one share for each two shares purchased. If the CEO purchases the full quota of 30,000 shares, the Company will give the CEO a total of 20,000 shares.

The CEO was paid the gross amount of EUR 143,000, of which EUR 71,330 was paid in the Company's shares according to the weighted average share price of EUR 7.13 per share (10,000 shares) on the payment date, 2 January 2024, and the remaining EUR 71,330 was paid in cash to cover the taxes incurred. The shares are subject to a transfer restriction in accordance with the incentive scheme, but they are not subject to the obligation to return the shares in the event of termination.

The CEO will be paid a performance bonus of EUR 162,000 for 2024. In addition, the CEO receives share-based rewards of 12,850 shares gross according to the share-based incentive plan (LTIP 2022). The performance bonus and share-based rewards will be paid during spring 2025.

According to CEO Tuomas Hyryläinen's contract, the notice period for dismissal is six months. The Company is liable to pay the CEO one-time compensation for termination amounting to eight months' total salary.

The Company did not have a Deputy CEO indicated in the Trade Register during the financial year 2024.

Performance- and quality-based long-term incentive programme (LTIP 2022)

On 23 March 2022, Pihlajalinna's Board of Directors approved the establishment of share-based incentive programme (LTIP 2022) for selected key employees. CEO Tuomas Hyryläinen is entitled to participate in the share-based incentive programme starting from the earnings period that begins on 1 January 2024.

The performance- and quality-based share programme originally comprised four separate performance periods of one year each (the calendar years 2022-2025). The potential share rewards were paid out after the performance periods in the years 2023, 2024 and 2025. The Board of Directors annually decided the participants, performance indicators, targets and earning opportunities. The Board of Directors decided on 13 December 2024 that the last performance period, corresponding to the calendar year 2025, will not be launched.

The earnings criteria applicable to the performance- and quality-based share plan for the 2024 performance period are described below.

LTIP 2022 earnings criteria and realisation

	2024	
	Weight	Realisation
Adjusted EBITA	60 %	100 %
Sickness absence per cent development	20 %	71 %
Customer satisfaction development (NPS)	10 %	100 %
Employee Net Promoter Score (eNPS)	10 %	75 %

The CEO had to invest in Pihlajalinna shares to participate in the programme. The CEO had to own 5,000 Pihlajalinna shares in order to ensure the mutual interest of the Company's management and shareholders. With regard to the CEO, the prerequisite for holding shares is met.

The share-based rewards received under the scheme are subject to a two-year transfer restriction, during which the shares may not be

pledged or transferred. If the person's employment or service relationship ends before the end of the transfer restriction period, they must, as a rule, return the shares subject to the transfer restriction to Pihlajalinna free of charge. In individual cases, the Board of Directors may decide that the person may hold the shares subject to the return obligation or part of them.

No performance and quality-based share-based rewards materialised for the performance periods 2022 and 2023 pursuant to the share-based incentive scheme, as the minimum targets set for the scheme were not achieved.

The next table shows the actual share-based rewards for 2024.

CEO's share scheme (LTIP 2022)

	LTIP 2022
Performance period	2024
Performance period ends	31 December 2024
The year in which the shares are transferred	2025
Share price on the date of the transfer of shares, EUR	*
CEO, maximum number of shares, number**	14,000
CEO, value of the maximum number of shares at the time of issue, EUR	105,000
CEO, realised shares, number**	12,850
CEO, total share-based reward value, EUR	*

* The share price and total value of the share-based reward will be known on the share transfer date in spring 2025

** The stated number of shares is the gross number of shares. The gross number means that the applicable withholding tax and transfer tax will be deducted from it, and the remaining net amount will be paid to the participants in shares.

Performance Share Plan (PSP)

On 13 December 2024, Pihlajalinna's Board of Directors decided to establish a new long-term share-based incentive plan for key employees of the Group. The plan replaces Pihlajalinna's current share-based incentive plan.

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The purpose of the plan is to combine the objectives of the Company's owners and key personnel in order to increase the Company's value in the long term. The aim is also to commit key personnel to implementing the Company's strategy and objectives by offering them a competitive incentive scheme based on the earning and accumulation of the Company's shares.

In 2024, an external remuneration consultant and benchmarking data were used in evaluating the remuneration of the Management Team (including the CEO) and in preparing the new scheme. Remuneration was assessed in relation to some Finnish listed companies with corresponding revenue, number of personnel, balance sheet value and market value. The assessment focused on the target and earnings levels of remuneration and the relationship between fixed and variable remuneration.

The Performance Share Plan 2025–2029 consists of three performance periods, covering the financial years 2025–2027, 2026–2028 and 2027–2029. The Board of Directors will decide annually on the commencement and details of every performance period.

The target group in the performance period 2025–2027 consists of approximately 30 key employees, including the members of the Group Management Team and the CEO. The performance criteria of the performance period 2025–2027 are tied to relative Total Shareholder Value (rTSR), annual revenue growth, return on capital employed and the rate of sickness-related absences.

The value of the rewards to be paid based on the plan corresponds to a maximum total of 553,000 Pihlajalinna shares. Any plan rewards are paid within five months of the end of each performance period.

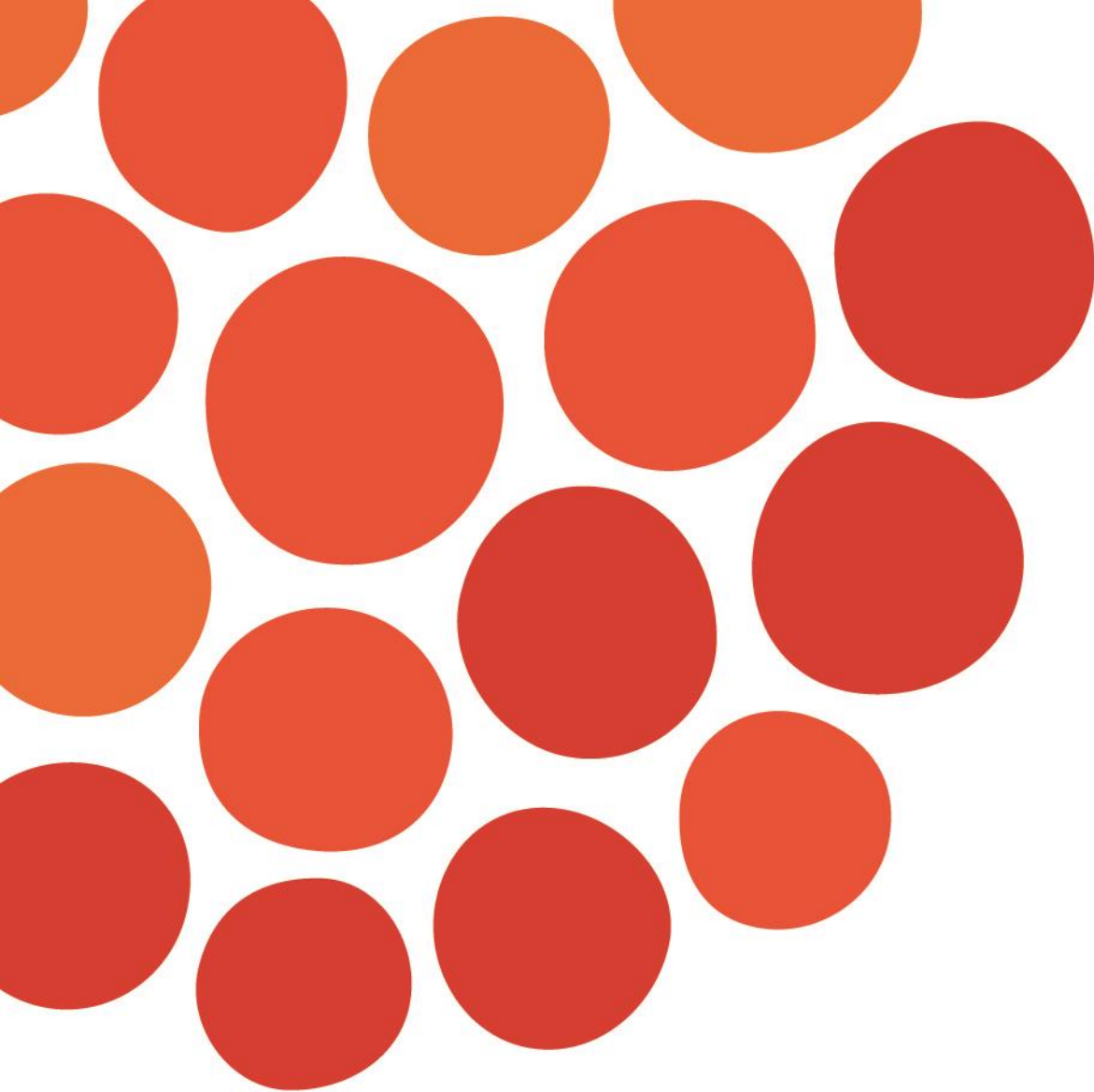
The CEO must own 50 per cent of the shares received until the value of their total shareholding in Pihlajalinna corresponds to their annual base salary for the calendar year preceding the payment of their remuneration. This number of shares must be held for as long as the position as CEO or member of the Management Team continues.

Short-term incentive scheme (STI)

Pihlajalinna uses a short-term incentive scheme (STI), for which the bonus is paid in cash. The Company's Board of Directors confirms the amount, targets and criteria for the CEO's short-term incentive scheme annually. The maximum amount of the CEO's short-term incentive scheme was 60% of the annual base salary in 2024. The realisation of the incentive bonus for 2024 is 44.9 per cent of the annual

base salary, with an amount of EUR 162,000 to be paid in spring 2025. The CEO's performance earnings criteria and realisation are described in the following table.

	2024	
	Weight	Realisation
Adjusted EBITA	60 %	100 %
Organic revenue growth percentage	30 %	14 %
Employee Net Promoter Score development (eNPS)	10 %	75 %



Pihlajalinna